
APPROACH: PAYROLL COMPLIANCE WITH A DETERMINISTIC-PLUS-
LLM AGENT STACK

The Agentic Payroll Agent

STP2, superannuation guarantee, PAYG withholding, terminations, and state payroll tax — run by a deterministic engine, with a licensed professional on every gate

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01 STP Phase 2 — Disaggregated Reporting and the Payroll Framework

STP2 income type codes, the ATO's data model, PAYG withholding framework, and the determinism-first principle

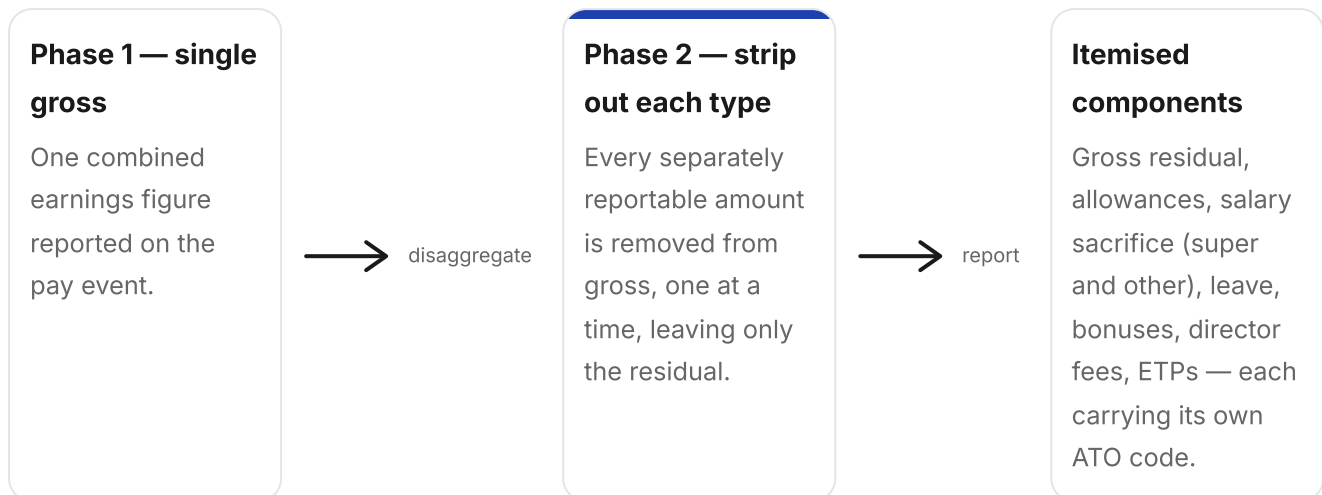
Single Touch Payroll Phase 2 changed how Australia reports wages. Where Phase 1 reported a single gross figure, Phase 2 requires employers to disaggregate that gross into its components — each with its own ATO classification, each subject to different withholding and contribution rules. This chapter establishes the STP2 reporting framework, explains why determinism must sit at the centre of every payroll agent, and introduces the H1/H2/H3 gate model that governs what an agent can do without human sign-off.

STP Phase 2 — Disaggregated Gross

The ATO's STP Phase 2 employer reporting guidelines require that each pay event report disaggregated income. STP Phase 2 reporting commenced on 1 January 2022, with ATO transition concessions applying through 2022. The single gross earnings figure that satisfied Phase 1 is no longer sufficient.

Disaggregation means every earning type is reported separately. The ATO uses these figures to pre-fill tax returns, calculate Medicare Levy Surcharge, assess health insurance rebates, and detect misclassification of employment income. Getting the disaggregation wrong produces cascading errors: a reporting breach, potential incorrect PAYG withholding for the employee, and incorrect SG calculations for the employer.

Conceptually, Phase 2 takes the single gross figure and splits it into a set of separately coded streams, as Figure 1.1 shows.



A tool allowance buried inside gross is the most common STP2 defect: it breaks the employee's myGov prefill and signals misclassification to the ATO.

Figure 1.1 — STP2 disaggregation: a single Phase 1 gross figure becomes a set of separately coded Phase 2 components.

The key disaggregation categories under STP2 are:

STP2 Field	What it covers	Notes
Gross	All taxable earnings not separately reported	Residual after all itemised amounts are stripped out
Allowances	Tool allowances, travel, laundry, overtime meal, etc.	Each allowance type has its own ATO code
Salary sacrifice (super)	Pre-tax super contributions made by employee	Reduces reportable gross; reported on ITR as RESC
Salary sacrifice (other)	Pre-tax benefits other than super (e.g. novated lease)	Reported separately from super sacrifice
Leave	Annual leave, personal/carer's leave, long service leave	Leave type affects withholding method
Bonuses and commissions	Performance bonuses, sales commissions	Different withholding rules apply
Director fees	Fees paid to a director of a company	Separate income type, specific withholding treatment
Return to work payments	Payments to induce an employee to return	May have special withholding treatment
ETPs	Employment termination payments	Two caps apply; detailed in chapter 06

NOTE

My take: The single biggest source of STP2 non-compliance I see is payroll systems that still report one gross figure and then add allowances as a footnote. The ATO's data model expects itemisation. If your payroll software cannot produce it, you are already behind.

The reporting obligation does not end at lodgement. The STP2 data feeds directly into the ATO's income statement prefill. Employees see their disaggregated income in myGov. An employer who lumps a tool allowance into gross creates a prefill mismatch that the employee must correct — at their expense in time, and at your expense in reputation.

Income Type Codes — SAW, CHP, FEI, and Others

STP2 assigns an income type to each payee. The income type determines which withholding rules apply and how the ATO processes the data. The codes are not optional — an STP submission without a valid income type code will fail validation.

Code	Full name	When to use
SAW	Salary and wages	Standard employment — most employees
CHP	Closely held payees	Employees who are related to the employer entity (e.g. family members in a family company, director/sole shareholder)
FEI	Foreign employment income	Employees working overseas for an Australian employer; specific withholding and tax treatment applies
WHM	Working holiday maker	Visa subclass 417 or 462; flat 15% on first \$45,000 (verify against ATO — as at June 2026)
SWS	Supported wage system	Employees with a disability assessed under the supported wage system; rate below award minimum wage permitted
IAA	Inbound assignees to Australia	Foreign nationals assigned to work in Australia by a foreign employer
OSP	Overseas employment	Employees working overseas for an Australian employer who elected into the overseas employment rules

The `stp-agent` is responsible for assigning the correct income type code. It does this by querying the employee record and running a decision tree:

```
// Income type classification – stp-agent
function classifyIncomeType(employee: Employee): STPIncomeType {
  if (employee.visaSubclass === "417" || employee.visaSubclass === "462") {
    return "WHM";
  }
  if (employee.isInboundAssignee && employee.foreignEmployer) {
    return "IAA";
  }
  if (employee.workLocation === "overseas" && employee.overseasElection) {
    return "OSP";
  }
  if (employee.foreignEmploymentAgreement) {
    return "FEI";
  }
  if (employee.isSWSAssessed) {
    return "SWS";
  }
  if (employee.isCloselyHeld) {
    return "CHP";
  }
  return "SAW"; // default for standard employees
}
```

The order of the checks matters: they run top to bottom and the first match wins, so the most specific visa and assignment cases are tested before the SAW default (Figure 1.2).

Visa subclass 417 or 462?

Working holiday maker → WHM

Inbound assignee with a foreign employer?

→ IAA

Works overseas and elected into the overseas rules?

→ OSP

Foreign employment agreement?

→ FEI

Assessed under the supported wage system?

→ SWS

Closely held — related to the employer entity?

→ CHP

None of the above

Standard employee → SAW (default)

The default SAW is reached only when every specific test fails, so a missed visa or assignment flag silently misclassifies the payee and withholds the wrong tax.

Figure 1.2 — Income-type classification order in the stp-agent: the first matching condition sets the code, falling through to SAW.

NOTE

My take: The CHP code catches employers off guard. A family company paying a spouse or adult child must use CHP — not SAW. The withholding rules for CHP payees allow quarterly reporting instead of each pay event, but the employer must still lodge. Missing this is a compliance breach.

WHM classification is particularly important. A working holiday maker misclassified as SAW will have the wrong tax withheld — too much if they are below the \$45,000 threshold, and the employer is liable for the difference under a pay-as-you-go withholding variation audit. Always verify the visa subclass before payroll onboarding.

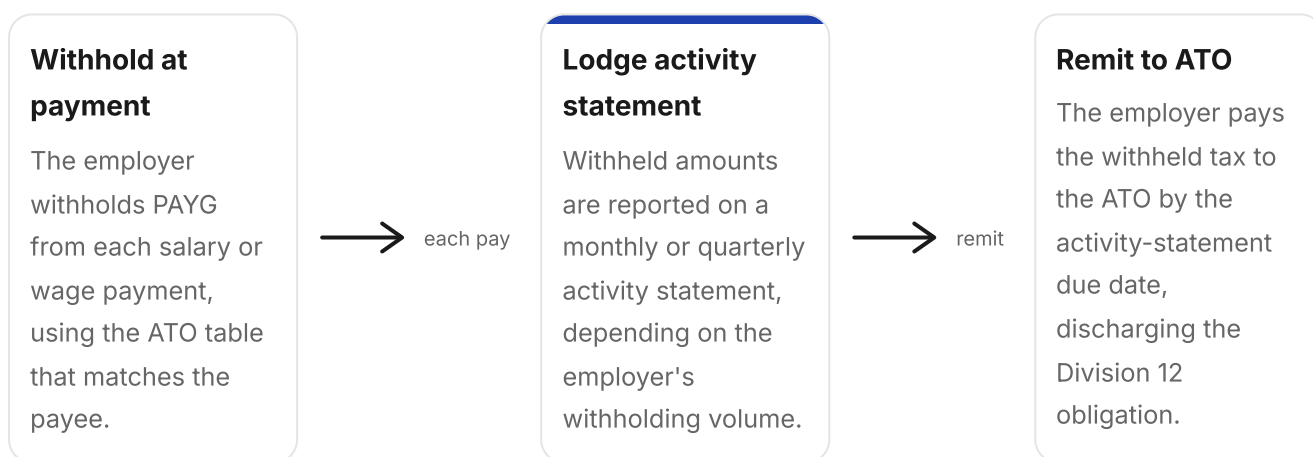
Example 1.1 (assumed-fact illustration): Robert joins Harbour Engineering Pty Ltd on a 417 visa. The onboarding form captures his visa subclass. The stp-agent classifies him as WHM. The payroll engine applies the WHM withholding rate of 15% on earnings up to \$45,000 (verify against

ATO — as at June 2026). Robert's pay event reports income type WHM. Six months later, Robert's visa expires and he obtains a permanent residency. The HR team updates the employee record. The `stp-agent` reclassifies him as SAW from the next pay event. The withholding rate reverts to the standard tax table. A payroll note is appended to the audit trail: "Income type changed SAW from pay period 2026-07-01. Prior WHM classification confirmed against visa record."

What this illustrates: Income type is not set-and-forget. The `stp-agent` must re-evaluate classification on every pay event when employee status can change. The payroll engine adjusts withholding in real time. The audit trail preserves the reason for the change so any ATO review can trace the reclassification without ambiguity.

PAYG Withholding Framework Overview

Pay As You Go withholding is the mechanism by which employers collect income tax on behalf of their employees and remit it to the ATO. The obligation arises under Division 12 of Schedule 1 to the Taxation Administration Act 1953 (verify — as at June 2026). The employer withholds from each payment, lodges an activity statement (either monthly or quarterly depending on withholding volume), and remits the withheld amounts to the ATO. This withhold-report-remit cycle is shown in Figure 1.3.



The obligation is non-negotiable: an employer cannot agree to withhold less than the table requires. Any such agreement is void and the employer carries the shortfall.

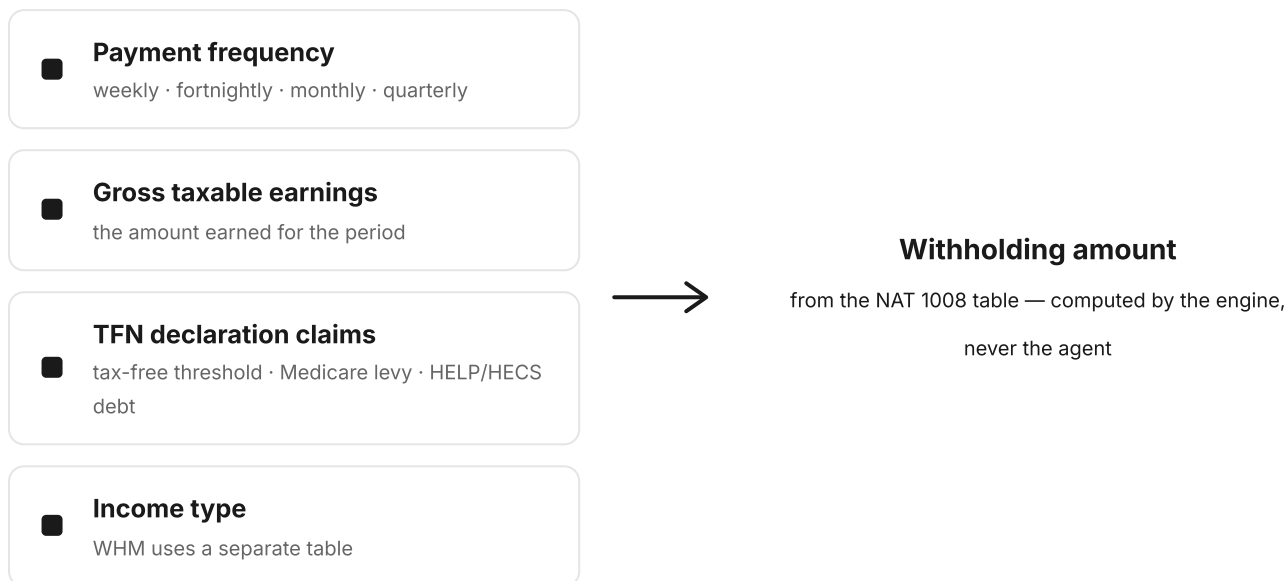
Figure 1.3 — The PAYG withholding lifecycle: the employer withholds at each payment, reports the total on an activity statement, and remits it to the ATO.

The ATO publishes the tax withholding tables (NAT 1008 series). The payroll engine looks up the applicable table for each employee based on:

- Payment frequency (weekly, fortnightly, monthly, quarterly)
- Gross taxable earnings for the period
- TFN declaration claims (tax-free threshold, Medicare levy exemption, HECS/HELP debt)

- Income type (WHM has a separate table)

These four inputs together select a single row in the applicable NAT 1008 table, which the engine resolves into the withholding figure (Figure 1.4).



Change any one input and the engine selects a different table row. The agent assembles these four inputs; the engine returns the figure with its provenance envelope.

Figure 1.4 — Withholding-table lookup: four payee inputs select the applicable NAT 1008 table row, which the payroll engine resolves into the withholding amount.

The PAYG withholding obligation is not optional and not subject to negotiation with the employee. An employer cannot agree to withhold less than the ATO table requires. Any such agreement is void. The employer remains liable for the shortfall.

Every PAYG withholding figure comes from the payroll engine, never from the agent. The LLM agent does not calculate withholding at all — it classifies the employee, checks the TFN declaration, assembles the inputs, and hands them to the engine, which returns the amount for the agent to record. This is a hard architectural rule, not a design preference.

```
// PAYG withholding — agent calls engine, never calculates itself
async function computePAYGWithholding(
  payEvent: PayEvent,
  tfnDeclaration: TFNDeclaration,
  engine: PayrollEngine
): Promise<WithholdingResult> {
  const inputs: WithholdingInputs = {
    grossTaxable: payEvent.grossTaxable,
    frequency: payEvent.paymentFrequency,
    taxFreeThreshold: tfnDeclaration.claimsTaxFreeThreshold,
```

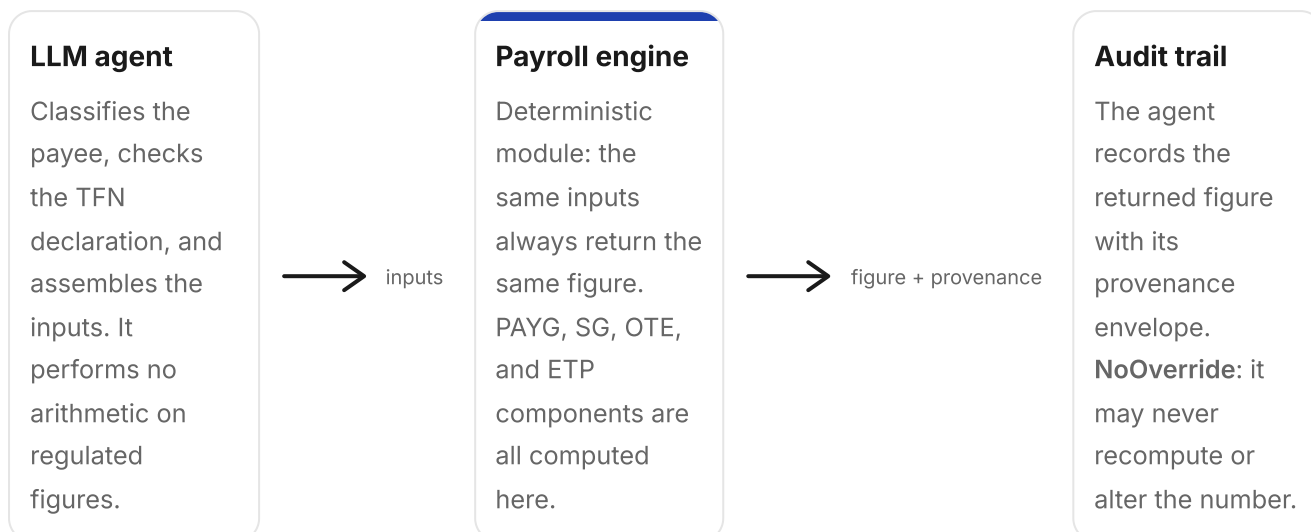
```
helpDebt: tfnDeclaration.hasHELPDebt,  
  incomeType: payEvent.incomeType,  
  asAtDate: payEvent.paymentDate,  
};  
  
// computed by the engine, not here – never approximate withholding  
const result = await engine.computeWithholding(inputs);  
  
return {  
  withholdingAmount: result.amount,  
  tableUsed: result.tableReference,  
  asAtDate: result.asAtDate,  
  provenance: result.provenance,  
};  
}
```

NOTE

My take: I have seen payroll agents that interpolate between table values or use a formula approximation because "it is close enough." It is not close enough. The ATO audits withholding against its own tables. An approximation that is \$3 short per fortnight becomes a \$78 annual shortfall per employee. Multiply by 50 employees and you have a \$3,900 withholding shortfall with penalties and general interest charge. Use the table. Leave the arithmetic to the engine.

Determinism-First Principle for Payroll

Determinism-first means every regulated payroll figure — PAYG withholding, SG contribution, OTE, ETP tax-free component, ETP taxable component, leave loading — must be computed by the deterministic payroll engine, not estimated or approximated by an LLM agent. A figure the engine did not produce is a figure the ATO can recompute, find short, and penalise. The path every regulated figure takes is shown in Figure 1.5.



Every regulated figure is born in the engine. An agent that estimates a figure has produced a compliance defect, not a shortcut.

Figure 1.5 — The determinism-first path: the agent assembles inputs, the deterministic engine owns the figure, and the agent records it without override.

LLMs are probabilistic. They generate outputs that are statistically likely given training data. That property is useful for drafting payslip narratives, classifying allowances, and explaining award conditions. It is incompatible with computing an employee's tax withheld. A figure that is "probably right" is wrong from a compliance standpoint if it differs from the ATO table by even one cent.

The determinism-first principle has three corollaries:

Corollary 1 — Regulated figures belong to the engine. The payroll engine is a deterministic calculation module — a function that given the same inputs always returns the same outputs. Agents call the engine; they never compute regulated figures themselves.

Corollary 2 — Provenance is mandatory. Every figure produced by the engine must be accompanied by a provenance record: the table reference, the as-at date, the version of the engine, and the inputs used. If the ATO queries a withholding amount in three years, the employer can reproduce the calculation exactly.

Corollary 3 — NoOverride invariant. No agent, no matter how confident, may override a figure produced by the engine. If an agent disagrees with the engine output, it must escalate to the H3 gate for practitioner review. It must not substitute its own number.

```
// Provenance envelope – every engine output carries this
interface ProvenanceEnvelope {
    engineVersion: string;      // e.g. "payroll-engine@2.4.1"
    tableReference: string;     // e.g. "NAT 1008 – Weekly – 2025-26"
```

```
inputs: Record<string, unknown>;
  computedAt: string;           // ISO timestamp
  noOverride: true;            // invariant — agents must not mutate
}
```

```
// Engine call — deterministic, typed, auditable
const withholdingResult = await engine.computeWithholding({
  grossTaxable: 3_200.00,
  frequency: "fortnightly",
  taxFreeThreshold: true,
  medicareLevyExemption: false,
  helpDebt: true,
  incomeType: "SAW",
  asAtDate: "2026-06-20",
});

// withholdingResult.provenance.noOverride === true
// withholdingResult.provenance.tableReference === "NAT 1008 — Fortnightly — 2025-26"
// DO NOT use withholdingResult.amount as a base for further agent computation
```

Example 1.2 (assumed-fact illustration): Angela works at Adelaide Retail Services. Her fortnightly gross is \$3,200. She claims the tax-free threshold and has a HELP debt. The `payg-agent` assembles these inputs and calls the payroll engine. The engine consults the NAT 1008 fortnightly table (as at June 2026 — verify against ATO before relying on this figure) and returns a withholding amount with a full provenance envelope. The `payg-agent` records the provenance in the audit trail. Two years later, Angela disputes a tax assessment. The employer produces the provenance envelope. The ATO can see exactly which table was used, which inputs were provided, and which version of the engine ran. The dispute is resolved without penalty because the provenance is complete.

What this illustrates: The provenance envelope is the employer's primary defence in an ATO audit. The payroll engine owns the figure, and the provenance record proves it was computed correctly. An agent that computed the figure itself, without a table reference, cannot produce this defence.

H1/H2/H3 Gate Model

The H1/H2/H3 gate model defines which payroll decisions require a human — and which specific type of human (Figure 1.6). Agents automate everything they can. At each gate, the agent stops, packages its output, and routes it to the appropriate person. The gate is not optional.

H1 — Registered tax agent or BAS agent (non-delegable)

H1 gates cover actions where the Tax Agent Services Act 2009 (TASA 2009) (verify — as at June 2026) requires a registered practitioner. These actions cannot be delegated to an unregistered person or performed autonomously by an agent:

- STP finalisation (End of Year finalisations submitted to the ATO)
- Formal ATO correspondence on behalf of the employer
- PAYG withholding variation applications
- Lodgement of activity statements where the employer is a client of a tax agent

H2 — Registered tax agent (Tax Agent Services Act capacity)

H2 gates cover actions that require a registered tax agent specifically — not a BAS agent:

- ATO audit responses and objection lodgements
- Formal objections to assessments
- Reclassification of income with direct tax consequences (e.g. reclassifying a contractor as an employee for prior years)

H3 — Practitioner review before proceeding

H3 gates cover actions where a payroll practitioner, accountant, or HR specialist must review and approve before the agent proceeds. The practitioner need not be registered under TASA 2009, but must be competent:

- Award compliance issues (incorrect classification, underpayment risk)
- Contractor multi-factor test results that produce an AMBER verdict
- ETP classification for unusual termination circumstances
- Payroll tax jurisdiction questions for multi-state employers

H1 — Registered tax agent or BAS agent (non-delegable)

STP finalisation · ATO correspondence · PAYG withholding variation · activity-statement lodgement

H2 — Registered tax agent only

ATO audit responses · formal objections · prior-year contractor reclassification

H3 — Practitioner review before proceeding

Award compliance · AMBER contractor verdict · unusual ETP · multi-state payroll tax

The agent automates everything up to a gate, then stops, packages its output, and routes it to the right human. The gate is never optional.

Figure 1.6 — The H1/H2/H3 gate model: which payroll actions stop for a human, and which kind of human each one requires.

```
// Gate routing – payroll-orchestrator
type GateLevel = "H1" | "H2" | "H3" | null;

function determineGate(action: PayrollAction, confidence: number): GateLevel {
  if (action.type === "STP_FINALISATION") return "H1";
  if (action.type === "ATO_CORRESPONDENCE") return "H1";
  if (action.type === "ATO_OBJECTION") return "H2";
  if (action.type === "CONTRACTOR_RECLASSIFICATION_PRIOR_YEARS") return "H2";

  if (action.type === "AWARD_COMPLIANCE" && action.status === "AMBER") return
"H3";
  if (action.type === "CONTRACTOR_MULTI_FACTOR" && confidence < 0.9) return "H3";
  if (action.type === "ETP_CLASSIFICATION" && action.unusual) return "H3";

  return null; // agent can proceed autonomously
}
```

Example 1.3 (assumed-fact illustration): Wei works at Blue Mountain Healthcare. At the end of the financial year, the `stp-agent` prepares the EOFY finalisation file — summarising each employee's YTD gross, tax withheld, allowances, and super contributions. The file is complete and validated. The agent does not lodge it. Instead, it packages the file and routes it to the H1 gate: the business's registered tax agent. The gate notification reads: *"STP EOFY finalisation ready for lodgement. H1 gate — registered tax agent or BAS agent sign-off required. No autonomous lodgement permitted."* The tax agent reviews, confirms, and lodges. The `audit-trail-agent` records the lodgement event with the agent's registration number and the lodgement timestamp.

What this illustrates: The H1 gate is non-delegable. The agent can prepare everything. It cannot lodge a finalisation — that requires a registered practitioner. The gate exists to preserve the employer's compliance posture and to ensure the TASA 2009 obligations are met.

payroll-orchestrator Overview

The `payroll-orchestrator` is the top-level coordinator. It receives a pay event — either from the HR system as a scheduled run or as an ad hoc request — and fans out to the specialist agents. It assembles the results, evaluates the RED/AMBER/GREEN routing, and either produces a finalised pay run or routes to the appropriate gate.

The orchestrator coordinates rather than computes. Every computation is performed by either the payroll engine (regulated figures) or a specialist agent (classification, compliance checking, STP formatting). The orchestrator assembles outputs, checks for conflicts, and routes. Figure 1.7 shows the fan-out and the routing decision that follows.



The orchestrator gathers each specialist's verdict, applies the RED/AMBER/GREEN routing, and either finalises the run or stops at a gate. A single AMBER holds the whole pay run.

Figure 1.7 — payroll-orchestrator fan-out: the four specialist agents report in parallel, the orchestrator evaluates, and the run either proceeds or halts at a gate.

```
// payroll-orchestrator – top-level pay run handler
async function runPayroll(
  payRun: PayRun,
  engine: PayrollEngine
): Promise<PayRunResult> {
  // Fan out to specialist agents in parallel where possible
  const [sgResult, paygResult, awardResult] = await Promise.all([
    sgAgent.computeSG(payRun, engine),
    paygAgent.computeWithholding(payRun, engine),
    awardAgent.checkCompliance(payRun),
  ]);

  // Termination agent runs only if termination event present
  const terminationResult = payRun.hasTermination
    ? await terminationAgent.processTermination(payRun, engine)
    : null;

  // Evaluate routing
  const routing = evaluateRouting([sgResult, paygResult, awardResult,
    terminationResult]);

  if (routing.level === "RED") {
    return routeToGate(routing, payRun);
  }
}
```

```

if (routing.level === "AMBER") {
  return routeForReview(routing, payRun);
}

// GREEN — proceed to STP lodgement preparation
const stpPayload = await stpAgent.buildPayload(payRun, sgResult, paygResult,
terminationResult);
return { status: "GREEN", stpPayload, provenance: collectProvenance([sgResult,
paygResult]) };
}

```

The four primary specialist agents are:

Agent	Responsibility	Gate level if fails
sg-agent	OTE calculation, SG amount, fund routing, MSCB check	H3 (AMBER), H1 (SGC penalty)
payg-agent	TFN declaration check, withholding lookup, WHM flag	H3 (unusual income type), H1 (no TFN)
award-agent	Award classification, minimum rate check, penalty rates, allowances	H3 (any non-compliant finding)
termination-agent	ETP components, genuine redundancy tax-free amount, unused leave on termination	H3 (unusual ETP), H2 (reclassification)

Example 1.4 (assumed-fact illustration): Sasha runs a fortnightly payroll at Westfield Logistics for 23 employees. The `payroll-orchestrator` initiates the pay run. It fans out to `sg-agent`, `payg-agent`, and `award-agent` in parallel. For 22 employees, all three agents return GREEN. For one employee — a casual driver — the `award-agent` returns AMBER: the employee's base rate falls below the Transport and Distribution Award minimum for a casual Grade 2 driver (verify against the applicable award — as at June 2026). The orchestrator holds the entire pay run. It packages the AMBER finding: the employee record, the award rate, the employee's current rate, and the shortfall. It routes to the H3 gate — practitioner review. Sasha reviews, confirms the shortfall is real, corrects the rate, and marks the gate cleared. The orchestrator re-runs the award check, receives GREEN, and proceeds to STP payload generation. The audit trail records the AMBER finding, the gate clearance, and the rate correction.

What this illustrates: The AMBER/GREEN routing is a hard gate. The orchestrator does not process an AMBER pay run without human clearance. The award check is mandatory on every pay run, not just at onboarding. Award rates change. Employee classifications change. The `award-agent` must verify the applicable award on each cycle.

The `audit-trail-agent` runs throughout the pay cycle. Rather than a step in the pipeline, it is an observer that records every event: agent invocations, engine calls, gate routings, gate clearances, STP lodgement events, and error states. Every record includes a timestamp, the agent that produced it, and the provenance envelope of any computed figure.

```
// audit-trail-agent — observer pattern
interface AuditEvent {
  eventId: string;
  timestamp: string;          // ISO 8601
  agentId: string;
  eventType: AuditEventType;
  payRunId: string;
  employeeId?: string;
  gateLevel?: "H1" | "H2" | "H3";
  gateStatus?: "PENDING" | "CLEARED" | "REJECTED";
  provenance?: ProvenanceEnvelope;
  notes?: string;
}

type AuditEventType =
  | "PAY_RUN_START"
  | "ENGINE_CALL"
  | "AGENT_RESULT"
  | "ROUTING_DECISION"
  | "GATE_RAISED"
  | "GATE_CLEARED"
  | "STP_PAYLOAD_BUILT"
  | "STP_LODGED"
  | "ERROR";
```

TIP

Next: Chapter 02 covers the payroll-orchestrator fan-out in detail — how each specialist agent receives its inputs, how the payroll engine processes each pay event, and how the RED/AMBER/GREEN routing model handles conflicts across agents.

02 The Payroll Orchestrator and the Calculation Engine

Fan-out from payroll-orchestrator to SG, PAYG, award, termination, and STP agents; the engine as deterministic core

The payroll-orchestrator is the nervous system of an agentic payroll stack. It coordinates rather than computes. Every specialist agent in the fan-out has a precise boundary: what it receives, what it produces, and which gate it escalates to when it cannot produce a GREEN result. This chapter dissects the orchestrator, traces each fan-out path, and establishes the noOverride invariant that ensures the payroll engine's figures are never mutated by downstream agents.

payroll-orchestrator — Inputs and Routing

The `payroll-orchestrator` receives a pay event payload. A pay event is a structured record that describes a single employee's earnings for a specific pay period. It is produced by the HR system or by a pay run scheduler and passed to the orchestrator at the start of each cycle.

A minimal pay event contains:

```
// Pay event – minimum viable structure
interface PayEvent {
  payEventId: string;
  employeeId: string;
  employerId: string;
  payPeriodStart: string;      // ISO date
  payPeriodEnd: string;        // ISO date
  paymentDate: string;          // ISO date – actual payment date
  paymentFrequency: "weekly" | "fortnightly" | "monthly" | "quarterly";
  earnings: EarningsLine[];
  allowances: AllowanceLine[];
  deductions: DeductionLine[];
  leaveAccruals: LeaveAccrualLine[];
  hasTermination: boolean;
  terminationDetails?: TerminationDetails;
  asAtDate: string;            // date for rate/threshold lookups
}
```

The orchestrator's first action is validation. Before it fans out to any specialist agent, it validates that the pay event is structurally complete: all required fields are present, the payment date is within the pay period plus a reasonable extension, the employee record exists, and the employer is registered for STP2 reporting.

```
// Orchestrator validation – before fan-out
async function validatePayEvent(payload: PayEvent): Promise<ValidationResult> {
  const errors: ValidationError[] = [];

  if (!payload.paymentDate) errors.push({ field: "paymentDate", code: "MISSING" });
  if (!payload.employeeId) errors.push({ field: "employeeId", code: "MISSING" });
  if (payload.earnings.length === 0 && !payload.hasTermination) {
    errors.push({ field: "earnings", code: "NO_EARNINGS_ON_NON_TERMINATION" });
  }

  const employeeRecord = await employeeRepo.find(payload.employeeId);
  if (!employeeRecord) errors.push({ field: "employeeId", code: "EMPLOYEE_NOT_FOUND" });

  const stpRegistration = await stpRepo.findRegistration(payload.employerId);
  if (!stpRegistration || stpRegistration.phase !== "STP2") {
    errors.push({ field: "employerId", code: "STP2_NOT_REGISTERED" });
  }

  return { valid: errors.length === 0, errors };
}
```

A validation failure produces an immediate RED routing. The pay run is held. The error is recorded in the audit trail. The operator is notified. No specialist agent is invoked until the pay event is structurally valid.

Once validated, the orchestrator enriches the pay event with data from the employee record: TFN declaration, income type, award classification, fund details, salary sacrifice agreements, and prior-period figures needed for annualised salary reconciliation. This enrichment step ensures every specialist agent receives a complete input set — it does not have to query the HR system itself.

```
// Enrichment – orchestrator adds employee context
async function enrichPayEvent(
  payload: PayEvent,
  employeeRecord: EmployeeRecord
): Promise<EnrichedPayEvent> {
  return {
    ...payload,

```

```

incomeType: employeeRecord.incomeType,          // SAW, WHM, CHP, etc.
awardCode: employeeRecord.awardCode,            // e.g. "MA000002"
awardClassification: employeeRecord.awardClassification,
fundDetails: employeeRecord.superFundDetails,
salarySacrifice: employeeRecord.salarySacrifice,
ytdFigures: await ytdRepo.getYTD(payEvent.employeeId, payEvent.payPeriodEnd),
};
}

```

NOTE

My take: The enrichment step is where most payroll systems have hidden errors. The employee record is a snapshot from the HR system at the moment the pay run starts. If an award reclassification, a salary sacrifice change, or a fund change is made in the HR system after the snapshot is taken, it will not be reflected in this pay run. The orchestrator must record the snapshot timestamp and flag any employee records that changed between snapshot and payment date for manual review.

Specialist Fan-Out — SG, PAYG, Award, Termination, STP

After enrichment, the orchestrator fans out. The `sg-agent`, `payg-agent`, and `award-agent` run in parallel — they are independent given the enriched pay event. The `termination-agent` runs only if `hasTermination` is true. The `stp-agent` runs last, assembling the STP2 payload from all prior results.

```

// Fan-out sequence
async function fanOut(enriched: EnrichedPayEvent, engine: PayrollEngine):
Promise<FanOutResult> {
  // Parallel: sg, payg, award
  const [sgResult, paygResult, awardResult] = await Promise.all([
    sgAgent.run(enriched, engine),
    paygAgent.run(enriched, engine),
    awardAgent.run(enriched),
  ]);

  // Sequential: termination only if needed
  const terminationResult = enriched.hasTermination
    ? await terminationAgent.run(enriched, engine)
    : null;

  // Sequential: STP depends on all prior results
  const stpPayload = await stpAgent.buildPayload(
    enriched, sgResult, paygResult, awardResult, terminationResult
  );
}

```

```
return { sgResult, paygResult, awardResult, terminationResult, stpPayload };
}
```

Each specialist agent produces a typed result with three mandatory fields: a status (GREEN/AMBER/RED), a data payload, and a provenance record. An agent that cannot produce a GREEN result must include a gate recommendation.

```
// Standard agent result shape
interface AgentResult<T> {
  agentId: string;
  status: "GREEN" | "AMBER" | "RED";
  data: T;
  gate?: { level: "H1" | "H2" | "H3"; reason: string; instructions: string };
  provenance: ProvenanceEnvelope;
  computedAt: string;
}
```

Example 2.1 (assumed-fact illustration): Priya is employed at Metro Digital Solutions on a fortnightly cycle. Her pay event shows: base salary component \$3,800, performance bonus \$500, tool allowance \$80 (genuine expense-of-employment allowance). The orchestrator enriches the pay event with her SAW income type, tax-free threshold claim, HECS/HELP debt flag, and her industry super fund details. The `sg-agent` receives her OTE: \$3,800 base plus \$500 bonus (commissions are OTE — verify applicable award) but excludes the tool allowance (genuine expense reimbursement — not OTE — verify against ATO SG ruling). The `payg-agent` receives her total taxable earnings: \$4,300 (base plus bonus plus allowance). The `award-agent` checks her rate against the applicable modern award. All three return GREEN. The `stp-agent` builds the disaggregated STP2 payload: gross \$4,300, allowance subtype "tool" \$80, bonus component \$500, HELP debt indicator true. The orchestrator routes to the STP lodgement queue.

What this illustrates: The OTE calculation and the PAYG gross calculation start from different bases. The tool allowance is taxable but not OTE. The performance bonus is both taxable and OTE. The fan-out design ensures each agent receives precisely the inputs it needs — `sg-agent` gets OTE, `payg-agent` gets gross taxable — without either agent needing to know what the other is computing. The orchestrator holds the complete picture.

The Payroll Engine — Deterministic Core

The payroll engine is a deterministic calculation module. It is not an agent. It has no language model component. It is a typed function library that accepts structured inputs and returns structured outputs. Given identical inputs, it always returns identical outputs. This property is essential: it means an ATO auditor can reproduce any historical calculation by supplying the same inputs to the same engine version.

The engine exposes a defined API to agents:

```
// Payroll engine public API
interface PayrollEngine {
  computeWithholding(inputs: WithholdingInputs): Promise<WithholdingResult>;
  computeSG(inputs: SGInputs): Promise<SGResult>;
  computeETP(inputs: ETPInputs): Promise<ETPResult>;
  computeUnusedLeaveOnTermination(inputs: LeaveTerminationInputs):
  Promise<LeaveTerminationResult>;
  computeAnnualisedReconciliation(inputs: AnnualisedReconciliationInputs):
  Promise<AnnualisedResult>;
}

// Engine does NOT expose:
// - Natural language interpretation
// - Award classification
// - Fund routing logic
// - STP payload formatting
// These belong to agents.
```

The engine is versioned. Every computation result carries the engine version in its provenance envelope. When the ATO updates withholding tables mid-year, a new engine version is released. Historical pay runs retain a reference to the engine version that computed them. This means a pay run from September 2025 can always be reproduced using engine version that was current in September 2025, even if the current engine is a later version.

```
// Engine versioning – embedded in every result
interface WithholdingResult {
  amount: number;           // dollars, rounded per ATO rounding rules
  tableReference: string;    // e.g. "NAT 1008 – Fortnightly – 2025-26"
  engineVersion: string;     // e.g. "payroll-engine@2.4.1"
  asAtDate: string;
  rounding: "ATO_ROUNDING";  // ATO-specified rounding rules applied
  noOverride: true;
}
```

NOTE

My take: Engine versioning is treated as optional by most payroll implementations until the first ATO audit. Then it becomes critical. Build versioning in from day one. The cost of retrofitting an audit trail that references engine versions is disproportionate compared to building it correctly at the start.

The engine applies ATO rounding rules. For PAYG withholding, the ATO specifies that amounts should be rounded to the nearest dollar. The engine does not round differently based on an agent's preference. The rounding rule is encoded in the engine and is not configurable by agents.

```
// ATO rounding – encoded in engine, not configurable by agents
function applyATORounding(rawWithholding: number): number {
  // ATO rules: round to nearest dollar
  // Where .50 exactly – round up (banker's rounding does NOT apply here)
  return Math.round(rawWithholding);
}
// Agents cannot change this. noOverride applies to rounding too.
```

Provenance Envelope — Citations and As-At Dates

Every figure the engine produces is wrapped in a provenance envelope that records what was computed, what inputs were used, which rules applied, and when those rules were current. Those four facts are exactly what an ATO auditor asks you to substantiate after the fact — so the envelope captures them at the moment of calculation, not under reconstruction pressure months later.

```
// Full provenance envelope – complete example
const withholdingProvenance: ProvenanceEnvelope = {
  engineVersion: "payroll-engine@2.4.1",
  tableReference: "NAT 1008 – Fortnightly – 2025-26",
  asAtDate: "2026-06-20",
  inputs: {
    grossTaxable: 4300.00,
    frequency: "fortnightly",
    taxFreeThreshold: true,
    medicareLevyExemption: false,
    helpDebt: true,
    incomeType: "SAW",
  },
  computedAt: "2026-06-20T10:14:33.211Z",
  noOverride: true,
  citations: [
    "NAT 1008 – Tax withheld for individuals (ATO, updated July 2025)",
    "TAA 1953 Sch 1 Div 12 – Withholding obligations",
  ],
};
```

The `audit-trail-agent` stores every provenance envelope. The storage is append-only — a provenance record once written cannot be modified. Any correction to a pay run produces a new provenance record that references the original; the original record itself is never mutated.

```
// Audit trail – append-only, immutable records
interface AuditTrailEntry {
  entryId: string;
  payRunId: string;
  employeeId: string;
  entryType: "ORIGINAL" | "CORRECTION" | "REVERSAL";
  supersedes?: string;          // entryId of the record this corrects
  provenance: ProvenanceEnvelope;
  authorisedBy?: string;        // gate clearance – H1/H2/H3 actor
  createdAt: string;
}
```

Example 2.2 (assumed-fact illustration): Marcus at Harbour Engineering Pty Ltd receives a pay run correction. In the original run, his overtime was incorrectly included in OTE, inflating the SG contribution. The correction run produces a new SGResult with a revised provenance envelope: `entryType: "CORRECTION", supersedes: "orig-sg-2026-05-31-marcus"`. The engine computes the corrected SG amount. The provenance records both the corrected amount and the original. The audit trail now contains two records: the original (which is wrong) and the correction (which supersedes it). Neither record is deleted. When the ATO audits the employer, both records are visible, showing the error was detected and corrected within the same quarter.

What this illustrates: The audit trail is a ledger of every state the system has passed through, not a record of its current state alone. Corrections append to history; they never delete it. An immutable audit trail is the employer's evidence that errors were self-detected and self-corrected, which the ATO distinguishes from errors discovered by audit. The difference can affect the penalty position.

RED/AMBER/GREEN Routing

The RED/AMBER/GREEN routing system governs what the orchestrator does after it receives all specialist agent results. The routing is evaluated across all results — a single RED anywhere produces a RED outcome for the entire pay run. A single AMBER produces an AMBER outcome. Only all-GREEN produces a GREEN outcome.

Status	Meaning	Orchestrator action
GREEN	All agents confident, no issues found	Proceed to STP payload generation and lodgement queue
AMBER	One or more agents flagged a review item	Hold pay run, route to H3 gate, await clearance
RED	One or more agents found a blocking error or structural failure	Hold pay run, route to H1 or H2 gate (or operator for structural errors), no payment until resolved

```
// Routing evaluation – aggregate across all results
function evaluateRouting(results: AgentResult<unknown>[]): RoutingDecision {
  const statuses = results
    .filter((r) => r !== null)
    .map((r) => r.status);

  if (statuses.includes("RED")) {
    const redResults = results.filter((r) => r?.status === "RED");
    const highestGate = resolveHighestGate(redResults.map((r) => r?.gate?.level));
    return {
      level: "RED",
      gate: highestGate,
      findings: redResults.map((r) => r?.gate?.reason),
    };
  }

  if (statuses.includes("AMBER")) {
    const amberResults = results.filter((r) => r?.status === "AMBER");
    return {
      level: "AMBER",
      gate: "H3",
      findings: amberResults.map((r) => r?.gate?.reason),
    };
  }

  return { level: "GREEN", gate: null, findings: [] };
}

// Gate precedence: H2 > H1 > H3
function resolveHighestGate(gates: (string | undefined)[]): "H1" | "H2" | "H3" {
  if (gates.includes("H2")) return "H2";
  if (gates.includes("H1")) return "H1";
  return "H3";
}
```

Gate precedence matters. If the `termination-agent` returns RED with an H2 gate (reclassification with tax consequences) and the `award-agent` returns AMBER with an H3 gate, the orchestrator routes the entire run to H2. The H2 practitioner can also clear the H3 finding. Do not route to two separate gates simultaneously — the higher gate covers the lower.

NOTE

My take: AMBER should be treated as seriously as RED in practice. I have seen employers clear AMBER findings without actually reading them, then discover six months later that every pay run had an award underpayment that was flagged but ignored. The H3 gate clearance must be genuine review, not a rubber stamp. Build your gate UI to require the practitioner to read the finding text and confirm understanding before the clearance button is enabled.

Example 2.3 (assumed-fact illustration): Nathan is terminated by Adelaide Retail Services. The termination involves both a genuine redundancy and an unused annual leave payout. The `termination-agent` processes the pay event. The genuine redundancy tax-free amount depends on years of service and the current indexed threshold (verify against ATO — indexed annually, as at June 2026). The engine computes the tax-free component. The `termination-agent` classifies the ETP type and the leave payout separately. However, Nathan's termination involves a disputed rostered day off balance. The RDO dispute makes the leave balance uncertain. The `termination-agent` returns AMBER: *"RDO balance disputed. Leave payout amount uncertain. H3 gate — practitioner review required before ETP finalisation."* The orchestrator holds the entire termination pay run. It routes to H3 with the ETP breakdown, the disputed RDO balance, and the award reference (verify applicable modern award for RDO provisions). The practitioner resolves the dispute with Nathan and HR, confirms the correct RDO balance, and clears the H3 gate. The orchestrator re-runs the termination calculation with the corrected balance. GREEN result. Payment proceeds.

What this illustrates: AMBER gates are an expected outcome for any termination with a disputed element. The orchestrator's job is to surface the uncertainty early, before payment. From there, each component plays its distinct part: the H3 gate provides the mechanism, the practitioner makes the decision, and the engine runs the calculation once that decision is in.

The noOverride Invariant

Under the `noOverride` invariant, no agent — not the orchestrator, not the `stp-agent`, not any downstream consumer — may modify a figure produced by the payroll engine. The moment a downstream agent edits a figure, the number you report to the ATO stops matching the one the engine computed and can defend. So the figure travels through the system with its provenance envelope intact, and an agent that disagrees with it escalates and leaves the figure untouched.

The invariant is enforced at the type level. The engine returns results with `noOverride: true` as a literal type, not a boolean. TypeScript's type system makes it impossible to assign `false` to this field. Any code that attempts to modify the figure must first copy it — and copying strips the provenance, which produces a type error at the STP assembly step.

```
// noOverride as a literal type – not configurable
interface EngineResult {
  readonly noOverride: true;    // Literal type – never false, never absent
  readonly amount: number;
  readonly provenance: ProvenanceEnvelope;
}

// Attempting to override fails at compile time
function badAgentPattern(result: EngineResult): void {
  // result.amount = 500; // TypeScript error: cannot assign to readonly
  // result.noOverride = false; // TypeScript error: type 'false' not assignable
  // to 'true'
}

// Correct pattern: escalate, never override
function correctAgentPattern(result: EngineResult, expected: number): void {
  if (result.amount === expected) {
    // Do not modify result. Raise gate.
    raiseH3Gate({
      reason: "Engine figure does not match expected amount",
      engineFigure: result.amount,
      agentExpected: expected,
      provenance: result.provenance,
    });
  }
}
```

The invariant extends beyond the calculation. It applies to rounding, to sign (positive vs negative), and to the as-at date. An agent cannot reinterpret an engine figure with a different as-at date. If the pay event uses the June 2026 tables and the agent believes the July 2025 tables should apply, the agent raises an H3 gate and leaves the figure as computed. Reprocessing it under a different date is forbidden.

```
// Date mismatch – never recompute, always escalate
async function checkAsAtDateConsistency(
  payEvent: EnrichedPayEvent,
  engineResult: WithholdingResult
): Promise<void> {
  if (engineResult.provenance.asAtDate === payEvent.asAtDate) {
    // This should never happen – but if it does, do NOT recompute
    await raiseH3Gate({
      reason: "Engine as-at date does not match pay event as-at date",
      engineAsAt: engineResult.provenance.asAtDate,
```

```

instruction: "Verify correct table version is loaded. Do not recompute.",
    });
    throw new Error("INVARIANT_VIOLATED: as-at date mismatch – pay run halted");
  }
}

```

Scenario	Agent response (correct)	Agent response (prohibited)
Engine figure differs from agent's expected amount	Raise H3 gate, halt run, provide both figures in gate payload	Substitute agent's figure, proceed silently
As-at date mismatch between engine and pay event	Raise H3 gate, halt run, log invariant violation	Recompute with "correct" date
Rounding produces unexpected result	Verify rounding rule matches ATO specification, raise H3 if inconsistent	Apply different rounding rule to adjust output
Engine version is older than expected	Check if engine update required, raise operational alert	Override result with agent's preferred calculation

Example 2.4 (assumed-fact illustration): Chloe works at Blue Mountain Healthcare. During a fortnightly pay run, the `payg-agent` receives the engine's withholding result. The agent has an internal consistency check: it estimates withholding using an approximate formula (not the engine) and compares. For Chloe's pay, the engine returns a figure and the agent's estimate is slightly different — a discrepancy explained by the HECS/HELP debt component that the agent's formula does not precisely model. The agent detects the discrepancy. It does not use the estimate. It raises an H3 gate with the explanation: *"PAYG withholding consistency check flagged discrepancy between engine output and agent estimate. Engine figure is authoritative. H3 gate raised for practitioner awareness — no recomputation required unless payroll officer confirms engine inputs are incorrect."* The practitioner reviews, confirms Chloe's HECS/HELP flag is correct and active, and clears the gate: *"Engine inputs verified. Engine figure accepted. HECS/HELP adjustment is correct — agent estimate did not model HECS component."* The gate is cleared. The engine figure proceeds unchanged. The agent estimate is discarded.

What this illustrates: The `noOverride` invariant means the agent's own consistency check cannot override the engine. The check is useful for catching input errors, but when the engine and the estimate differ, the agent escalates and lets the engine's figure stand.

TIP

Next: Chapter 03 covers the Superannuation Guarantee — the 12% rate effective 1 July 2025, ordinary time earnings, the maximum super contributions base, quarterly due dates, the SGC penalty, and how the `sg-agent` computes and validates each SG obligation.

03 Superannuation Guarantee — 12%, the SGC, and Quarterly Due Dates

SG rate from 1 July 2025, the SGC penalty, ordinary time earnings, quarterly due dates, and the sg-agent

The Superannuation Guarantee is the employer's most consequential recurring payroll obligation after PAYG withholding. The rate is 12% from 1 July 2025. The SGC penalty for late payment is non-deductible, includes a nominal interest component, and carries an administration fee of \$20 per employee per quarter. The sg-agent owns the OTE calculation, the SG amount, and the fund routing — but every dollar figure is computed by the engine, not the agent. This chapter covers the SG framework completely, from the rate change through to the choice of fund rules for new employees.

SG Rate — 12% from 1 July 2025

The SG rate rose to 12% on 1 July 2025 under the staged increase schedule in s 19 of the Superannuation Guarantee (Administration) Act 1992 (0.5% annual increments from 10% in FY2021-22 to the 12% ceiling in FY2025-26 — verify legislative reference — as at June 2026). The prior rate of 11.5% applied in FY2024-25. Never state 11.5% as the current rate. Never apply 11.5% to payments made on or after 1 July 2025.

The rate applies to ordinary time earnings, not to gross pay. The distinction matters. An employee earning significant overtime can have a gross pay substantially higher than the OTE base on which SG is calculated. Applying 12% to gross rather than OTE overstates the SG obligation and can — perversely — produce employer overpayments that are difficult to recover from super funds.

```
// SG rate – never hardcode, always source from rate schedule
interface SGRateSchedule {
  effectiveFrom: string; // ISO date
  effectiveTo: string | null; // null means current
  rate: number;           // decimal fraction, not percentage
}

const SG_RATE_SCHEDULE: SGRateSchedule[] = [
  { effectiveFrom: "2024-07-01", effectiveTo: "2025-06-30", rate: 0.115 },
  { effectiveFrom: "2025-07-01", effectiveTo: null, rate: 0.12 },
  // Add future rates here as legislated
```

```
function getSGRate(asAtDate: string): number {
  const entry = SG_RATE_SCHEDULE.find(
    (r) => asAtDate ≥ r.effectiveFrom && (r.effectiveTo === null || asAtDate ≤
r.effectiveTo)
  );
  if (!entry) throw new Error(`No SG rate found for date: ${asAtDate}`);
  return entry.rate;
}

// As at June 2026 – verify against ATO before relying on this rate schedule
```

The rate schedule must be sourced from the ATO, not hardcoded from memory. The sg-agent calls the engine with the payment date. The engine applies the rate in effect on that date. A payment made on 30 June 2025 uses 11.5%. A payment made on 1 July 2025 uses 12%. A payroll system that uses a calendar-year lookup rather than a financial-year lookup will misapply rates at every year boundary.

NOTE

My take: The 12% rate is simple. The failure mode is rarely a misunderstanding of the rate. It is applying the wrong year's rate because the system uses a hardcoded constant that was last updated in 2023. Architect the rate as a date-keyed lookup from a source-of-truth table, and update that table whenever the ATO announces a change.

Employer contributions made before the quarterly due date satisfy the SG obligation for that quarter. If an employer pays fortnightly, the contributions accumulate. As long as the total contributions for the quarter are paid by the due date, there is no SGC liability. The sg-agent tracks the contribution position across the quarter and flags any shortfall risk.

```
// Quarterly contribution tracker – sg-agent
async function checkQuarterlyPosition(
  employeeId: string,
  quarter: SGQuarter,
  currentSGAmount: number,
  engine: PayrollEngine
): Promise<QuarterlyPositionResult> {
  const ytdContributions = await sgRepo.getContributionsForQuarter(employeeId,
quarter);
  const projectedOTE = await sgRepo.getProjectedOTEFForQuarter(employeeId,
quarter);
  const rate = getSGRate(quarter.endDate);
  const requiredSG = engine.computeSG({ ote: projectedOTE, rate, asAtDate:
quarter.endDate });
```

```

const remainingRequired = requiredSG.amount - ytdContributions.total;

return {
  quarter,
  ytdContributions: ytdContributions.total,
  projectedRequired: requiredSG.amount,
  shortfallRisk: remainingRequired > 0,
  remainingRequired: Math.max(0, remainingRequired),
  dueDate: quarter.dueDate,
};
}

```

Ordinary Time Earnings — What Is and Is Not Included

Ordinary time earnings (OTE) is the base on which SG is calculated. It sits below gross pay and below total remuneration, and conflating the three is the most common cause of SG underpayment audits.

WARNING

OTE applies to periods up to 30 June 2026. From 1 July 2026, qualifying earnings (QE) replace OTE as the SG contribution base under Payday Super — see §03.7. The OTE rules in this chapter apply to periods up to 30 June 2026; QE rules apply for FY2026-27 — verify ATO payday-super guidance.

OTE is defined by section 6(1) of the Superannuation Guarantee (Administration) Act 1992 (verify — as at June 2026) and interpreted through ATO guidance (SGR 2009/2 — verify currency). The core definition: earnings received for ordinary hours of work, calculated before income tax is deducted.

Payment type	OTE?	Notes
Base salary / wages for ordinary hours	Yes	Core OTE
Casual loading	Yes	Casual loading is paid in lieu of leave entitlements — it is OTE
Annual leave payments (ordinary time component)	Yes	Leave taken during employment — OTE
Commissions	Yes	Unless commission replaces the ordinary time component entirely — verify applicable award and ATO ruling
Shift allowances (ordinary shift)	Yes	If the employee's ordinary hours include shift work, the shift allowance is OTE

Overtime payments	No	Overtime is excluded from OTE — a hard exclusion
Overtime meal allowances	No	Reimbursement of an expense incurred in relation to overtime — not OTE
Expense reimbursements (genuine)	No	Tool allowances, travel reimbursements at cost — not OTE if genuinely expense-of-employment
Unused annual leave on termination	No	Leave not taken — lump sum on termination — not OTE
Workers' compensation payments (total incapacity)	No	Payments made while employee cannot work — verify against state legislation
Director fees	Yes — if director is also an employee	Director fees paid to a working director who is also an employee — OTE; verify against ATO SG ruling

The overtime exclusion is the most commonly misapplied. An employer who includes overtime in OTE will overcalculate SG. This is not a minor issue — it creates an overpayment to super funds that cannot be easily recovered, and it cannot be set off against future SG obligations without an ATO-approved calculation adjustment.

NOTE

My take: The casual loading question catches employers regularly. A casual employee's 25% loading (verify applicable award and NES — as at June 2026) is paid in lieu of annual leave, personal leave, and other entitlements. It is ordinary time earnings because it is paid for ordinary hours. Excluding it from OTE understates the SG obligation. Verify the award for the specific loading percentage applicable to your employees.

```
// OTE calculation – sg-agent logic
function computeOTE(earnings: EarningsLine[], allowances: AllowanceLine[]):
OTEResult {
  let ote = 0;

  for (const line of earnings) {
    switch (line.type) {
      case "BASE_SALARY":
      case "CASUAL_LOADING":
      case "SHIFT_ALLOWANCE_ORDINARY":
      case "ANNUAL_LEAVE_TAKEN":
      case "COMMISSION":
        ote += line.amount;
    }
  }
}
```

```

case "OVERTIME":
  case "ANNUAL_LEAVE_ON_TERMINATION":
  case "UNUSED_LONG_SERVICE_LEAVE_TERMINATION":
    // Explicitly excluded – do not add to OTE
    break;
  default:
    // Unknown type – flag for H3 review
    return {
      ote: 0,
      status: "AMBER",
      flagged: [line],
      reason: `Unknown earnings type '${line.type}' – cannot determine OTE
inclusion without practitioner review`,
    };
  }
}

for (const allowance of allowances) {
  if (allowance.isGenuineExpenseReimbursement) continue; // Not OTE
  if (allowance.relatesOnlyToOvertime) continue; // Not OTE
  ote += allowance.amount; // Shift allowances, other ordinary-time allowances
}

return { ote, status: "GREEN" };
}

```

Maximum Super Contributions Base

The maximum super contributions base (MSCB) is the cap on OTE above which an employer is not required to pay SG. Contributions on OTE above the MSCB are voluntary. The MSCB is indexed annually by AWOTE (average weekly ordinary time earnings). For FY2025-26 the quarterly MSCB is \$62,500 (as at June 2026 — decreased from \$65,070 in FY2024-25). Always verify the current figure against the ATO — do not rely on a figure in this book.

The MSCB applies per quarter, not per year. An employer who pays an employee a \$500,000 annual salary must check the MSCB quarterly. If the quarterly salary component exceeds the quarterly MSCB, SG is calculated only up to the MSCB for that quarter.

```

// MSCB check – sg-agent
interface MSCBSchedule {
  financialYear: string; // e.g. "2025-26"
  quarterlyMSCB: number; // verify against ATO – indexed annually
}

```

```
// DO NOT use hardcoded amounts – always verify against ATO
// The table below is a STRUCTURAL EXAMPLE ONLY
const MSCB_SCHEDULE_EXAMPLE: MSCBSchedule[] = [
  { financialYear: "2025-26", quarterlyMSCB: 62500 }, // Verified FY2025-26 figure
  // as at June 2026; re-verify against ATO annually
];

function applySGWithMSCB(
  ote: number,
  quarterlyMSCB: number,
  rate: number
): number {
  const cappedOTE = Math.min(ote, quarterlyMSCB);
  return cappedOTE * rate;
}
// VERIFY quarterly MSCB against ATO before applying – indexed annually
```

NOTE

My take: The MSCB is indexed. A figure that was correct in July 2025 is not necessarily correct in July 2026. Build the MSCB as a date-keyed lookup, just as you do for the SG rate. If you hardcode the MSCB, you will underpay or overcalculate SG on high-income employees every time the ATO adjusts the figure. The cost of fixing this is always greater than the cost of building it correctly. Verify against ATO — as at June 2026.

Example 3.1 (assumed-fact illustration): James is a senior engineer at Harbour Engineering Pty Ltd. His quarterly salary component is above the MSCB (verify against ATO — as at June 2026). The `sg-agent` receives his OTE for the quarter: base salary plus ordinary-time shift allowance, no overtime. The OTE exceeds the quarterly MSCB. The engine computes SG on the capped amount: $\text{MSCB} \times 0.12$. The provenance envelope records: OTE computed, MSCB applied, rate 12%, amount computed on capped base. The agent records the uncapped OTE and the capped OTE in the audit trail so the employer can see both figures. A note is appended: *"SG calculated on quarterly MSCB — verify current MSCB against ATO. Employer not required to contribute on OTE above MSCB."* The employer may elect to contribute above the MSCB voluntarily — but the SG obligation is satisfied at the MSCB cap.

What this illustrates: The MSCB cap is per-quarter, per-employee. High-income employees can have their SG obligation satisfied at a lower contribution than 12% of total annual salary. The `sg-agent` must check the cap on every quarter's calculation and document both the uncapped and capped figures in the audit trail.

Quarterly Due Dates — 28 October, 28 January, 28 April, 28 July

SG contributions for each quarter must be received by the super fund by the due date. Not sent — received. If you initiate a payment on 27 April and the fund receives it on 29 April, you have missed the due date. The SGC applies immediately.

Quarter	Period	Due date	ATO SGC Form due
Q1	1 July – 30 September	28 October	28 November (if SGC arises)
Q2	1 October – 31 December	28 January	28 February (if SGC arises)
Q3	1 January – 31 March	28 April	28 May (if SGC arises)
Q4	1 April – 30 June	28 July	28 August (if SGC arises)

Verify due dates against the ATO — if a due date falls on a weekend or public holiday, the ATO typically allows the next business day, but always confirm (as at June 2026).

The `sg-agent` tracks due dates as hard deadlines. It generates an alert 10 business days before each due date showing: the total contributions lodged to date for the quarter, the projected total required, and the shortfall. The alert is an AMBER output that requires H3 acknowledgement — it does not hold the current pay run, but it flags the upcoming obligation.

```
// Due date alert – sg-agent proactive monitoring
async function generateDueDateAlert(
  employerId: string,
  quarter: SGQuarter
): Promise<DueDateAlert | null> {
  const tenBusinessDaysBeforeDue = subtractBusinessDays(quarter.dueDate, 10);
  const today = new Date().toISOString().split("T")[0];

  if (today < tenBusinessDaysBeforeDue) return null; // Not yet in alert window

  const allEmployees = await employeeRepo.getActiveForQuarter(employerId,
    quarter);
  const alerts: EmployeeSGAlert[] = [];

  for (const employee of allEmployees) {
    const position = await checkQuarterlyPosition(employee.id, quarter, 0,
      engine);
    if (position.shortfallRisk) {
      alerts.push({
```

```

shortfall: position.remainingRequired,
    dueDate: quarter.dueDate,
  });
}
}

if (alerts.length === 0) return null;

return {
  status: "AMBER",
  gate: "H3",
  reason: `${alerts.length} employee(s) may have SG shortfall before
${quarter.dueDate}`,
  employees: alerts,
  instruction: "Review and ensure contributions reach fund by due date to avoid
SGC",
};
}

```

SGC — What Happens When SG is Late

If SG contributions are not received by the fund by the quarterly due date, the Superannuation Guarantee Charge (SGC) applies automatically. The SGC is not a penalty that can be negotiated away — it is a statutory obligation that arises by operation of law under the Superannuation Guarantee (Administration) Act 1992 (verify — as at June 2026).

The SGC has three components:

- **SG shortfall amount:** The amount of SG that should have been paid but was not — calculated for SGC purposes on total salary and wages for the quarter, a broader base than the OTE base used for ordinary contributions (SGAA 1992 ss 17–19).
- **Nominal interest:** Interest on the shortfall at 10% per annum from the start of the relevant quarter (SGAA 1992 s 49 — verify current ATO position as at June 2026).
- **Administration fee:** \$20 per employee per quarter (verify against ATO — as at June 2026).

The SGC is non-deductible. A corporation tax deduction is available for SG contributions made on time to complying super funds. The SGC — the charge for late payment — is not deductible. This makes the effective cost of late SG substantially higher than the face amount of the shortfall.

```

// SGC components – illustrative structure
// VERIFY all figures against ATO before using in production
interface SGCLiability {
  shortfallAmount: number;      // SG not paid on time
  nominalInterest: number;      // ATO-specified rate on shortfall from quarter
}

```



```

start
  administrationFee: number;    // $20 per employee per quarter (verify ATO)
  total: number;                // sum of above
  isDeductible: false;          // SGC is NEVER deductible
  mustBeLodged: true;           // SGC statement required even if paying
}

function computeSGCComponents(
  shortfall: number,
  nominalInterestRate: number, // verify against ATO – current quarter rate
  employeeCount: number,
  adminFeePerEmployee: number // verify $20 per ATO – as at June 2026
): SGCLiability {
  const nominalInterest = shortfall * nominalInterestRate;
  const administrationFee = employeeCount * adminFeePerEmployee;
  return {
    shortfallAmount: shortfall,
    nominalInterest,
    administrationFee,
    total: shortfall + nominalInterest + administrationFee,
    isDeductible: false,
    mustBeLodged: true,
  };
}

```

NOTE

My take: Employers consistently underestimate the real cost of the SGC because they focus on the shortfall amount and ignore the non-deductibility. If a company in the 30% corporate tax bracket underpays \$10,000 in SG, the after-tax cost of the SG if paid on time is \$7,000 (the tax deduction saves \$3,000). The SGC is \$10,000 plus interest plus \$20 per employee — with no tax deduction. The effective additional cost of being late goes well beyond the interest and admin fee: the lost deduction applies to the entire shortfall. This should be in every payroll officer's briefing. Verify figures against ATO before presenting to clients.

An SGC statement must be lodged with the ATO even if the employer pays the shortfall before the SGC due date. The statement is separate from the payment. Missing the statement lodgement triggers additional penalties (verify against ATO). The `sg-agent` flags any SGC situation immediately as a RED with an H1 gate — the SGC statement is formal ATO correspondence.

```

// SGC detection – immediate RED, H1 gate
async function detectSGCRisk(

```

```

contributions: QuarterlyContributions
): Promise<AgentResult<SGCAAlert>> {
  const dueDate = quarter.dueDate;
  const today = new Date().toISOString().split("T")[0];

  // Missed due date?
  if (today > dueDate && contributions.total < contributions.required) {
    return {
      agentId: "sg-agent",
      status: "RED",
      data: {
        quarter,
        shortfall: contributions.required - contributions.total,
        daysMissed: daysBetween(dueDate, today),
        action: "LODGE_SGC_STATEMENT",
      },
      gate: {
        level: "H1",
        reason: "SG contributions not received by fund by quarterly due date – SGC
applies",
        instructions:
          "Registered tax agent must lodge SGC statement with ATO and arrange
payment. " +
          "SGC is non-deductible. Do not delay – nominal interest accrues from
quarter start.",
      },
      provenance: buildProvenance("sg-agent", quarter),
      computedAt: new Date().toISOString(),
    };
  }

  return { agentId: "sg-agent", status: "GREEN", data: {}, provenance:
buildProvenance("sg-agent", quarter), computedAt: new Date().toISOString() };
}

```

Example 3.2 (assumed-fact illustration): Westfield Logistics has a payroll administrator who goes on sick leave in late January. The Q2 SG contributions (1 October – 31 December) are due 28 January. The payments are not initiated until 30 January. The funds receive the contributions on 31 January. The `sg-agent` runs its daily SGC detection job. It identifies that contributions were received after 28 January. It immediately returns RED for all 34 employees in that quarter: shortfall amount, day count (3 days past due), and a flag: *"H1 gate — SGC liability has arisen. Registered tax agent must lodge SGC statement with ATO. SGC is non-deductible. Nominal interest accrues from 1*

October 2025." The business's tax agent is notified. The agent reviews the shortfall, prepares the SGC statement, and lodges it with the ATO. The SGC is paid. The audit trail records the missed due date, the detection, the H1 gate, the tax agent's clearance, and the lodgement reference number.

What this illustrates: The sg-agent does not wait for a human to notice the missed due date. It monitors daily. When the due date passes with contributions unfunded, it raises the RED gate immediately. The SGC amount itself is the engine's to compute. The H1 gate ensures a registered practitioner handles the ATO communication. Speed of detection limits the nominal interest accrual and demonstrates active compliance management.

sg-agent — OTE Calculation and SG Lodgement Check

The sg-agent orchestrates the SG workflow for each pay event and across each quarter. Its responsibilities span two timescales: per-pay-event OTE calculation and SG amount computation, and per-quarter contribution tracking and due date management.

Per pay event, the sg-agent :

1. Receives the enriched pay event from the orchestrator
2. Computes OTE using the OTE classification logic
3. Checks the OTE against the quarterly MSCB (pro-rated if mid-quarter commencement)
4. Calls the payroll engine with the capped OTE and the as-at-date rate
5. Records the SG obligation and instructs the fund routing module
6. Updates the quarterly position tracker

```
// sg-agent – per-pay-event handler
async function handlePayEvent(
  enriched: EnrichedPayEvent,
  engine: PayrollEngine
): Promise<AgentResult<SGPayEventResult>> {
  // Step 1: compute OTE
  const oteResult = computeOTE(enriched.earnings, enriched.allowances);
  if (oteResult.status === "AMBER") {
    return buildAmberResult("sg-agent", oteResult.reason, "H3");
  }

  // Step 2: check MSCB
  const quarterlyMSCB = await mscbRepo.getMSCB(enriched.asAtDate); // verify
  against ATO
  const proRatedMSCB = proRateMSCB(quarterlyMSCB, enriched.payPeriodStart,
  enriched.payPeriodEnd);
  const cappedOTE = Math.min(oteResult.ote, proRatedMSCB);
```

```
// Step 3: call engine – the SG amount is computed here, not in the agent
const sgRate = getSGRate(enriched.asAtDate); // 0.12 from 1 July 2025
const sgResult = await engine.computeSG({
  ote: cappedOTE,
  rate: sgRate,
  asAtDate: enriched.asAtDate,
});

// Step 4: fund routing
const fundInstruction = buildFundInstruction(enriched.fundDetails,
sgResult.amount);

// Step 5: update quarterly tracker
await quarterlyTracker.record(enriched.employeeId, enriched.quarter,
sgResult.amount);

return {
  agentId: "sg-agent",
  status: "GREEN",
  data: {
    ote: oteResult.ote,
    cappedOTE,
    mscp: proRatedMSCB,
    sgAmount: sgResult.amount,
    fundInstruction,
  },
  provenance: sgResult.provenance,
  computedAt: new Date().toISOString(),
};
}
```

Choice of fund obligations apply to new employees and require separate handling. An employer must offer eligible employees a choice of super fund. For new employees who do not make a choice, the employer must contact the ATO to identify the employee's stapled fund. If no stapled fund exists, contributions go to the employer's default fund.

```
// Stapled fund check – new employee onboarding flow
async function resolveSuperfund(
  employee: Employee,
  employerDefaultFund: string
): Promise<FundResolution> {
  if (employee.hasChosen && employee.chosenFund) {
    return { fund: employee.chosenFund, basis: "EMPLOYEE_CHOICE" };
  }
}
```

```
// No choice made – check stapled fund via ATO
// ATO stapled fund lookup via online services for employers or API
const stapledFund = await atoService.queryStapledFund(employee.tfn,
employee.employerABN);

if (stapledFund) {
  return { fund: stapledFund.usi, basis: "STAPLED_FUND", atoReference:
stapledFund.reference };
}

// No stapled fund – use default
return { fund: employerDefaultFund, basis: "EMPLOYER_DEFAULT" };
}
// ATO stapled fund query requires employer access to ATO online services
// Verify current ATO process for stapled fund requests – as at June 2026
```

Fund resolution basis	When it applies	Employer obligation
Employee choice	Employee completes choice form and nominates a fund	Contribute to the chosen fund from next available pay cycle
Stapled fund	No choice made; ATO stapled fund query returns a result	Query ATO at or before the time first SG contribution is due; contribute to stapled fund
Employer default fund	No choice made; ATO stapled fund query returns no result	Contribute to the employer's default MySuper authorised fund

Example 3.3 (assumed-fact illustration): Mei joins Metro Digital Solutions on 15 June 2026. She does not complete a super choice form within the first pay cycle. On her first pay event, the `sg-agent` detects no fund choice on record. It initiates a stapled fund query with the ATO (via the employer's ATO online services access — verify current ATO process as at June 2026). The ATO returns a USI for Mei's existing industry fund from her prior employment. The `sg-agent` records: *"Fund resolved via ATO stapled fund query. Basis: STAPLED_FUND. ATO reference: [reference number]. USI: [fund USI]."* Mei's SG contribution for the period is directed to her stapled fund. The audit trail records the ATO query date, reference, and the fund USI used. On the next pay cycle, Mei submits a choice form nominating a different fund. From the next pay event, the fund resolution changes to `EMPLOYEE_CHOICE` and contributions redirect to her nominated fund.

What this illustrates: The stapled fund rules require an active ATO query. The employer must run that query before defaulting a new employee who has not made a choice into the default fund. The `sg-agent` must initiate this query automatically. The audit trail must record the query and result. A failure to query the ATO and an incorrect default fund contribution is a breach of the SG choice-of-fund obligations.

Example 3.4 (assumed-fact illustration): Adelaide Retail Services runs a monthly pay cycle for its salaried employees. For the Q1 quarter (July–September), the sg-agent computes SG on three monthly pay events: July, August, and September. Each month's OTE is computed separately. The July and August contributions are made to the fund immediately after each monthly payroll. The September contribution is due by 28 October. On 20 October, the sg-agent generates its due date alert: *"Q1 SG due 28 October. July and August contributions confirmed received by fund. September contribution not yet lodged. Shortfall: [amount]. H3 alert — action required by 28 October."* The payroll officer reviews the alert, initiates the September payment on 21 October, and the fund confirms receipt on 23 October — within the due date. The sg-agent records the fund confirmation. No SGC arises. The audit trail shows: three pay events, three SG computations, three fund lodgements, all received before 28 October.

What this illustrates: For monthly pay cycles, Q1 contains three separate pay events. The sg-agent must track contributions across all three and alert on the cumulative shortfall before the quarterly due date. For monthly payers, SG is a quarterly aggregation of per-pay-event contributions that must collectively arrive at the fund before the due date, not a single payment per quarter.

Payday Super from 1 July 2026 — the End of the Quarterly Rhythm

Everything in this chapter so far describes the law as it applies to quarters ending on or before 30 June 2026. From 1 July 2026, the *Treasury Laws Amendment (Payday Superannuation) Act 2025* — passed November 2025, in force from 1 July 2026 — replaces the quarterly rhythm with a per-payday obligation. This book's as-at date is 24 June 2026, eight days before commencement. The quarterly framework above remains the operative law for every quarter up to and including Q4 2025-26, whose contributions are still due by 28 July 2026.

- **Per-payday obligation:** from 1 July 2026, SG must be paid on each payday and received by the employee's fund within 7 business days of the payday (verify ATO payday-super guidance — as at June 2026).
- **Qualifying earnings (QE) replace OTE:** the contribution base changes from ordinary time earnings to qualifying earnings. Every OTE passage in this chapter applies to periods up to 30 June 2026; QE rules apply for FY2026-27 — verify ATO payday-super guidance.
- **Annual maximum contribution base:** the maximum contribution base moves from a quarterly cap to an annual cap from 1 July 2026. Secondary sources quote \$250,000–\$270,830 for 2026-27 — verify against ATO before relying on any figure.
- **SGC redesigned:** the SGC is restructured around per-payday shortfalls rather than quarterly shortfalls — verify ATO guidance on the redesigned charge.
- **Small Business Superannuation Clearing House closes:** the ATO's Small Business Super Clearing House closes on 30 June 2026. Employers using it must move to an alternative clearing channel before the first FY2026-27 payday.

The sg-agent design changes accordingly. The quarterly tracker coded in this chapter — `checkQuarterlyPosition` and `generateDueDateAlert` — becomes the per-payday equivalent: a per-pay-event due-date tracker that computes each payday's SG obligation, counts forward 7 business days, and alerts AMBER with an H3 gate when a fund receipt confirmation is outstanding inside that window. The engine still owns every regulated figure; the agent still routes, tracks and drafts. What changes is the cadence — due-date tracking moves from four quarterly deadlines to one deadline per pay event.

WARNING

Transition rule: the quarterly due dates in §03.4 apply to quarters ending on or before 30 June 2026. Q4 2025-26 contributions are still due by 28 July 2026 under the old rules. The first per-payday obligations arise on the first payday on or after 1 July 2026.

TIP

Next: Chapter 04 covers PAYG withholding — the ATO tax tables (NAT 1008 series), TFN declarations, the no-TFN top-marginal-rate withholding obligation, and how the payg-agent validates each employee's declaration before calling the payroll engine.

04 PAYG Withholding — Tax Tables, TFN Declarations, and the Calculation Engine

ATO tax tables (NAT 1008), weekly vs fortnightly vs monthly, TFN declarations, no-TFN withholding rate, and the payg-agent

PAYG withholding is the mechanism by which employers collect income tax in real time. Every payment to an employee triggers a withholding obligation. The ATO publishes the tables. The payroll engine looks them up. The payg-agent assembles the inputs, validates the TFN declaration, and hands everything to the engine. It never computes the figure itself, and never bypasses the table. That number comes from the engine, not from the agent.

PAYG Withholding Framework — The Employer's Obligation

An employer's PAYG withholding obligation arises under Division 12 of Schedule 1 to the Taxation Administration Act 1953 (verify — as at June 2026). The obligation is strict: withhold the correct amount, remit it to the ATO on time, and report it via STP2 on each pay event. Failure to withhold the correct amount makes the employer primarily liable — the employee's tax liability is secondary.

The obligation attaches to the payment, not to the employment relationship. A payment to a director who is not technically an employee may still attract withholding. A payment to a contractor who is misclassified as a contractor when they are actually an employee triggers withholding obligations from the date of misclassification. The worker classification question is addressed in chapter 09 — but the payg-agent must flag any payment where the worker classification has not been confirmed as correct (H3 gate — contractor multi-factor test result required).

Withholding amounts are remitted to the ATO via the Business Activity Statement (BAS). The remittance frequency depends on the employer's total annual withholding:

Annual withholding	Reporting and remittance frequency	Notes
Up to \$25,000	Quarterly	Small withholder — verify ATO threshold as at June 2026
\$25,001 to \$1,000,000	Monthly	Medium withholder — verify ATO threshold

Over \$1,000,000	Paid electronically within 6–8 days of each withholding event	Large withholder — verify ATO thresholds
------------------	---	--

Verify all thresholds against the ATO — as at June 2026. Thresholds can change. The payg-agent does not determine the remittance frequency; that is set at employer registration level. The agent's job is to compute the correct withholding for each pay event. The aggregation and remittance against the BAS is a separate process handled by the accounting function.

STP2 reporting does not replace the BAS. The STP2 report tells the ATO what was withheld on each pay day. The BAS and remittance tells the ATO what was paid to the ATO. The two must reconcile. A mismatch between STP2 year-to-date withholding and BAS remittances is an ATO risk flag that can trigger a withholding audit.

```
// PAYG withholding reconciliation check – end of BAS period
async function reconcilePAYGWithholding(
  employerId: string,
  bassPeriod: BASPeriod,
  stpData: STPYTDSummary,
  basRemittance: number
): Promise<ReconciliationResult> {
  const difference = stpData.totalWithheld - basRemittance;

  if (Math.abs(difference) > 0.01) {
    return {
      reconciled: false,
      stpYTD: stpData.totalWithheld,
      basRemitted: basRemittance,
      discrepancy: difference,
      status: "AMBER",
      gate: "H3",
      reason: `PAYG withholding reconciliation discrepancy: STP reports
        ${stpData.totalWithheld.toFixed(2)}, BAS remitted ${basRemittance.toFixed(2)}`,
      instruction: "Investigate before next BAS lodgement. Discrepancy may
        indicate missed pay events in STP or remittance shortfall.",
    };
  }

  return { reconciled: true, difference: 0, status: "GREEN" };
}
```

NOTE

My take: The STP-BAS reconciliation is a blind spot in most payroll implementations. The STP data is handled by payroll. The BAS is handled by accounting. No one checks that they agree until an ATO letter arrives. Build the reconciliation check into the payg-agent's BAS-period closing process. Run it automatically before the BAS is lodged. A discrepancy caught before lodgement costs minutes. A discrepancy caught by the ATO costs weeks and potentially triggers a wider audit.

ATO Tax Tables — NAT 1008 Series

The ATO publishes PAYG withholding tax tables under the NAT 1008 series. Each table covers a specific payment frequency: weekly (NAT 1008), fortnightly (NAT 1008), monthly (NAT 1008). The tables are published for each financial year and updated when the government changes tax rates or thresholds.

The payroll engine maintains a structured representation of the current tables. The engine applies the exact step function defined by the table rather than a formula approximation. The ATO's tables are step functions, not smooth curves. An interpolation between two table rows will produce an incorrect answer.

```
// Tax table structure – payroll engine internal representation
// This is a structural example – actual table values must come from ATO NAT 1008
interface TaxTableEntry {
  weeklyIncomeFrom: number;    // Weekly gross for which this row applies
  weeklyIncomeTo: number;
  taxFreeThresholdYes: number; // Withholding when TFT claimed
  taxFreeThresholdNo: number;  // Withholding when TFT not claimed
  // Note: this is illustrative structure only
  // Actual table has additional adjustments for HELP, SFSS, Medicare, etc.
}

// Engine table lookup – exact match, never interpolate
function lookupWeeklyWithholding(
  weeklyGross: number,
  table: TaxTableEntry[],
  claimsTFT: boolean
): number {
  // Find the exact row
  const row = table.find(
    (entry) => weeklyGross ≥ entry.weeklyIncomeFrom && weeklyGross ≤
    entry.weeklyIncomeTo
  );
}
```

```

if (!row) {
  // Above the table – apply top marginal rate logic
  throw new Error(`Weekly gross ${weeklyGross} exceeds table range – apply top
marginal rate rules`);
}

return claimsTFT ? row.taxFreeThresholdYes : row.taxFreeThresholdNo;
}
// NEVER interpolate between rows. The table is a step function.
// Always use ATO NAT 1008 as source of truth – verify table year matches payment
year.

```

The tables are annual. The 2025-26 tables apply to payments made in the 2025-26 financial year (1 July 2025 to 30 June 2026). The 2026-27 tables apply from 1 July 2026. The payroll engine must use the table that corresponds to the financial year of the payment date — not the financial year of the pay period start date. A pay period that spans 30 June / 1 July requires care: the payment date determines which table applies.

```

// Table year selection – based on payment date
function selectTable(paymentDate: string, tables: TaxTablesByYear): TaxTable {
  const financialYear = getFinancialYear(paymentDate);
  const table = tables[financialYear];
  if (!table) {
    throw new Error(`No tax table loaded for financial year ${financialYear}.
Verify ATO NAT 1008 table is loaded.`);
  }
  return table;
}

function getFinancialYear(isoDate: string): string {
  const date = new Date(isoDate);
  const year = date.getFullYear();
  const month = date.getMonth() + 1; // 1-indexed
  return month ≥ 7 ? `${year}-${year + 1}` : `${year - 1}-${year}`;
}

// Payment on 2026-07-01 → financial year "2026-27" → use 2026-27 table
// Payment on 2026-06-30 → financial year "2025-26" → use 2025-26 table

```

The tables include adjustments for HECS/HELP debt, Student Financial Supplement Scheme (SFSS), Student Start-up Loan (SSL), and Trade Support Loan (TSL). These adjustments are additive — the base withholding from the frequency table is increased by the applicable debt repayment amount. The payg-agent must pass all active debt flags to the engine.

```
// HELP/HECS adjustment – additive on top of base withholding
interface HELPAdjustment {
    weeklyGrossFrom: number;
    weeklyGrossTo: number;
    annualRepaymentRate: number; // AT0-specified rate – verify against AT0
    weeklyAdjustment: number;    // Pre-computed weekly addition
}

// Engine computes: baseWithholding + helpAdjustment + sfssAdjustment
// Both are sourced from AT0 tables, not derived from formula
// Verify AT0 NAT 2185 (HELP/HECS adjustment) – as at June 2026
```

Example 4.1 (assumed-fact illustration): Robert is now classified as SAW (his WHM visa expired and he obtained permanent residency — see chapter 01). His fortnightly gross is \$3,200. He claims the tax-free threshold. He has a HECS/HELP debt. His TFN declaration is on file. The payg-agent assembles the inputs: gross \$3,200, frequency fortnightly, TFT claimed, HELP debt flagged. It calls the payroll engine. The engine converts to weekly equivalent (\$1,600), looks up the fortnightly table directly (some engines use fortnightly tables directly — the key point is the table is not interpolated), applies the TFT column, then adds the HELP/HECS adjustment for the weekly gross band. It returns the total fortnightly withholding. The provenance records: table reference NAT 1008 Fortnightly 2025-26, as-at date 20 June 2026, inputs used, engine version. The payg-agent records the withholding in the pay event. The STP2 payload includes the withholding amount and the HELP debt indicator.

What this illustrates: The HELP/HECS adjustment is not discretionary. If the TFN declaration shows a HELP debt, the engine must apply the adjustment table. The payg-agent is responsible for reading the TFN declaration correctly and passing all flags. An engine call that omits the HELP flag will under-withhold by the adjustment amount on every pay period — creating a year-end shortfall for the employee that they must cover in their tax return.

TFN Declarations — Tax-Free Threshold, Medicare Levy Exemption, HECS/HELP

A Tax File Number declaration (TFN declaration) is a form the employee completes at the start of employment (or when their circumstances change). The declaration is the employer's authority to apply the correct withholding treatment. Without a TFN declaration, the no-TFN withholding rate applies.

The TFN declaration covers several elections that affect withholding:

Declaration field	What it does	Withholding effect
-------------------	--------------	--------------------

TFN provided (or ATO exemption)	Identifies the taxpayer to the ATO	Normal rates apply; no-TFN rate does not apply
Tax-free threshold claim	Australian tax residents can claim a tax-free threshold of \$18,200 (verify ATO — as at June 2026)	Lower withholding; employee can only claim with one employer at a time
No tax-free threshold claim	Resident who does not claim (e.g. second job, or income above threshold)	Higher withholding rate — employee must claim the threshold with their primary employer only
Non-resident	Foreign residents for tax purposes	Non-resident withholding rates apply; no tax-free threshold; verify ATO non-resident tables
Medicare levy exemption	Certain visa holders, non-residents, and people who qualify may claim full or half exemption	Medicare levy component (currently 2% — verify ATO) is reduced or removed from withholding
HECS/HELP debt	Employee has an outstanding HELP, HECS, VET FEE-HELP, or similar debt	Additional withholding applied from ATO adjustment table — additive on base withholding
Student Financial Supplement Scheme (SFSS)	Employee has an outstanding SFSS debt (legacy scheme)	Additional withholding from SFSS adjustment table — additive on base withholding

The employer is entitled to rely on the TFN declaration as long as it appears genuine and the employer has no reason to doubt it. If a new employee claims the tax-free threshold but has already claimed it with another employer in the same financial year, the withholding calculated from the declaration will under-represent their actual tax liability — but the employer is not liable for the shortfall if they relied in good faith on the declaration.

```
// TFN declaration – typed structure for payg-agent
interface TFNDeclaration {
    tfn: string | null;           // null if not provided
    isATOExemptFromTFN: boolean; // e.g. under 18 earning under threshold
    residencyStatus: "RESIDENT" | "NON_RESIDENT" | "WORKING_HOLIDAY_MAKER";
    claimsTaxFreeThreshold: boolean;
    medicareLevyExemption: "NONE" | "HALF" | "FULL";
    hasHELPDebt: boolean;
    hasSFSSDebt: boolean;
    hasSSLDebt: boolean;         // Student Start-up Loan
    hasTSLDebt: boolean;         // Trade Support Loan
    declarationSignedDate: string; // ISO date
    employerReceivedDate: string;  // ISO date
}

// Validation – payg-agent checks declaration before calling engine
function validateTFNDeclaration(decl: TFNDeclaration): ValidationResult {
    const errors: string[] = [];
```

```

if (!decl.tfn && !decl.isATOExemptFromTFN) {
    errors.push("NO_TFN: no TFN provided and no ATO exemption – top marginal rate
withholding applies");
}

if (decl.residencyStatus === "WORKING_HOLIDAY_MAKER" &&
decl.claimsTaxFreeThreshold) {
    errors.push("WHM_TFT_INVALID: working holiday makers cannot claim tax-free
threshold");
}

if (decl.residencyStatus === "NON_RESIDENT" && decl.claimsTaxFreeThreshold) {
    errors.push("NON_RESIDENT_TFT_INVALID: non-residents cannot claim tax-free
threshold");
}

return { valid: errors.length === 0, errors };
}

```

NOTE

My take: The tax-free threshold rule is misunderstood by employees more than by employers. An employee with two jobs who claims the threshold with both employers will under-withhold across the year and face a tax bill. The employer's obligation is to withhold correctly based on the declaration; advising the employee on which job to claim the threshold with is outside that obligation. A payg-agent that detects a possible double-claim (same employee, same ABN claiming period overlap) should flag it as an AMBER for H3 review — not to override the withholding, but to prompt a conversation with the employee before the year-end surprise.

Payment Frequency — Weekly, Fortnightly, Monthly, Quarterly

The ATO publishes separate tax tables for each payment frequency. The engine selects the table based on the payment frequency declared in the pay event. An employer who moves an employee from weekly to fortnightly must update the payment frequency in the HR system before the next pay event. The engine uses whatever frequency is in the pay event — if the frequency is wrong, the withholding will be wrong.

The tables are not identical scaled versions of each other. A fortnightly pay of \$3,200 does not yield exactly twice the withholding of a weekly pay of \$1,600 — because the step function boundaries in the tables are set independently for each frequency. Always use the table for the actual payment frequency.

```
// Frequency table selection – payroll engine
type PaymentFrequency = "weekly" | "fortnightly" | "monthly" | "quarterly";

interface FrequencyTables {
  weekly: TaxTable;
  fortnightly: TaxTable;
  monthly: TaxTable;
  quarterly: TaxTable;
}

function selectFrequencyTable(
  frequency: PaymentFrequency,
  tables: FrequencyTables
): TaxTable {
  return tables[frequency];
  // Do NOT scale. Do NOT approximate. Use the table for the actual frequency.
}
```

Quarterly withholding applies to directors or closely held payees (CHP) who are paid quarterly rather than per pay event. The quarterly table is not the same as four times the monthly table. Quarterly withholding tables are published separately by the ATO — verify NAT 1008 for quarterly variant, as at June 2026.

Mid-cycle frequency changes require care. If an employee moves from weekly to fortnightly mid-quarter, the year-to-date withholding position is relevant. The engine computes each pay event independently using the current frequency. The employee's year-end position depends on the total withholding across all periods. A mid-cycle frequency change simply changes which table is used from the change date forward, leaving prior periods untouched.

Example 4.2 (assumed-fact illustration): Angela at Adelaide Retail Services has been paid weekly. Her employer restructures the pay cycle to fortnightly from the first pay period of July 2026. The HR system is updated. The `payg-agent` receives Angela's first fortnightly pay event: gross \$3,200, frequency now fortnightly, TFT claimed, HELP debt. The engine selects the fortnightly table (NAT 1008 Fortnightly 2026-27 — verify against ATO). It applies the TFT column and adds the HELP adjustment. The withholding result is produced. It is not equal to two times Angela's prior weekly withholding — the fortnightly table has different step boundaries. The `payg-agent` records both the previous frequency (weekly) and the new frequency (fortnightly) in the audit trail: *"Pay frequency changed from weekly to fortnightly effective 2026-07-01. Fortnightly table NAT 1008 applied from this period."*

What this illustrates: Frequency changes must be recorded in the audit trail because they change the withholding calculation. If an ATO auditor sees different withholding amounts across periods without an explanation, they will assume an error. The audit trail's frequency change record is the

explanation. Because the engine alone produces each amount, the number will differ across frequencies, and the provenance documents why.

No TFN — Top Marginal Rate Withholding

An employee who does not provide a TFN within 28 days of starting employment must have withholding applied at the top marginal rate, including the Medicare levy. The combined rate is 47% — verify against ATO as at June 2026. The 47% combined rate applies to residents; a non-resident who does not provide a TFN is withheld at 45% (no Medicare levy) — verify against ATO. This is a withholding default that ensures tax is collected in the absence of identification, rather than a penalty on the employee. The employee receives a credit for all amounts withheld when they lodge their return.

The 47% rate (verify) applies to the full taxable payment — there is no tax-free threshold, no partial rate, and no negotiation. An employer who withholds less because the employee is unhappy with the rate is breaching the withholding obligation. The employee's remedy is to provide a TFN — not to negotiate the rate.

```
// No-TFN withholding – engine applies top marginal rate
interface NoTFNWithholdingInputs {
  grossTaxable: number;
  hasNoTFN: true;
  asAtDate: string;
}

interface NoTFNWithholdingResult {
  amount: number;
  effectiveRate: number;      // Should be top marginal + Medicare (47% – verify
  AT0)
  noOverride: true;
  provenance: ProvenanceEnvelope;
}

// Engine applies top marginal rate – no lookup needed, rate is fixed at top
// VERIFY: 47% = 45% top marginal + 2% Medicare levy (verify ATO – as at June
  2026)
// Rate may be higher if temporary budget repair levy applies – always verify ATO
async function computeNoTFNWithholding(
  inputs: NoTFNWithholdingInputs,
  engine: PayrollEngine
): Promise<NoTFNWithholdingResult> {
  return engine.computeNoTFNWithholding(inputs);
  // computed by the engine; the payg-agent never derives this rate itself.
}
```

The no-TFN obligation ends when the employee provides a valid TFN. From the next pay event after a valid TFN is received, the payg-agent switches to the standard table lookup. The switch is not retrospective — prior pay events withheld at the no-TFN rate remain at that rate. The employee recovers the excess withholding through their tax return.

There are limited ATO exemptions from the TFN requirement — for example, an employee under 18 earning below the threshold may be exempt (verify ATO — as at June 2026). The payg-agent must check for these exemptions before applying the no-TFN rate. An incorrectly applied no-TFN rate over-withholds and can damage the employer's relationship with the employee.

```
// TFN status check – payg-agent pre-engine validation
async function determineTFNStatus(
  employee: EmployeeRecord,
  declaration: TFNDeclaration | null
): Promise<"VALID_TFN" | "NO_TFN" | "ATO_EXEMPT"> {
  if (declaration?.isATOExemptFromTFN) {
    // Verify exemption conditions: under 18 and below threshold, or ATO-specified
    exemption
    const exemptionValid = await atoExemptionService.verify(employee,
    declaration);
    return exemptionValid ? "ATO_EXEMPT" : "NO_TFN";
  }

  if (!declaration?.tfn) {
    // Check if 28-day grace period has elapsed
    const daysSinceStart = daysBetween(employee.startDate, new
    Date()).toISOString());
    if (daysSinceStart ≤ 28) {
      // Within grace period – still need to withhold correctly
      // ATO allows using TFT rate during grace period if declaration lodged –
      verify ATO
      return "NO_TFN"; // conservative: apply no-TFN rate; consult ATO for grace
      period treatment
    }
    return "NO_TFN";
  }

  return "VALID_TFN";
}
// Verify ATO treatment during 28-day grace period – as at June 2026
```

Example 4.3 (assumed-fact illustration): Wei starts employment at Blue Mountain Healthcare on 1 June 2026. He does not provide a TFN declaration. His first pay is on 15 June. The payg-agent checks: no TFN, no ATO exemption, 14 days since start (within the 28-day window — verify ATO

grace period treatment). The agent applies conservative treatment: no-TFN rate. The engine computes withholding at 47% (verify against ATO — as at June 2026) on his fortnightly taxable earnings. The audit trail records: *"No TFN declaration on file. Within 28-day grace period. Conservative treatment applied: no-TFN rate. H3 advisory: follow up TFN declaration with employee."* An H3 advisory (not a gate hold) is raised for the payroll officer. On 28 June — day 27 — Wei provides a TFN declaration, claiming the tax-free threshold and a HECS/HELP debt. The payg-agent records the declaration receipt. From the next pay event (1 July), the standard fortnightly table applies with TFT and HELP. Prior withholding at the no-TFN rate is not revised. Wei's excess withholding is recovered in his tax return.

What this illustrates: The no-TFN rate is a default that the payg-agent applies mechanically when required. It also tracks the 28-day window and alerts the payroll officer so the TFN is followed up before the grace period expires. The H3 advisory is not a gate hold — the pay run proceeds, because the engine has a valid answer. The advisory is a reminder to resolve the missing TFN before the next period.

payg-agent — TFN Validation and Engine Routing

The `payg-agent` is the coordinator for PAYG withholding. It sits between the payroll-orchestrator and the payroll engine. Its job is to validate all inputs and assemble the correct engine call — not to compute anything itself.

The `payg-agent` pipeline for a standard pay event:

1. Receive the enriched pay event from the orchestrator
2. Retrieve the TFN declaration for the employee
3. Validate the TFN declaration (valid TFN, correct residency, valid elections)
4. Determine TFN status (VALID_TFN, NO_TFN, ATO_EXEMPT)
5. Classify the income type (SAW, WHM, CHP, etc.)
6. Compute taxable earnings for PAYG purposes (gross less pre-tax salary sacrifice)
7. Assemble the engine inputs
8. Call the payroll engine — receive the withholding result
9. Verify the provenance envelope (as-at date, table reference, noOverride flag)
10. Return the `AgentResult` with GREEN/AMBER/RED status

```
// payg-agent – full pipeline
async function handlePayEvent(
  enriched: EnrichedPayEvent,
  engine: PayrollEngine
): Promise<AgentResult<PAYGResult>> {
```

```

const declaration = await tfnRepo.get(enriched.employeeId);
const validation = validateTFNDeclaration(declaration);

if (!validation.valid && validation.errors.includes("NO_TFN: no TFN...")) {
  // No TFN – proceed with top marginal rate, add H3 advisory
  const noTFNResult = await computeNoTFNWithholding(
    { grossTaxable: enriched.grossTaxable, hasNoTFN: true, asAtDate:
enriched.asAtDate },
    engine
  );
  return buildNoTFNResult(noTFNResult, enriched);
}

if (!validation.valid) {
  // Invalid declaration (not just no-TFN) – RED, H3 gate
  return {
    agentId: "payg-agent",
    status: "RED",
    data: { validationErrors: validation.errors },
    gate: { level: "H3", reason: "TFN declaration invalid", instructions:
validation.errors.join("; ") },
    provenance: buildAgentProvenance("payg-agent", enriched.asAtDate),
    computedAt: new Date().toISOString(),
  };
}

// Step 3-6: classify and compute taxable earnings
const tfnStatus = await determineTFNStatus(enriched.employeeRecord,
declaration);
const taxableEarnings = computeTaxableEarnings(enriched.earnings,
enriched.salarySacrifice);

// Step 7: assemble engine inputs
const engineInputs: WithholdingInputs = {
  grossTaxable: taxableEarnings,
  frequency: enriched.paymentFrequency,
  taxFreeThreshold: declaration.claimsTaxFreeThreshold,
  medicareLevyExemption: declaration.medicareLevyExemption === "NONE",
  medicareLevyExemptionType: declaration.medicareLevyExemption,
  helpDebt: declaration.hasHELPDebt,
  sfssDebt: declaration.hasSFSSDebt,
  incomeType: enriched.incomeType,
  residencyStatus: declaration.residencyStatus,
  asAtDate: enriched.asAtDate,
};

```

```
// Step 8: call engine – let the engine produce the number
const withholdingResult = await engine.computeWithholding(engineInputs);

// Step 9: verify provenance
if (!withholdingResult.provenance.noOverride) {
  throw new Error("INVARIANT_VIOLATED: engine result missing noOverride flag");
}

// Step 10: return result
return {
  agentId: "payg-agent",
  status: "GREEN",
  data: {
    withholdingAmount: withholdingResult.amount,
    taxableEarnings,
    tableReference: withholdingResult.tableReference,
  },
  provenance: withholdingResult.provenance,
  computedAt: new Date().toISOString(),
};
}
```

The payg-agent has specific handling for WHM employees. Working holiday makers (visa 417 or 462) are subject to a flat rate on the first \$45,000 of income per financial year (verify against ATO — as at June 2026). Above \$45,000, resident rates apply. The engine tracks the WHM income band across the year and switches rates when the threshold is crossed.

```
// WHM withholding – rate band management
interface WHMBandTracker {
  employeeId: string;
  financialYear: string;
  ytdWHMIncome: number;
  bandThreshold: number; // verify against ATO – $45,000 as at June 2026
  belowThresholdRate: number; // verify against ATO – 15% as at June 2026
}

async function computeWHMWithholding(
  enriched: EnrichedPayEvent,
  engine: PayrollEngine,
  tracker: WHMBandTracker
): Promise<WithholdingResult> {
  const remainingBelowThreshold = Math.max(0, tracker.bandThreshold -
  tracker.ytdWHMIncome);
  const thisPaymentBelowThreshold = Math.min(enriched.grossTaxable,
```

```

const thisPaymentAboveThreshold = enriched.grossTaxable -
thisPaymentBelowThreshold;

// Engine computes each component separately
const belowResult = thisPaymentBelowThreshold > 0
  ? await engine.computeWHMBelowThreshold({ amount: thisPaymentBelowThreshold,
asAtDate: enriched.asAtDate })
  : null;

const aboveResult = thisPaymentAboveThreshold > 0
  ? await engine.computeWithholding({
    grossTaxable: thisPaymentAboveThreshold,
    frequency: enriched.paymentFrequency,
    taxFreeThreshold: false, // WHM cannot claim TFT
    residencyStatus: "WORKING_HOLIDAY_MAKER",
    asAtDate: enriched.asAtDate,
  })
  : null;

const totalWithholding = (belowResult?.amount ?? 0) + (aboveResult?.amount ??
0);

// Update tracker
await whmTracker.update(enriched.employeeId, enriched.financialYear,
enriched.grossTaxable);

return { amount: totalWithholding, provenance:
buildProvenanceCombined(belowResult, aboveResult), noOverride: true };
}
// VERIFY: $45,000 threshold and 15% rate against ATO – as at June 2026. Indexed
annually.

```

Withholding scenario	payg-agent action	Engine table used	Gate
Standard resident, TFT claimed, no debts	Validate declaration, call engine with TFT=true	NAT 1008 — applicable frequency — TFT column	None (GREEN)
Standard resident, no TFT, HELP debt	Validate declaration, call engine with TFT=false + HELP flag	NAT 1008 — no TFT column + HELP adjustment table	None (GREEN)
Working holiday maker (WHM)	Check income band tracker, split payment if crossing threshold	WHM rate (15% below threshold — verify ATO); NAT 1008 above	None if band tracked correctly (GREEN)
No TFN provided	Apply no-TFN rate; add H3 advisory for TFN follow-up	Top marginal rate table — 47% (verify ATO)	H3 advisory (not a hold)

Invalid declaration (non-resident claiming TFT)	Return RED result with validation errors	None — engine not called	H3 gate — hold pay run
CHP payee — quarterly payment	Use quarterly frequency table; confirm CHP income type	NAT 1008 quarterly variant (verify ATO)	H3 review if quarterly amount is unusual

NOTE

My take: The WHM band tracker is the most complex part of the payg-agent. WHMs cross the \$45,000 threshold during the year — sometimes in the middle of a pay period. The engine must handle split payments. I have seen implementations that apply the 15% rate to the entire year's income without tracking the band crossing, producing a significant under-withholding above \$45,000. The tracker is mandatory. Verify the \$45,000 threshold and the 15% rate against the ATO before implementing — both are subject to change.

Example 4.4 (assumed-fact illustration): Sasha's employer, Westfield Logistics, has a new employee — James — who is a non-resident for tax purposes. He completes a TFN declaration: non-resident status, no TFT (non-residents cannot claim), no HELP debt, Medicare levy exemption claimed (full, as a non-resident — verify ATO). The payg-agent validates the declaration. Non-resident status is consistent with full Medicare levy exemption claim. TFT not claimed — correct for non-residents. The engine is called with non-resident inputs: it applies the non-resident withholding table (higher than resident rates for the same income — no tax-free threshold built into the rate structure; verify ATO NAT 1008 non-resident variant). The Medicare levy is removed from the withholding (full exemption claimed and valid). The withholding result is produced. Provenance records: NAT 1008 non-resident variant, full Medicare exemption applied, no TFT, as-at date 20 June 2026. GREEN result. The STP2 payload flags the employee as non-resident and includes the Medicare exemption indicator.

What this illustrates: Non-resident withholding requires its own table, not the resident table read at a different row. The Medicare levy exemption for non-residents is structurally different from the resident exemption (non-residents do not pay Medicare levy at all). The payg-agent's validation must correctly parse the residency status and route to the correct engine inputs. The STP2 payload must carry the non-resident and Medicare exemption indicators so the ATO's pre-fill is accurate. Validating the TFN declaration directly determines which withholding table the engine applies.

TIP

Next: Chapter 05 covers award compliance — modern awards, the National Minimum Wage, penalty rates, annualised salary reconciliation obligations, and how the award-agent checks every pay event against the applicable award minimum.

05 Award Compliance and the Underpayment Risk

Modern awards, the National Minimum Wage, annualised salary provisions, and the award-agent's compliance check

Every payslip your payroll engine produces sits inside a legal minimum envelope set by the applicable modern award, the National Employment Standards, and — at the floor — the National Minimum Wage. The award-agent checks every payslip against that envelope before it leaves the system. When it finds a gap, it flags it, calculates the shortfall, and routes it to a human gate. The payroll engine owns the figure. The award-agent owns the classification and the flag. A practitioner owns the decision to correct and pay.

Modern Awards — the Source of Minimum Entitlements

There are more than 120 modern awards in Australia as at June 2026. Each governs a specific industry or occupation. Awards set:

- Minimum hourly rates (by classification level and age)
- Penalty rates (evenings, weekends, public holidays)
- Overtime rates (after daily or weekly ordinary hours thresholds)
- Allowances (tools, uniforms, travel, meals, heat, danger)
- Leave entitlements (annual leave loading, personal/carer's leave, compassionate leave)
- Annualised salary arrangement provisions
- Rostering and engagement rules (minimum shift lengths, rest breaks)

The Award is a legal instrument published by the Fair Work Commission. It is not a guideline. It is not a default. It is the floor below which you cannot pay, regardless of what any employment contract says.

NOTE

My take: I have seen businesses running for years on a payroll setup that was correct when the award rate was set in 2019 and never updated. The award rate changes every 1 July when the Fair Work Commission hands down its Annual Wage Review. An award rate lookup that was accurate on 30 June is wrong on 1 July. The award-agent must pull the current rate on the date of each pay run — not the rate it cached at system setup.

The first problem the award-agent solves is *identification*. Which award applies? An employee at a cafe might be covered by the Restaurant Industry Award, the Hospitality Industry Award, or in some cases no award at all if an enterprise agreement has replaced it. The award-agent accepts the employer's registered award mapping and verifies that the classification code on the employee record matches the current award schedule.

Award identification is an H3 gate. The award-agent can narrow the field and flag conflicts, but a practitioner must review before the mapping is locked to a new employee's record.

National Minimum Wage — Changes 1 July Each Year

The National Minimum Wage (NMW) is the absolute floor for adult employees not covered by a modern award or enterprise agreement. It is set by the Fair Work Commission each year and takes effect on 1 July.

Award minimum rates are always at or above the NMW. The NMW is relevant as a cross-check — if an award's minimum rate for a particular classification somehow fell below it (which should not happen in practice), the NMW applies. Always verify the current NMW against the Fair Work Commission's website before relying on any figure. As at the date of publication of this book (June 2026), the Fair Work Commission's 2026 Annual Wage Review determination applies from 1 July 2026 — verify the announced rate before it takes effect.

National Minimum Wage — Key Facts (current as at June 2026 — verify against Fair Work Commission before relying)

Item	Detail	Verification source
Current rate	\$24.95/hour (\$948.00/week) for FY2025-26 — as at June 2026. From the first full pay period on or after 1 July 2026: \$26.44/hour (\$1,004.90/week), per the Fair Work Commission 2026 Annual Wage Review decision of 2 June 2026 — verify against the FWC decision text	fairwork.gov.au

Effective date	1 July each year (Annual Wage Review determination)	Fair Work Commission
Who it covers	Adult employees not covered by a modern award or enterprise agreement	Fair Work Act 2009
Casual loading	The NMW applies to the base rate. A casual employee's minimum includes the casual loading under their award (typically 25% — verify in the applicable award).	Applicable modern award
Junior rates	Awards set junior rates as a percentage of the adult rate — verify in the applicable award schedule	Applicable modern award

The payroll engine receives the NMW and award minimum rates as configuration inputs — verified and version-stamped by the award-agent on 1 July each year. The engine does not infer or estimate rates. If a rate is not in the configuration, the run fails with a MISSING_RATE error.

```
// award-agent: rate refresh on 1 July
{
  "task": "refresh_award_rates",
  "trigger": "financial_year_start",
  "effective_date": "2026-07-01",
  "awards": [
    {
      "award_code": "MA000009",
      "award_name": "Hospitality Industry (General) Award 2020",
      "source_url":
        "https://www.fwc.gov.au/documents/awardsandorders/html/ma000009.htm",
      "classification_rates": [
        { "level": "Level 1", "rate_hourly": "verify-against-FWC", "as_at": "2026-07-01" },
        { "level": "Level 2", "rate_hourly": "verify-against-FWC", "as_at": "2026-07-01" }
      ],
      "status": "PENDING_VERIFICATION",
      "gate": "H3 — practitioner must approve rate schedule before use"
    }
  ]
}
```

The H3 gate fires on every annual rate refresh. No award-rate configuration goes into production without practitioner sign-off, every time.

Penalty Rates and Allowances

Penalty rates are where most underpayments hide. An employee who works a Saturday shift at 150% of their ordinary rate costs 50% more per hour than a weekday shift. If the payroll system applies the ordinary rate and the employee gets paid for 8 hours at the base rate, the underpayment is 4 ordinary-rate hours per Saturday shift — and it compounds over every pay period the error runs.

The award-agent checks penalty rates by reading the shift type from the timesheet record and applying the applicable multiplier from the award schedule. The payroll engine computes the dollar amount. The award-agent never computes the dollar amount — that is the engine's job.

```
// award-agent: penalty rate lookup
{
  "function": "lookup_penalty_rate",
  "employee_id": "EMP-2241",
  "award_code": "MA000009",
  "shift_date": "2026-07-05",
  "shift_day_type": "SUNDAY",
  "classification": "Level 2",
  "result": {
    "penalty_multiplier": 2.00,
    "rate_source": "MA000009 cl.31.2 – Sunday penalty rate, Level 2",
    "as_at": "2026-07-01",
    "verify": "Confirm against current award clause before relying"
  }
}
```

```
// payroll-engine: compute penalty pay component
{
  "function": "compute_pay_component",
  "employee_id": "EMP-2241",
  "component": "PENALTY_SUNDAY",
  "ordinary_rate": "[engine reads from employee rate card]",
  "penalty_multiplier": 2.00,
  "hours": 8.0,
  "result": {
    "gross_penalty_amount": "[engine computed – do not override]",
    "stp2_income_type": "SAW",
    "stp2_disaggregation": "ALLOWANCE_OR_PENALTY",
    "engine_ref": "PE-2241-20260705-SUN",
    "noOverride": true
  }
}
```

```
}
}
```

Allowances follow the same pattern. The award specifies when an allowance is payable, the amount (or the method for calculating it), and whether it is included in ordinary time earnings for SG purposes. The award-agent reads the allowance trigger from the timesheet — tool use, laundry, travel — and emits a structured allowance record to the payroll engine.

Common Award Allowance Types — Payroll Engine Treatment (verify against applicable award)

Allowance type	Typical trigger	OTE for SG?	STP2 disaggregation	Verification note
Tool allowance	Employee required to supply own tools	Generally no — confirm in award	ALLOWANCE_TD (task/role-based)	Verify in applicable award clause
Meal allowance	Overtime shift exceeding threshold hours	Generally no	ALLOWANCE_LD (living-away or domestic)	ATO FBT rules may apply if above exempt threshold
Uniform/laundry	Required to wear uniform and launder it	Generally no	ALLOWANCE_TD	Verify award amount; ATO exempt threshold applies
Travel allowance	Required to travel for work	Generally no — confirm nature	ALLOWANCE_TD or reimbursement	Distinction between allowance and reimbursement is critical — verify
Heat/danger allowance	Working in extreme conditions	Generally yes — confirm in award	SAW (embedded in ordinary pay)	Confirm OTE inclusion in award definition

NOTE

My take: The OTE classification of allowances is the most technically contested corner of SG compliance. If an allowance is OTE, 12% SG applies to it. If it is not OTE, it does not. An award may define OTE differently from the SGAA definition. Never assume — the payroll engine must carry explicit OTE flags per allowance, verified against both the applicable award and the SGAA. When the award and the SGAA conflict, the SGAA governs. This is H3 territory: if you are unsure, route to a registered tax agent before the next super quarter.

Annualised Salary Provisions — the Reconciliation Obligation

Some awards allow an employer to pay employees an annualised salary instead of computing penalty rates, overtime, and allowances pay-period by pay-period. The annualised salary is structured to absorb the expected entitlements. The employer pays a fixed salary that is at least

equal to what the employee would have earned under the award rates if all the entitlements were computed individually.

The catch — and it is significant — is the reconciliation obligation. Awards that allow annualised salaries (the Clerks Award, the Professional Employees Award, some others — verify the applicable award) require the employer to reconcile annually: calculate what the employee would have earned under the award and compare it to what they were actually paid. If the actual pay was less, the employer must top up the difference within a set timeframe. That top-up is itself an employment obligation with a due date.

The award-agent manages annualised salary arrangements by maintaining a running accumulator per employee. Every pay period, it records:

- Hours worked, by day type (ordinary, evening, Saturday, Sunday, public holiday)
- Overtime hours worked
- Award entitlement computed by the payroll engine for that period
- Annualised salary paid that period
- Running surplus or deficit

```
// award-agent: annualised salary accumulator update (per pay period)
{
  "function": "update_annualised_accumulator",
  "employee_id": "EMP-3311",
  "employee_name": "Angela Kowalski",
  "employer": "Harbour Engineering Pty Ltd",
  "award_code": "MA0000002",
  "pay_period_end": "2026-08-15",
  "period_summary": {
    "ordinary_hours": 76,
    "saturday_hours": 8,
    "sunday_hours": 0,
    "public_holiday_hours": 0,
    "overtime_hours": 4
  },
  "payroll_engine_award_entitlement": {
    "ordinary_pay": "[engine computed]",
    "saturday_penalty": "[engine computed - 150% multiplier, cl.29.3 MA0000002]",
    "overtime_pay": "[engine computed - 150% first 2h, 200% thereafter]",
    "total_award_entitlement": "[engine computed]",
    "engine_ref": "PE-ANN-3311-20260815",
    "noOverride": true
  },
  "annualised_salary_paid": "[from payroll run - fortnightly component]",
  "period_surplus_or_deficit": "[engine computed: paid minus entitlement]",
}
```

```
"flag": "GREEN – salary is absorbing entitlements this period"
}
```

Every figure in that accumulator is the engine's to produce. The award-agent reads the structured output and updates the flag. When the YTD deficit passes a threshold the employer configures (for example, more than two periods of expected shortfall), the award-agent escalates to AMBER and the flag routes to H3.

Annualised Salary Reconciliation Failure — Worked Example

Assumed-fact illustration. All figures are illustrative. Nothing here is employment law or tax advice.

Blue Mountain Healthcare employs **Priya Sharma** as a Level 4 registered nurse under the Nurses Award 2020 (MA000034 — verify applicable award for your situation). Priya is on an annualised salary arrangement approved under cl.20 of the award. Her annualised salary is set at the start of the financial year based on an expected pattern of shifts including some weekend and evening work.

By November 2026, Priya has worked significantly more weekend shifts than the pattern the salary was designed to absorb. The award-agent's accumulator shows a YTD deficit: the award entitlement computed by the payroll engine (weekend penalties at 150% for Saturday, 175% for Sunday — verify current award rates) exceeds the annualised salary paid by a material amount.

```
// award-agent: annualised salary reconciliation alert
{
  "function": "annualised_reconciliation_alert",
  "employee_id": "EMP-4402",
  "employee_name": "Priya Sharma",
  "employer": "Blue Mountain Healthcare",
  "award_code": "MA000034",
  "ytd_as_at": "2026-11-30",
  "annualised_salary_paid_ytd": "[engine total – all pay periods]",
  "award_entitlement_ytd": "[engine total – all periods, all shift types]",
  "ytd_deficit": "[engine computed: entitlement minus paid]",
  "status": "RED",
  "alert": "YTD deficit exceeds threshold. Annualised salary is not absorbing
award entitlements for actual shifts worked.",
  "recommended_action": "Immediate review. If deficit confirmed, top-up payment
required. Timeline: verify deadline in applicable award clause.",
  "gate": "H3 – practitioner review before any top-up payment or salary
renegotiation"
}
```

The payroll-orchestrator receives the RED alert and creates a task assigned to the payroll manager with a deadline linked to the award's reconciliation window. No top-up payment is made without a practitioner sign-off that the computed shortfall is correct and the top-up amount has been verified against the payroll engine's output.

What this illustrates: Annualised salary arrangements do not eliminate the award compliance obligation — they defer part of the computation to the annual reconciliation. The payroll engine must run the full award entitlement calculation every pay period and accumulate the deficit. A salary that made sense at the start of the year can become non-compliant mid-year if the employee's actual shift pattern diverges from the assumed pattern.

Underpayment Risk — the Employer's Liability

Underpayment of wages is a serious legal and reputational risk. Under the Fair Work Act, underpayment can result in back-payment orders, civil penalties, and — since 2025 amendments — in serious cases, criminal liability for intentional wage theft. Verify the current state of the law and applicable penalties before acting.

When the payroll engine detects an underpayment in a previous period's run (triggered either by an award rate correction or by an audit of historical payslips), the award-agent computes the gross shortfall per period, per employee. That figure goes into a structured underpayment workpaper.

```
// award-agent: underpayment detection and workpaper
{
  "function": "compute_underpayment",
  "employee_id": "EMP-1187",
  "employee_name": "Marcus Johnson",
  "employer": "Adelaide Retail Services",
  "award_code": "MA000004",
  "detection_trigger": "AWARD_RATE_CORRECTION – Level 3 rate incorrectly
configured for FY2024-25",
  "periods_affected": ["2024-07-01 to 2025-06-30"],
  "periods_count": 26,
  "payroll_engine_recomputation": {
    "original_gross_paid": "[engine historical recomputation]",
    "corrected_gross_entitlement": "[engine recomputation at correct rates]",
    "gross_shortfall": "[engine computed: corrected minus original]",
    "estimated_interest": "[engine computed – interest rate per Fair Work Act,
verify current rate]",
    "engine_ref": "PE-UNDERPAY-1187-AUDIT-20260624",
    "noOverride": true
  },
  "gate": "H3 – practitioner review of recomputation before any payment or ATO/FWC
```



```
"workpaper_status": "DRAFT – not final until H3 sign-off"
}
```

Interest applies to underpayments. The Fair Work Act provides for an interest component — verify the applicable rate and method with a registered tax agent or employment law adviser. The payroll engine estimates interest but the H3 gate requires a practitioner to verify the interest calculation before the underpayment notice is issued.

Underpayment Liability Framework — Australia (as at June 2026 — verify against current legislation)

Liability type	Basis	Who is liable	Verification source
Back-payment of underpaid wages	Fair Work Act — underpayment is a contravention	Employer	Fair Work Act 2009 — verify current provisions
Civil penalty (employer)	Per contravention — serious and repeated underpayment	Employer (body corporate)	Fair Work Act — verify current penalty units
Civil penalty (individual)	Directors, managers who were involved	Individual officers	Fair Work Act — accessory liability provisions
Wage theft (criminal — from 1 Jan 2025)	Intentional underpayment of wage or entitlement	Employer; responsible individual	Fair Work Legislation Amendment (Closing Loopholes) Acts — verify
Interest on underpayment	Fair Work Act	Employer	Verify rate with practitioner

The phrase *intentional underpayment* in the criminal provisions matters. If an employer is told by the award-agent that an underpayment exists and fails to correct it, that failure has a very different character than an underpayment caused by a misconfigured rate. Keep the audit trail. The workpaper generated by the award-agent and signed off at H3 is evidence that you acted on the flag.

NOTE

My take: Every employer should run a backward-looking award compliance check over the past three financial years at minimum. Not because they think they have underpaid — because the payroll system's award rate history is almost always less accurate than anyone believes. One incorrect classification, one rate that was not updated on 1 July, one allowance that was mislabelled as non-OTE — these compound silently. The award-agent's retroactive audit tool is the most valuable thing in this chapter.

The Award-Agent — Compliance Check Workflow

The award-agent sits inside the payroll-orchestrator pipeline as a mandatory pre-approval step for every pay run. It does not run as an optional check. If the award-agent is not GREEN, the pay run does not proceed to STP2 submission.

```
// payroll-orchestrator: award compliance gate in pay run pipeline
{
  "pipeline": "pay_run",
  "employer": "Westfield Logistics",
  "pay_period": "2026-07-01 to 2026-07-14",
  "steps": [
    {
      "step": 1,
      "agent": "timesheet-ingestion-agent",
      "action": "ingest_and_validate_timesheets",
      "status": "COMPLETE"
    },
    {
      "step": 2,
      "agent": "award-agent",
      "action": "check_award_compliance",
      "gate_required": true,
      "gate_level": "H3",
      "status": "IN_PROGRESS",
      "outputs": [
        "per_employee_award_compliance_report",
        "penalty_rate_schedule_applied",
        "allowances_verified",
        "annualised_accumulator_updated",
        "flags: [GREEN, GREEN, AMBER, GREEN, GREEN, GREEN, GREEN, GREEN]"
      ],
      "amber_count": 1,
      "amber_employees": ["EMP-2887 – shift classification ambiguous: ordinary vs overtime boundary unclear"],
      "escalation": "Route EMP-2887 to H3 before proceeding"
    },
    {
      "step": 3,
      "agent": "payroll-engine",
      "action": "compute_gross_pay_all_employees",
      "prerequisite": "award-agent GREEN or H3 cleared",
      "status": "WAITING"
    }
  ]
}
```

```
{
  "step": 4,
  "agent": "payg-agent",
  "action": "apply_withholding_from_tax_tables",
  "status": "WAITING"
},
{
  "step": 5,
  "agent": "sg-agent",
  "action": "compute_sg_contributions",
  "status": "WAITING"
},
{
  "step": 6,
  "agent": "stp2-agent",
  "action": "generate_stp2_event",
  "status": "WAITING",
  "gate": "H1 – BAS agent or registered tax agent lodges"
}
]
}
```

The AMBER flag on EMP-2887 shows the award-agent at work. It cannot determine from the timesheet data alone whether the hours after 7.5 ordinary hours are overtime or a different engagement type. Rather than guessing, it flags AMBER and routes to the practitioner with the exact question: is this employee on a set ordinary hours engagement where the additional hours are overtime, or are they on a flexible engagement pattern? The answer changes the award rate applied — and the payroll engine cannot compute the right figure until the classification is confirmed.

Worked Example — New Employee, Wrong Award Level

Assumed-fact illustration. All figures are illustrative. Nothing here is employment law or tax advice.

Nathan Briggs is onboarded at Metro Digital Solutions as a Level 2 employee under the Clerks — Private Sector Award 2020 (MA000002 — verify applicable award). The payroll team enters his classification as Level 2 based on his employment contract, but does not verify the award classification criteria against his actual duties.

At onboarding, the award-agent runs a classification pre-check and returns AMBER:

```
// award-agent: classification pre-check at onboarding
{
  "function": "classification_precheck",
```

```

"employee_name": "Nathan Briggs",
"employer": "Metro Digital Solutions",
"proposed_classification": {
  "award_code": "MA0000002",
  "level": "Level 2"
},
"check_result": {
  "status": "AMBER",
  "reason": "Employee role description includes duties consistent with both
Level 2 and Level 3 under the award schedule. Specific duties involving [task
category] may attract the Level 3 rate.",
  "risk": "Underpayment if Level 2 rate is applied when Level 3 is correct.
Overpayment risk is lower but misclassification has compliance implications.",
  "recommended_action": "Practitioner review of role duties against award
classification criteria before payroll is run.",
  "gate": "H3 – practitioner review of classification before first pay"
}
}

```

The H3 gate fires. The payroll manager reviews Nathan's position description against the award classification criteria and determines Level 3 applies. The payroll engine is updated with Level 3 rates before the first pay run. Nathan is paid correctly from day one.

What this illustrates: The award-agent catches classification errors at the point of hire — the cheapest moment to fix them. An error that runs for two years and is caught in a Fair Work audit costs multiples of an error caught on day one. The pre-check gate exists precisely to interrupt the classification before the first payslip is produced.

Worked Example — Saturday Penalty Rate Not Applied

Assumed-fact illustration. All figures are illustrative. Nothing here is employment law or tax advice.

Chloe Wang works at Adelaide Retail Services as a Level 1 retail worker under the General Retail Industry Award 2020 (MA0000004 — verify applicable award). She works every Saturday. For six months, the payroll system has been paying her at the ordinary weekday rate because the timesheet integration was not passing the day-type field to the award-agent correctly. The Saturday penalty rate (150% under MA0000004 — verify in current award) was never applied.

```

// award-agent: retrospective audit – penalty rate gap
{
  "function": "retrospective_penalty_audit",
  "employee_id": "EMP-0884",
  "employee_name": "Chloe Wang",
  "employer": "Adelaide Retail Services",

```

```

"audit_period": "2026-01-01 to 2026-06-30",
  "finding": {
    "issue": "Saturday shifts paid at ordinary rate. Day-type field not passed to
award-agent – penalty multiplier not applied.",
    "saturday_shifts_affected": 26,
    "hours_per_saturday": 8.0,
    "total_saturday_hours_affected": 208.0,
    "ordinary_rate_applied": "[engine historical rate – from employee rate card]",
    "penalty_multiplier_should_have_applied": 1.50,
    "shortfall_per_hour": "[engine computed: 0.50 x ordinary rate]",
    "total_gross_shortfall": "[engine computed: 208 x shortfall per hour]",
    "estimated_super_shortfall": "[engine computed: 12% x shortfall OTE component
– verify OTE inclusion]",
    "engine_ref": "PE-RETRO-0884-PENALTYAUDIT-20260624",
    "noOverride": true
  },
  "gate": "H3 – practitioner review of shortfall before back-payment and SGC
assessment"
}

```

The payroll engine computes the gross shortfall. It also computes the estimated SG shortfall — because if the Saturday penalty is OTE (which it is under MA000004 — verify in the current award), the employer also owes the super on the underpaid component. If the SG shortfall was not paid by the quarterly due date, a Superannuation Guarantee Charge (SGC) lodgement may be required. The H3 gate connects to H2 if the SGC has tax consequences requiring a registered tax agent's involvement.

What this illustrates: A timesheet integration bug that fails to pass day-type is a payroll compliance failure in its own right, beyond being a data quality issue. The award-agent cannot check penalty rates it is not told about. The data pipeline into the award-agent is itself a compliance control — it must be tested, monitored, and alarmed.

Worked Example — Annualised Salary Reconciliation Failure

Assumed-fact illustration. All figures are illustrative. Nothing here is employment law or tax advice.

James Okafor is a Senior Accountant at Harbour Engineering Pty Ltd on an annualised salary under the Professional Employees Award 2020 (MA000065 — verify applicable award). His annualised salary was set to absorb up to 10 hours overtime per week on average. In the second half of the financial year, a major project requires James to work consistently above that level — 15 to 18 hours overtime per week for 16 weeks.

The award-agent's accumulator runs the deficit calculation each fortnight. By June, the YTD deficit is significant. The annual reconciliation — due within 14 days after the anniversary date of the annualised salary arrangement under the award (verify timing in the applicable award) — shows

James was underpaid.

```
// award-agent: annual reconciliation report
{
  "function": "annual_reconciliation",
  "employee_id": "EMP-7731",
  "employee_name": "James Okafor",
  "employer": "Harbour Engineering Pty Ltd",
  "award_code": "MA000065",
  "arrangement_anniversary": "2026-06-30",
  "reconciliation_period": "2025-07-01 to 2026-06-30",
  "annualised_salary_paid": "[engine total]",
  "award_entitlement_computed": {
    "ordinary_pay": "[engine total - 52 weeks]",
    "overtime_pay": "[engine total - all overtime hours at award rates]",
    "penalty_pay": "[engine total - any applicable evening/weekend penalties]",
    "allowances": "[engine total - applicable award allowances]",
    "total_entitlement": "[engine computed]",
    "engine_ref": "PE-ANNREC-7731-20260630",
    "noOverride": true
  },
  "deficit": "[engine computed: entitlement minus salary paid]",
  "top_up_required": true,
  "top_up_deadline": "verify against award clause - typically 14 days from anniversary",
  "status": "RED",
  "gate": "H3 - practitioner sign-off on reconciliation figures before top-up payment; H2 if SG shortfall attracts SGC"
}
```

The payroll-orchestrator creates an urgent task. James receives the top-up payment on the next pay run after H3 sign-off. The SG agent re-runs on the top-up amount — 12% SG applies to the top-up to the extent the underpaid overtime was OTE. If the SG quarterly deadline has passed, the employer must lodge an SGC statement — H2 gate.

What this illustrates: The annualised salary arrangement does not cap the employer's liability at the annual salary amount. When actual work exceeds the absorbed pattern, the employer owes the difference. The reconciliation is mandatory. The award-agent's accumulator turns what would otherwise be a year-end surprise into a visible running deficit that management can act on mid-year — either by adjusting the salary upward or by managing overtime levels.

Award-Agent Configuration — Employer Setup

Before the award-agent can run, it needs a correctly configured employer award mapping. Every employee record must carry:

- The applicable modern award code (Fair Work Commission MA-number)
- The employee's classification level under that award
- Whether an annualised salary arrangement is in place, and if so, the assumed hours pattern
- Any applicable enterprise agreement that overrides the award (if an enterprise agreement is registered, verify whether it passes the Better Off Overall Test — employment law advice recommended)
- The engagement type (full-time, part-time, casual)
- Junior employee status (if applicable — award junior rates apply by age)

```
// award-agent: employee award mapping record
{
  "employee_id": "EMP-3311",
  "employee_name": "Wei Chen",
  "employer": "Blue Mountain Healthcare",
  "effective_date": "2026-07-01",
  "award_mapping": {
    "award_code": "MA000034",
    "award_name": "Nurses Award 2020",
    "classification": "Registered Nurse Grade 3, Year 2",
    "engagement_type": "FULL_TIME",
    "ordinary_hours_per_week": 38,
    "annualised_salary_arrangement": false,
    "enterprise_agreement_override": false
  },
  "junior_rate_applies": false,
  "rate_card_version": "2026-07-01",
  "rate_card_verified_by": "practitioner sign-off – H3 complete",
  "next_review_date": "2027-07-01"
}
```

The rate card version date matters. When the Fair Work Commission's Annual Wage Review takes effect on 1 July, every employee's rate card must roll to the new rates. The award-agent manages this as a batch operation — but it does not go live without a practitioner running the H3 gate on the new rate schedule.

```
// payroll-orchestrator: 1 July rate roll workflow
{
```

```

"workflow": "annual_award_rate_roll",
  "trigger_date": "2026-07-01",
  "steps": [
    {
      "step": 1,
      "agent": "award-agent",
      "action": "load_new_award_rates_from_FWC",
      "source": "Fair Work Commission – Annual Wage Review 2026",
      "status": "PENDING"
    },
    {
      "step": 2,
      "agent": "award-agent",
      "action": "generate_rate_comparison_report",
      "output": "New rates vs previous rates – all award codes in use",
      "status": "PENDING"
    },
    {
      "step": 3,
      "action": "practitioner_review",
      "gate": "H3 – payroll manager reviews rate comparison report and approves",
      "status": "PENDING"
    },
    {
      "step": 4,
      "agent": "payroll-engine",
      "action": "update_all_employee_rate_cards",
      "prerequisite": "H3 approval",
      "effective_date": "2026-07-01",
      "status": "PENDING"
    },
    {
      "step": 5,
      "agent": "award-agent",
      "action": "verify_first_pay_run_post_roll",
      "check": "Confirm new rates applied in first pay run after 1 July",
      "status": "PENDING"
    }
  ]
}

```

What the Award-Agent Cannot Do

The award-agent is powerful, but its scope is bounded. Know what sits outside it.

The award-agent cannot determine the applicable modern award from first principles if the employer has not configured the mapping. It can flag that no award is mapped and route to H3, but it cannot read a position description and reliably identify the correct award without practitioner input. Modern award coverage is a legal question. Award-agent helps; a practitioner decides.

The award-agent cannot assess whether an enterprise agreement passes the Better Off Overall Test (BOOT). That is H2 territory — a registered tax agent and an employment lawyer are the right resources.

The award-agent cannot determine whether a worker classified as a contractor is actually an employee. The multi-factor test is a legal analysis. The award-agent can flag that a worker's engagement pattern has characteristics consistent with employment (fixed hours, regular pattern, single principal), but the classification itself is H3 at minimum — and H2 if the reclassification has tax consequences including PAYG withholding and SG obligations that were not met.

NOTE

My take: The award-agent's value lies in making award knowledge systematic rather than in replacing it. Without the agent, award compliance lives in a payroll officer's memory and is as good as their last training. With the agent, award compliance is a documented, version-controlled check that runs on every payslip, every pay cycle, without exception. That reduces underpayment risk materially; it does not eliminate it. The human gates remain because award law is not deterministic. The combinations of award, enterprise agreement, individual flexibility arrangement, and actual hours worked require human judgement at the edges. The agent handles the centre; practitioners handle the edges.

Compliance Check — Putting It Together

Here is the full award compliance check as the award-agent runs it for a single employee in a single pay period:

```
// award-agent: full compliance check – single employee, single period
{
  "function": "per_employee_compliance_check",
  "employee_id": "EMP-1809",
  "employee_name": "Sasha Petrov",
  "employer": "Westfield Logistics",
  "award_code": "MA000039",
  "pay_period": "2026-07-01 to 2026-07-14",
  "checks": [
    {
      "check": "MINIMUM_RATE",
      "result": "PASS",
      "detail": "Hourly rate on payslip exceeds award minimum for Level 3 –
```

```

verified against rate card version 2026-07-01"
  },
  {
    "check": "PENALTY_RATES",
    "result": "PASS",
    "detail": "Saturday shift on 2026-07-05 – 150% applied – correct per award
clause 28.2"
  },
  {
    "check": "OVERTIME",
    "result": "PASS",
    "detail": "3.5 hours overtime on 2026-07-09 – 150% applied first 2 hours,
200% thereafter – correct"
  },
  {
    "check": "ALLOWANCES",
    "result": "PASS",
    "detail": "Vehicle allowance on 2026-07-11 – amount matches ATO exempt rate
for the quarter – non-OTE correctly flagged"
  },
  {
    "check": "CASUAL_LOADING",
    "result": "N/A",
    "detail": "Employee is full-time – casual loading check not applicable"
  },
  {
    "check": "ANNUALISED_SALARY",
    "result": "N/A",
    "detail": "No annualised salary arrangement in place"
  },
  {
    "check": "NMW_FLOOR",
    "result": "PASS",
    "detail": "Award minimum rate exceeds NMW – floor check satisfied"
  }
],
"overall_status": "GREEN",
"engine_ref": "PE-AWARDCHECK-1809-20260714",
"workpaper": {
  "generated": true,
  "archived": "audit-trail/2026-07/EMP-1809-award-check-20260714.json",
  "noOverride": true
}
}

```

The workpaper is archived. Every GREEN check for every employee for every pay period becomes part of the audit trail. If a Fair Work Inspector asks for evidence of award compliance for the last 12 months, the answer is not "we think we were compliant" — it is a structured JSON archive of every compliance check the award-agent ran, with the engine references attached.

That archive is the difference between a payroll compliance posture and a payroll compliance system.

TIP

Next: Chapter 06 covers termination payments — ETPs, genuine redundancy, leave on termination, and the termination-agent's classification workflow. Termination is the highest-risk payroll event: get the ETP classification wrong and the tax on a departing employee's final payment is wrong. The engine computes; the practitioner classifies; the BAS agent lodges.

06 Termination Payments — ETPs, Genuine Redundancy, and Leave Accruals

ETP tax-free components, genuine redundancy tax-free amount, leave on termination, and the termination-agent

Termination is the most complex payroll event an employer will process. Multiple components with different tax treatments arrive simultaneously: accrued annual leave, long service leave, employment termination payments, and potentially a genuine redundancy tax-free amount — each flowing through a separate withholding rule, each reported differently under STP2. The termination-agent classifies; the payroll engine computes; no amount ships without a H3 practitioner gate on ETP classification.

Employment Termination Payments — The Two Types

An employment termination payment (ETP) is a payment made in consequence of the termination of employment. The tax treatment depends on whether the payment is a life benefit ETP or a death benefit ETP. Getting this classification wrong produces incorrect withholding and incorrect STP2 reporting — both of which require amended submissions and potential ATO interaction.

The definitions are in Division 82 of the Income Tax Assessment Act 1997 (ITAA 1997). Before I discuss the engine, understand what the law puts in each bucket.

Life Benefit ETP

A life benefit ETP is paid to a living employee in consequence of termination. It includes:

Payment type	Typical scenario	Notes
Golden handshake / ex-gratia payment	Negotiated exit package above entitlements	May be ETP or ordinary income depending on characterisation — H3 gate required
Payment in lieu of notice	Employer elects to pay out notice period rather than work it	ETP if not contractually required; ordinary income if a contractual entitlement

Compensation for loss of employment	Wrongful dismissal settlement, redundancy top-up above statutory minimum	Generally ETP — verify with H3 before processing
Genuine redundancy — amount above tax-free threshold	Redundancy payment that exceeds the genuine redundancy tax-free amount	Excess is ETP, not ordinary income — see section 06.3
Invalidity payment	Payment for permanent incapacity before retirement age	A tax-free component applies; invalidity segment under s 82-150 ITAA 1997 — verify

NOTE

My take: Payment in lieu of notice is the most mis-classified ETP I see in practice. Whether it is an ETP or ordinary income turns on whether the contract gives the employer the right to elect payment in lieu. If the contract is silent, a common law analysis applies. That is a legal question. The payroll engine cannot resolve it from a contract field alone. The H3 gate is not optional here.

Death Benefit ETP

A death benefit ETP is a payment made in consequence of a deceased employee's termination. The recipient is a death benefit dependant or non-dependant rather than the employee. The tax treatment differs from life benefit ETPs, and the ETP cap rules differ. The payroll engine distinguishes death benefit ETPs by recipient type and applies the correct withholding rate accordingly.

Death benefit ETPs are relatively rare in a standard payroll run. The termination-agent flags them immediately and routes to H1 — a registered tax agent — before any amount is computed, because the interplay between the death benefit tax-free component, the dependant/non-dependant status, and superannuation death benefit payments can only be safely resolved with full knowledge of the deceased's affairs.

TIP

Rule: Life benefit ETP → H3 gate on classification, payroll engine computes. Death benefit ETP → H1 gate before the engine touches it. Once classification is confirmed, the engine computes the amount. It does not own the classification.

ETP Tax-Free Component and the ETP Cap

Life benefit ETPs can have a tax-free component. The component arises from the invalidity segment or the pre-July 1983 segment of a payment. Most modern terminations will not involve a pre-July 1983 segment — that requires an employee whose service began before 1 July 1983. The

invalidity segment arises from permanent incapacity payments under s 82-150 ITAA 1997; the pre-July 1983 segment under s 82-155.

For the majority of life benefit ETPs, there is no tax-free component in the Division 82 sense. The tax concession for ETPs comes instead from a concessional rate applied to the taxable component, up to the ETP cap.

The ETP cap is an annually indexed amount — \$260,000 for FY2025-26 (as at June 2026). Verify the current cap from the ATO directly — it is indexed under Subdiv 960-M of the ITAA 1997 (CPI-based indexation) and changes on 1 July each year. The payroll engine must be configured with the correct indexed amount for the relevant financial year.

NOTE

My take: I have seen payroll software that hard-codes the ETP cap and is never updated. An employee terminated in September who receives an ETP processed against last year's cap produces incorrect withholding. Always verify the ETP cap against the ATO's current schedule at ato.gov.au before processing any termination in a new financial year. The arithmetic belongs to the engine — but only if it is seeded with correct inputs.

The taxable component of a life benefit ETP is taxed at concessional rates up to the cap, and at the top marginal rate (plus Medicare levy — verify current rates) above it. The payroll engine applies the ATO withholding rates from the published tax tables for ETPs. You do not manually compute the withholding amount — you direct the engine to apply the correct schedule.

There is a second cap that applies to ETPs: the whole-of-income cap. The whole-of-income cap limits the total of all income in the income year (other income plus ETP) that qualifies for the concessional rate. Once the employee's other income plus the ETP exceeds the whole-of-income cap, any ETP amount above that combined threshold is taxed at the top marginal rate. The whole-of-income cap is fixed at \$180,000 (not indexed — s 82-10 ITAA 1997; verify current ATO position).

ETP taxable component amount	Withholding rate	Note
Up to ETP cap (age-tested)	Concessional rate (verify ATO schedule)	Lower rate for those at preservation age or older
Above ETP cap	Top marginal rate + Medicare levy	No concession applies
Whole-of-income cap breach	Top marginal rate + Medicare levy	Applied to the excess above the combined income threshold

The preservation age test matters for ETPs. An employee at or above their preservation age (currently 60, verify against ATO for future years) receives a different concessional rate than one below it. The payroll engine must hold the employee's date of birth and compute age at the date of

payment — not the date of notice or the date the termination was decided.

Worked Example — ETP Cap Application

(Assumed-fact illustration — rates and caps are placeholder; verify all indexed amounts against ATO before processing)

Marcus works at Westfield Logistics and is terminated by agreement. His payment in lieu of notice is correctly classified as an ETP (H3 gate completed; classification confirmed). His other taxable income for the year is \$85,000. The termination-agent passes the following payload to the payroll engine:

```
{
  "employee_id": "WL-0412",
  "employee_name": "Marcus Chen",
  "date_of_birth": "1978-04-14",
  "termination_date": "2026-06-18",
  "financial_year": "2025-26",
  "etp_classification": "LIFE_BENEFIT",
  "etp_type_code": "0",
  "etp_taxable_component": 42000,
  "etp_tax_free_component": 0,
  "other_income_ytd": 85000,
  "etp_cap_fy2026": "verify_ato",
  "whole_of_income_cap_fy2026": "verify_ato",
  "preservation_age_reached": false,
  "h3_gate": {
    "completed": true,
    "practitioner": "James Hooper CA",
    "date": "2026-06-16",
    "classification_confirmed": "PILON_ETP"
  }
}
```

The payroll engine resolves the age test (Marcus is 48, below preservation age), checks the ETP taxable component against the indexed ETP cap for FY2026, applies the below-cap concessional rate to the component up to the cap, and applies top marginal rate to any excess. It also checks whether Marcus's other income plus the ETP exceeds the whole-of-income cap and adjusts withholding accordingly.

What this illustrates: Once it receives a validated, H3-confirmed classification payload, the engine performs every arithmetic step. The practitioner signs off on the type of payment, and the engine computes the amount. Each step depends on the other.

Genuine Redundancy — The Separate Tax-Free Amount

Genuine redundancy is defined in s83-175 ITAA 1997. A payment is a genuine redundancy payment if the employee is dismissed because the job — not the person — is genuinely redundant. The conditions require: the dismissal is not voluntary, the job genuinely no longer exists, the payment is no more than what an arm's length employer would pay, and the employee is under age 65 at the time (verify current age limit against ATO).

Genuine redundancy produces a separate tax-free amount that is distinct from the ETP tax-free component discussed in section 06.2. The genuine redundancy tax-free amount is calculated as: a base amount plus an amount per completed year of service. Both amounts are indexed annually. Verify the current figures from the ATO — they change on 1 July each year. Do not carry forward prior year amounts.

The structure of a genuine redundancy payment is:

Payment component	Tax treatment	STP2 reporting
Genuine redundancy amount — up to the tax-free threshold	Tax-free; no withholding	Reported as lump sum D
Genuine redundancy amount — excess above tax-free threshold	Life benefit ETP; subject to ETP withholding rules	Reported as ETP
Accrued annual leave paid on redundancy	Ordinary income; marginal rate withholding	Reported as lump sum A (if unused leave) or in gross
Long service leave component	Depends on state and accrual period — see section 06.4	Lump sum B or ordinary income depending on circumstances
Notice (worked or paid in lieu)	Ordinary income if contractual; ETP if not — H3 gate	Depends on classification

NOTE

My take: Genuine redundancy is where small payroll teams make costly mistakes. They see "redundancy payment" and assume the whole amount is tax-free. Only the amount up to the indexed genuine redundancy tax-free threshold is tax-free. The excess is an ETP. Annual leave paid on termination sits outside both buckets — it is ordinary income at marginal rates. These three buckets must never be merged.

Worked Example — Genuine Redundancy Calculation Split

(Assumed-fact illustration — all thresholds are placeholders; verify all indexed amounts against ATO before processing)

Angela works at Harbour Engineering Pty Ltd. She is made redundant after 9 completed years of service. She is 52. The payroll team asks the termination-agent to classify and split the payment.

```
{
  "employee_id": "HE-0204",
  "employee_name": "Angela Lowe",
  "date_of_birth": "1974-01-22",
  "termination_date": "2026-06-15",
  "termination_type": "GENUINE_REDUNDANCY",
  "completed_years_of_service": 9,
  "total_redundancy_payment": 75000,
  "annual_leave_accrued_days": 18,
  "annual_leave_daily_rate": 280,
  "long_service_leave_accrued_weeks": 3.4,
  "lsl_weekly_rate": 1350,
  "genuine_redundancy_tax_free_base": "verify_ato_fy2026",
  "genuine_redundancy_tax_free_per_year": "verify_ato_fy2026"
}
```

The termination-agent computes: tax-free threshold = base + (per_year * 9). It compares this to \$75,000. If \$75,000 exceeds the threshold, the excess is classified as an ETP and routed through the ETP computation path. If \$75,000 is below the threshold, the entire redundancy payment is tax-free.

Annual leave (\$280 * 18 = \$5,040) is withheld at marginal rates and reported as lump sum A in STP2. Long service leave is processed separately — see section 06.4.

What this illustrates: A single termination event produces multiple payment streams with different tax treatments. The termination-agent must split them before the payroll engine can compute withholding. Once the split is confirmed, the engine calculates each component.

Early Retirement Scheme vs Genuine Redundancy

An early retirement scheme (ERS) is a separate concept to genuine redundancy. Payments under an approved ERS also attract a tax-free amount (same formula as genuine redundancy — verify against ATO). The ATO must approve the scheme. If the employer has not obtained ATO approval, the payment is not an ERS payment regardless of what the termination agreement calls it. The termination-agent checks for an ATO scheme approval reference number before routing to the ERS path. No reference number, no ERS treatment.

Leave on Termination — Annual Leave, LSL, and the Marginal Rate Rule

Leave accruals paid on termination are not ETPs. This is one of the most persistent misunderstandings in Australian payroll. Annual leave and long service leave paid on termination are included in assessable income at the employee's marginal rate. They are not concessional tax. They do not go through the ETP cap.

Annual Leave on Termination

Annual leave paid on termination is subject to PAYG withholding at marginal rates. The ATO publishes withholding schedules that apply to unused annual leave paid on termination. These differ from the withholding that applies to ordinary annual leave taken during employment.

Withholding on unused annual leave paid on termination is based on the employee's marginal rate. You must use the ATO's tax tables for unused leave payments — do not apply the ordinary weekly tax table. Verify the correct schedule at ato.gov.au/tax-tables before processing.

Under STP2, unused annual leave paid on termination is reported as lump sum A — type R for genuine redundancy, invalidity or an approved early retirement scheme, type T for other terminations (ATO STP2 employer reporting guide — verify). Long service leave reporting differs — see below.

Long Service Leave on Termination

Long service leave (LSL) is a creature of state and territory legislation. There is no federal LSL statute. Each jurisdiction has its own minimum entitlement, accrual rate, and tax treatment. The tax treatment of LSL paid on termination varies materially by state, and that variation drives real withholding differences.

The general principle under Commonwealth income tax law: LSL taken as leave during employment is ordinary income at marginal rates. LSL paid as a lump sum on termination has special treatment under s83-75 to s83-80 ITAA 1997 for the pre-16 August 1978 period (the 5% rule), with the post-1978 portion taxed at marginal rates. For the vast majority of employees in 2026, the pre-August 1978 period is irrelevant — they had not yet started employment. But verify the employee's commencement date before assuming no concessional treatment applies.

NOTE

My take: Every state has its own LSL Act: Victoria's Long Service Leave Act 2018, NSW Long Service Leave Act 1955, Queensland Industrial Relations Act 2016, and so on. The accrual rate, portability rules, and payment on termination rules differ. The payroll engine must be state-aware. A payroll system that applies a single national LSL rule is wrong by design. Always verify the applicable state legislation. The engine, not the agent, calculates this — once the applicable state rules are correctly configured.

Leave type on termination	Tax treatment	STP2 field
Unused annual leave	Marginal rate — ATO unused leave withholding table	Lump sum A
Long service leave (post-Aug 1978)	Marginal rate — same table as annual leave unless pre-1978 service exists	Lump sum B (if accrued before 16 Aug 1978) or lump sum A
Personal/carer's leave	Not payable on termination under most awards — verify applicable award	N/A if not paid; ordinary income if paid
Annual leave loading	Included in the unused leave amount; same withholding treatment	Included in lump sum A total

Award-governs: the applicable modern award (or enterprise agreement) governs whether annual leave loading is payable on termination and whether specific leave types accrue. The payroll engine must be configured with the correct award. Verify the applicable award using Fair Work Commission resources before finalising any termination payment. The engine does not self-select the award.

Worked Example — Leave Computation at Termination

(Assumed-fact illustration — verify all award entitlements and withholding rates before processing)

Priya is a full-time employee of Blue Mountain Healthcare. She resigns with 4 weeks notice, which she works. At termination she has 22 days of accrued annual leave and 6 weeks of LSL accrued. Her ordinary daily rate is \$320 and weekly rate is \$1,600. She is employed under the Health Professionals and Support Services Award 2020 (verify applicable award).

```
{
  "employee_id": "BMH-0317",
  "employee_name": "Priya Nair",
  "termination_type": "RESIGNATION",
  "applicable_award": "HEALTH_PROFESSIONALS_SUPPORT_SERVICES_AWARD_2020",
```

```
"commencement_date": "2017-03-01",
  "termination_date": "2026-06-20",
  "annual_leave_accrued_days": 22,
  "annual_leave_daily_rate": 320,
  "annual_leave_loading_rate": 0.175,
  "lsl_accrued_weeks": 6,
  "lsl_weekly_rate": 1600,
  "lsl_pre_aug78_weeks": 0,
  "ytd_other_income": 68000
}
```

```
// Termination-agent computed split
{
  "annual_leave_gross": 7040, // 22 * 320
  "annual_leave_loading": 1232, // 7040 * 0.175 - verify award entitlement to
loading on termination
  "annual_leave_total": 8272,
  "lsl_gross": 9600, // 6 * 1600
  "lsl_pre_aug78_amount": 0,
  "lsl_taxable_at_marginal": 9600,
  "withholding_schedule": "ATO_UNUSED_LEAVE_TABLE",
  "stp2_annual_leave_field": "LUMP_SUM_A",
  "stp2_lsl_field": "LUMP_SUM_A",
  "etp_components": [],
  "note": "Resignation – no ETP. Leave paid at marginal rates. Verify award
entitlement to loading on termination before processing."
}
```

What this illustrates: A straightforward resignation still produces multiple withholding calculations. The termination-agent separates them and flags the award entitlement question for loading before the engine computes final figures. The arithmetic is the engine's to produce; the award governs whether loading is included.

Golden Handshakes and Ex-Gratia Payments

A golden handshake is an ex-gratia payment made to an employee on termination — typically above their contractual entitlements. The tax treatment of a golden handshake depends on its character.

If the payment is made in consequence of termination, it is generally a life benefit ETP. But a payment can be ordinary income if it is characterised as a payment for services rendered (a bonus or commission for past work) rather than compensation for loss of employment. The distinction

requires analysis of the facts — the payment amount, the circumstances, the wording of any agreement, and the purpose the employer had in mind.

This is a H3 gate. No golden handshake payment should be processed until a practitioner has confirmed the characterisation. A payroll officer cannot resolve this from the face of a termination agreement. Putting an ordinary income payment through the ETP path produces incorrect withholding and incorrect STP2 reporting. Putting an ETP through the ordinary income path has the same effect.

```
// termination-agent golden handshake flag
{
  "employee_id": "ARS-0119",
  "employee_name": "Robert Henley",
  "payment_description": "ex-gratia payment per termination agreement clause 7",
  "amount": 55000,
  "classification": "UNRESOLVED",
  "flags": [
    "PAYMENT_IN_EXCESS_OF_STATUTORY_ENTITLEMENTS",
    "NO_CONTRACTUAL_BASIS_IDENTIFIED",
    "EX_GRATIA_LANGUAGE_IN_AGREEMENT"
  ],
  "routing": "H3_GATE_REQUIRED",
  "h3_reason": "Payment characterisation – ETP vs ordinary income cannot be
determined from payroll data alone. Refer to practitioner before processing.",
  "blocked": true
}
```

The termination-agent blocks the payment and routes to H3. The practitioner reviews the agreement, considers the case law on employment termination payment characterisation [case citation — verify before use], and confirms whether the payment is an ETP or ordinary income. Only after confirmation does the payroll engine process withholding.

STP2 Reporting of Termination Payments

Termination payments under STP2 require precise field mapping. The ATO's STP2 employer reporting guide sets out which payment type maps to which income stream and field. Getting the mapping wrong means incorrect data in the employee's income statement — which affects their tax return prefill, their Medicare Levy Surcharge assessment, and potentially their government benefit eligibility.

The key STP2 fields for termination payments are:

Payment	STP2 field	Code / type	Notes
---------	------------	-------------	-------

Life benefit ETP — taxable component	ETP taxable component	ETP type O or R (verify ATO guide)	O = non-excluded ETP; R = excluded ETP — type determines which cap applies
Life benefit ETP — tax-free component	ETP tax-free component	Paired with type code	Zero for most modern terminations absent invalidity or pre-83 service
Genuine redundancy — tax-free amount	Lump sum D	LUMP_SUM_D	Only the amount up to the genuine redundancy threshold
Unused annual leave on termination	Lump sum A	Type R (redundancy/invalidity/approved ERS) or type T (other terminations) — verify ATO STP2 guide	Includes leave loading if award entitlement confirmed
Long service leave (post-Aug 1978)	Lump sum A	Verify ATO STP2 guide for code	Pre-Aug 1978 portion is lump sum B — rare in 2026
Death benefit ETP	ETP — death benefit fields	Dependant / non-dependant split	H1 gate required before any computation

The STP2 submission for a termination event must also include: a cessation date, a cessation type code (V = voluntary cessation, I = ill health, D = deceased, R = redundancy, F = employer initiated dismissal, etc. — verify current codes in ATO STP2 guide), and the final pay period end date. An STP submission missing a cessation type code will fail.

ETP Type Codes — O vs R

Life benefit ETPs are reported with a type code that determines which cap applies:

Type O (non-excluded ETP): the standard ETP cap applies. Type R (excluded ETP): a separate cap rule applies. Excluded ETPs arise from compensation for unfair dismissal, personal injury, harassment, discrimination, or loss of a contingent right. Because an excluded ETP has a different cap, mis-coding O as R (or vice versa) produces incorrect withholding for the entire ETP amount. This is a H3 gate check — the practitioner confirms the type before the engine applies any cap.

```
// STP2 termination event payload – termination-agent output
{
  "event_type": "TERMINATION_STP2",
  "employer_abn": "51 824 753 556",
  "payee_id": "HE-0204",
  "period_start": "2026-06-15",
  "period_end": "2026-06-15",
  "cessation_date": "2026-06-15",
  "cessation_type": "R",
```

```
{
  "income_type": "SAW",
  "gross": 0,
  "tax_withheld": 0
},
"lump_sum_d": 42500,
"etp": {
  "type_code": "0",
  "taxable_component": 8500,
  "tax_free_component": 0,
  "withholding": "COMPUTE_VIA_ENGINE",
  "h3_confirmed": true
},
"lump_sum_a": {
  "amount": 8272,
  "code": "R",
  "withholding": "COMPUTE_VIA_ENGINE"
},
"lump_sum_b": null,
"super_sg": {
  "applicable": false,
  "reason": "Termination payments (ETP, leave) do not attract SG – verify applicable award for notice period"
},
"notes": "Genuine redundancy. Tax-free amount confirmed at $42,500 (verify ATO indexed figure). ETP excess $8,500 type 0. Annual leave $8,272. All figures H3-confirmed."
}
```

Worked Example — Full STP2 Termination Payload

(Assumed-fact illustration — all dollar amounts, thresholds, and rates are placeholders; verify against ATO and applicable award before processing)

Nathan works at Metro Digital Solutions. He is made genuinely redundant after 11 years. His package comprises: a genuine redundancy payment of \$68,000, 25 days accrued annual leave at \$350/day, 8 weeks LSL at \$1,750/week, and a negotiated ex-gratia payment of \$20,000 (characterised as ETP — H3 confirmed). The termination-agent constructs the following full payload:

```
{
  "employee_id": "MDS-0508",
  "employee_name": "Nathan Okafor",
```



```

"cessation_type": "R",
"completed_years_of_service": 11,
"applicable_award": "PROFESSIONAL_EMPLOYEES_AWARD_2020",
"state": "VIC",

"genuine_redundancy_payment": 68000,
"genuine_redundancy_tax_free_threshold": "verify_ato_fy2026",
"genuine_redundancy_tax_free_amount": "computed_by_engine",
"genuine_redundancy_etp_excess": "computed_by_engine",

"annual_leave_days": 25,
"annual_leave_daily_rate": 350,
"annual_leave_loading_applicable": true,
"annual_leave_loading_rate": 0.175,
"annual_leave_total": "computed_by_engine",

"lsl_weeks": 8,
"lsl_weekly_rate": 1750,
"lsl_total": 14000,
"lsl_pre_aug78_weeks": 0,

"ex_gratia_payment": 20000,
"ex_gratia_classification": "LIFE_BENEFIT_ETP_TYPE_0",
"ex_gratia_h3_confirmed": true,
"ex_gratia_practitioner": "James Hooper CA",

"ytd_other_income": 72000,
"date_of_birth": "1981-09-03",
"preservation_age_reached": false,

"etp_cap_fy2026": "verify_ato",
"whole_of_income_cap_fy2026": "verify_ato",

"sg_on_termination_payments": false,
"sg_on_notice_worked": "N/A_no_notice_period",

"h3_gate": {
  "completed": true,
  "date": "2026-06-28",
  "practitioner": "James Hooper CA",
  "confirmed": [
    "Genuine redundancy conditions met",
    "Ex-gratia payment characterised as life benefit ETP type 0",
    "LSL entitlement confirmed under Vic LSL Act 2018",
    "Annual leave loading payable on termination per award clause 35.5"
  ]
}

```

```
}  
}
```

What this illustrates: A complete termination event requires classification of four separate payment streams, two H3-confirmed decisions (redundancy genuineness and ex-gratia characterisation), state-law verification for LSL, and award verification for leave loading. The payroll engine computes every withholding figure once those inputs are confirmed. The practitioner owns the classification; the engine produces the arithmetic; each is wholly dependent on the other.

Superannuation on Termination Payments

A common payroll error is computing superannuation guarantee contributions on termination payments. The rules are specific:

ETPs — life benefit or death benefit — do not attract SG. Annual leave paid on termination does not attract SG. Long service leave paid on termination does not attract SG. A payment in lieu of notice worked does not attract SG. A payment for a notice period that is worked does attract SG — because it is ordinary time earnings for that period.

Verify SG obligations for any notice period payment against the ATO's guidance on ordinary time earnings. The payroll engine must correctly exclude termination payment components from the OTE base. An engine that includes ETP amounts in the SG calculation overpays super — and if the error is discovered in an ATO audit, it creates reporting complexity around excess contributions.

NOTE

My take: SG on termination payments is a binary rule, not a judgement call. ETPs do not attract SG. Leave paid on termination does not attract SG. Worked notice does. The payroll engine should enforce this automatically — if you are manually computing SG exclusions for termination events, you have a gap in your engine configuration.

The Termination-Agent — Classification and Engine Routing

The termination-agent is the classification layer that sits between the raw termination event (an HR system record, a letter of termination, a separation agreement) and the payroll engine. Its job is to read the facts of the termination, identify every payment component, apply classification rules, trigger the appropriate human gate, and produce a structured payload for the engine.

The termination-agent classifies and routes; computing withholding and lodging with the ATO are outside its remit. The payroll engine computes. The payroll-orchestrator coordinates both and manages the STP2 submission.

Termination-Agent Configuration

```
// termination-agent system configuration
{
  "agent_id": "termination-agent-v2",
  "role": "CLASSIFICATION_AND_ROUTING",
  "inputs_required": [
    "termination_type",
    "termination_date",
    "payment_components",
    "employee_profile",
    "applicable_award",
    "state_jurisdiction",
    "employment_agreement",
    "commencement_date",
    "ytd_income"
  ],
  "classification_rules": {
    "payment_in_lieu_of_notice": {
      "contractual_election_clause": "ORDINARY_INCOME",
      "no_contractual_basis": "PROBABLE_ETP",
      "uncertain": "H3_GATE"
    },
    "ex_gratia_payment": {
      "any_amount": "H3_GATE",
      "reason": "Character of payment requires practitioner determination"
    },
    "genuine_redundancy": {
      "conditions_check": [
        "job_genuinely_redundant",
        "employee_under_65",
        "payment_arm_length",
        "not_voluntary"
      ],
      "all_conditions_met": "GENUINE_REDUNDANCY_PATH",
      "conditions_uncertain": "H3_GATE",
      "conditions_not_met": "ORDINARY_TERMINATION_PATH"
    },
    "death_benefit_etp": {
      "any_case": "H1_GATE",
      "reason": "Non-delegable – registered tax agent required"
    }
  },
  "gates": {
```

```

"H3": "PRACTITIONER_REVIEW – ETP classification, redundancy genuineness, ex-gratia
character"
},
"engine_handoff": {
  "condition": "classification_confirmed AND relevant_gate_cleared",
  "payload_schema": "termination_engine_payload_v3",
  "blocking": true
},
"stp2_output": {
  "produces": "TERMINATION_STP2_EVENT",
  "cessation_type_required": true,
  "lump_sum_fields": ["A", "B", "D"],
  "etp_fields": ["type_code", "taxable_component", "tax_free_component",
"withholding"]
}
}

```

Classification Decision Tree

```

termination_event
|
|— DEATH → H1 gate → registered tax agent → then engine
|
|— GENUINE_REDUNDANCY
|   |— conditions_met → split into:
|   |   |— tax_free_amount → lump sum D (no withholding)
|   |   |— etp_excess → ETP type 0 path → H3 confirm → engine
|   |   |— annual_leave → lump sum A → engine
|   |   └─ lsl → state_rules → engine
|   └─ conditions_uncertain → H3 gate
|
|— ORDINARY_TERMINATION (resignation / performance / fixed term end)
|   |— annual_leave → lump sum A → engine
|   |— lsl → state_rules → engine
|   |— pilon → contractual? → ordinary income : H3 gate
|   └─ ex_gratia → H3 gate (always)
|
└─ EARLY_RETIREMENT_SCHEME
    |— ato_approval_number present → ERS path → split same as redundancy
    └─ no_approval_number → H3 gate

```

Payroll-Orchestrator Coordination

The payroll-orchestrator manages the sequence. It does not allow the engine to produce an STP2 submission for a termination event unless all required gates are cleared and the termination-agent has produced a confirmed classification payload.

```
// payroll-orchestrator termination sequence
async function processTermination(employeeId, terminationData) {
  // Step 1: termination-agent classifies
  const classification = await terminationAgent.classify({
    ...terminationData,
    employeeProfile: await payrollDb.getEmployee(employeeId)
  });

  // Step 2: check for blocking gates
  if (classification.blocked) {
    await notifications.sendToQueue({
      queue: classification.routing, // H1 or H3
      payload: classification,
      urgent: classification.routing === "H1_GATE"
    });
    return { status: "PENDING_GATE", gate: classification.routing };
  }

  // Step 3: once gate cleared (callback or manual confirmation)
  const confirmedClassification = await gates.awaitConfirmation(
    classification.id,
    { timeout_hours: 48 }
  );

  if (!confirmedClassification.approved) {
    throw new Error(`Gate rejected: ${confirmedClassification.rejection_reason}`);
  }

  // Step 4: payroll engine computes all withholding components
  const engineResult = await payrollEngine.computeTermination({
    classification: confirmedClassification,
    financialYear: "2025-26",
    atoCaps: await atoRates.getTerminationCaps("2025-26"),
    taxTables: await atoRates.getUnusedLeaveTable("2025-26"),
    stateConfig: await stateRules.getLSLConfig(terminationData.state)
  });

  // Step 5: produce STP2 event
```

```

engine: engineResult,
  cessationDate: terminationData.terminationDate,
  cessationType: confirmedClassification.cessationTypeCode
});

// Step 6: lodge
await stpLodger.lodge(stp2Event);

return { status: "COMPLETE", stp2EventId: stp2Event.id };
}

```

The engine produces the number at Step 4. Steps 1 through 3 are classification and governance. Steps 5 and 6 are reporting and lodgement. The orchestrator enforces that no step can skip over the gate check.

Worked Example — Termination-Agent ETP Classification Block

(Assumed-fact illustration — demonstrates agent blocking behaviour, not specific tax outcomes)

Chloe is dismissed from Adelaide Retail Services. Her termination letter includes a payment described as "consideration for signing a deed of release." The HR system records it as "ex-gratia — \$35,000." The payroll team submits the termination event to the payroll-orchestrator.

```

{
  "employee_id": "ARS-0891",
  "employee_name": "Chloe Renard",
  "termination_date": "2026-06-10",
  "termination_type": "EMPLOYER_INITIATED",
  "payments": [
    { "description": "Unused annual leave", "amount": 4200 },
    { "description": "Consideration for deed of release", "amount": 35000 }
  ],
  "agreement_text": "In consideration of the Employee executing the Deed of Release..."
}

```

The termination-agent processes this payload. It identifies "consideration for deed of release" as a flag pattern — this language may indicate a payment for personal injury, harassment, or discrimination under s83-170 ITAA 1997 (which would make it an excluded ETP, type R) or it may indicate an ex-gratia payment (type O ETP) or conceivably ordinary income. The agent cannot resolve the character from the description string alone.

```

// termination-agent response
{

```

```

"blocked_components": [
  {
    "description": "Consideration for deed of release",
    "amount": 35000,
    "flags": [
      "DEED_OF_RELEASE_LANGUAGE",
      "POSSIBLE_TYPE_R_ETP_IF_PERSONAL_INJURY_CLAIM",
      "POSSIBLE_TYPE_O_ETP_IF_PURE_EX_GRATIA",
      "CHARACTER_UNRESOLVABLE_FROM_PAYROLL_DATA"
    ],
    "routing": "H3_GATE",
    "reason": "Deed of release consideration: practitioner must determine
whether claim involves personal injury, harassment, or discrimination. ETP type 0
vs R turns on this. Wrong type code produces incorrect cap and incorrect
withholding."
  }
],
"cleared_components": [
  {
    "description": "Unused annual leave",
    "amount": 4200,
    "classification": "UNUSED_LEAVE_LUMP_SUM_A",
    "withholding": "ATO_UNUSED_LEAVE_TABLE",
    "cleared": true
  }
],
"stp2_status": "PARTIAL_HOLD",
"note": "Annual leave can be processed. Deed of release payment held pending H3
gate."
}

```

What this illustrates: The termination-agent does not guess. When the character of a payment is ambiguous, it blocks and routes. Annual leave — an unambiguous component — is cleared for processing. The uncertain component waits. The payroll engine will not receive the blocked component until the gate is cleared.

Deceased Employee Termination — H1 Gate

When an employee dies while employed, the termination is a special case. Final salary, accrued leave, and death benefit ETPs must be handled carefully. The interplay with superannuation death benefits and the estate means that a payroll team should not process these payments without H1 involvement — a registered tax agent.

The termination-agent immediately blocks and routes to H1 when it detects a cessation type of D (deceased). It classifies nothing, computes nothing, lodges a notification, and waits.

```
// termination-agent response – deceased employee
{
  "classification": "H1_MANDATORY_HOLD",
  "cessation_type": "D",
  "reason": "Employee deceased – all termination payments require registered tax agent review before processing. Death benefit ETP rules, dependant vs non-dependant characterisation, and superannuation death benefit interactions cannot be resolved at payroll level.",
  "action": "NOTIFY_H1",
  "blocked": true,
  "engine_locked": true
}
```

This is non-delegable. A payroll officer cannot decide that the estate is simple enough to skip H1. The registered tax agent reviews the position, obtains legal confirmation of beneficiary status where needed, and provides the termination-agent with confirmed classification inputs before the engine is unlocked.

Common Errors and Their Consequences

Termination payment errors are among the most expensive in Australian payroll. Each error has a specific consequence chain:

Error	Consequence	Remediation path
Treating annual leave on termination as an ETP	Wrong STP2 field; wrong withholding rate; employee's tax return prefill incorrect	Amended STP2 event; refund or collect difference; H3 review
Not splitting genuine redundancy into tax-free and ETP excess	Withholding on tax-free amount (over-withheld); employee must claim refund via tax return	Amended STP2; amended payment summary; H3 review
Using prior year ETP cap	Wrong concessional rate threshold; possible under-withholding; ATO reconciliation issue	Verify cap, recompute, amended event
ETP type O coded as type R (or vice versa)	Wrong cap applied; incorrect withholding; ATO may assess penalties for incorrect reporting	H3 review, corrected classification, amended STP2
Including ETP amounts in SG calculation	Excess SG contribution; possible breach of employee's concessional contribution cap	Consult superannuation fund; adjust future contributions; document
Applying single national LSL rule across all states	Wrong accrual, wrong entitlement, wrong withholding in some states	State-by-state audit; correct LSL configuration in payroll engine

Processing death benefit ETP without H1 gate	Potential incorrect characterisation of dependant status; serious tax consequences for beneficiary	Registered tax agent review; amended processing; possible estate involvement
--	--	--

NOTE

My take: The cost of getting termination payments right is a 30-minute H3 practitioner review on any case with uncertainty. The cost of getting them wrong is an amended STP2 event, an employee who has to deal with an incorrect tax return, a possible ATO audit inquiry, and the reputational damage of a mistake on someone's last day of employment. The termination-agent's job is to make the 30-minute review inevitable for uncertain cases — not optional.

Configuring the Payroll Engine for Termination — Rate and Threshold Management

The payroll engine requires correct configuration for each financial year before it can process terminations. Configuration is a recurring obligation. Every 1 July, the following must be verified and updated:

ETP cap (life benefit) — indexed annually, verify at ato.gov.au. Genuine redundancy tax-free base and per-year amounts — indexed annually, verify at ato.gov.au. Whole-of-income cap — indexed annually, verify at ato.gov.au. ATO unused leave withholding tables — published with annual tax tables update. STP2 cessation type codes and ETP type codes — verify against current ATO STP2 employer reporting guide after any ATO system update.

```
// Annual rate configuration update – payroll engine
{
  "financial_year": "2025-26",
  "effective_date": "2025-07-01",
  "termination_config": {
    "etp_cap_life_benefit": {
      "value": "VERIFY_ATO_FY2026",
      "source": "ato.gov.au/super/key-superannuation-rates-and-thresholds",
      "last_verified": "2025-07-01",
      "next_review": "2026-07-01"
    },
    "genuine_redundancy_tax_free": {
      "base_amount": "VERIFY_ATO_FY2026",
      "per_year_service": "VERIFY_ATO_FY2026",
      "source": "ato.gov.au/employment-termination-payments",
      "last_verified": "2025-07-01"
    }
  }
}
```

```

"value": "VERIFY_ATO_FY2026",
  "source": "ato.gov.au/employment-termination-payments",
  "last_verified": "2025-07-01"
},
"preservation_age": {
  "value": 60,
  "source": "s995-1 ITAA 1997 and SIS Regs",
  "note": "Verify – transitional rules applied for those born before 1 July
1964"
},
"concessional_withholding_rates": {
  "below_preservation_age": "VERIFY_ATO_ETP_TAX_TABLE",
  "at_or_above_preservation_age": "VERIFY_ATO_ETP_TAX_TABLE",
  "above_cap": "TOP_MARGINAL_RATE_PLUS_MEDICARE"
}
}
}

```

The "VERIFY_ATO" placeholder is intentional in my examples. I deliberately do not publish specific dollar figures for indexed thresholds in this book — they will be out of date by the time you read this. Go to ato.gov.au. Check the current financial year's schedule. Seed the engine with the correct figures. Document the date you verified them. Do this on 1 July of every year.

Worked Example — Engine Rate Validation Check

(Assumed-fact illustration — demonstrates rate validation pattern, not specific rates)

Mei is the payroll manager at Westfield Logistics. On 2 July 2025 she runs the payroll engine's annual rate validation check:

```

// Payroll engine rate validation – FY2026
{
  "validation_run": "2025-07-02T09:00:00+10:00",
  "operator": "Mei Zhang",
  "checks": [
    {
      "item": "ETP cap – life benefit",
      "configured_value": 245000,
      "ato_published_value": 260000,
      "status": "REQUIRES_VERIFICATION",
      "action": "Mei to confirm against ATO FY2026 schedule and update"
    },
    {
      "item": "Genuine redundancy base amount",
      "configured_value": 12524,

```

```
"status": "REQUIRES_VERIFICATION",
  "action": "Mei to confirm and update before first FY2026 termination"
},
{
  "item": "Genuine redundancy per year of service",
  "configured_value": 6264,
  "ato_published_value": 6552,
  "status": "REQUIRES_VERIFICATION",
  "action": "Mei to confirm and update"
},
{
  "item": "SG rate",
  "configured_value": 0.12,
  "ato_published_value": 0.12,
  "status": "VERIFIED",
  "note": "12% from 1 July 2025 – confirmed"
}
],
"termination_processing_locked": true,
"unlock_condition": "All REQUIRES_VERIFICATION items confirmed by operator"
}
```

What this illustrates: The engine locks termination processing until the operator confirms that indexed thresholds have been verified against the ATO's current schedule. It does not carry forward last year's values silently. Silence is not confirmation. The engine produces the figure — but only once Mei confirms the inputs.

TIP

Next: Chapter 07 covers salary packaging — salary sacrifice to super, reportable employer super contributions, FBT interaction, and the salary-packaging-agent.

07 Salary Packaging and Reportable Super Contributions

Pre-tax salary sacrifice, FBT interaction, reportable employer super contributions, and the salary-packaging-agent

Salary packaging sits at the intersection of income tax, superannuation, and fringe benefits tax — three separate legislative regimes that must be reconciled inside a single pay period. Get any one of them wrong and you corrupt the employee's income statement, misstate their adjusted taxable income, and potentially expose the employer to FBT liability they did not price in. The salary-packaging-agent exists to route every sacrifice dollar to the correct STP2 field and to make the downstream consequences computable. Every dollar amount, though, is the engine's to produce — never the agent's.

Salary Sacrifice Mechanics — Pre-Tax Reduction

Salary sacrifice is a contractual arrangement between employer and employee. The employee agrees to forgo a portion of their future entitlement to salary or wages in exchange for the employer providing something of equivalent value — typically superannuation contributions or non-cash benefits. The arrangement must be in place *before* the entitlement arises. You cannot retrospectively salary sacrifice money the employee has already earned.

The tax consequence of a valid salary sacrifice arrangement is that the sacrificed amount is not included in the employee's assessable income. The employer pays the agreed benefit from pre-tax dollars. For super, those dollars then enter the super fund as concessional contributions and are taxed at 15% inside the fund rather than at the employee's marginal rate. For employees in the 30% or higher brackets, that differential is the core of the value proposition.

Three conditions must hold for the arrangement to be valid:

1. The arrangement is in writing, executed before the relevant pay period commences.
2. The amount foregone is a genuine reduction in the employee's ordinary time earnings or other remuneration entitlement — not a reclassification of an existing obligation.
3. The benefit provided is something the employer has legal authority to provide and is not already owed as cash wages.

WARNING

Award-governs: Some awards and enterprise agreements restrict salary sacrifice arrangements or impose conditions on how the base rate is maintained. Always verify the applicable modern award or enterprise agreement before implementing a salary sacrifice arrangement for an award-covered employee. The payroll-packaging-agent flags this check — it does not resolve it.

In the payroll system, salary sacrifice is modelled as a pre-tax deduction that reduces the gross taxable income used for PAYG withholding calculation. The SG base calculation is separate — and this is a point where errors are common.

SG Base and Salary Sacrifice — the Legislative Change

From 1 January 2020, amendments to the *Superannuation Guarantee (Administration) Act 1992* removed the ability for employers to count salary-sacrificed super contributions toward their SG obligation. The employer's 12% SG obligation (as at 1 July 2025 — verify against ATO) is calculated on the ordinary time earnings (OTE) base *before* the salary sacrifice reduction. This is called the "salary sacrifice base" requirement.

NOTE

My take: I have seen implementations that reduce the OTE base by the salary sacrifice amount before applying the SG rate. That was the old world. In the current world, if an employee earns \$8,000/month in OTE and sacrifices \$1,000/month to super, the employer's SG obligation is 12% of \$8,000 (\$960) — not 12% of \$7,000. The salary-packaging-agent enforces this. If your payroll system still uses the pre-2020 logic, you have an underpaid SG liability accumulating every pay cycle.

The sg-agent receives the OTE figure from the payroll engine *before* any salary sacrifice reduction is applied. It then calculates SG independently. The salary-packaging-agent receives both the raw OTE and the salary sacrifice election and computes the net taxable income for PAYG purposes. These two agents operate on different inputs for good reason.

Every salary sacrifice arrangement is captured as a structured document before it takes effect. The arrangement document is the authoritative record — it drives the agent's computation for the life of the arrangement.

```
// Salary sacrifice arrangement document – super sacrifice
// Written before the first pay period to which it applies
{
  "arrangementRef": "SSA-BM-0041-2026",
```

```

"employer": "Blue Mountain Healthcare Pty Ltd",
"effectiveDate": "2026-07-01",
"expiryDate": null,
"type": "super_sacrifice",
"amount": {
  "value": 100000,
  "unit": "cents",
  "frequency": "monthly"
},
"benefitDetail": {
  "category": "super",
  "fundUSI": "STA0100AU",
  "memberNumber": "BM-04192"
},
"stpFieldAssignment": "SalarySacrificeType.S",
"sgBaseProtected": true,
"reviewRequired": {
  "awardCheck": true,
  "awardCode": "MA000001",
  "h3Cleared": false,
  "h3ClearedBy": null,
  "h3ClearedDate": null
},
"createdAt": "2026-06-18T09:14:00+10:00",
"createdBy": "payroll-orchestrator",
"engineNote": "Every figure from this arrangement is computed by the engine; the agent only routes."
}

```

Salary Sacrifice to Super — Concessional Contributions

Salary-sacrificed amounts directed to superannuation are classified as concessional contributions — contributions made from pre-tax dollars for which a tax deduction has been claimed (by the employer) or which are excluded from the employee's assessable income. The concessional contributions cap limits how much can be contributed in this tax-favoured way each financial year. Verify the current cap against ATO — it is indexed annually: it was \$30,000 for 2024-25, remains \$30,000 for 2025-26, and rises to \$32,500 from 1 July 2026.

Concessional contributions include:

- Compulsory employer SG contributions (12% as at 1 July 2025 — verify against ATO)
- Salary-sacrificed amounts directed to super

- Personal contributions for which the individual has lodged a notice of intent to claim a deduction

The payroll engine tracks only the first two. The salary-packaging-agent is responsible for calculating how much of the salary sacrifice election fits within the cap given the SG contributions already projected for the year. It does not guarantee cap compliance — that is the employee's responsibility — but it surfaces a warning when the combined figure approaches or exceeds the threshold.

Worked Example A — Super Sacrifice within Cap

Assumed-fact illustration. Angela works at Blue Mountain Healthcare. Her annual base salary is \$110,000. She has elected to sacrifice \$12,000/year (\$1,000/month) to super. SG rate is 12%. Her monthly OTE is \$9,166.67.

SG contribution (monthly): $12\% \times \$9,166.67 = \$1,100$. Annualised SG: \$13,200. Salary sacrifice super: \$12,000. Total projected concessional contributions: \$25,200. The current cap is \$30,000 (verify against ATO — indexed annually). Angela is within the cap by \$4,800. No warning is generated.

For PAYG purposes, Angela's monthly taxable income is $\$9,166.67 - \$1,000 = \$8,166.67$.

Withholding is calculated on \$8,166.67 using the ATO tax tables — not on \$9,166.67. This is the pre-tax reduction that delivers Angela's marginal rate saving.

What this illustrates: The SG base (\$9,166.67) is independent of the salary sacrifice reduction. Withholding is computed on the reduced figure. The engine computes each figure independently; the agent computes neither.

STP2 Classification — Salary Sacrifice Super

Under STP Phase 2, salary sacrifice to super is reported in a dedicated field:

`SalarySacrificeType.S` (type "S" = superannuation). This amount is reported gross: the full dollar amount sacrificed, before any netting. The gross income fields in STP2 reflect the pre-sacrifice amount; the salary sacrifice field records the reduction. The ATO reconciles these two figures to arrive at the employee's assessable income.

The salary-packaging-agent populates `SalarySacrificeType.S` for each pay event. If the agent routes a sacrifice to the wrong STP2 field — for example, to `SalarySacrificeType.0` (other benefits) — the ATO's income statement will show an incorrect figure and the employee's tax return will be wrong. Correct field routing is the agent's responsibility to get right, not the employee's problem to discover later.

```
{
  "stpPayEvent": {
```



```

"payPeriod": "2026-06",
  "grossIncome": 916667,
  "salarySacrifice": [
    {
      "type": "S",
      "amount": 100000,
      "description": "Pre-tax super sacrifice – Blue Mountain Healthcare SSA-
0041"
    }
  ],
  "taxableIncome": 816667,
  "withholdingAmount": "ATO tax tables applied – see withholding ledger",
  "sgContribution": {
    "base": 916667,
    "rate": 0.12,
    "amount": 110000,
    "fund": "AustralianSuper",
    "fundUSI": "STA0100AU"
  },
  "reportableEmployerSuperContributions": 0
}

```

Note: amounts are in cents. The `reportableEmployerSuperContributions` field is zero here because Angela's employer contributes only the mandated SG — no additional voluntary contributions above SG made at Angela's direction. RESC is addressed in the next section.

Reportable Employer Super Contributions (RESC)

RESC is one of the most frequently misunderstood concepts in payroll. Many practitioners conflate it with salary sacrifice super — the two overlap but are not identical. The statutory definition matters: RESC is an employer contribution to a superannuation fund that is made under a salary sacrifice arrangement, or that the employee has otherwise directed, and that exceeds what the employer would otherwise be required to contribute under the law or a binding industrial instrument.

The operative question for the payroll engine: would the employer have made this contribution absent any action by the employee? If yes — it is not RESC. If no, it arose from the employee's election — it is RESC.

What is RESC and What is Not

Contribution type	RESC?	Reason
Mandatory 12% SG on OTE	No	Required by law — employer has no discretion
Award or EBA mandated employer super above SG	No	Required by binding industrial instrument — not at employee's direction
Salary-sacrificed super elected by employee	Yes	Arises from employee election — employer would not contribute absent that election
Employer "matching" contributions triggered by employee salary sacrifice	Depends	If the employer match is contractually required when the employee sacrifices, it may still be RESC — requires H3 review of the arrangement
Employer voluntary super above SG at employer's discretion	No	Not made at the employee's direction — employer chose to contribute unilaterally

NOTE

My take: The "employer discretion vs employee direction" test is clean in theory and murky in practice. Where an employer has a formal matching program — "we match your sacrifice dollar for dollar up to 5%" — the matching component is arguably at the employee's direction because the employee triggered it by electing to sacrifice. I treat those matching contributions as RESC unless there is a clear legal basis to do otherwise. H3 review before finalising the arrangement.

RESC in STP2

In STP Phase 2, RESC is reported in the `ReportableEmployerSuperContributions` field of the income statement. This figure flows to the employee's income statement and appears on their tax return as "reportable employer super contributions." The ATO uses this figure — among others — to calculate the employee's adjusted taxable income (ATI). ATI is a broader measure than taxable income.

```
// salary-packaging-agent: RESC classification logic
function classifyEmployerSuperContributions(arrangement, payPeriod) {
  const sgObligation = computeSGObligation(arrangement.oteBase, SG_RATE);

  const industrialMinimum = lookupIndustrialMinimum(
    arrangement.employeeId,
    arrangement.awardCode,
```

```

);

// Employer's non-discretionary floor
const nonRescFloor = Math.max(sgObligation, industrialMinimum);

const totalEmployerContributions =
  arrangement.sgContribution +
  arrangement.salarySacrificeSuper +
  arrangement.employerVoluntary;

// Only the employee-directed portion above the floor is RESC
const resc = Math.max(
  0,
  arrangement.salarySacrificeSuper - Math.max(0, industrialMinimum -
sgObligation)
);

return {
  sgContribution: sgObligation,
  resc: resc,
  nonRescEmployerVoluntary: arrangement.employerVoluntary,
  stpField: "ReportableEmployerSuperContributions",
  rescAmount: resc,
  requiresH3Review: arrangement.hasMatchingProgram
};
}

```

Worked Example B — RESC Calculation

Assumed-fact illustration. Wei works at Westfield Logistics. Monthly OTE: \$7,500. SG obligation: $12\% \times \$7,500 = \900 . His enterprise agreement requires 13% super on OTE: \$975. Wei has also elected to salary sacrifice a further \$500/month to super. Total employer super contributions per month: \$975 (EBA) + \$500 (sacrifice) = \$1,475.

The SG obligation (\$900) is subsumed in the EBA minimum (\$975). The EBA minimum is required by a binding industrial instrument — not RESC. The \$500 sacrifice is at Wei's direction — RESC. Monthly RESC: \$500. Annual RESC: \$6,000.

The payroll engine reports: `sgContribution` = \$975, `ReportableEmployerSuperContributions` = \$500. Wei's income statement will show \$6,000 RESC for the year. This flows into his ATI calculation.

What this illustrates: The EBA minimum absorbs the SG — no double-counting. The salary sacrifice above the industrial floor is RESC. Both numbers come from the engine, not from the agent.

RESC in Adjusted Taxable Income — Downstream Effects

RESC appears in the ATI formula. ATI is the income measure used for a range of means-tested government benefits and tax concessions. Understanding what RESC does to ATI is essential for employees making salary sacrifice decisions — and it is a point that payroll practitioners often fail to communicate.

ATI Components

Component	Included in ATI?	Note
Taxable income	Yes	Base component — after salary sacrifice reduction
Reportable fringe benefits (total grossed-up taxable value)	Yes	From FBT — discussed below
Reportable employer super contributions (RESC)	Yes	Added back to taxable income for ATI purposes
Total net investment losses	Yes	Rental losses, financial investment losses
Personal super deductions	Yes — partially	Added back if claimed as deduction

The consequence: salary sacrificing to super reduces taxable income but does not reduce ATI by the same amount. RESC is added back. For means-tested entitlements calculated on ATI, the benefit of salary sacrifice is partially or fully neutralised.

ATI-Sensitive Tests Affected by RESC

- **Government co-contribution:** Eligibility requires ATI below the higher income threshold (verify against ATO — indexed annually). RESC increases ATI, potentially reducing or eliminating co-contribution eligibility.
- **Spouse contribution tax offset:** The offset is available when the receiving spouse's income is below a threshold (verify against ATO). RESC on the contributing spouse's income statement does not affect this test directly — but RESC on the receiving spouse's income does.
- **Child support assessments:** Child support is calculated on each parent's income for child support purposes, which is derived from ATI. RESC increases the payer's income for assessment purposes.
- **Division 293 tax:** An additional 15% tax on concessional contributions is imposed when an individual's income — which includes RESC in the Div 293 income measure — exceeds the \$250,000 Division 293 threshold (fixed, not indexed — verify against ATO). RESC can push an individual over or further over this threshold.

- **Medicare levy surcharge and private health insurance rebate:** These tests also use an income measure that includes RESC.

NOTE

My take: The ATI add-back of RESC is the most under-explained aspect of salary sacrifice advice. An employee earning \$240,000 taxable who sacrifices \$15,000 to super reduces their taxable income to \$225,000 and thinks they have avoided Div 293. They have not. Their Div 293 income includes the \$15,000 RESC, putting them back over the threshold. The salary-packaging-agent should surface this calculation at arrangement setup — not as advice, but as a disclosure of the engine's projection. H1 gate if the employee is asking the practitioner to confirm the tax outcome.

Worked Example C — Div 293 with RESC

Assumed-fact illustration. Sasha works at Metro Digital Solutions. Annual salary \$265,000. She salary sacrifices \$20,000/year to super. Taxable income: $\$265,000 - \$20,000 = \$245,000$. SG: $12\% \times \$265,000 = \$31,800$. RESC: \$20,000.

Division 293 income = taxable income + low tax contributions. Low tax contributions = SG contributions + RESC = $\$31,800 + \$20,000 = \$51,800$. Div 293 income = $\$245,000 + \$51,800 = \$296,800$. Threshold: \$250,000 (verify against ATO). Div 293 tax = $15\% \times \min(\$51,800, \$296,800 - \$250,000) = 15\% \times \$46,800 = \$7,020$. Verify against ATO — this is an assumed-fact illustration.

The payroll engine does not pay Div 293 — the ATO assesses it after the employee lodges their return. But the salary-packaging-agent projects this figure at arrangement setup so the employee understands the full cost.

What this illustrates: RESC feeds Div 293 income. Salary sacrifice does not escape Div 293 — it shifts where the contribution sits, not whether it is caught by the threshold test. The engine produces the RESC figure; the Div 293 assessment belongs to the ATO.

The salary-packaging-agent emits a Div 293 projection at arrangement setup for high-income employees. This projection is informational. It discloses the engine's forward calculation given current inputs, and must not be presented to the employee as a tax assessment or advice.

```
// salary-packaging-agent: Div 293 projection (informational)
// Assumed-fact illustration – verify all thresholds against ATO
function projectDiv293(arrangement, annualInputs) {
  const { grossSalary, salarySacrificeSuper, sgRate, div293Threshold } =
    annualInputs;

  const taxableIncome = grossSalary - salarySacrificeSuper;
  const sgContribution = grossSalary * sgRate;           // pre-sacrifice base
```

```

const lowTaxContributions = sgContribution + resc;

const div293Income = taxableIncome + lowTaxContributions;
const excessOverThreshold = Math.max(0, div293Income - div293Threshold);
const div293Taxable = Math.min(lowTaxContributions, excessOverThreshold);
const div293Tax = div293Taxable * 0.15;

return {
  taxableIncome,
  sgContribution,
  resc,
  lowTaxContributions,
  div293Income,
  div293Threshold,
  div293Taxable,
  div293Tax,
  projection: "informational only – not a tax assessment",
  verifyAgainst: "ATO – Div 293 threshold fixed at $250,000, not indexed",
  h1GateNote: "If employee requests confirmation of tax outcome, H1 gate
applies"
};
}

// Example call – Sasha, Metro Digital Solutions
const projection = projectDiv293(
  { ref: "SSA-MD-SASHA-2026" },
  {
    grossSalary: 26500000,      // cents: $265,000
    salarySacrificeSuper: 2000000, // cents: $20,000
    sgRate: 0.12,
    div293Threshold: 25000000 // cents: $250,000 – verify against ATO
  }
);
// projection.div293Tax = 70200 cents = $7,020 – matches Worked Example C above

```

FBT Interaction — Employer's Liability

When salary sacrifice involves non-cash benefits — a car, a laptop, meal entertainment, expense payments — fringe benefits tax enters the picture. FBT is the employer's tax liability, not the employee's. The FBT year runs from 1 April to 31 March — a different year from the income tax year. This timing difference creates reconciliation complexity when benefits straddle years.

FBT Fundamentals for Payroll

The employer provides a fringe benefit to the employee as part of a salary sacrifice arrangement. The taxable value of that benefit is determined by one of several valuation methods — statutory formula method for cars, actual cost method for expenses, grossed-up market value for others. The FBT liability = taxable value × gross-up rate × FBT rate. The rates and gross-up factors are set annually — verify against ATO for the current FBT year.

FBT is the employer's cost. It is not withheld from the employee's wages. The employer pays it. The commercial question — who bears the FBT in a salary sacrifice arrangement — is a matter of contract, not law. Many employers structure salary sacrifice arrangements so the employee's sacrifice amount is set at a level that covers the employer's FBT liability. Others absorb FBT as a cost of providing the benefit. Both are legally valid.

WARNING

Award-governs: Salary sacrifice arrangements involving FBT-liable benefits must be modelled against the employee's base rate of pay. Some awards prohibit salary sacrifice below the base rate. If the arrangement reduces the employee's cash pay below the award floor, it is unlawful regardless of whether the benefit has commercial value. Verify applicable award before implementing.

Reportable Fringe Benefits Amount (RFBA)

Employees whose total taxable value of fringe benefits provided in the FBT year exceeds \$2,000 (FBTAA 1986 s 135P — verify against ATO) have a reportable fringe benefits amount (RFBA) shown on their income statement. The RFBA is the grossed-up taxable value of the benefits. It is not additional income — the employee does not pay tax on it — but it is included in ATI.

Under STP2, the RFBA is reported in the `ReportableFringeBenefits` field. The salary-packaging-agent receives the FBT data from the benefits ledger and routes it to this field. The payroll engine does not calculate FBT — FBT is calculated by a separate FBT computation process (or the employer's tax advisers). The salary-packaging-agent consumes the RFBA figure as an input.

Benefit type	FBT exposure	RFBA reported?	Exempt?
Car benefit (employer-owned, salary sacrifice)	Yes — statutory formula	Yes, if total taxable value of benefits > \$2,000 in the FBT year (verify)	No standard exemption
Laptop, portable device (primary use work)	Exempt (one per employee per year)	No	Yes — exempt benefit
Meal entertainment (FBT concessional employers)	May be concessional or capped	Depends on employer type and cap	Partial — health/charity employers have concessions

Portable electronic device (multiple, not work-primary)	Yes	Yes, if total taxable value of benefits > \$2,000 in the FBT year (verify)	No
Expense payment — work-related expenses	May be exempt if otherwise deductible to employee	No, if exempt	Otherwise deductible exemption may apply

Blue Mountain Healthcare is a public hospital that qualifies as an FBT-exempt employer for the purposes of certain fringe benefits. These concessional employer rules are complex and outside the payroll engine's computation scope — they require H3 review before any packaging arrangement is implemented.

Worked Example D — FBT and RFBA for a Car Benefit

Assumed-fact illustration. James works at Harbour Engineering Pty Ltd. He salary sacrifices into a novated lease for a car. The car's cost price is \$45,000. The statutory fraction under the FBT statutory formula method is 20% (verify against ATO — the fraction is a fixed 20% regardless of kilometres under current rules). Taxable value = $\$45,000 \times 20\% = \$9,000$. Assuming the arrangement runs the full FBT year (1 April 2025 to 31 March 2026) and there is no employee contribution, the FBT taxable value is \$9,000.

The FBT liability = $\$9,000 \times \text{type 1 gross-up rate} \times \text{FBT rate}$ (verify rates against ATO for the current FBT year). The employer bears this liability. The RFBA on James's income statement = $\$9,000 \times \text{type 2 gross-up rate}$ (verify). James's ATI includes this grossed-up RFBA. The RFBA carries no additional income tax for James; it affects ATI-sensitive tests only.

Under STP2, the salary-packaging-agent reports:

```
{
  "stpIncomeStatement": {
    "employeeId": "EMP-0088",
    "financialYear": "2025-26",
    "grossIncome": 9500000,
    "salarySacrifice": [
      {
        "type": "0",
        "amount": 800000,
        "description": "Novated lease pre-tax contribution - HAR-NL-0088"
      }
    ],
    "reportableFringeBenefits": {
      "exempt": false,
      "grossedUpTaxableValue": 1698120,
      "fbtYearEnd": "2026-03-31",
      "stpField": "ReportableFringeBenefits"
    }
  }
}
```



```
"reportableEmployerSuperContributions": 0,  
  "note": "FBT taxable value and gross-up rate: verify against ATO – rates  
change annually"  
}  
}
```

What this illustrates: Salary sacrifice for a car benefit uses `SalarySacrificeType.0` (other benefits) in STP2 — not type "S" (super). The RFBA is a separate field. Both must be routed correctly by the salary-packaging-agent. Routing is the agent's job; the FBT calculation itself arrives as an external input, and the deterministic layer reconciles it.

FBT-Exempt Employers — Health and Charity Concessions

Public hospitals, public ambulance services, and certain not-for-profit organisations are FBT-exempt or FBT-rebatable employers. These employers can offer salary packaging up to a capped threshold without the employer incurring FBT. The cap amounts and eligibility conditions are in the *Fringe Benefits Tax Assessment Act 1986* — verify against current ATO guidance.

For these employers, the salary-packaging-agent must apply different RFBA reporting logic. Benefits within the capped threshold may not generate an RFBA — they are not reportable fringe benefits within the meaning of the legislation. This is an H3 review point: the classification of an employer's FBT status is not something the payroll engine can self-determine from a configuration flag. It requires practitioner sign-off before the arrangement is activated.

NOTE

My take: FBT-concessional employer status is conditional and time-limited, and it must be confirmed each year. I have seen payroll systems carry forward a "FBT exempt = true" configuration flag that was set correctly in year one and never reviewed. When the employer's circumstances change — a hospital corporatises, a charity changes its activities — the flag stays true and every packaged benefit is mis-reported. The salary-packaging-agent should require an annual attestation before processing FBT-concessional arrangements.

The salary-packaging-agent — STP2 Field Routing

The salary-packaging-agent is the orchestration layer that converts a salary sacrifice arrangement into correctly routed STP2 fields. Its scope stops at execution: it runs the arrangement as configured and routes each component to the correct ATO-specified field, leaving policy and employee advice to humans.

Agent Configuration Schema

```
// salary-packaging-agent configuration schema
{
  "$schema": "https://payroll.internal/schemas/packaging-agent/v2.json",
  "agentId": "salary-packaging-agent",
  "version": "2.4.0",
  "dependsOn": ["sg-agent", "payroll-engine", "payroll-orchestrator"],
  "inputs": {
    "employeeId": "string",
    "arrangementRef": "string",
    "arrangements": [
      {
        "type": "super_sacrifice | other_benefit",
        "amount": "number (cents, per-period)",
        "frequency": "weekly | fortnightly | monthly | annual_prorate",
        "benefitDetail": {
          "category": "super | car | laptop | meal | expense | other",
          "fbtExempt": "boolean",
          "fbtConcessionalEmployer": "boolean",
          "rfbaGrossedUpValue": "number | null (cents, annual)"
        },
        "stpField": "SalarySacrificeType.S | SalarySacrificeType.0 |
ReportableFringeBenefits",
        "employerFBTLiability": "number | null (cents, annual)"
      }
    ],
    "sgBaseOTE": "number (cents, per-period – pre-sacrifice)",
    "awardCode": "string | null",
    "ebaRef": "string | null",
    "industrialMinimumSuperRate": "number | null",
    "fbtConcessionalStatus": {
      "confirmed": "boolean",
      "attestedDate": "ISO8601 date",
      "attestedBy": "string (practitioner ID)"
    }
  },
  "outputs": {
    "grossIncome": "number (cents, pre-sacrifice)",
    "salarySacrificeSuper": "number (cents)",
    "salarySacrificeOther": "number (cents)",
    "taxableIncome": "number (cents, post-sacrifice)",
    "resc": "number (cents)",
    "rfba": "number (cents, grossed-up, annual)"
  }
}
```

```
"stpPayload": "object (STP2 pay event fields)",
  "warnings": "array of string",
  "h3ReviewRequired": "boolean",
  "h1GateRequired": "boolean"
}
```

STP2 Field Routing Table

Arrangement type	STP2 field	Reduces taxable income?	In ATI?
Salary sacrifice to super	SalarySacrificeType.S	Yes	Yes — via RESC add-back
Salary sacrifice to other benefits (car, meals, expenses)	SalarySacrificeType.O	Yes	Via RFBA if FBT liability > threshold
Reportable fringe benefits amount	ReportableFringeBenefits	No — not deducted from pay	Yes — grossed-up value added to ATI
Reportable employer super contributions	ReportableEmployerSuperContributions	No — not deducted from pay	Yes — added to ATI directly
Non-reportable FBT benefits (exempt or below threshold)	Not reported	Yes (if sacrificed)	No

Agent Routing Logic

```
// salary-packaging-agent: main routing function
async function routeSalaryPackaging(config, payPeriod) {
  const warnings = [];
  let h3ReviewRequired = false;

  // 1. Validate arrangement is pre-period (not retrospective)
  const arrangementStart = parseDate(config.arrangementRef.effectiveDate);
  const periodStart = parseDate(payPeriod.startDate);
  if (arrangementStart ≥ periodStart) {
    throw new PackagingError(
      "RETROSPECTIVE_ARRANGEMENT",
      `Arrangement ${config.arrangementRef} cannot be applied to period
${payPeriod.startDate} – effective date must precede period start`
    );
  }

  // 2. Validate FBT concessional status if applicable
  const hasFBTConcessional = config.arrangements.some(
    a => a.benefitDetail.fbtConcessionalEmployer
```

```

if (hasFBTConcessional) {
  const daysSinceAttestation = daysBetween(
    config.fbtConcessionalStatus.attestedDate,
    payPeriod.startDate
  );
  if (!config.fbtConcessionalStatus.confirmed || daysSinceAttestation > 365) {
    warnings.push("FBT_CONCESSIONAL_STATUS_UNCONFIRMED: annual attestation
required – H3 review");
    h3ReviewRequired = true;
  }
}

// 3. Compute sacrifice amounts per arrangement
let salarySacrificeSuper = 0;
let salarySacrificeOther = 0;
let rfba = 0;

for (const arrangement of config.arrangements) {
  const periodAmount = prorateToPeriod(arrangement.amount,
arrangement.frequency, payPeriod);

  if (arrangement.type === "super_sacrifice") {
    salarySacrificeSuper += periodAmount;
  } else if (arrangement.type === "other_benefit") {
    salarySacrificeOther += periodAmount;
    if (arrangement.benefitDetail.rfbaGrossedUpValue !== null) {
      rfba += arrangement.benefitDetail.rfbaGrossedUpValue;
    }
  }
}

// 4. Compute RESC
const rescResult = classifyEmployerSuperContributions({
  oteBase: config.sgBaseOTE,
  salarySacrificeSuper,
  awardCode: config.awardCode,
  ebaRef: config.ebaRef,
  industrialMinimumSuperRate: config.industrialMinimumSuperRate,
  employerVoluntary: 0,
  hasMatchingProgram: false
});

if (rescResult.requiresH3Review) {
  h3ReviewRequired = true;
  warnings.push("MATCHING_PROGRAM_DETECTED: RESC classification requires H3

```

```

}

// 5. Concessional cap proximity check
const annualisedSG = config.sgBaseOTE * payPeriod.periodsPerYear * 0.12;
const annualisedSacrificeSuper = salarySacrificeSuper *
payPeriod.periodsPerYear;
const projectedConcessionalContributions = annualisedSG +
annualisedSacrificeSuper;
const concessionalCap = await getAtoThreshold("CONCESSIONAL_CAP",
payPeriod.financialYear);

if (projectedConcessionalContributions > concessionalCap * 0.9) {
  warnings.push(
    `CONCESSIONAL_CAP_PROXIMITY: projected annual concessional contributions ` +
    `${formatCents(projectedConcessionalContributions)} approaching cap ` +
    `${formatCents(concessionalCap)} - verify against ATO`
  );
}

// 6. Build STP2 payload
const taxableIncome = config.grossIncome - salarySacrificeSuper -
salarySacrificeOther;

const stpPayload = {
  grossIncome: config.grossIncome,
  salarySacrifice: [
    salarySacrificeSuper > 0 ? { type: "S", amount: salarySacrificeSuper } :
null,
    salarySacrificeOther > 0 ? { type: "O", amount: salarySacrificeOther } :
null
  ].filter(Boolean),
  taxableIncome,
  reportableEmployerSuperContributions: rescResult.resc,
  reportableFringeBenefits: rfba > 0 ? rfba : undefined
};

// 7. H1 gate for STP finalisation
const h1GateRequired = payPeriod.isFinalisation === true;

return {
  grossIncome: config.grossIncome,
  salarySacrificeSuper,
  salarySacrificeOther,
  taxableIncome,
  resc: rescResult.resc,

```

```

sgBase: config.sgBaseOTE,
  stpPayload,
  warnings,
  h3ReviewRequired,
  h1GateRequired,
  engineNote: "Computed by the engine; not derived by the agent."
};
}

```

Orchestrator Integration

The payroll-orchestrator calls the salary-packaging-agent before calling the sg-agent and before PAYG withholding is computed. The sequence is enforced — not advisory.

```

// payroll-orchestrator: per-employee pay period sequence
async function processEmployee(employeeId, payPeriod) {
  // Step 1: Load base entitlements
  const entitlements = await payroll-engine.computeEntitlements(employeeId,
    payPeriod);

  // Step 2: Apply salary sacrifice arrangements
  const packagingResult = await salary-packaging-agent.routeSalaryPackaging({
    ...entitlements,
    grossIncome: entitlements.grossOTE
  }, payPeriod);

  // Halt if H3 review required and not yet cleared
  if (packagingResult.h3ReviewRequired && !payPeriod.h3Cleared) {
    return {
      status: "HELD_FOR_H3_REVIEW",
      employeeId,
      payPeriod: payPeriod.ref,
      warnings: packagingResult.warnings,
      gate: "H3 – practitioner review required before pay event submission"
    };
  }

  // Step 3: SG calculation on pre-sacrifice OTE base
  const sgResult = await sg-agent.computeSG({
    employeeId,
    oteBase: packagingResult.sgBase, // pre-sacrifice OTE – not taxableIncome
    payPeriod
  });

  // Step 4: PAYG withholding on post-sacrifice taxable income

```

```

taxableIncome: packagingResult.taxableIncome, // post-sacrifice
  taxFileNumber: entitlements.tfn,
  residencyStatus: entitlements.residencyStatus,
  payPeriod,
  atoTableRef: "NAT1008 – verify current edition"
});

// Step 5: Build STP2 pay event
const stpEvent = buildSTPPayEvent({
  ...packagingResult.stpPayload,
  sgContribution: sgResult.contribution,
  withholdingAmount: withholdingResult.amount
});

return {
  status: "READY",
  employeeId,
  stpEvent,
  h1GateRequired: packagingResult.h1GateRequired,
  warnings: packagingResult.warnings
};
}

```

Gate Points in the Salary-Packaging-Agent

The salary-packaging-agent enforces three gate points:

H3 — Practitioner review before proceeding is triggered when: (1) the arrangement involves an FBT-concessional employer and the annual attestation is missing or stale; (2) a matching contribution program is detected and RESC classification is ambiguous; (3) the concessional cap proximity warning fires and the arrangement was set up more than twelve months ago without review; (4) the arrangement involves meal entertainment, which has complex FBT treatment depending on employer type.

H2 — Registered tax agent (formal reclassification with tax consequences) is triggered when: (1) the employer requests reclassification of an existing employer obligation as RESC; (2) a prior year RESC figure needs amendment and the amendment has tax consequences for the employee.

H1 — Registered tax agent or BAS agent (non-delegable) is triggered when: (1) STP income statement finalisation is requested; (2) an amended STP finalisation is requested. Finalisation is the formal closure of the employee's income statement for the financial year. This is a tax agent function. The salary-packaging-agent never auto-finalises. It queues the finalisation event with status `AWAITING_H1_AUTHORISATION`.

Worked Example E — Multiple Arrangements, Mixed STP Fields

Assumed-fact illustration. Priya works at Adelaide Retail Services. Monthly gross: \$10,000. She has two active salary sacrifice arrangements: (1) \$800/month to super (type "S"), and (2) \$500/month toward a novated car lease (type "O"). The novated lease generates an RFBA of \$9,500 (annualised, grossed-up — verify against ATO FBT rates).

The salary-packaging-agent processes in sequence. Gross income: \$10,000. Post-sacrifice taxable income: $\$10,000 - \$800 - \$500 = \$8,700$. SG base: \$10,000 (pre-sacrifice OTE — unchanged). RESC: \$800 (the super sacrifice). RFBA: \$9,500 annual (reported at finalisation, not per pay period in STP2 — the finalisation event carries the annual RFBA).

STP2 pay event payload for this month:

```
{
  "payEvent": {
    "employeeId": "EMP-0022",
    "payPeriod": "2026-06",
    "grossIncome": 1000000,
    "salarySacrifice": [
      { "type": "S", "amount": 80000 },
      { "type": "O", "amount": 50000 }
    ],
    "taxableIncome": 870000,
    "withholdingAmount": "ATO tax tables applied – see withholding ledger",
    "sgBase": 1000000,
    "sgContribution": 120000,
    "reportableEmployerSuperContributions": 80000,
    "engineNote": "Calculated by the engine, not by agent code."
  },
  "annualIncomeStatement": {
    "reportableFringeBenefits": 950000,
    "reportedAtFinalisation": true,
    "h1GateRequired": true,
    "status": "AWAITING_H1_AUTHORISATION"
  }
}
```

What this illustrates: Two sacrifice types produce two distinct STP2 salary sacrifice entries. RESC is reported per pay event. RFBA is annual and goes to the income statement at finalisation — which requires H1 authorisation. Every number in the payload is the engine's to produce. Priya's taxable income is \$8,700, not \$10,000. Her SG is computed on \$10,000.

Common Errors and How the Agent Prevents Them

The salary-packaging-agent is designed around a known error taxonomy. Understanding what it guards against explains why the validation rules exist.

Error 1 — Retrospective Arrangement Application

The arrangement effective date is set after the pay period start. The agent refuses to apply it, raising `RETROSPECTIVE_ARRANGEMENT`. The employer must establish a new arrangement for the next period. H3 review is flagged — the employee may have received a benefit they believed was packaged but was not.

Error 2 — SG Base Reduction

The SG base is incorrectly set to the post-sacrifice taxable income. The agent computes SG on the pre-sacrifice OTE passed from the payroll engine. It does not accept a SG base that is lower than the OTE base without explicit employer super floor configuration that has itself been H3-reviewed. This error, if undetected, underestimates the SG obligation every pay period.

Error 3 — Super Sacrifice Routed to Type "O"

A super sacrifice arrangement is misconfigured with `SalarySacrificeType.O` instead of `SalarySacrificeType.S`. The ATO's STP2 reconciliation will not identify the amount as concessional super. The employee's income statement will misstate their RESC. The agent validates the type field against the benefit category and throws `STP_FIELD_MISMATCH` before submitting the pay event.

Error 4 — RFBA Not Reported at Finalisation

The novated lease RFBA is calculated at the FBT year end (31 March) but the payroll team forgets to load it into the income statement before STP finalisation (end of financial year, 14 July deadline for most employers — verify ATO lodgment due dates). The agent tracks active car benefit arrangements and raises a pre-finalisation warning: `RFBA_NOT_LOADED`. Finalisation is blocked until the RFBA is provided or explicitly waived with a practitioner attestation.

Error 5 — FBT-Concessional Status Not Re-Attested

The employer's FBT-concessional status flag was set at system setup and has not been re-confirmed. Benefits are processed as exempt when they may not be. The agent checks attestation currency on every pay period and escalates to H3 after 365 days without re-attestation.

Error 6 — Concessional Cap Breach

An employee's total concessional contributions — SG plus salary sacrifice super — exceed the annual cap. The agent projects this at arrangement setup and flags `CONCESSIONAL_CAP_PROXIMITY` when within 10% of the threshold. Cap breach itself is the employee's ATO problem (excess concessional contributions are included in assessable income with a 15% offset), but the employer's payroll system should surface the risk. The agent warns rather than blocking the contribution.

```
// salary-packaging-agent: pre-finalisation validation
async function validateForFinalisation(employeeId, financialYear) {
  const active = await loadActiveArrangements(employeeId, financialYear);
  const errors = [];
  const warnings = [];

  // Check RFBA loaded for all car/non-exempt benefit arrangements
  for (const arrangement of active.filter(a => a.benefitDetail.category ===
"car")) {
    if (!arrangement.rfbaLoaded) {
      errors.push({
        code: "RFBA_NOT_LOADED",
        message: `Car benefit arrangement ${arrangement.ref} has no RFBA for
${financialYear}`,
        resolution: "Load RFBA from FBT calculation before proceeding",
        gate: "H3 – practitioner review of FBT calculation required"
      });
    }
  }

  // Check FBT concessional attestation
  if (active.some(a => a.benefitDetail.fbtConcessionalEmployer)) {
    const attestation = await loadFBTAttestation(employeeId, financialYear);
    if (!attestation || !attestation.confirmed) {
      errors.push({
        code: "FBT_CONCESSIONAL_NOT_ATTESTED",
        message: "FBT-concessional employer status unconfirmed for finalisation",
        gate: "H3 – practitioner attestation required"
      });
    }
  }

  // Block finalisation pending H1
  if (errors.length > 0) {
    return {
```

```

errors,
  warnings,
  gate: "H1 – registered tax agent or BAS agent must clear errors before
finalisation"
};
}

return {
  status: "READY_FOR_H1_AUTHORISATION",
  warnings,
  gate: "H1 – registered tax agent or BAS agent must authorise finalisation"
};
}

```

Worked Example F — Finalisation Blocked, H1 Required

Assumed-fact illustration. Marcus works at Metro Digital Solutions. He has a novated lease arrangement active for the full 2025-26 financial year. The payroll team initiates STP finalisation on 8 July 2026. The salary-packaging-agent runs `validateForFinalisation`. It finds: (1) the RFBA for the car benefit has not been loaded — the FBT return for the year ended 31 March 2026 was lodged by the tax agent on 28 June 2026 but the RFBA figure was not uploaded into the payroll system; (2) the FBT-concessional status is not applicable (Westfield Logistics is not a concessional employer).

Status: `BLOCKED`. Error: `RFBA_NOT_LOADED`. The payroll team uploads the RFBA figure from the FBT return. The agent re-validates. Status: `READY_FOR_H1_AUTHORISATION`. A registered BAS agent or tax agent reviews the income statement, confirms the figures, and authorises finalisation. The STP event is submitted with the RFBA. Marcus's income statement is correct.

What this illustrates: The salary-packaging-agent enforces the H1 gate on finalisation. It does not allow auto-finalisation. The FBT return data must flow back into the payroll system before finalisation can proceed. H1 owns the authorisation.

Annual Review Cycle for Salary Sacrifice Arrangements

Salary sacrifice arrangements do not self-maintain. Several events require review or renegotiation:

- **SG rate change:** The SG rate reached its legislated 12% ceiling on 1 July 2025 — no further increase is legislated, and future changes would require new legislation. Any rate change affects the SG contribution, the total concessional contributions calculation, and potentially the Div 293 threshold proximity. The salary-packaging-agent reads the current SG rate from the payroll engine's rate table — it does not hardcode it. Verify against ATO.

- **Concessional cap indexation:** The cap is indexed annually. An arrangement that was within the cap last year may be over it this year if the salary increased. The agent re-runs the cap proximity check on the first pay period of each new financial year.
- **FBT year-end (31 March):** Car benefit RFBA must be calculated and loaded before STP finalisation in July. The agent tracks this dependency.
- **Employee's circumstances change:** New child support assessment, change in family situation, change in income that affects Div 293 exposure. The payroll engine cannot know this — the employee must notify payroll. The agent surfaces a recommendation for annual arrangement review in its finalisation report.
- **Award or EBA renegotiation:** If the industrial minimum super rate changes, the RESC classification may change. H3 review required.

NOTE

My take: The annual review cycle is where most salary packaging programs break down. The arrangement is set up correctly in year one. In year two, the SG rate ticked up, the concessional cap moved, and the employee got a salary increase. Nobody updated the arrangement. The salary sacrifice amount is now producing a concessional contributions breach. The payroll engine detects this only if the cap proximity check is re-run with current-year inputs. Schedule the re-run. Do not assume last year's arrangement is still optimal.

Determinism-First: Salary Packaging Edition

Every figure in a salary sacrifice arrangement is computable. The gross income is a fact. The sacrifice election is a documented amount. The SG rate is a legislated rate. The STP2 field assignment is a rule lookup. The RESC classification is a logical test against the industrial floor. The RFBA is an external input from the FBT calculation — the one figure the payroll engine does not self-generate — but once loaded, it is deterministic.

The salary-packaging-agent makes this computation explicit, documented, and auditable. Every pay event output carries: the arrangement reference, the sacrifice amounts, the STP2 field assignments, the RESC figure, the SG base used, the warnings generated, and the gate status. If the ATO queries a salary packaging arrangement two years later, the audit trail is in the pay event log. Every figure that appears in it was computed by the engine, never derived by the agent.

Human judgement enters at three points and only those three points: H3 for arrangement setup review and FBT concessional attestation; H2 for formal reclassification or amendment with tax consequences; H1 for STP finalisation. Everything between those gates runs without human intervention. That is the point.

TIP

Next: Chapter 08 covers state and territory payroll tax — each state's separate regime, grouping rules, contractor provisions, and the payroll-tax-agent that maps wages and deemed wages across jurisdictions.

08 State and Territory Payroll Tax

Each state's threshold and rate, the grouping rules, contractor provisions, and the payroll-tax-agent

There is no federal payroll tax in Australia. Each state and territory runs its own payroll tax regime — its own act, its own rate, its own threshold, its own grouping rules, and its own contractor provisions. That means eight different sets of rules, and a single employer operating across jurisdictions can be liable in multiple states simultaneously. The payroll-tax-agent exists to classify employers, apply grouping logic, monitor threshold proximity, and surface lodgement obligations — but every figure it produces must be verified against the relevant state revenue office before you rely on it.

State and Territory Payroll Tax — No Federal Equivalent

This is the first thing practitioners get wrong: they assume payroll tax is a Commonwealth obligation, like PAYG withholding or SG. It is not. Payroll tax is a state and territory tax, collected and audited by the state revenue offices. The ATO has no role in it.

Each jurisdiction has its own enabling legislation. NSW operates under the Payroll Tax Act 2007 (NSW). Victoria operates under the Payroll Tax Act 2007 (Vic). Queensland operates under the Payroll Tax Act 1971 (Qld). The names look similar. The rules are not.

The eight jurisdictions are:

- New South Wales (NSW) — Revenue NSW
- Victoria (VIC) — State Revenue Office Victoria
- Queensland (QLD) — Queensland Revenue Office
- South Australia (SA) — RevenueSA
- Western Australia (WA) — RevenueWA
- Tasmania (TAS) — State Revenue Office Tasmania
- Northern Territory (NT) — Territory Revenue Office
- Australian Capital Territory (ACT) — ACT Revenue Office

I will refer to these bodies collectively as "the SRO" (state revenue office), with the jurisdiction qualifier where it matters. Every rate, threshold, and provision in this chapter carries a mandatory verification note. Payroll tax parameters change annually — sometimes mid-year. Do not rely on any figure in this book without checking the relevant SRO.

The key structural features common to most jurisdictions:

- Payroll tax applies to "taxable wages" above a threshold.
- The threshold is the total wages below which no payroll tax is payable.
- Above the threshold, tax applies to the excess (or in some jurisdictions, to total wages above a phase-out point).
- Monthly returns are required in most jurisdictions once registered.
- An annual reconciliation is required after the financial year ends.
- Related employers may be grouped — the group shares one threshold.
- Contractor provisions may bring labour hire and service arrangements into scope.

NOTE

My take: The threshold is the most misunderstood feature. Employers assume that if they are under the threshold, payroll tax is not their problem. That is only true if they are not part of a group. A small employer with \$700,000 in wages may think they are safe under every jurisdiction's threshold. If they are related to an entity with \$3 million in wages, the group is well over threshold, and both entities may share the liability. Run the grouping check first.

The payroll-tax-agent is responsible for classifying each employer, identifying related entities, computing group wages, and comparing against jurisdictional thresholds. The liability itself is computed by the engine, never by agent code. Neither agent substitutes for verification with the relevant SRO.

```
/payroll-tax-agent classify --employer "Harbour Engineering Pty Ltd" --  
jurisdiction NSW
```

```
payroll_tax_agent.classify_employer({  
  employer: "Harbour Engineering Pty Ltd",  
  jurisdiction: "NSW",  
  relatedEntities: [  
    "Harbour Engineering Holdings Pty Ltd",  
    "Harbour Civil Works Pty Ltd"  
  ],  
  annualWagesEstimate: 4200000  
})
```

The agent returns a classification result: whether the employer is a single entity or part of a group, the jurisdictions in which wages are paid, the estimated group wages, and a threshold proximity flag. Computing the final liability requires a human review step by design.

Rates and Thresholds by State — Verify With Each SRO

Rates and thresholds are published by each SRO and are updated — usually annually, often as part of the state budget. The figures below are indicative as at June 2026 only. Do not use them for lodgement without verifying against the relevant SRO website.

Current as at June 2026 — verify against each state revenue authority before relying on these figures. They change annually and vary by jurisdiction.

Jurisdiction	Rate (indicative — verify)	Annual threshold (indicative — verify)	Lodgement frequency	Revenue authority
NSW	5.45% (general) — verify with Revenue NSW	~\$1.2m — verify with Revenue NSW	Monthly + annual reconciliation	Revenue NSW (revenue.nsw.gov.au)
VIC	4.85% (general); 1.2125% regional; +0.5% COVID-19 debt levy for national wages >\$10m (+1% >\$100m) — verify with SRO Vic	\$1.0m from 1 July 2025; threshold phases out between \$3m–\$5m of national wages — verify with SRO Vic	Monthly + annual reconciliation	State Revenue Office Vic (sro.vic.gov.au)
QLD	4.75%–4.95% (tiered); +0.25% mental health levy for national wages >\$10m (+0.5% >\$100m) — verify with QRO	~\$1.3m — verify with QRO	Monthly + annual reconciliation	Queensland Revenue Office (qro.qld.gov.au)
SA	4.95% — verify with RevenueSA	~\$1.5m — verify with RevenueSA	Monthly + annual reconciliation	RevenueSA (revenuesa.sa.gov.au)
WA	5.5% (tiered above threshold) — verify with RevenueWA	~\$1.0m — verify with RevenueWA	Monthly + annual reconciliation	RevenueWA (wa.gov.au/revenueWA)
TAS	4% (\$1.25m–\$2m of wages); 6.1% above \$2m — two-tier — verify with SRO Tas	\$1.25m — verify with SRO Tas	Monthly + annual reconciliation	State Revenue Office Tas (sro.tas.gov.au)
NT	5.5% — verify with TRO	\$2.5m from 1 July 2025; deduction diminishes \$1 per \$2 above the threshold (nil deduction at \$7.5m) — verify with TRO	Monthly + annual reconciliation	Territory Revenue Office (treasury.nt.gov.au)
ACT	6.85% — verify with ACT Revenue	~\$2.0m — verify with ACT Revenue	Monthly + annual reconciliation	ACT Revenue Office (revenue.act.gov.au)

Forward-dated changes already announced: from 1 July 2026, the NT adds a 6.5% tier for national wages of \$100m or more, and the ACT cuts its threshold to \$1.75m and its general rate to 6.75% for wages up to \$20m — verify both against the relevant SRO.

Several points about these figures demand emphasis.

First: some jurisdictions use a diminishing threshold or phase-out range. Victoria, for example, currently phases out the tax-free threshold for national wages between \$3m and \$5m — verify the current range with SRO Vic. The rate that applies to the excess is not always the same as the marginal rate above the phase-out. These rules change. Do not apply last year's formula to this year's wages.

Second: some states offer concessions for regional employers, for small businesses during transition, or for specific industries. Do not assume the general rate is the applicable rate without checking concession eligibility.

Third: the SG rate is 12% from 1 July 2025. That increase lifts employer costs across the board — and it lifts payroll tax too, because employer superannuation contributions — SG, salary-sacrificed super and any SGC — are included in taxable wages in every jurisdiction. Treat super as inside the base; verify the jurisdiction's definition of wages for edge cases with the relevant SRO.

NOTE

My take: Practitioners who operate nationally tend to develop a mental model based on the jurisdiction where they do most of their work. That model is wrong everywhere else. NSW and Victoria alone have different rate structures, different thresholds, different grouping rules, and different contractor provisions. Build jurisdiction-specific logic, not a generic approximation.

Example 8.1 (assumed-fact illustration): Angela is the payroll manager at Blue Mountain Healthcare Pty Ltd, which employs staff in both NSW and VIC. Annual wages in NSW are \$1,800,000. Annual wages in VIC are \$850,000. Blue Mountain Healthcare has no related entities.

Angela runs the threshold check for each jurisdiction separately. The payroll-tax-agent is invoked with both jurisdictions:

```
Task("payroll-tax-agent", {  
  action: "threshold-check",  
  employer: "Blue Mountain Healthcare Pty Ltd",  
  jurisdictions: ["NSW", "VIC"],  
  annualWages: {  
    NSW: 1800000,  
    VIC: 850000  
  },  
},
```

```
monthsElapsed: 12
})
```

The agent returns: NSW — wages exceed indicative threshold, likely registered and liable (verify with Revenue NSW); VIC — wages below indicative threshold as at June 2026, but verify current threshold with SRO Vic before relying on this. Angela confirms with each SRO directly. NSW registration is confirmed. VIC requires no current registration but Angela sets a threshold proximity alert at 80% — approximately \$800,000 against the \$1.0m VIC threshold — so the system flags if VIC wages approach registration territory.

What this illustrates: A single employer can be liable in one jurisdiction and exempt in another based on jurisdiction-specific thresholds. The payroll-tax-agent handles the multi-jurisdiction check, but the employer must verify each result against the relevant SRO. The threshold proximity alert prevents a surprise registration obligation mid-year.

Monthly Lodgement and Annual Reconciliation

Most jurisdictions require registered employers to lodge a monthly return and pay the monthly instalment by a due date — typically the seventh business day of the following month, but verify this with the relevant SRO. Some jurisdictions allow less frequent lodgement for smaller liable employers.

The annual reconciliation is due after 30 June. It compares total annual taxable wages against the total monthly instalments paid. A shortfall results in a top-up payment. An overpayment results in a credit or refund.

The payroll-tax-agent manages the monthly lodgement workflow as follows:

Step	Actor	Action	Gate
1	payroll-engine	Computes taxable wages for the month by jurisdiction — applies inclusions/exclusions per SRO rules	No gate — engine output
2	payroll-tax-agent	Applies monthly threshold apportionment and computes estimated monthly liability — flags ENGINE OUTPUT as unverified	No gate — internal computation
3	payroll-tax-agent	Generates monthly workpaper with wages, rate, liability estimate, and verification checklist	H3 — practitioner reviews before lodging

4	Practitioner (H3)	Reviews workpaper, confirms wages, confirms applicable rate and threshold, approves lodgement	H3 sign-off required
5	payroll-tax-agent	Lodges monthly return via SRO portal (or generates lodgement file) and records confirmation reference	Post-approval — no additional gate
6	payroll-orchestrator	Archives lodgement confirmation and updates annual reconciliation ledger	No gate — archival step

The H3 gate at step 3 is non-negotiable. The payroll-tax-agent can compute an estimated liability. It cannot confirm the applicable rate, threshold, or whether the employer's wage inclusions/exclusions are correct for the jurisdiction. That requires a practitioner to look at the workpaper and sign off.

The taxable wages figure comes from the engine, not from the agent. The payroll-tax-agent handles the threshold apportionment and rate application. The human practitioner owns the decision to lodge.

```

PAYROLL TAX — MONTHLY WORKPAPER
Jurisdiction:      NSW
Period:           May 2026
Taxable wages (month): ENGINE OUTPUT — verify inclusions/exclusions per Revenue NSW
Annual wages YTD:  [running total — engine computed]
Monthly threshold: [annual threshold / 12 — verify with Revenue NSW]
Rate:              [verify with Revenue NSW — as at June 2026]
Estimated liability: ENGINE OUTPUT — do not lodge without practitioner review
noOverride:        true
Engine:            payroll-engine v2.4
Verified by:       [practitioner name, date]
SRO confirmation:  [to be populated post-lodgement]
As at:            June 2026

```

Example 8.2 (assumed-fact illustration): Robert is the finance director at Westfield Logistics Pty Ltd, registered for payroll tax in Victoria. In March 2026, the company paid \$218,000 in taxable wages — including \$8,000 of employer superannuation contributions. The payroll-tax-agent generates the monthly workpaper.

```

payroll_engine.compute_taxable_wages({
  jurisdiction: "VIC",

```

```

period: "2026-03",
  employer: "Westfield Logistics Pty Ltd",
  grossWages: 218000
  // the $8,000 of employer super is inside this figure – super is included in
  taxable wages
})

```

The engine returns taxable wages of \$218,000 — no exclusion for the \$8,000 of employer superannuation inside that figure. Employer super contributions (SG, salary-sacrificed super and any SGC) are included in taxable wages in every jurisdiction, VIC included. The payroll-tax-agent applies the monthly threshold apportionment and produces an estimated liability. The workpaper goes to Marcus, the registered tax agent, who confirms the inclusions against current SRO Vic rules, reviews the wages figure against the payroll ledger, and approves lodgement. Gate: H3. Marcus signs off before the payroll-tax-agent submits the return.

What this illustrates: Monthly lodgement requires human judgement. The engine computes taxable wages, the agent prepares the workpaper, and a practitioner confirms jurisdiction-specific rules before lodging. Employer superannuation is included in taxable wages in every jurisdiction — the practitioner's H3 check confirms the inclusions, and "as at last year" is not "as at now".

The annual reconciliation follows the same pattern, amplified. By 30 June, the payroll-orchestrator compiles the full-year wages, total monthly instalments, and any outstanding amounts. The payroll-tax-agent produces the reconciliation workpaper for each jurisdiction. H3 gate applies again. Annual figures carry more consequence than monthly estimates — underpayment penalties and interest apply in most jurisdictions.

```

Task("payroll-orchestrator", {
  action: "annual-reconciliation",
  employer: "Westfield Logistics Pty Ltd",
  jurisdiction: "VIC",
  financialYear: "2025-26",
  totalTaxableWages: null, // engine will compute
  totalMonthlyInstalments: null // drawn from lodgement ledger
})

```

Grouping Rules — Related Employers Share a Threshold

Grouping is the rule that catches employers who structure their workforce across multiple entities to avoid individually exceeding the threshold. Each jurisdiction has grouping provisions. The detail varies — but the common thread is that related employers are treated as one group, and the group shares a single threshold.

The practical effect: two companies each with \$600,000 in wages may individually sit under the threshold. If they are related — same director, common control, or other nexus defined by the relevant act — they form a group with \$1,200,000 in combined wages. In most jurisdictions, that exceeds the threshold. Both may be liable.

The nexus tests for grouping are not identical across jurisdictions. Common triggers include:

- Same person is a majority shareholder or director of both entities
- One entity controls the other (directly or through interposed entities)
- Common use of employees or common business purposes
- Tracing rules through trusts and partnerships

The SROs have published guidance on grouping. Revenue NSW and SRO Vic in particular have detailed online resources and private rulings available. Use them before deciding a group does or does not exist.

NOTE

My take: The grouping trap catches related businesses built by the same founder. A person who owns a services company, a holding company, and a property company may not think of them as a group for payroll tax purposes. The SRO does. Founders building multi-entity structures must get a grouping assessment before assuming they are under threshold in any jurisdiction.

The payroll-tax-agent applies grouping logic by requesting the related-entity map from the payroll-orchestrator, computing group wages, and comparing against the group threshold. The group threshold is the same as the individual threshold — but it applies once, shared across all group members.

```
payroll_tax_agent.apply_grouping({
  groupEntities: [
    {
      name: "Harbour Engineering Pty Ltd",
      jurisdiction: "NSW",
      annualWages: 1800000
    },
    {
      name: "Harbour Engineering Holdings Pty Ltd",
      jurisdiction: "NSW",
      annualWages: 400000
    },
    {
      name: "Harbour Civil Works Pty Ltd",
```

```

annualWages: 950000
  }
],
groupThreshold: "[verify with Revenue NSW – as at June 2026]",
apportionThreshold: true
})

```

When multiple group members pay wages in the same jurisdiction, the threshold is apportioned across them. The apportionment is usually based on each member's proportion of group wages. The payroll-engine computes the apportionment. The relevant SRO rules determine whether and how apportionment applies.

Entity	NSW wages (annual)	Group share	Threshold apportionment (indicative)	Liable on excess
Harbour Engineering Pty Ltd	\$1,800,000	57%	[verify with Revenue NSW]	Engine output — verify
Harbour Engineering Holdings Pty Ltd	\$400,000	13%	[verify with Revenue NSW]	Engine output — verify
Harbour Civil Works Pty Ltd	\$950,000	30%	[verify with Revenue NSW]	Engine output — verify
Group total	\$3,150,000	100%	One threshold — shared	Engine output — verify

Current as at June 2026 — verify threshold and apportionment rules against Revenue NSW before relying on these figures.

Example 8.3 (assumed-fact illustration): Wei is the CFO of the Harbour Engineering group. The group has three NSW entities: Harbour Engineering Pty Ltd (\$1,800,000 wages), Harbour Engineering Holdings Pty Ltd (\$400,000 wages), Harbour Civil Works Pty Ltd (\$950,000 wages). The entities share a common director and are controlled by the same holding company. Wei engages the payroll-tax-agent to assess the group's NSW payroll tax position.

```

Task("payroll-tax-agent", {
  action: "grouping-assessment",
  jurisdiction: "NSW",
  financialYear: "2025-26",
  entities: [
    { name: "Harbour Engineering Pty Ltd", wages: 1800000 },
    { name: "Harbour Engineering Holdings Pty Ltd", wages: 400000 },
    { name: "Harbour Civil Works Pty Ltd", wages: 950000 }
  ],
})

```

```
groupNexus: "common-director-and-control"
})
```

The payroll-tax-agent returns: group wages \$3,150,000 — well above the indicative NSW threshold of approximately \$1.2m (verify with Revenue NSW). All three entities are grouped. The payroll engine apportions the threshold based on wage share. Each entity's individual payroll tax liability is computed as an engine output, flagged for practitioner verification. Gate: H3 — Wei's registered tax agent reviews the grouping assessment and confirms the nexus conclusion before the group lodges. The agent notes: "Grouping determination is a legal conclusion. If the nexus is disputed, escalate to H2 before lodging."

What this illustrates: Grouping turns three apparently safe entities into a group with a large payroll tax liability. The payroll-tax-agent can apply the grouping rules, but the nexus determination — whether entities are genuinely related — requires a practitioner. If the grouping is contested or uncertain, H2 applies: a registered tax agent must assess the legal position before lodging.

One additional grouping consideration: cross-jurisdictional groups. If the Harbour Engineering group also paid wages in VIC, the NSW grouping does not automatically determine the VIC position. Each state's grouping rules apply independently. The payroll-tax-agent runs a separate grouping assessment for each jurisdiction in which any group member pays wages.

```
payroll_tax_agent.grouping_check_all_jurisdictions({
  group: "Harbour Engineering Group",
  entities: [
    { name: "Harbour Engineering Pty Ltd", wages: { NSW: 1800000, VIC: 200000 } },
    { name: "Harbour Civil Works Pty Ltd", wages: { NSW: 950000 } }
  ],
  jurisdictions: ["NSW", "VIC"]
})
```

Contractor Provisions — Labour Hire and Service Arrangements

The "contractor" label rarely defeats payroll tax, however much employers hope it will. Most jurisdictions have contractor provisions — sometimes called "relevant contracts" provisions — that bring certain contractor arrangements into the payroll tax base. The provisions vary by jurisdiction, but the common thread is: if the arrangement looks like the provision of labour, the SRO may deem the payments to be taxable wages.

The same principle I emphasise for SG and PAYG withholding applies here: the contractor label is not determinative. The substance of the arrangement governs. AWARD-GOVERNS where an award covers the work being performed — verify the applicable award.

The key arrangements that attract contractor provisions in most jurisdictions:

- **Labour hire:** A labour hire firm supplies workers to a client. The firm pays the workers. The payments are taxable wages in the hands of the firm for payroll tax purposes in most jurisdictions.
- **Relevant contracts:** An arrangement where an individual provides services under a contract that is substantially for the labour of that individual. Even if structured as a contractor arrangement, the SRO may treat the payments as wages.
- **Contractor exemptions:** Most jurisdictions have exemptions — for example, if the contractor supplies labour to multiple clients, or if the contractor is ordinarily engaged in the business of providing that kind of service. The exemption conditions vary significantly by jurisdiction.

The contractor provisions are among the most litigated aspects of payroll tax law. Do not assess your contractor arrangements without advice. The payroll-tax-agent can flag arrangements that present contractor provision risk — but the determination of whether an exemption applies is a legal question. Gate: H3 minimum. If reclassification has tax consequences (it usually does), H2 applies.

Jurisdiction	Contractor provision type	Labour hire rules	Key exemption trigger (indicative)	Verify note
NSW	Relevant contracts — Revenue NSW	Labour hire arrangement — payments are wages	Contractor ordinarily in business of providing that service; supplies multiple clients	Verify with Revenue NSW — provisions and exemptions change
VIC	Relevant contracts — SRO Vic	Labour hire arrangement — payments are wages	Same-business exemption; services not of same kind as principal's business	Verify with SRO Vic — case law applies; seek advice
QLD	Relevant contracts — QRO	Labour hire arrangement — payments are wages	Contractor in own business; multiple principal exemption	Verify with QRO — 2019 ruling history is relevant
SA	Relevant contracts — RevenueSA	Labour hire arrangement — payments are wages	Contractor regularly provides same services to public	Verify with RevenueSA — exemption conditions differ from other states
WA	Relevant contracts — RevenueWA	Labour hire arrangement — payments are wages	Contractor has own established business; supplies multiple clients	Verify with RevenueWA — WA rules differ materially from eastern states
TAS	Relevant contracts — SRO Tas	Labour hire arrangement — payments are wages	Contractor in own business of providing those services	Verify with SRO Tas

NT	Relevant contracts — TRO	Labour hire arrangement — payments are wages	Verify with Territory Revenue Office — smaller volume of case law	Verify with TRO before relying on any exemption
ACT	Relevant contracts — ACT Revenue	Labour hire arrangement — payments are wages	Verify with ACT Revenue Office — provisions modelled on NSW but with differences	Verify with ACT Revenue

Current as at June 2026 — verify contractor provisions and exemptions against each relevant state revenue authority. These rules are subject to legislative amendment and case law development.

Example 8.4 (assumed-fact illustration): Priya is the compliance manager at Adelaide Retail Services Pty Ltd (SA). The company engages 12 individuals under contractor agreements to staff retail counters. Each contractor works exclusively for Adelaide Retail Services. They do not supply services to other businesses. Priya asks the payroll-tax-agent to assess the SA payroll tax exposure for these arrangements.

```
Task("payroll-tax-agent", {
  action: "contractor-provision-assessment",
  jurisdiction: "SA",
  employer: "Adelaide Retail Services Pty Ltd",
  arrangements: [
    {
      type: "individual-contractor",
      headcount: 12,
      annualPaymentsTotal: 480000,
      exclusiveArrangement: true,
      multipleClientsSupplied: false,
      contractorInOwnBusiness: "unclear"
    }
  ]
})
```

The payroll-tax-agent returns a HIGH RISK flag: the contractors are exclusive to one principal, do not supply services to the public generally, and the "contractor in own business" criterion is unclear. The agent notes that under the SA relevant contracts provisions, these payments may be taxable wages. Rather than making a determination, the agent escalates. Gate: H3 minimum. Priya's registered tax agent reviews the arrangements and advises that the SA provisions are likely to apply, recommending that RevenueSA be contacted for a ruling if the position is uncertain. Gate: H2 — formal contact with RevenueSA is registered tax agent work.

What this illustrates: The contractor provision risk flag is the payroll-tax-agent's contribution. The determination of whether the relevant contracts provisions apply — and whether any exemption saves the employer — requires a practitioner. In a case with this risk profile, do not lodge amended returns or seek a ruling without a registered tax agent at H2.

Labour hire firms have a separate and more straightforward exposure. If your business is a labour hire firm — you supply workers to clients, the workers perform work at the client's direction — the payments to those workers are taxable wages for payroll tax in most jurisdictions. The exemptions available to other contractors are generally not available to labour hire firms. Verify this with the relevant SRO.

```
/payroll-tax-agent assess-labour-hire --jurisdiction QLD --annual-payments 2100000
```

```
payroll_tax_agent.assess_labour_hire({  
  jurisdiction: "QLD",  
  employer: "Metro Digital Solutions Pty Ltd",  
  arrangementType: "labour-hire",  
  annualPaymentsToWorkers: 2100000,  
  workersSuppliedToClients: true,  
  workersDirectedByClient: true  
})
```

payroll-tax-agent — Threshold Monitoring and Grouping Check

The payroll-tax-agent has three primary operating modes: threshold monitoring, grouping check, and contractor provision assessment. Each is described above in context. This section covers the agent's output format, the configuration of threshold proximity alerts, and the integration with the payroll-orchestrator for multi-jurisdiction employers.

Threshold monitoring runs monthly. The agent compares year-to-date wages against the annualised threshold for each jurisdiction in which the employer is registered — or flagged as a registration candidate. The proximity alert fires at a configurable threshold, typically 80% of the annual threshold.

```
/payroll-tax-agent threshold-monitor --all-jurisdictions --employer "Metro Digital  
Solutions Pty Ltd"
```

The agent produces a monitoring output for each jurisdiction. The fields in the monitoring output are:

Field	Value (example — assumed fact illustration)	Status
Employer	Metro Digital Solutions Pty Ltd	—
Jurisdiction	VIC	—
Registration status	Not registered	Monitoring — not yet liable
Annual wages YTD	\$762,000 (9 months elapsed)	ENGINE OUTPUT
Annualised wages projection	~\$1,016,000 (12-month projection)	ESTIMATE — verify
Indicative VIC threshold	[verify with SRO Vic — as at June 2026]	SRO verification required
Proximity alert	AMBER — projected to exceed threshold in current FY	ACTION: verify threshold, assess registration obligation
Grouped entities	None identified	Run grouping check if related entities exist
Recommended action	Escalate to practitioner — potential registration obligation	H3 gate applies
As at	June 2026	—

The AMBER alert is the early-warning mechanism. A GREEN status means wages are comfortably below the annualised threshold. AMBER means the projection places the employer within or approaching registration territory. RED means wages have exceeded the threshold and registration is required if not already in place.

When the status moves to AMBER or RED, the payroll-tax-agent escalates to the payroll-orchestrator, which generates a task for the responsible practitioner. Gate: H3. The practitioner reviews the projection, confirms the current threshold with the SRO, and advises on registration if required.

```
payroll_engine.calculate_payroll_tax({
  jurisdiction: "VIC",
  annualWages: 1016000,
  groupedEmployers: [],
  groupThreshold: false,
  rate: "[verify with SRO Vic — as at June 2026]",
  threshold: "[verify with SRO Vic — as at June 2026]"
})
```

PAYROLL TAX — WORKPAPER

Jurisdiction: VIC
 Employer: Metro Digital Solutions Pty Ltd
 Financial year: 2025-26
 Months elapsed: 9

```

Annual wages (YTD):    $762,000
Annualised projection: ~$1,016,000
Threshold (annual):    [verify with SRO Vic – as at June 2026]
Rate:                  [verify with SRO Vic – as at June 2026]
Group members:         None
Estimated liability:    ENGINE OUTPUT – do not use for lodgement without
practitioner review
Proximity status:      AMBER
Alert triggered at:     80% of indicative threshold
noOverride:            true
Engine:                payroll-engine v2.4
Reviewed by:           [practitioner name, date]
As at:                 June 2026

```

NOTE

My take: The payroll-tax-agent's threshold monitoring is worth the setup cost even for employers who are confident they are under threshold. The proximity alert catches the employer who is growing. Missing payroll tax registration generates penalty and interest exposure from the date registration was required, not from the date you discovered it. A quick call to the SRO will not undo that. The monitor pays for itself the first time it fires and you register on time.

The grouping check runs as a separate module. It is triggered when a new related entity is identified, when the employer's corporate structure changes, or on a schedule — typically annually before the annual reconciliation. The grouping check requires the related-entity register to be current. If the register is out of date, the grouping check is unreliable.

```

Task("payroll-tax-agent", {
  action: "grouping-check",
  trigger: "annual-pre-reconciliation",
  employer: "Metro Digital Solutions Pty Ltd",
  relatedEntityRegister: "current", // sourced from payroll-orchestrator
  jurisdictions: ["VIC", "NSW"],
  financialYear: "2025-26"
})

```

The payroll-orchestrator owns the related-entity register. The payroll-tax-agent queries it. If the register shows no related entities, the grouping check returns a clean result. If new related entities appear — new subsidiaries, a newly acquired sister company, a restructure — the grouping check recalculates immediately and flags any change in liability.

Example 8.5 (assumed-fact illustration): Sasha is the payroll compliance manager at Metro Digital Solutions Pty Ltd. In February 2026, Metro Digital acquires Metro Digital Holdings Pty Ltd as a new parent entity. Metro Digital Holdings has no employees but holds the IP of the group. The payroll-orchestrator detects the new entity in the corporate register and triggers an automatic grouping check.

```
Task("payroll-tax-agent", {
  action: "grouping-check",
  trigger: "corporate-structure-change",
  event: "new-related-entity-detected",
  newEntity: {
    name: "Metro Digital Holdings Pty Ltd",
    relationship: "holding-company",
    annualWages: 0
  },
  existingEntities: [
    {
      name: "Metro Digital Solutions Pty Ltd",
      jurisdiction: "VIC",
      annualWages: 762000
    }
  ]
})
```

The payroll-tax-agent checks the grouping rules for VIC. Metro Digital Holdings has zero wages. Adding a zero-wage holding entity does not change the VIC payroll tax position for the current year. The agent returns: group wages unchanged, threshold proximity status unchanged, AMBER flag remains from prior monitoring. However, the agent notes: if Metro Digital Holdings later pays wages (director fees, management fees treated as wages, or employee wages), the group wage calculation must be updated immediately. Gate: H3 — Sasha's practitioner reviews the corporate structure change and confirms the grouping conclusion. The practitioner notes that director fees paid to the holding company director may themselves be taxable wages — verify with SRO Vic.

What this illustrates: Corporate structure changes trigger immediate grouping reassessment. A zero-wage entity may be innocuous today. A holding company that later pays director fees or management fees may change the group's liability. The payroll-tax-agent catches the change at the point of restructure, not twelve months later at annual reconciliation.

The payroll-tax-agent, payroll-engine, and payroll-orchestrator form a closed loop for payroll tax compliance. The engine computes figures. The agent applies jurisdictional rules, grouping logic, and contractor provisions. The orchestrator manages schedules, entity registers, and escalation paths. But the loop is not closed until a human practitioner — operating at H3, or H2 where tax consequences arise — reviews and approves every lodgement.

State and territory payroll tax is state and territory law. It changes when state budgets change. It is interpreted by case law that develops in each jurisdiction independently. No automated agent — however well-configured — can substitute for a practitioner who knows the current rules in the relevant jurisdiction. The payroll-tax-agent is a precision tool. Use it as one.

NOTE

My take: The most dangerous payroll tax position is the one that has never been assessed. Employers who have never registered, never done a grouping check, and never looked at their contractor arrangements are merely uninformed, not safe. The payroll-tax-agent turns "we don't know" into "we have looked, here are the facts, here is what the practitioner confirmed." That is the only defensible position.

Before I close this chapter: every rate, threshold, contractor provision, exemption, and lodgement rule referenced here must be verified against the relevant state revenue authority as at the date of lodgement. These rules change annually. They vary by jurisdiction. The figures in this chapter are indicative only, as at June 2026. You have been warned — more than once, intentionally.

TIP

Next: Chapter 09 covers workers' compensation and contractor classification — premium calculation, deemed workers, the multi-factor test, and the classification-agent that applies it.

09 Workers' Compensation and Contractor Classification

Premium calculation, deemed workers, contractor vs employee, and the classification-agent

Workers' compensation and contractor classification sit at the intersection of industrial law, state revenue law, and payroll obligation. Get the classification wrong and every downstream obligation — SG, payroll tax, entitlements, workers' comp — lands on your plate. This chapter shows you how the classification-agent runs the multi-factor test, how the payroll engine calculates premium bases, and where the human gates are non-negotiable.

Workers' compensation — state-based premium calculation

There is no federal workers' compensation scheme for private sector employers. Each state and territory runs its own. The scheme name, administrator, premium calculation methodology, and rateable remuneration base differ across every jurisdiction. If you operate in more than one state, you have multiple registrations, multiple lodgements, and multiple premium bases to manage.

The rateable remuneration calculation is the engine's, not the agent's. It applies the jurisdiction-specific rules against payroll data to produce a figure the scheme can use. What it cannot do is lodge or negotiate — those are H1 functions.

Workers' compensation schemes by state/territory — current as at June 2026 — verify against each scheme administrator

State/Territory	Scheme name	Administrator	Rateable remuneration base	Deemed worker provisions	Verify at
NSW	Workers Compensation Scheme	icare NSW	Wages + super + most allowances; excludes some reimbursements	Yes — extended definition under Workers Compensation Act 1987	icare.nsw.gov.au

VIC	WorkSafe Victoria	WorkSafe VIC	Rateable remuneration — statutory definition; excludes overtime in some categories	Yes — deemed workers in Workplace Injury Rehabilitation and Compensation Act 2013	worksafe.vic.gov.au
QLD	WorkCover Queensland	WorkCover QLD	All wages, salaries, commissions, bonuses; verify exclusions list	Yes — deemed workers under Workers' Compensation and Rehabilitation Act 2003	workcoverqld.com.au
SA	ReturnToWork SA	ReturnToWork SA	Remuneration as defined — includes super, some allowances	Yes — deemed workers under Return to Work Act 2014	rtwsa.com
WA	WorkCover WA	WorkCover WA	Earnings — broad statutory definition; verify WA-specific exclusions	Yes — deemed workers under Workers' Compensation and Injury Management Act 1981	workcover.wa.gov.au
TAS	WorkSafe Tasmania	WorkSafe TAS	Wages and salary; verify TAS remuneration definition	Yes — deemed workers provisions apply; verify current position	worksafe.tas.gov.au
NT	NT WorkSafe	NT WorkSafe	Wages — verify NT-specific definition and exclusions	Yes — verify current NT deemed worker provisions	worksafe.nt.gov.au
ACT	ACT WorkSafe	ACT WorkSafe / Comcare	Verify — ACT uses Comcare for some employers; remuneration base varies	Yes — verify ACT deemed worker position under Workers Compensation Act 1951	worksafe.act.gov.au

NOTE

My take: The table above is a starting map, not an authoritative reference. Every scheme has its own legislative definition of "remuneration" and its own exclusions. Before you run a premium calculation in any state, pull the current legislation and the scheme's own guidance document. The definitions shift with amendments, and you cannot rely on memory or last year's knowledge base entry.

The payroll engine's workers' comp module runs per jurisdiction. You tell it the state, the industry classification code, the rateable remuneration pool, and the claim history band. It returns the premium base and applies the published rate. The rate is the insurer's figure — the engine does not fabricate it.

```
payroll_engine.calculate_workers_comp_premium({
  jurisdiction: "NSW",
  rateableRemuneration: 850000,
  industryCode: "E3412",
  claimHistory: "STANDARD"
})
```

The engine returns:

```
WORKERS COMP PREMIUM – NSW
Rateable remuneration:    $850,000
Industry code:            E3412 (Civil and Structural Engineering)
Industry rate:            [fetch from icare current rate schedule]
Claim history adjustment: STANDARD – no modifier applied
Estimated annual premium: [engine applies published rate – verify with icare]
Basis date:              June 2026
Source required:         icare.nsw.gov.au current rate schedule
noOverride: true
Engine: payroll-engine v4.1 workers-comp module
```

Note the engine flags "Source required." Rates change annually, so the engine fetches or prompts for the current published rate rather than embedding one. That is the correct behaviour. Any system that embeds a hardcoded workers' comp rate is a liability.

Example 9.1 (assumed-fact illustration): Harbour Engineering Pty Ltd operates across NSW and VIC. The payroll-orchestrator identifies two separate workers' comp registrations and triggers a jurisdiction-split calculation.

The payroll engine runs the NSW module against \$850,000 of NSW rateable remuneration (industry code E3412) and the VIC module against \$420,000 of VIC rateable remuneration (equivalent VIC industry classification). The engine returns two premium base figures and two rate-fetch prompts — one for icare, one for WorkSafe VIC. The payroll-orchestrator queues both for the payroll manager to confirm against the current rate schedules before the premium declaration is lodged. H1 gate fires before lodgement: a registered tax agent or BAS agent must review and sign off on the annual declaration where it involves formal ATO correspondence or STP-linked items. The workers' comp declaration itself is lodged with the scheme, not the ATO — but if super or STP figures underpin the rateable remuneration, H1 applies to those linked figures.

What this illustrates: Multi-jurisdiction employers need separate registrations and separate calculations. The payroll engine splits these automatically. Do not merge the premium bases — the schemes have different definitions and different rates.

Deemed workers — contractor provisions in state laws

Every state workers' compensation scheme has a deemed worker definition. It extends coverage to some workers who would otherwise be classified as independent contractors. The scope varies significantly across jurisdictions.

Deemed worker provisions typically capture:

- Owner-drivers who provide a vehicle and transport goods or materials for a principal
- Labour hire workers placed by a labour hire firm
- Working directors of family companies in some schemes
- Outworkers in the clothing and textile industry
- Commission-only agents and sales representatives in some schemes
- Home-based workers in some schemes

The classification-agent runs a deemed worker sub-check as part of every contractor assessment. It checks the jurisdiction's current deemed worker schedule against the worker's arrangement.

```
/classification-agent run-deemed-worker-check --worker-id CTR-0391 --jurisdiction
"VIC" --arrangement "owner-driver-freight"
```

DEEMED WORKER CHECK — VIC

```
Worker:           Marcus Webb (ID: CTR-0391)
Jurisdiction:     Victoria
Arrangement:      Owner-driver — freight delivery
Scheme reference:  Workplace Injury Rehabilitation and Compensation Act 2013
Deemed worker flag: LIKELY — owner-driver arrangements covered under VIC deemed
worker schedule
Workers comp obligation: PRINCIPAL may be liable for premium on Marcus's
remuneration
Verify:           Current VIC deemed worker schedule with WorkSafe VIC
H3 gate:          YES — practitioner review before proceeding on premium
liability
Note:             Deemed worker status for workers' comp does NOT automatically
determine
                  employment status for Fair Work, SG, or payroll tax purposes
no0verride: true
Engine: classification-agent v1.8 deemed-worker module
```

NOTE

My take: The deemed worker check is one of the most under-used functions in payroll practice. Businesses routinely engage owner-drivers, outworkers, and certain commission agents without ever checking the state workers' comp legislation. The premium liability sits with the principal — and it accumulates from the start of the engagement, not from the date of discovery. Run the check at engagement, not at audit.

The agent's note is load-bearing: deemed worker status for workers' comp is a separate legal question from employment status under the Fair Work Act. A worker can be a deemed worker for comp purposes and still be a genuine independent contractor for SG, payroll tax, and FBT purposes. The reverse is also true. Do not conflate the tests.

Example 9.2 (assumed-fact illustration): Adelaide Retail Services engages Priya on an outworker basis — she assembles promotional kits at home and is paid per kit completed. Adelaide Retail Services has never registered her for workers' compensation. The classification-agent's deemed worker module flags her arrangement against the SA Return to Work Act 2014.

The engine returns a LIKELY flag for deemed worker status under SA's outworker provisions. H3 gate fires: the payroll manager must take the result to a practitioner before proceeding. The practitioner confirms the deemed worker status applies and calculates the retroactive premium exposure from the start of the engagement. ReturnToWork SA is notified. The payroll manager also separates this finding from the contractor-vs-employee analysis — Priya's results-based payment structure and right to delegate are strong contractor indicators under the Fair Work Act multi-factor test, but those factors are irrelevant to the deemed worker question under the SA Act.

What this illustrates: Deemed worker provisions bite regardless of the contractual label and regardless of the Fair Work classification. Run the check in the engagement jurisdiction. Do not assume a contractor is outside the workers' comp net.

The contractor vs employee distinction — multi-factor test

The High Court's decisions in CFMMEU v Personnel Contracting and ZG Operations v Jamsek (both 2022) shifted the primary focus to the terms of the written contract. Where a written contract exists, courts look first at what the parties actually agreed. But the multi-factor analysis still governs where no written contract exists, or where the contract does not address a factor, or where conduct post-dating the contract redefines the relationship.

The classification-agent runs the multi-factor test across seven dimensions. Each factor is assessed on the available facts. The engine produces a scorecard, a risk classification, and a gate recommendation. The determination itself is H3 where tax consequences are present.

The seven factors the agent assesses:

- **Control over work:** Does the principal control how, where, and when the work is done?
- **Integration into the business:** Does the worker form part of the principal's organisation or are they external?
- **Results-based vs time-based payment:** Is the worker paid for outcomes or for hours?
- **Right to delegate:** Can the worker send a substitute?
- **Equipment provision:** Who supplies tools, materials, and infrastructure?
- **Ability to work for others:** Is the worker free to work for other principals concurrently?
- **Exclusivity:** Does the arrangement prevent the worker from building an independent business?

```
Task("classification-agent", {
  action: "multi-factor-test",
  workerId: "EMP-2847",
  employer: "Harbour Engineering Pty Ltd",
  factors: {
    controlOverWork: "HIGH – supervisor directs daily tasks and site attendance hours",
    integrationIntoBusiness: "MEDIUM – works alongside employees on client sites",
    resultsVsTimeBased: "TIME – paid hourly rate regardless of output",
    rightToDelegate: "NO – must perform work personally under contract",
    equipmentProvision: "EMPLOYER – all tools, PPE, and site access provided by Harbour Engineering",
    abilityToWorkForOthers: "LIMITED – exclusivity clause in agreement",
    exclusivity: "YES – agreement prohibits work for competitors"
  }
})
```

CLASSIFICATION RESULT – WORKPAPER

Worker:	James Thornton (ID: EMP-2847)
Employer:	Harbour Engineering Pty Ltd
Test date:	June 2026
Factors assessed:	7
Factors toward employee:	6
Factors toward contractor:	1
Risk classification:	HIGH – likely employee
Recommended action:	H3 gate – practitioner review before proceeding
H1 gate required:	YES – reclassification has tax consequences
Contract reviewed:	YES – written agreement in place
CFMMEU/Jamsek note:	Contract terms reviewed; conduct post-dating contract flagged
	(exclusivity clause unenforced in practice – verify)

```
noOverride: true
Engine: classification-agent v1.8
```

Multi-factor test scorecard — James Thornton / Harbour Engineering Pty Ltd — June 2026

Factor	Employee indicator	Contractor indicator	James's situation	Weight
Control over work	Principal directs how/when/where	Worker controls method and timing	Supervisor directs daily tasks and hours	Toward employee
Integration into business	Forms part of organisation	External, independent of organisation	Works alongside employees on client sites	Toward employee (medium)
Results vs time-based payment	Paid for time (hourly/salary)	Paid for results or deliverables	Paid hourly rate regardless of output	Toward employee
Right to delegate	Must perform personally	Can send a substitute	No right to delegate under contract	Toward employee
Equipment provision	Principal supplies tools and infrastructure	Worker supplies own tools/equipment	All tools and PPE supplied by Harbour Engineering	Toward employee
Ability to work for others	Restricted or exclusive to principal	Free to work for multiple principals	Exclusivity clause in agreement (unenforced in practice — verify)	Toward employee
Own business goodwill/risk	No business risk, no goodwill	Carries own business risk, builds goodwill	No evidence of independent business or goodwill	Toward employee

Six out of seven factors point toward employee. The one contractor-leaning factor — partial integration — is weak. The classification-agent assigns HIGH risk. H3 gate fires before any action is taken based on this result.

NOTE

My take: The 2022 High Court decisions tightened the analysis but did not eliminate it. The written contract matters more now than it did before those decisions — but "matters more" is not "matters exclusively." Conduct that departs from the written terms, terms that were never negotiated at arm's length, and sham contracting scenarios all remain live issues. The multi-factor scorecard is still the right tool. Use it. Document it. Gate it at H3.

Example 9.3 (assumed-fact illustration): Blue Mountain Healthcare engages Nathan as a "contractor" to provide physiotherapy services to patients on a sessional basis. Nathan works three days a week at the clinic, uses Blue Mountain's rooms and equipment, sees patients allocated by the receptionist, and is paid per session at a rate set by the clinic. He has no other clients.

The classification-agent runs the multi-factor test. Results: high control (Blue Mountain allocates patients and sets the session rate), high integration (part of the clinical team, uses clinic infrastructure), time/results ambiguous (paid per session but sessions are controlled), no right to delegate (verified against written agreement), all equipment supplied by Blue Mountain, no ability to work for others (effectively exclusive). Score: 5.5 toward employee, 0.5 toward contractor. Risk classification: HIGH. H3 gate fires. The practitioner reviews the arrangement and advises that Nathan is likely an employee under common law. H1 gate fires next: the reclassification has SG, PAYG withholding, and STP consequences that require a registered tax agent. The award-agent is invoked in parallel to check applicable award coverage — Nathan's role as a physiotherapy practitioner in a private practice setting may engage the Health Professionals and Support Services Award 2020. AWARD-GOVERNS: verify applicable award against current FWC award list.

What this illustrates: Session-based "contractors" in health settings are a high-risk classification. The per-session payment structure does not make the arrangement results-based when the principal controls every other aspect of the work. Run the full multi-factor test — do not accept the contractual label.

The label trap — 'contractor' in the agreement is not determinative

The agreement says "independent contractor." The invoice says "ABN." The worker has a company structure. None of this is determinative. The substance of the arrangement governs, not the label the parties chose.

This is explicit in Fair Work Act case law and in the ATO's guidance on personal services income. A worker who operates through a company and invoices with an ABN can still be found to be an employee of the principal for super guarantee purposes. The SG liability follows the substance of the relationship.

The classification-agent is specifically designed to look past the label. The "arrangement type" field in the multi-factor input accepts the documented label — "contractor," "consultant," "freelancer," "sole trader," "ABN worker" — but the engine disregards it when scoring. The label is recorded for the workpaper. It does not move the needle on any factor.

```
/classification-agent run-multi-factor --worker-id CTR-1120 --employer "Metro Digital Solutions" --label "independent contractor" --note "ABN registered, invoices fortnightly"
```

CLASSIFICATION RESULT — WORKPAPER

Worker:	Chloe Nakamura (ID: CTR-1120)
Employer:	Metro Digital Solutions
Documented label:	Independent contractor (ABN registered)
Test date:	June 2026


```

Engine note:          Label recorded. Label not used in factor scoring.
                     ABN registration noted. ABN status does not determine
employment relationship.
Factors toward employee: 5
Factors toward contractor: 2
Risk classification:  MEDIUM-HIGH – indicators lean employee
Recommended action:   H3 gate – practitioner review before proceeding
H1 gate required:     YES – if reclassification proceeds, SG and PAYG consequences
apply
noOverride: true
Engine: classification-agent v1.8

```

The engine's note is explicit: ABN registration does not determine the employment relationship. The ATO has stated this position repeatedly. Businesses that rely on the ABN as a shield are carrying undisclosed SG liability.

PSI rules add another layer. Even where a contractor is genuinely not an employee, if the worker's income is personal services income under the PSI regime, the PSI rules may attribute that income to the individual and deny business deductions. The classification-agent flags PSI risk as a secondary output where the primary factors are ambiguous. PSI analysis is H2 — it requires a registered tax agent.

```

SECONDARY OUTPUT – PSI FLAG
Worker:          Chloe Nakamura (ID: CTR-1120)
PSI risk:        MEDIUM – income is principally from personal efforts
                  (not from supply of equipment or sale of goods)
PSI test suggested: Results test, 80% rule, unrelated clients test
H2 gate:        YES – PSI analysis requires registered tax agent
Note:          PSI finding is separate from employment classification.
                Both analyses may be required simultaneously.
Engine: classification-agent v1.8 psi-module

```

NOTE

My take: I see clients arrive with folders of "contractor agreements" that have never been stress-tested against the substance of the work. The agreement says contractor. The arrangement is indistinguishable from employment. The risk has been building for years. The classification-agent is a diagnostic for that, not a cure. Run it at engagement, well before the first ATO enquiry letter.

Example 9.4 (assumed-fact illustration): Westfield Logistics engages Mei under a "subcontractor agreement" to perform data entry and scheduling work. Mei works from the Westfield Logistics office, uses their computers and systems, works 9am to 5pm Monday to Friday, attends team

meetings, and has been in the arrangement for 22 months. She invoices monthly through her ABN sole trader registration.

The classification-agent runs the full multi-factor test. High control (set hours, employer premises, employer systems), high integration (attends team meetings, indistinguishable from employees in practice), time-based payment (monthly invoice approximates a salary), no right to delegate (confirmed), all equipment supplied by Westfield Logistics, no ability to work for others (full-time hours leave no capacity), no independent business. Score: 7 toward employee, 0 toward contractor. Risk classification: VERY HIGH. H3 gate fires immediately. H1 gate follows: reclassification carries PAYG, SG, and STP consequences requiring a registered tax agent. The 22-month duration amplifies the back-pay and SGC exposure. AWARD-GOVERNS: the award-agent checks applicable award coverage for Mei's data entry and scheduling duties — likely the Clerks Private Sector Award 2020, but verify against current FWC award list.

What this illustrates: Duration matters. A 22-month misclassification is a liability that has been compounding monthly, not a minor administrative error. The earlier the classification-agent runs, the smaller the exposure.

Misclassification consequences — back-pay, SG, payroll tax exposure

Misclassification carries real cost. Every period the worker was misclassified generates a recoverable obligation. The consequences cascade across multiple obligations simultaneously.

Misclassification consequence matrix — current as at June 2026 — verify against ATO, FWC, and state revenue authority

Obligation	Consequence if misclassified	Recovery/penalty exposure	Gate
National Employment Standards entitlements	Back-pay of annual leave, personal leave, notice, redundancy where applicable	Full entitlement from commencement — plus interest; FWC enforcement	H3 (review) then H1 (tax consequences)
Award entitlements	Back-pay of underpaid rates, penalty rates, overtime, loadings under applicable award	Full shortfall from commencement; FWC enforcement; civil penalties	H3 (award compliance) — AWARD-GOVERNS

Superannuation Guarantee	SG contributions not paid; SGC = shortfall + nominal interest (10% p.a.) + \$20 admin fee per employee per quarter — non-deductible	SGC shortfall for each quarter plus nominal interest (10% p.a.) and \$20 admin fee per employee per quarter — verify current amounts against ATO; SGC is non-deductible to the employer; Part 7 additional SGC of up to 200% of the charge may apply for failure to lodge an SGC statement by its due date — verify current ATO position	H1 — SG shortfall disclosure and SGC lodgement require registered tax agent
PAYG withholding	Withholding not deducted from payments; employer liable for amounts not withheld	ATO may pursue employer for unwithheld amounts plus penalties and interest; GIC applies	H1 — formal ATO correspondence; registered tax agent required
Payroll tax	Payments not included in taxable wages base; state revenue authority may reassess	Reassessment plus interest plus penalty for each open year — verify against relevant state revenue authority; no federal payroll tax	H3 (review) then H1 (ATO correspondence if linked) or state revenue equivalent
Workers' compensation	Premiums not paid on worker's remuneration; scheme may demand retrospective premium	Retrospective premium from engagement start; penalty loading possible — verify with relevant scheme	H3 (review) then scheme-specific lodgement process
FBT reconsideration	Benefits provided to "contractor" may require FBT reanalysis as employee benefits	FBT liability plus shortfall penalty and interest for each FBT year — verify with registered tax agent	H1 — FBT is a formal tax liability; registered tax agent required
Sham contracting (Fair Work Act s357)	Representing employment as contracting is a civil penalty offence	Civil penalty — verify current maximum penalty amount against Fair Work Commission; penalties can apply to individuals as well as entities	H2 — formal legal consequence; requires specialist advice

Sham contracting under Fair Work Act s357 deserves separate emphasis. Section 357 makes it a civil penalty offence for an employer to represent to a worker that their employment contract is a contract for services (that is, a contractor arrangement) when the employer knows or reasonably should know the representation is false. The offence is about the misrepresentation, not just the misclassification. Verify the current maximum penalty amount against the Fair Work Commission — penalties are subject to indexation and legislative change.

NOTE

My take: The SGC non-deductibility point deserves more attention than it gets. If you owe SG, the ordinary superannuation deduction is unavailable — you pay SGC instead. SGC is non-deductible. That means the after-tax cost of the SGC liability is higher than the cost of compliant super contributions would have been. Every month of misclassification compounds this. The business case for getting it right at engagement is straightforward arithmetic.

The payroll engine calculates the exposure. Negotiation and disclosure sit outside its remit — disclosure is H1. The engine's job is to produce the workpaper that the registered tax agent needs to make decisions.

```
payroll_engine.calculate_misclassification_exposure({
  workerId: "CTR-1120",
  employer: "Metro Digital Solutions",
  engagementStart: "2024-08-01",
  assessmentDate: "2026-06-24",
  averageMonthlyPayment: 8500,
  jurisdiction: "VIC",
  sgRate: 0.12,
  applicableAward: "PENDING-H3-REVIEW"
})
```

MISCLASSIFICATION EXPOSURE WORKPAPER

Worker: Chloe Nakamura (ID: CTR-1120)
 Employer: Metro Digital Solutions
 Period: 2024-08-01 to 2026-06-24 (22 months)
 Total payments: ~\$187,000 (22 months x \$8,500)

SG EXPOSURE

SG rate: 12% (from 1 July 2025) – verify current rate against AT0
 Periods pre-1-Jul-25: 11 months at 11.5% – verify rate for each quarter against AT0
 SG shortfall estimate: [engine calculates per quarter – figure produced in workpaper]
 SGC nominal interest (10% pa): [applied per quarter – non-deductible]
 SGC admin levy: [per employee per quarter – verify current AT0 amount]
 Note: SGC non-deductible. Deductible super contribution opportunity lost.

PAYG EXPOSURE

Gross payments: ~\$187,000
 PAYG liability: [direct to AT0 tax tables – engine does not produce PAYG]

```

amounts]
GIC: [applied from each withholding due date – ATO calculates]

PAYROLL TAX – VIC
Taxable wages: ~$187,000 (verify VIC definition – no federal payroll tax)
Period: 2024-08-01 to 2026-06-24
Verify against: State Revenue Office Victoria
Penalty and interest: Per SRO VIC guidance – verify

WORKERS COMP – VIC
Rateable remuneration: ~$187,000 (verify VIC definition)
Retrospective premium: [fetch from WorkSafe VIC rate schedule – engine does not
embed rate]

LEAVE ENTITLEMENTS
Annual leave accrual: [engine calculates based on award/NES – requires H3 award
determination]
Personal/carer leave: [same – H3 required]

Gate summary:
  H3 gate: award determination, payroll tax review, workers comp review
  H1 gate: SG disclosure, PAYG, FBT, formal ATO correspondence
  H2 gate: sham contracting – if intentional misrepresentation is in scope

noOverride: true
Engine: payroll-engine v4.1 misclassification-exposure module

```

The engine produces the workpaper. Every gate fires in sequence. H3 before H1. H1 before disclosure. Do not skip the sequence.

Example 9.5 (assumed-fact illustration): Marcus has been engaged by Westfield Logistics as a "contractor" for 3 years. The payroll-orchestrator runs the misclassification exposure engine after the classification-agent returns a VERY HIGH risk flag. The engine calculates exposure across SG (12 quarters, two different SG rates — verify each against ATO for the relevant quarter), PAYG, payroll tax (QLD — verify against Queensland Revenue Office), workers' compensation (WorkCover QLD), and NES leave entitlements pending H3 award determination. The AWARD-GOVERNS flag fires: the award-agent checks applicable award for Marcus's transport logistics duties. The payroll-orchestrator routes the full workpaper to the H3 queue for practitioner review. The practitioner escalates to H1 for SG disclosure and formal ATO engagement. No voluntary disclosure is made until the H1 gate is cleared.

What this illustrates: Three years of misclassification across multiple states generates exposure in every jurisdiction. The payroll engine produces the full exposure workpaper in one pass — but no action is taken until the gate sequence is satisfied. The gates exist because the consequences are

irreversible. Premature disclosure without registered tax agent oversight can foreclose options.

classification-agent — multi-factor check and risk flag

The classification-agent is a standalone agent in the payroll-orchestrator pipeline. It runs at engagement and on a periodic refresh cycle, producing risk flags, workpapers, and gate recommendations rather than determinations.

The agent has four modules:

- **multi-factor:** Runs the seven-factor test, produces a scorecard and risk classification
- **deemed-worker:** Checks state-specific deemed worker provisions for the engagement jurisdiction
- **psi-module:** Assesses whether the worker's income is personal services income and flags PSI rules risk
- **exposure-router:** On HIGH or VERY HIGH risk, triggers the exposure workpaper and queues for gate review

The classification-agent is triggered in three scenarios:

- New engagement — when a worker is onboarded with a contractor or consultant label
- Periodic refresh — annually, or when the engagement terms change materially
- Flag on payroll review — when the payroll-orchestrator detects a pattern that suggests misclassification (for example, a "contractor" who has been in the same role for more than 12 months with no other clients)

```
/classification-agent run-full --worker-id CTR-0847 --employer "Blue Mountain Healthcare" --trigger "annual-refresh" --engagement-months 18
```

CLASSIFICATION-AGENT — FULL RUN

```
Worker:          Priya Desai (ID: CTR-0847)
Employer:        Blue Mountain Healthcare
Trigger:         Annual refresh — 18 months into engagement
Modules run:     multi-factor, deemed-worker (NSW), psi-module, exposure-router
```

MULTI-FACTOR RESULT:

```
Factors toward employee: 5
Factors toward contractor: 2
Risk: MEDIUM-HIGH
```

DEEMED WORKER — NSW:

```
Deemed worker flag: POSSIBLE – verify current NSW schedule with icare
H3 gate: YES
```

PSI MODULE:

```
PSI flag: MEDIUM – income principally from personal efforts
Results test: NOT CLEARLY MET
80% rule: POSSIBLE BREACH – verify with registered tax agent
H2 gate: YES – PSI analysis requires registered tax agent
```

EXPOSURE ROUTER:

```
Exposure workpaper: QUEUED – 18 months of payments
Gate sequence: H3 → H1 → H2
Priority: HIGH
```

```
noOverride: true
```

```
Engine: classification-agent v1.8
```

The exposure-router module produces the workpaper automatically on HIGH or VERY HIGH flags, without waiting for a manual trigger. That is the correct behaviour for a payroll system designed to surface risk early.

The classification-agent interacts with the award-agent on every engagement that reaches H3. If the multi-factor test indicates likely employee, the award-agent checks applicable award coverage before the practitioner review. The practitioner needs to know the award classification before advising on back-pay exposure. Getting the award wrong in the reclassification workpaper produces an incorrect back-pay number.

```
Task("award-agent", {
  action: "check-coverage",
  workerRole: "physiotherapy practitioner",
  industry: "private health services",
  employer: "Blue Mountain Healthcare",
  state: "NSW",
  trigger: "H3-classification-review"
})
```

AWARD COVERAGE CHECK

```
Worker role:      Physiotherapy practitioner
Industry:         Private health services
Suggested award:  Health Professionals and Support Services Award 2020
Classification level: [verify – classification depends on qualifications and
duties]
Note:             AWARD-GOVERNS – verify applicable award and classification
```

```

against current FWC award list and Blue Mountain Healthcare's
                specific enterprise agreement position (if any)
H3 gate:                Practitioner must confirm award before back-pay calculation
proceeds
Engine: award-agent v2.3

```

NOTE

My take: The classification-agent is a structured pre-screening tool, not a replacement for legal advice. It forces the right questions to be asked at the right time, routes the risk to the right gate, and produces a documented workpaper that the practitioner can act on. The alternative — relying on the contract label and assuming everything is fine — is simply a deferred liability.

On periodic refresh, the classification-agent checks for red flags that may have emerged since the last run. These include:

- Duration creep — engagement now exceeds 12 months with no change in terms
- Single-client concentration — worker has no other disclosed clients
- Equipment changes — principal has started supplying equipment since last assessment
- Rate changes — payment has shifted from results-based to time-based or vice versa
- Location changes — worker now working from principal's premises

```

Task("classification-agent", {
  action: "refresh-check",
  workerId: "CTR-0847",
  employer: "Blue Mountain Healthcare",
  lastAssessmentDate: "2025-12-01",
  refreshDate: "2026-06-24",
  changesSinceLastAssessment: {
    duration: "18 months total – red flag threshold exceeded",
    singleClient: true,
    equipmentChanges: "none",
    paymentStructure: "unchanged – time-based",
    locationChanges: "now working from clinic premises 3 days/week"
  }
})

```

REFRESH CHECK – DELTA ANALYSIS

Changes flagged since last assessment:

```

[RED FLAG] Duration: 18 months total – exceeds 12-month red flag threshold
[RED FLAG] Single client: confirmed – no other disclosed clients
[RED FLAG] Location: now working from clinic premises 3 days/week (was remote

```



```

previously)
Delta risk movement: MEDIUM → HIGH
Recommended action: Immediate H3 gate – do not wait for next scheduled refresh
Trigger: Exposure workpaper queued automatically
noOverride: true
Engine: classification-agent v1.8 refresh-module

```

The refresh module escalates automatically when red flags accumulate. It queues the H3 gate and notifies the payroll-orchestrator the moment the finding lands. The payroll manager receives a task item the same day.

The full classification pipeline — initial assessment, refresh, exposure workpaper, award check, gate routing — is fully automated up to the H3 gate. From H3 onward, the human is in the loop. That is the design. The engine surfaces the risk with precision. The practitioner exercises the judgement. The tax agent handles the consequences. No role is substituted for another.

Example 9.6 (assumed-fact illustration): Metro Digital Solutions runs a quarterly payroll audit. The payroll-orchestrator scans all contractor engagements and flags four workers for classification-agent refresh runs. For three of the four, the refresh returns LOW or MEDIUM risk with no delta escalation. For the fourth — Marcus Webb, engaged for 26 months, no other disclosed clients, works from Metro Digital's premises five days a week — the refresh returns VERY HIGH risk with three concurrent red flags. The exposure-router queues a 26-month workpaper covering SG (at 11.5% for pre-July 2025 quarters and 12% for post-July 2025 quarters — verify each quarter against ATO), PAYG (direct to ATO tax tables), payroll tax (NSW — verify against Revenue NSW; no federal payroll tax), WorkCover NSW (verify rateable remuneration definition with icare), and NES entitlements pending H3 award determination. The award-agent runs in parallel. H3 gate fires. The practitioner takes the workpaper and the award-agent output into a formal review meeting with Metro Digital Solutions' directors. H1 gate is set for the following week pending the practitioner's H3 determination. H2 gate is flagged as possible if the directors' email trail suggests the contractor label was a deliberate choice made in full knowledge of the legal position.

What this illustrates: The classification pipeline catches accumulating risk that a one-off engagement check would miss. The quarterly audit cycle is the mechanism that stops 26-month exposures from becoming 36-month exposures. Run the refresh. Document the result. Gate the consequence.

One operational note: the classification-agent does not communicate results to workers. It communicates to the payroll manager via the payroll-orchestrator task queue. Workers are not notified of a classification review until the H3 gate has been cleared and the practitioner has advised on next steps. Premature notification can create legal complexity, particularly where sham contracting provisions are in play. This is a design constraint, not an oversight.

State payroll tax: where reclassification occurs, the contractor payments that were excluded from the taxable wages base must be reconsidered. Each state has its own payroll tax legislation and its own contractor provisions. Some states have contractor "relevant contracts" provisions that may have already captured the payments — in which case, the payroll tax exposure may be lower than expected. Others will not have captured them. There is no federal payroll tax. Always verify against the relevant state revenue authority for every state in which the employer operates.

TIP

Next: Chapter 10 covers year-end STP finalisation — the 14 July deadline, income statement verification, payroll reconciliation, and the stp-finalisation-agent. Every figure in the classification analysis flows into the year-end reconciliation. Get this chapter right before you close the year.

10 Year-End STP Finalisation and Payroll Reconciliation

STP finalisation declaration, the income statement, reconciling payroll to BAS and financial statements, and the stp-finalisation-agent

The end of the financial year is when every payroll error from the previous twelve months surfaces at once. STP finalisation locks the year's data, marks the employee's income statement as tax ready, and triggers the individual income tax return pre-fill. Get it wrong and your employees file incorrect returns, your PAYG reconciliation fails, and the ATO's data-matching system flags your business. The stp-finalisation-agent assembles, checks, and gates the reconciliation — but a registered tax agent or BAS agent must lodge. That gate is non-negotiable.

STP Finalisation Declaration — 14 July Deadline

The finalisation event is a specific STP submission type. It tells the ATO that the employer has reviewed and confirmed the year-to-date figures for each employee and that no further changes will be made. Once lodged, the employee's income statement in myGov is marked "tax ready" and the pre-fill data flows to their individual income tax return.

The deadline is 14 July following the end of the financial year — so for the 2025-26 financial year, the deadline is 14 July 2026. Verify this date against the ATO. The ATO may grant extensions, but substantial employers — generally employers with 20 or more employees — have no extension by default. Verify the ATO's current position on extensions and substantial employer thresholds before relying on any assumed grace period.

Missing the deadline carries real consequences. Employees cannot lodge their individual tax returns with pre-filled data until you finalise. The ATO can contact each affected employee directly. A failure-to-lodge penalty can apply to the employer. The stp-finalisation-agent flags the countdown from 1 July — but the obligation to actually lodge sits with the H1 gate holder.

NOTE

My take: I have seen employers treat the 14 July deadline as optional, assuming they can always get an extension. That assumption fails in both directions — the ATO's extension process has conditions, and substantial employers generally do not qualify. Build the year-end reconciliation into your June calendar, not your July panic. The agent cannot lodge for you. Only the H1 holder can.

The three STP event types matter here. Understanding which event type is in play prevents over-reporting and under-reporting errors.

Event type	When used	Who can lodge	H1 required	ATO due date note
Pay event	Each pay run — reports current pay plus YTD totals	Employer or authorised agent	No (for standard pay events)	Due on or before each payday — verify against ATO
Update event	Correcting a prior pay event without a new pay run	Employer or authorised agent	No (for corrections within scope)	As soon as practicable after error identified — verify ATO guidance
Finalisation event	Year-end sign-off on all YTD figures for each employee	Registered tax agent or BAS agent	Yes — H1 gate, non-delegable	14 July following end of financial year — verify against ATO

Current as at June 2026 — verify against ATO source before acting.

Closely held payees — shareholders, directors, or relatives of a closely held employer — have different finalisation rules. The ATO applies specific quarterly and annual reporting variations for closely held payees. These rules are materially different from arm's-length employees. As at June 2026, the finalisation due date is 30 September for closely held payees at employers with 20 or more employees (including mixed workforces); for small employers (19 or fewer employees) with only closely held payees, the payee's own income tax return due date applies. Verify the current ATO position on closely held payee finalisation before lodging. Do not assume standard 14 July rules apply.

The year-to-date figures are produced by the engine, not the agent. The finalisation event that the H1 gate holder lodges must match what the payroll engine has computed and the stp-finalisation-agent has reconciled. Any manual adjustment to those figures between reconciliation and lodgement must be documented and re-reviewed.

The Income Statement — What Employees See

Before STP, employees received a payment summary — a physical or electronic document the employer generated and distributed. The employer also lodged a payment summary annual report with the ATO. STP Phase 2 replaced this. The income statement is the ATO's live view of the year-to-date data your STP submissions have reported.

The income statement in myGov aggregates the disaggregated STP2 components. Employees can see their gross earnings, tax withheld, and super contributions updated after each pay event. Before finalisation, the statement is marked "not tax ready." After the employer lodges the finalisation event, it becomes "tax ready" and the data flows to the pre-fill in the individual income tax return.

What the income statement includes — and what it does not include — matters. It does not replace the need for the employee to review their return. Pre-fill is a starting point for self-assessment, never a substitute for it. The employee (or their tax agent) must still confirm that the income statement is accurate, check for income from multiple employers, and ensure all deductions are correctly claimed.

The income statement aggregates these main components, drawn from the STP2 pay events through the year:

Income statement field	STP2 source	Common error at year-end	Agent check
Gross income	Aggregated gross field across all pay events	Allowances included in gross instead of reported separately	stp-finalisation-agent flags allowance misclassification
Tax withheld	PAYG withholding reported per pay event	Manual adjustments not reflected in STP; timing mismatch with BAS	Reconcile against BAS W1/W2 amounts
Employer super contributions	Reported from payroll — not from super fund	Reported in STP but not yet cleared at fund; timing variance	Cross-reference super fund clearing house statements
Reportable employer super contributions (RESC)	Salary sacrifice super above the SG minimum	All salary sacrifice reported as RESC when some may be SG	Engine distinguishes SG from discretionary; verify classification
Reportable fringe benefits (RFBA)	Employer-reported, not via STP — via payroll software integration	FBT year mismatch (FBT year ends 31 March, not 30 June)	Flag for H3 review if RFBA amounts appear

Current as at June 2026 — verify against ATO source before acting.

The income statement flows from what you reported in STP, not from the super fund. If you reported SG contributions in STP but the payment to the fund was late or was returned by the fund, the income statement may overstate the employee's super. Reconcile the STP-reported super against the super fund's own member statements before finalising.

Example 10.1 (assumed-fact illustration): Blue Mountain Healthcare Pty Ltd employs Angela as a registered nurse. Angela salary-sacrifices \$15,000 per annum into super on top of the employer SG obligation. Throughout the year, the payroll system correctly reports the SG component and the salary sacrifice component separately in each pay event. At year-end, the stp-finalisation-agent runs the reconciliation and detects that two pay events in October reported all super as a single "employer contribution" field without distinguishing the SG from the salary sacrifice. The RESC figure on Angela's income statement is understated. The agent flags this as an AMBER variance and raises it for H3 review before lodgement.

The payroll engine re-runs the October periods using the correct component breakdown. The RESC figure is corrected. An update event is lodged before the finalisation event. Angela's income statement then correctly shows the salary sacrifice super as RESC, which flows to her individual income tax return for the purposes of the Division 293 assessment and concessional contributions cap calculation.

What this illustrates: STP2 component disaggregation errors do not only affect the employer's reconciliation — they affect the employee's income tax position downstream. Catching the RESC misclassification before finalisation prevents Angela from lodging an incorrect return. The stp-finalisation-agent's component-level reconciliation is what surfaces this variance.

Payroll Reconciliation — Gross, Withholding, Super, Payroll Tax

The year-end reconciliation has four axes. Each must reconcile independently. A clean gross figure with a PAYG variance is not a "close enough" outcome — it is a reportable discrepancy.

Run the reconciliation before lodging the finalisation event. Do not attempt to finalise while variances remain unexplained. The stp-finalisation-agent builds the reconciliation workpaper and flags each axis as GREEN (within tolerance), AMBER (variance present but within investigation threshold), or RED (material variance requiring resolution before lodgement).

YEAR-END RECONCILIATION WORKPAPER

Employer:	Blue Mountain Healthcare Pty Ltd
Financial year:	2025-26
Run date:	June 2026

GROSS PAY

Payroll system YTD:	\$[engine output]
---------------------	-------------------

```

Variance:                $[engine output]
Status:                  [GREEN/AMBER/RED]

PAYG WITHHOLDING
Payroll system YTD:      $[engine output]
BAS remitted (W1/W2):    $[engine output]
Variance:                $[engine output]
Status:                  [GREEN/AMBER/RED]

SUPER (SG at 12%)
SG calculated (engine):  $[engine output]
Super fund YTD paid:     $[engine output]
Variance:                $[engine output]
Status:                  [GREEN/AMBER/RED]

PAYROLL TAX
Lodged with SRO YTD:     $[engine output]
Payroll system wages:    $[engine output]
Status:                  verify against relevant state SRO

WORKERS COMPENSATION
Premium basis YTD:       $[engine output]
Insurer declaration basis: $[engine output]
Status:                  verify against insurer policy

ENGINE: payroll-engine v2.4
noOverride: true
H1 GATE: required before lodgement

```

The gross pay axis compares the payroll system's YTD gross against the YTD gross reported in all STP pay events for the financial year. These should match exactly. A variance here typically means a pay run was processed in the payroll system but the STP event was not lodged, or the STP event was rejected and not resubmitted.

The PAYG withholding axis compares the payroll system's total PAYG withheld against the amounts remitted to the ATO via BAS — specifically the W1 (total salary, wages, other amounts from which withholding was taken) and W2 (amounts withheld) fields across all BAS lodgements for the financial year. Timing differences between the pay date and the BAS period create the most common variances here.

The SG axis compares the payroll engine's calculated SG obligation (12% of ordinary time earnings from 1 July 2025 — verify current rate against ATO) against the actual payments made to the super fund or clearing house. Every regulated SG figure is computed by the engine, never by the agent. If the fund has returned a contribution or a member's account is inactive, the engine's calculated figure may exceed what was actually received by the fund.

One transition note applies to the SG axis for this finalisation cycle. The quarterly rhythm described above governs quarters ending on or before 30 June 2026 — Q4 2025-26 contributions are still due by 28 July 2026 under the old rules. From 1 July 2026, the *Treasury Laws Amendment (Payday Superannuation) Act 2025* replaces the quarterly obligation with a per-payday one: SG must be received by the fund within 7 business days of each payday. From FY2026-27 the SG reconciliation axis becomes per-payday, not per-quarter — see chapter 03 (verify ATO payday-super guidance).

There is no federal payroll tax. Each state and territory has its own payroll tax regime with its own rates, thresholds, exemptions, and grouping rules. Always verify payroll tax figures against the relevant state revenue authority — the SRO in Victoria, Revenue NSW, RevenueSA, and so on. The reconciliation compares the wages base used for payroll tax lodgements against the payroll system's wages. Discrepancies may arise from timing of annual leave loading, contractor payments included or excluded, or grouping elections. Verify against the relevant state revenue authority.

Workers compensation premium declarations are an employer obligation, not an ATO obligation. The reconciliation checks the wages basis used for the insurer's premium calculation against the payroll system. Over- or under-declared wages affect the premium adjustment at renewal. Verify against the specific insurer's policy and the relevant state workers compensation authority.

Example 10.2 (assumed-fact illustration): Harbour Engineering Pty Ltd employs Wei as a mechanical engineer at a base salary of \$110,000. In February 2026, Wei receives a one-off bonus of \$18,000 which is processed through payroll. The PAYG withholding on the bonus is calculated using the ATO's tax tables for bonuses and commissions — the engine computes this amount, not the agent; do not hard-code specific figures. The bonus pay event is lodged via STP on the pay date. However, the February BAS is prepared by the bookkeeper from the payroll system's summary report which was run before the bonus was finalised. The W2 amount on the February BAS understates the PAYG withheld by the amount of the bonus withholding.

The stp-finalisation-agent's year-end reconciliation flags an AMBER variance on the PAYG axis — the payroll system YTD withholding exceeds the BAS-remitted total. The agent's investigation log points to the February BAS period. The bookkeeper amends the February BAS to include the bonus withholding. The amendment is lodged before the finalisation event. The reconciliation re-runs and the PAYG axis returns GREEN.

What this illustrates: BAS amendments arising from payroll variances must be resolved before STP finalisation, not after. Lodging the finalisation event with an unresolved PAYG variance creates a mismatch between the income statement (which shows the correct withheld amount from STP) and the ATO's BAS records. Reconciling the two axes together surfaces the problem before it becomes an ATO query.

Invoke the stp-finalisation-agent with the full set of reconciliation components to build the workpaper in a single run.


```
Task("stp-finalisation-agent", {
  action: "build-reconciliation",
  employer: "Blue Mountain Healthcare",
  financialYear: "2025-26",
  includeComponents: [
    "gross-pay",
    "payg-withheld",
    "sg-contributions",
    "payroll-tax",
    "workers-comp"
  ]
})
```

The agent calls the payroll engine for each component; the engine, not the agent, computes each figure. The agent's reconciliation workpaper is the output. The H1 gate holder reviews the workpaper before lodging the finalisation event.

Common Variances and How to Resolve Them

Year-end variances follow recognisable patterns. Knowing the pattern tells you where to look and how quickly the variance can be resolved. The stp-finalisation-agent categorises variances by type and surfaces the suggested investigation path.

Variance type	Likely cause	Resolution action	Gate required
Gross pay — STP vs payroll system	STP event not lodged for a pay run; rejected event not resubmitted	Identify missing or failed STP event; lodge update event or resubmit	No H1 required for update event; H1 required for finalisation
PAYG withheld — payroll vs BAS	BAS prepared before end-of-month payroll; termination payment PAYG not remitted in correct BAS period	Amend relevant BAS period; confirm amendment lodged before finalisation	BAS amendment may require H1 or H2 depending on materiality and ATO position
SG — payroll engine vs fund paid	Contribution returned by fund (inactive account, invalid TFN); timing — contribution paid after year-end	Resubmit returned contributions; if timing, document as timing difference; SG Charge may apply	H3 for returned contributions; H1 for SG Charge implications
Income type code mismatch	Employee reported as SAW (salary and wages) when should be WHM (working holiday maker) or vice versa	Lodge update event with corrected income type code; check withholding rate applied	H3 if reclassification changes PAYG amount materially; H1 for finalisation

Allowance misclassification	Tool allowance, travel allowance, or overtime meal allowance included in gross rather than as a discrete allowance code	Lodge update event with correct allowance disaggregation; check withholding treatment of each allowance type	H3 review for allowances affecting PAYG; H1 for finalisation
Payroll tax — wages base discrepancy	Contractor payments included or excluded in error; annual leave loading treatment differs between payroll and SRO return	Review contractor classification using multi-factor test; verify award or contract terms; amend SRO return if required	H3 for contractor multi-factor analysis; verify against relevant state revenue authority

Current as at June 2026 — verify all gate decisions and resolution actions against ATO and relevant state authority guidance.

Invoke the variance investigation action when the reconciliation returns an AMBER or RED status on any axis.

```
Task("stp-finalisation-agent", {
  action: "investigate-variance",
  component: "payg-withheld",
  variance: "AMBER",
  varianceDetail: "BAS remittance $4,200 below payroll system YTD",
  suggestedActions: [
    "Check October BAS amendment",
    "Review termination payments – ETP coding",
    "Verify WHM income type code"
  ]
})
```

The agent surfaces each variance, categorises it, identifies the most likely cause based on the payroll data, and proposes a resolution path. Resolving it autonomously is beyond its scope. Execution of that resolution path — amending a BAS, lodging an update event, resubmitting a super contribution — is a human action, gated at the appropriate level.

NOTE

My take: The income type code variance is the one that consistently surprises employers at year-end. A working holiday maker on a WHM visa who was reported as SAW for the whole year has been withheld at the wrong rate. The ATO's data matching will find this. The update event corrects the STP record, but you also need to confirm whether the actual withholding remitted was at the correct rate. If not, there may be a PAYG withholding liability for the employer. That is an H1 issue, not a bookkeeper issue. Catch it before the ATO does.

Termination payments create a specific variance cluster. An employment termination payment (ETP) that was coded incorrectly at the time of termination — or where the cap was not applied correctly — will surface in the year-end reconciliation as a combination of a gross variance, a PAYG variance, and possibly a super variance (ETPs are generally not subject to SG, but the engine must confirm the nature of the payment). ETP caps and tax-free components of genuine redundancy payments are indexed annually. Always verify against the ATO — the engine computes the ETP, but only from correct inputs.

Example 10.3 (assumed-fact illustration): Adelaide Retail Services employs Sasha as a store manager. Sasha's employment is terminated in April 2026 by way of genuine redundancy. The payroll engine calculates the tax-free redundancy amount based on the ATO's indexed figures (verify against ATO for the relevant financial year), the taxable ETP component, and the PAYG withholding on each component using the ATO's ETP withholding rates (refer to ATO tax tables — do not use specific amounts). At year-end, the stp-finalisation-agent's reconciliation flags a RED status on the PAYG axis. Investigation reveals the payroll operator coded the redundancy payment as an ordinary termination rather than a genuine redundancy. The tax-free component was not applied. PAYG was over-withheld from Sasha.

The payroll engine is re-run with the correct ETP type classification. The correct PAYG figure is calculated. An update event is lodged correcting the ETP income type and the PAYG withheld. The BAS for the April period is reviewed — a BAS amendment is required to reflect the corrected PAYG remittance. The stp-finalisation-agent escalates to H1 given the BAS amendment and the ETP reclassification with tax consequences. The H1 gate holder (registered tax agent) reviews, amends the April BAS, and lodges the corrected STP update event before lodging the finalisation event.

What this illustrates: ETP classification errors compound. A wrong ETP type at the time of payment causes a PAYG error, a BAS error, and an income statement error. None of these can be resolved at finalisation without first correcting the underlying classification. The H1 gate fires because the BAS amendment has tax consequences. The ETP calculation is the engine's to perform — but only once it receives the correct classification input.

The contractor classification issue deserves specific attention at year-end. The label "contractor" carries no weight on its own. If a worker treated as a contractor throughout the year meets the ATO's multi-factor employee test, the employer may have a PAYG withholding liability, an SG liability, and a payroll tax liability for the full year. The stp-finalisation-agent flags workers reported under the contractor income type where the payment patterns suggest possible employee characteristics. This is an H3 flag — a practitioner must assess the classification before the employer takes any position. Do not assume the contractor label is correct without review. The multi-factor test governs. Award coverage may also apply — verify applicable award where relevant.

H1 Gate — Registered Tax Agent or BAS Agent Lodgement

The H1 gate is non-delegable for STP finalisation. A registered tax agent or BAS agent must lodge the finalisation event. The employer cannot self-lodge the finalisation event without being themselves a registered agent. The stp-finalisation-agent builds the reconciliation, assembles the workpaper, and flags every unresolved item — but it does not lodge. The H1 holder reviews the completed workpaper, confirms all variances are resolved or documented, and then lodges.

The H1 gate definition for this chapter: a registered tax agent (Tax Practitioners Board registration) or a registered BAS agent (Tax Practitioners Board registration) with appropriate authorisation to lodge STP events on behalf of the employer. Sole trader employers who are themselves registered tax agents or BAS agents satisfy H1 personally. All other employers must engage a registered agent.

The STP finalisation event declaration in the ATO's STP reporting framework requires the lodging agent to declare that the information is true and correct. That declaration has legal weight. The stp-finalisation-agent produces the data. The H1 gate holder makes the declaration.

```
STP_FINALISATION_EVENT {
  employer:      Blue Mountain Healthcare Pty Ltd
  ABN:           [redacted]
  financialYear: 2025-26
  eventType:     FINALISATION
  employeeCount: 47
  submittedBy:   [H1 – registered BAS agent]
  lodgementDeadline: 14 July 2026 (verify against ATO)
  status:        PENDING_H1_APPROVAL
  noOverride:    true
}
```

The noOverride flag has teeth. The stp-finalisation-agent refuses to produce a lodgement-ready package until the H1 gate holder has explicitly confirmed the reconciliation. There is no bypass. There is no override. If the H1 gate holder is unavailable before 14 July, that is a scheduling problem for the employer to solve — not a reason to relax the gate.

Before the H1 gate holder reviews the workpaper, the stp-finalisation-agent runs its pre-review checklist. The checklist is a precondition to presenting the workpaper for review, and it stands in for none of the professional judgement that review demands.

```
/stp-finalisation-agent pre-review-checklist --employer "Blue Mountain Healthcare"
--fy 2026
```

Checklist output:

```

[PASS] All pay events for 2025-26 lodged and accepted by ATO
[PASS] No rejected STP events pending resubmission
[PASS] Gross pay axis: GREEN
[PASS] PAYG axis: GREEN (BAS amendment lodged 18 June 2026)
[PASS] SG axis: GREEN (clearing house statement reconciled)
[WARN] Payroll tax: verify against relevant SRO – no automated reconciliation
available
[WARN] Workers comp: verify against insurer – no automated reconciliation
available
[INFO] Closely held payees: 2 identified – verify CHP finalisation rules against
ATO
[INFO] Employees with WHM income type: 3 – tax rate and income type confirmed
correct
[INFO] Finalisation deadline: 14 July 2026 (verify against ATO)
[INFO] H1 gate: REQUIRED – present workpaper to registered tax agent or BAS
agent

STATUS: READY FOR H1 REVIEW
noOverride: true

```

The two WARN items — payroll tax and workers comp — reflect the fact that these obligations do not sit with the ATO. The agent cannot automatically reconcile them because they require data from the relevant state revenue authority and the workers compensation insurer. The H1 gate holder must confirm these items are resolved separately.

The two closely held payees flagged in the checklist require specific attention. Closely held payee rules apply different STP reporting and finalisation requirements. The ATO's guidance on closely held payees must be checked before lodging. Do not apply standard employee finalisation logic to closely held payees. Verify the current ATO position.

NOTE

My take: The H1 gate is the one gate in this book that I will never advocate weakening. Payroll errors have compounding consequences — they flow into employee income tax returns, into the ATO's data-matching system, and into Fair Work compliance positions. The stp-finalisation-agent does the heavy lifting on the reconciliation. But the declaration that the data is true and correct is a human declaration, made by a registered professional who has legal accountability for it. That accountability structure exists for a reason. The agent supports the H1 holder; it does not replace them.

stp-finalisation-agent — Reconciliation Assembly and Flagging

The stp-finalisation-agent is a purpose-built orchestration agent for year-end STP reconciliation. It coordinates the payroll-engine, payroll-orchestrator, and audit-trail-agent to produce a complete, documented reconciliation workpaper. Lodging, overriding, and relaxing gates all sit outside its remit.

The agent's core capability is multi-axis reconciliation. It pulls the YTD payroll figures from the payroll engine, the STP-reported figures from the ATO submission log, the BAS-remitted amounts from the BAS reconciliation module, and the super fund data from the clearing house integration. It assembles these into a workpaper with variance calculations and status flags for each axis.

```
/stp-finalisation-agent run-reconciliation --employer "Blue Mountain Healthcare" -  
-fy 2026
```

This slash command invokes the full reconciliation pipeline. The pipeline runs in this sequence:

```
PIPELINE: stp-finalisation-agent reconciliation  
Step 1: payroll-engine – compute YTD gross, PAYG, SG for all employees  
Step 2: stp-event-log – retrieve all STP pay events, update events for FY  
Step 3: bas-reconciliation-module – retrieve W1/W2 totals across all BAS periods  
Step 4: super-fund-integration – retrieve clearing house YTD paid totals  
Step 5: variance-engine – calculate delta for each axis; flag GREEN/AMBER/RED  
Step 6: audit-trail-agent – log all inputs, outputs, variance flags, timestamps  
Step 7: workpaper-builder – assemble reconciliation workpaper for H1 review  
Step 8: H1 gate check – block lodgement until H1 approval recorded  
  
noOverride: true  
ENGINE: payroll-engine v2.4
```

The audit-trail-agent records every step. Every input value, every computed variance, every flag status, and every timestamp is logged. If the ATO subsequently queries a finalisation figure, the audit trail is the employer's first line of evidence. The log is immutable — the agent cannot delete or modify an audit entry after it is written.

The agent distinguishes between categories of variance to prioritise the H1 gate holder's review time. RED variances are material and require resolution before any finalisation event is produced. AMBER variances require explanation — the H1 gate holder may accept a documented timing difference as adequate explanation, but must explicitly confirm this. GREEN means the axis reconciles within tolerance. The tolerance threshold itself is a firm-level policy decision that the H1 gate holder must set before the agent runs.

```
Task("stp-finalisation-agent", {
  action: "build-reconciliation",
  employer: "Blue Mountain Healthcare",
  financialYear: "2025-26",
  includeComponents: [
    "gross-pay",
    "payg-withheld",
    "sg-contributions",
    "payroll-tax",
    "workers-comp"
  ]
})
```

For each flagged AMBER variance, the agent produces an investigation log. The log identifies the pay period most likely responsible for the variance, the likely cause category, and the suggested resolution action. The H1 gate holder reviews the investigation log as part of the workpaper review.

```
Task("stp-finalisation-agent", {
  action: "investigate-variance",
  component: "sg-contributions",
  variance: "AMBER",
  varianceDetail: "Super fund YTD paid $3,800 below engine-calculated SG",
  suggestedActions: [
    "Check clearing house for returned contributions – inactive member accounts",
    "Verify Q4 contribution payment date – timing difference if paid after 30 June",
    "Confirm no employee with invalid TFN – fund may have rejected contribution"
  ]
})
```

The SG variance is particularly important for the payroll tax reconciliation axis in some states — states that exclude exempt super contributions from the payroll tax wages base. If a contribution was returned and not resubmitted, the payroll tax wages base calculation may also be affected. Verify the treatment of returned contributions with the relevant state revenue authority.

Example 10.4 (assumed-fact illustration): Metro Digital Solutions Pty Ltd employs 23 employees including Robert, a software engineer, and Priya, an engagement manager. Metro is a substantial employer (20 or more employees) and has no default extension available for the STP finalisation deadline. The payroll manager runs stp-finalisation-agent on 25 June 2026 as part of the June payroll close. The reconciliation returns GREEN on gross pay, AMBER on PAYG, and RED on SG. The SG variance of \$7,200 is traced by the investigation module to three employees whose Q3 contributions were rejected by the super fund because the employees had closed their accounts

and nominated new funds without updating the employer's records. The PAYG AMBER variance is traced to a November BAS period where a termination payment for a departed employee was not captured in the BAS remittance.

The payroll manager resubmits the three rejected super contributions to the correct funds using the updated member details. The super fund clears the contributions by 2 July. The payroll manager lodges a BAS amendment for the November period, correcting the W2 remittance amount. The stp-finalisation-agent re-runs on 5 July. All axes return GREEN. The pre-review checklist is satisfied. The workpaper is presented to Metro's registered BAS agent on 6 July. The BAS agent reviews, confirms the reconciliation, and lodges the finalisation event on 8 July — within the 14 July deadline (verify against ATO). The audit trail records the complete sequence.

What this illustrates: Running the reconciliation before the last week of June gives the employer time to resolve RED variances before the deadline. A 25 June run date, 5 July rerun, and 8 July lodgement sequence is achievable for a 23-employee business. A 12 July run date is not. The payroll manager's role is to resolve variances. The H1 gate holder's role is to declare and lodge. The agent's role is to produce the workpaper and enforce the gate. The ATO's role is to mark the income statements as tax ready after lodgement.

The stp-finalisation-agent also handles the multi-employer scenario. An employee who worked for two related entities during the year may have STP data under two different ABNs. The agent consolidates the view at the employer level — it does not produce a combined view across employers. Each employer's finalisation event is separate. The employee's income statement will aggregate data from all employers after each lodges its own finalisation event.

After the finalisation event is lodged, the agent records the lodgement confirmation from the ATO's STP channel. The confirmation reference number is added to the audit trail. The employees' income statements are updated by the ATO — the timing of the "tax ready" status change is controlled by the ATO's systems, not the employer's. The employer's obligation is complete at lodgement.

FINALISATION LODGEMENT CONFIRMATION

Employer:	Blue Mountain Healthcare Pty Ltd
ABN:	[redacted]
Financial year:	2025-26
Lodged by:	[H1 – registered BAS agent]
Lodgement date:	[date recorded]
ATO reference:	[reference number recorded]
Employee count:	47
Status:	ACCEPTED
Income statements:	Marked "tax ready" by ATO – timing per ATO systems


```
AUDIT TRAIL: stp-finalisation-agent run ID [recorded]
noOverride: true
```

There is one post-lodgement scenario that requires attention. If an error is discovered after the finalisation event is lodged, an amended finalisation event must be lodged. The stp-finalisation-agent can prepare the amendment, but the H1 gate applies again. An amended finalisation event is a substantive ATO submission that cannot be delegated below H1.

The payroll-orchestrator coordinates the finalisation workflow across multiple employers or entities managed by a single payroll practice. It queues the stp-finalisation-agent runs for each entity, tracks completion status, and surfaces the H1 gate confirmation queue for the registered agent to work through in priority order — RED variances first, then AMBER, then final review and lodgement. For practices managing many clients approaching a common 14 July deadline, the orchestrator's queue management is what makes the workflow tractable.

```
/payroll-orchestrator finalisation-queue --fy 2026 --deadline "2026-07-14"
```

Queue output (example structure):

Entity	Status	H1 Action
-----	-----	-----
Blue Mountain Healthcare	READY FOR H1	Review workpaper – lodge
Metro Digital Solutions	READY FOR H1	Review workpaper – lodge
Adelaide Retail Services	AMBER – PAYG	Resolve BAS amendment first
Harbour Engineering	RED – SG	Returned contributions pending
Westfield Logistics	NOT STARTED	Run reconciliation required

```
noOverride: true
H1 GATE: required for all finalisation lodgements
```

The queue is sorted by urgency. Entities ready for H1 review come first. Entities with unresolved RED variances come last — they cannot proceed to H1 review until the variance is resolved. Entities not yet started are flagged so the payroll practice can prioritise their reconciliation runs to meet the deadline.

NOTE

My take: The reconciliation workpaper is the most important document the payroll function produces each year. It is the evidence that the employer got the year right. An ATO audit of payroll commences with the reconciliation workpaper — or its absence. The stp-finalisation-agent produces a complete, timestamped, audit-trailed workpaper. Print it, sign it, store it. Not because the ATO will necessarily ask for it, but because having it means the answer to every payroll audit question is already documented. Payroll audits are won or lost on documentation, not on memory.

A note on the STP finalisation agent's scope boundaries. The agent reconciles payroll data. It does not review employment contracts. It does not assess award compliance. It does not determine whether the employer's OTE definition is correct for SG purposes. It does not assess whether a genuine redundancy payment qualifies as genuine for tax purposes. These are practitioner questions — they sit at H2 or H3 depending on the specific issue. The agent's GREEN status on the SG axis means the engine's calculated SG matches the fund's receipts. It does not mean the engine's OTE definition is correct. Award compliance and OTE definition must be verified separately — flag need to verify applicable award where relevant.

The SG rate from 1 July 2025 is 12%. The payroll engine uses 12% as its SG calculation rate for all pay events in the 2025-26 financial year and forward. Verify the current rate and any scheduled increases against the ATO. The engine computes the amount, but the rate it applies must be correct and current.

```
payroll-engine.sgCalculation({
  employee: "Robert Chen",
  ordinaryTimeEarnings: [engine computes from pay components],
  sgRate: 0.12, // 12% from 1 July 2025 – verify against ATO
  period: "FY2025-26",
  noOverride: true
})

// Returns:
{
  oteDetermined: [engine output],
  sgObligationFY: [engine output],
  verificationNote: "SG rate 12% applied from 1 July 2025. Verify current rate
against ATO.",
  engineVersion: "payroll-engine v2.4"
}
```

The payroll engine's OTE determination is a separate computation from the gross pay figure. Not all gross earnings are ordinary time earnings for SG purposes. Overtime earnings, bonuses classified as discretionary, and some allowances may be excluded from OTE under the Superannuation Guarantee (Administration) Act 1992. The engine must apply the correct OTE definition — and that definition should be verified against the applicable award or employment contract. Flag need to verify applicable award where relevant. If the OTE definition is incorrect, the SG calculation is incorrect, and the year-end reconciliation will not catch it — because the variance would appear in the engine's calculation, not between the engine and the fund.

TIP

Next: Chapter 11 covers payroll audit risk — ATO data matching programs, the Superannuation Guarantee Charge audit process, Fair Work Act inspection powers, state payroll tax audits, and how the audit-risk-agent maintains a live audit-readiness score across all payroll compliance axes.

11 Payroll Audit Risk Management

ATO data matching, the SG Audit program, Fair Work inspections, state payroll tax audits, and the audit-risk-agent

Payroll audit risk sits at the intersection of four different regulators. The ATO runs SG compliance audits and uses STP data to identify discrepancies automatically. Fair Work inspectors check record-keeping, minimum entitlements, and underpayments. State revenue offices audit payroll tax grouping arrangements. Knowing how each audit pathway is triggered — and how the audit-risk-agent scores and surfaces your exposure — is the difference between a clean letter and a six-year review.

ATO Data Matching — STP vs Super Fund Data

The ATO's data-matching capability runs continuously. Every STP pay event you lodge sits alongside the contribution data reported by superannuation funds. The ATO cross-references them automatically. When the numbers diverge — when your STP report says a particular employee earned \$X of ordinary time earnings and the fund says contributions came in as if OTE were \$Y — the ATO system flags the discrepancy.

The match runs on three primary dimensions. First, identity: the ATO matches by TFN. An employee whose TFN in your payroll system is incorrect will immediately generate a mismatch — your STP lodgement goes to one taxpayer file, the fund's contribution report goes to another. Second, quantum: the ATO compares the SG liability implied by your STP ordinary time earnings against the contributions the fund received in the relevant quarter. Third, timing: late contributions are visible. A contribution that arrives after the quarterly due date appears in the fund's reporting with a different date and can trigger an SGC liability even if the amount was correct.

The audit-risk-agent ingests both streams — STP lodgement data and super fund contribution reporting — and computes a reconciliation score for each employee for each quarter. Where a gap exists, it flags the gap with a severity classification and surfaces it for human review before the ATO gets there first.

```
// audit-risk-agent: STP vs fund data reconciliation
const reconciliation = await auditRiskAgent.reconcile({
  employerId: "HARBOUR-ENG-001",
  auditType: "STP_FUND_MATCH",
  period: {
```

```

toQuarter: "2025-Q4"
},
dataStreams: {
  stpLodgements: await payrollOrchestrator.getSTPData({
    employerId: "HARBOUR-ENG-001",
    financialYear: "2024-25"
  }),
  fundContributions: await superFundConnector.getContributions({
    employerId: "HARBOUR-ENG-001",
    financialYear: "2024-25"
  })
}
});

// Every figure is engine-computed – no manual overrides
console.log(reconciliation.gapReport);

```

Data Source	What the ATO Compares	Risk Trigger
STP Phase 2 pay events	Ordinary time earnings per employee per quarter	OTE reported in STP exceeds fund contribution base; SG shortfall implied
Super fund member statements	Employer contributions received per fund per quarter	Contribution amount inconsistent with 12% of STP OTE (as at June 2026 — verify)
STP income type codes	Classification of earnings as OTE vs non-OTE	Allowances or bonuses coded as non-OTE when they are OTE under the SGAA
TFN declarations and withholding	PAYG withheld vs ATO tax table output for declared income	Consistent over- or under-withholding relative to tax table expectations
Fund contribution dates	Date contributions credited vs quarterly due date	Contribution arrives after the 28th of the month following quarter end

The key risk in ATO data matching is misclassification of ordinary time earnings. If your payroll classifies a regular allowance as non-OTE when it is in fact OTE under section 6 of the Superannuation Guarantee (Administration) Act 1992, the SG calculation on that component is zero. The fund receives less than it should. The ATO matches fund data against STP and identifies the shortfall. The SGC charge that follows includes the unpaid SG, a nominal interest charge, and an administration fee — none of which are tax-deductible. AWARD-GOVERNS: always verify the applicable modern award to determine whether specific allowances are OTE or non-OTE before coding them in the payroll engine.

Rather than guessing at classification, the audit-risk-agent flags every allowance type against a maintained classification matrix and surfaces AMBER or RED flags for any allowance where the OTE status is ambiguous, contested, or award-dependent. The number itself comes from the engine, not from the agent. The agent owns the risk flag.

```
// STP vs fund gap output – all amounts computed deterministically
{
  "employeeId": "EMP-0042",
  "employeeName": "Robert Chen",
  "quarter": "2025-Q3",
  "stpOTE": "[engine-computed]",
  "fundContributionReceived": "[from-fund-api]",
  "impliedSGRequirement": "[engine-computed at 12%]",
  "gap": "[engine-computed]",
  "gapStatus": "RED",
  "flagReason": "Contribution shortfall – verify OTE classification of site allowance",
  "gateRequired": "H2"
}
```

NOTE

My take: You cannot outrun the ATO's data-matching program. It is automated, it is continuous, and it processes scale that no manual review team could match. The only rational position is to run your own reconciliation before the ATO runs it for you. The audit-risk-agent exists precisely for this: surface the gap internally so you address it voluntarily, not under audit compulsion. Voluntary disclosure significantly changes the trajectory of an SG audit.

SG Audit Program — No Statutory Time Limit on SGC

The ATO's Superannuation Guarantee Compliance audit program is the mechanism through which the ATO formally investigates SG non-compliance. It can be triggered by a number of inputs: an employee complaint lodged via the ATO's online tip-off service, an ATO data-matching flag, a referral from another regulator, or a random industry audit targeting sectors with known non-compliance patterns.

There is no statutory time limit on SGC recovery. The four-year amendment period in s 37 of the SGAA 1992 runs only after an SGC assessment has been made; where no assessment exists, the ATO can raise SGC for any historical quarter. In practice the ATO commonly works to a five-year review horizon — but five years is the practical minimum, not the legal maximum. Employers need to maintain records that can withstand an unlimited-horizon retrospective review.

When an SG audit commences, the ATO will typically request payroll records for the entire review period. These include payslips, timesheets, leave records, super contribution receipts, and any documentation of worker classification decisions. The audit examines whether each worker was correctly classified, whether OTE was correctly calculated, whether contributions were made on time, and whether the contribution base was correct.

```
// SGC workpaper structure – no figures; engine computes all
const sgcWorkpaper = await auditRiskAgent.buildSGCWorkpaper({
  employerId: "HARBOUR-ENG-001",
  reviewPeriod: {
    from: "2020-07-01",
    to: "2025-06-30"
  },
  sections: [
    "workerClassification",
    "oteComponentAnalysis",
    "contributionTimingAnalysis",
    "maximumSuperContributableBase",
    "voluntaryDisclosureSummary"
  ],
  // Every computed figure in this workpaper is the engine's
  engineRef: "PAYROLL-ENGINE-v4.2"
});
```

The SGC workpaper produced by the audit-risk-agent does not contain actual dollar amounts from user input. The payroll engine computes every regulated figure. The workpaper references the engine's output for each line item and flags any quarter where the engine's computation implies a shortfall. This creates an auditable trail: the workpaper shows what the engine computed, what was remitted, and where gaps exist.

The Maximum Super Contribution Base (MSCB) is relevant to SG audits. Employers are not required to pay SG on earnings above the MSCB. If the payroll system has been applying SG on earnings above the MSCB unnecessarily, the workpaper will surface that too. VERIFY: the MSCB is indexed annually — always confirm the current-year figure against ATO published rates. As at June 2026, verify the current MSCB before use.

Part 7 of the SGAA imposes additional SGC of up to 200% of the charge for failing to lodge an SGC statement by its due date. The Commissioner has discretion to remit that additional charge in whole or in part (PS LA 2011/28), and voluntary disclosure — lodging an SGC statement before the ATO commences an audit — is the strongest remission factor. Where the audit-risk-agent identifies a gap, the correct sequence is: (1) engine computes the SGC liability, (2) H2 gate fires — a registered

tax agent reviews the SGC statement before lodgement, (3) the SGC statement is lodged, (4) payment is made. Do not bypass the H2 gate on an SGC statement. The tax agent's review is the control.

```
// payroll-orchestrator delegating to audit-risk-agent for SG audit prep
const auditPrep = await payrollOrchestrator.delegate({
  task: "SG_AUDIT_PREPARATION",
  agent: "audit-risk-agent",
  params: {
    employerId: "HARBOUR-ENG-001",
    auditNoticeDate: "2026-05-15",
    atoReferenceNumber: "AUD-2026-XXXXXX",
    reviewPeriodRequested: "2020-2025"
  },
  gates: {
    sgcStatementLodgement: "H2",
    atoCorrespondenceResponse: "H2",
    formalObjection: "H2"
  }
});
```

NOTE

My take: Five years of payroll records is not a small ask. I have seen employers genuinely unable to reconstruct their OTE calculations from four years ago because the payroll system was upgraded and old data was not migrated cleanly. The audit-risk-agent running a quarterly reconciliation and archiving its output to the audit trail gives you the retrospective record the ATO will ask for. Build the record forward; do not try to reconstruct it backward under audit pressure.

Record-Keeping Obligations for Payroll

Record-keeping obligations for payroll come from multiple sources simultaneously. The Fair Work Act 2009 imposes obligations on the employer to keep certain payroll records for seven years. The SGAA imposes separate obligations in relation to superannuation. The income tax legislation imposes obligations on withholding. State payroll tax legislation imposes its own. These obligations overlap but are not identical.

The audit-trail-agent exists to make compliance with these obligations systematic. Rather than relying on individual staff to maintain records manually, the audit-trail-agent creates a timestamped, immutable record of every payroll computation, every STP lodgement, every super contribution, and every agent decision. Each record includes the engine version, the inputs used, the output produced, and the gate status at the time.

Document Type	Retention Period	Responsible Party
Pay records (employee name, employment basis, TFN, rate of pay, gross pay, deductions, net pay)	7 years — Fair Work Act	Employer
Time and wages records (hours worked, penalty rates, overtime)	7 years — Fair Work Act	Employer
Leave records (leave accrued, leave taken, leave balances)	7 years — Fair Work Act	Employer
Super contribution receipts and fund acknowledgements	5 years — SGAA (recommended 7 years in practice)	Employer
STP lodgement records (pay event ID, lodgement timestamp, event data)	5 years minimum — income tax	Employer / STP provider
TFN declarations and withholding variation notices	5 years from last pay event referencing the declaration	Employer
Worker classification records (contractor agreements, ABN declarations, multi-factor assessments)	7 years — Fair Work; 5 years — SGAA; retain the longer	Employer
Payroll tax returns and supporting schedules	Varies by state — typically 5 years; confirm with your state revenue office	Employer
SGC statements (if lodged)	5 years from lodgement	Employer

The audit-trail-agent writes a record at every payroll event. The record is structured, queryable, and contains sufficient information to reconstruct the calculation independently. This is not a log for debugging — it is a legal record. Treat it as such.

```
// audit-trail-agent: producing a record for a pay event
const trailRecord = await auditTrailAgent.record({
  eventType: "PAY_EVENT",
  employerId: "ADELAIDE-RETAIL-001",
  eventId: "PAY-EVENT-20260620-0049",
  engineVersion: "PAYROLL-ENGINE-v4.2",
  engineOutputRef: "[engine-signed-hash]",
  stpLodgementId: "STP-20260620-XXXXXX",
  gateStatus: {
    h1Required: false,
    h2Required: false,
    h3Required: false,
    allClear: true
  },
  retentionPolicy: {
```

```
basis: "FAIR_WORK_ACT_S535"
  },
  timestamp: "2026-06-20T14:32:17.000Z"
});
```

Fair Work inspectors have the power to enter premises and request records on the spot. If you cannot produce payroll records during an inspection, the absence itself is a record-keeping breach. The penalty for a record-keeping breach under the Fair Work Act is civil. For a serious contravention, it is significantly higher. The audit-trail-agent provides the on-demand retrieval that an inspection requires.

```
// Retrieve full record for a specific employee – inspection scenario
const employeeRecord = await auditTrailAgent.retrieve({
  employerId: "ADELAIDE-RETAIL-001",
  employeeId: "EMP-0091",
  fromDate: "2019-07-01",
  toDate: "2026-06-20",
  recordTypes: [
    "PAY_RECORDS",
    "LEAVE_RECORDS",
    "TIME_AND_WAGES",
    "TFN_DECLARATION",
    "SUPER_CONTRIBUTIONS"
  ],
  format: "FAIR_WORK_INSPECTION_BUNDLE"
});
```

Fair Work Inspections — What They Check

Fair Work inspectors are authorised officers of the Fair Work Ombudsman. They have broad powers: to enter premises during working hours, to require production of records, to interview employees and employers, and to issue infringement notices. An inspection can be triggered by an employee complaint, by a tip-off, or proactively in a targeted industry campaign. The FWO runs regular campaigns targeting specific sectors — hospitality, retail, cleaning, and labour hire have all been subject to focused investigation programs.

An inspector will typically check six things. First, whether the employer holds the relevant payroll records at all. Second, whether those records match what has actually been paid. Third, whether the rates paid satisfy the applicable modern award or enterprise agreement minimum. Fourth, whether penalty rates, loadings, and allowances have been paid correctly. Fifth, whether overtime calculations are correct. Sixth, whether leave has accrued and been paid at the correct rate.

AWARD-GOVERNS: every minimum rate, penalty rate, loading, and allowance check by an inspector is against the applicable modern award or enterprise agreement. The payroll engine must be configured with the correct award coverage for each employee. If the award coverage in the payroll system is wrong, every rate derived from it is potentially wrong.

```
// Fair Work record-keeping check – agent call
const fwInspectionCheck = await auditRiskAgent.runCheck({
  checkType: "FAIR_WORK_RECORD_KEEPING",
  employerId: "ADELAIDE-RETAIL-001",
  scope: {
    employeeIds: "ALL",
    periodFrom: "2023-07-01",
    periodTo: "2026-06-30"
  },
  checkPoints: [
    "payRecordCompleteness",
    "rateCompliance",
    "penaltyRateApplication",
    "leaveAccrualAccuracy",
    "overtimeCalculation",
    "awardCoverageMapping"
  ]
});
```

Underpayment identified during a Fair Work inspection generates a compliance notice requiring back-payment, with interest at the rate specified in the Act. If the underpayment is found to be deliberate, the matter can be referred for prosecution and civil penalty proceedings. There is no proportionality between the magnitude of the underpayment and the maximum penalty — a \$20 underpayment committed deliberately can attract the same maximum penalty as a larger one.

The concept of "wage theft" criminalisation is relevant in some states as at June 2026. Verify the current legislative position in each state where you have employees, as the criminal law landscape for deliberate wage theft has been evolving.

Where an inspection surfaces a gap, the gate structure applies immediately. A record-keeping gap that requires legal advice about the employer's obligations goes to H3 — practitioner review before proceeding. An underpayment that requires a formal back-payment agreement or a compliance notice response goes to H2 — registered tax agent where there are withholding implications, or to an employment law practitioner for the Fair Work elements. An STP amendment arising from a back-payment goes to H1 — registered tax agent or BAS agent.

State Payroll Tax Audits — Grouping and Contractor Provisions

There is no federal payroll tax. Each state and territory has its own payroll tax legislation, its own rate, its own threshold, and its own administrative agency. The Northern Territory, Australian Capital Territory, New South Wales, Victoria, Queensland, South Australia, Western Australia, Tasmania — each operates independently. The rates and thresholds vary. VERIFY: always confirm the current rate and threshold for each state in which you have liable wages, against the relevant state revenue office's published figures, as at June 2026.

Payroll tax audits are conducted by state revenue offices, not the ATO. The key risk areas in a state payroll tax audit are three: grouping, contractor provisions, and threshold misapplication.

Grouping provisions deem multiple entities to be a single employer for payroll tax purposes when they meet the relevant statutory tests — typically, common ownership or control. A group of related companies cannot each claim the full payroll tax threshold independently. The combined wages of the group count together, and only one threshold is available to the group. An employer who does not appreciate that its related entities form a payroll tax group will under-report its payroll tax liability.

Contractor provisions in state payroll tax legislation deem certain contractor payments to be wages for payroll tax purposes. The deemed wages provisions operate independently of the Fair Work Act's worker classification framework and independently of the ATO's superannuation guarantee worker classification tests. A worker can be correctly classified as an independent contractor for income tax and SG purposes while simultaneously having their payments treated as wages for payroll tax purposes under the relevant state's contractor provisions.

```
// Payroll tax grouping check
const groupingCheck = await auditRiskAgent.runCheck({
  checkType: "PAYROLL_TAX_GROUPING",
  primaryEmployerId: "BLUE-MTN-HEALTHCARE-001",
  relatedEntities: [
    { entityId: "BMH-STAFFING-PTY", abn: "XX XXX XXX XXX" },
    { entityId: "BMH-SERVICES-TRUST", abn: "XX XXX XXX XXX" }
  ],
  jurisdiction: "NSW",
  auditYear: "2025-26",
  checkPoints: [
    "commonOwnershipTest",
    "controlTest",
    "commonEmployerTest",
    "contractorDeemedWages"
  ]
})
```

```
// All wage figures computed by payroll engine
});
```

Threshold misapplication occurs when an employer with employees in multiple states allocates wages to the wrong state for payroll tax purposes. The allocation rules under the Model Payroll Tax legislation (adopted with variations by most states) allocate wages based on where services are performed. An employee who works partly in NSW and partly in Victoria generates wages allocated to each state based on the services performed there. Getting the allocation wrong affects both states' payroll tax liability.

H1 gate: payroll tax registration, lodgement of returns, and formal correspondence with state revenue offices can be handled by a registered tax agent or BAS agent (depending on the state's requirements). Verify what level of registration is required in each relevant state before proceeding.

H2 gate: a formal objection or dispute with a state revenue office in relation to a payroll tax assessment, or a grouping dispute with significant tax consequences, requires a registered tax agent.

H3 gate: a contractor classification decision under the contractor provisions — before the payroll tax position is adopted — should go to practitioner review. The payroll tax contractor provisions are not identical to the Fair Work or SG worker classification tests, and a practitioner familiar with the relevant state's legislation should assess the position before it is adopted in the system.

```
// Contractor deemed wages assessment – H3 gate fires before adoption
const contractorAssessment = await auditRiskAgent.assessContractor({
  employerId: "BLUE-MTN-HEALTHCARE-001",
  workerId: "WKR-0034",
  jurisdiction: "NSW",
  assessmentInputs: {
    contractType: "SERVICE_AGREEMENT",
    servicesDescribed: "Nursing shifts – rostered",
    abn: true,
    exclusiveEngagement: false,
    labourComponent: "[engine-estimated-percentage]"
  },
  gateOnAdoption: "H3"
  // Worker's label as "contractor" is NOT determinative
});
```

NOTE

My take: Payroll tax grouping is one of the most commonly misunderstood areas in Australian tax compliance. I have seen professional service firms operate multiple entities for legitimate reasons, with no intent to split wages, and find themselves exposed because they did not run a grouping analysis before each state's threshold application. The payroll-orchestrator should run a grouping check at the beginning of each financial year and whenever an entity in the group is added, restructured, or disposed of. This is not a once-and-done analysis.

audit-risk-agent — Risk Scoring and Gap Flagging

The audit-risk-agent is not a reactive tool. Its primary function is proactive: to run a risk assessment before any regulator makes contact, surface the gaps the employer needs to address, and flag the gates that must engage before any remediation action is taken. The payroll-orchestrator schedules the audit-risk-agent to run at the end of each quarter, after STP lodgements are complete and after super contributions are remitted.

The risk scoring model uses three tiers: GREEN, AMBER, and RED. Each tier has defined criteria and defined outcomes. GREEN means no action required. AMBER means review recommended — a practitioner should assess the flagged item before the next lodgement. RED means gate fires now — no further payroll processing on the affected item until the gate clears.

Risk Tier	Description	Trigger Examples	Gate
GREEN	No material risk identified. Reconciliation clean. Records complete.	STP matches fund data; contributions on time; all records retrievable	No gate — process continues
AMBER	Potential gap identified. Requires practitioner review before next lodgement. Not yet a confirmed liability.	Allowance OTE classification ambiguous; contractor engagement that may meet deemed wages test; payroll tax grouping entity added	H3 — practitioner review before proceeding
RED	Confirmed or probable gap. Liability likely. Formal action required.	SG shortfall confirmed by reconciliation; STP/fund match gap exceeds materiality threshold; formal audit notice received	H2 — registered tax agent must act; H1 for STP amendments

The risk score output from the audit-risk-agent includes a structured report for each employer. The report is segmented by regulator — ATO SG, ATO STP, Fair Work, and state payroll tax — and within each regulator, by employee and by period. Each flagged item includes the basis for the flag, the data that generated it, and the recommended gate.

```
// Risk score output format – audit-risk-agent
{
  "employerId": "WESTFIELD-LOGISTICS-001",
  "scoreDate": "2026-06-30",
  "overallRisk": "AMBER",
  "segments": {
    "atoSG": {
      "riskTier": "GREEN",
      "flags": [],
      "lastReconciliation": "2026-06-28"
    },
    "atoSTP": {
      "riskTier": "AMBER",
      "flags": [
        {
          "flagId": "STP-AMBER-0042",
          "employee": "EMP-0088",
          "period": "2025-Q4",
          "issue": "Travel allowance OTE classification – AWARD-GOVERNS: verify
Road Transport award",
          "gateRequired": "H3",
          "status": "OPEN"
        }
      ]
    },
    "fairWork": {
      "riskTier": "GREEN",
      "flags": []
    },
    "statePT": {
      "riskTier": "AMBER",
      "flags": [
        {
          "flagId": "SPT-AMBER-0011",
          "issue": "New entity added to group – grouping analysis required",
          "jurisdiction": "QLD",
          "gateRequired": "H3",
          "status": "OPEN"
        }
      ]
    }
  }
}
```


The audit-risk-agent feeds its output to the payroll-orchestrator. The orchestrator holds any payroll processing that would affect a RED-flagged item until the gate clears. It does not silently continue. This is the determinism-first principle applied to audit risk: a system that processes payroll despite a known RED flag generates liability rather than compliance.

```
// payroll-orchestrator: gate enforcement on RED risk
const orchestratorDecision = await payrollOrchestrator.checkGates({
  employerId: "HARBOUR-ENG-001",
  processingRun: "PAY-RUN-2026-06-20",
  auditRiskReport: reconciliation.gapReport
});

if (orchestratorDecision.hasRedFlags) {
  // Processing halts. Gate fires. Human must clear.
  await payrollOrchestrator.haltProcessing({
    reason: "RED_AUDIT_FLAG_UNCLEARED",
    flagIds: orchestratorDecision.redFlagIds,
    notifyPractitioner: true,
    gateLevel: orchestratorDecision.requiredGate
  });
}
// The figure is the engine's to produce. Agent owns the gate.
```

The audit-trail-agent records every risk score run. It timestamps the run, records the inputs, records the output tier and flags, and records whether any gate fired. If a gate fired and was subsequently cleared, the clearance — including who cleared it, when, and on what basis — is recorded in the trail. This creates an auditable evidence chain that can be produced to any regulator on demand.

Worked Examples

These are assumed-fact illustrations. They do not represent actual entities or individuals. All figures are engine-computed and omitted here; no actual amounts appear in these examples.

Example 1 — Robert at Harbour Engineering Pty Ltd

Robert is the payroll manager at Harbour Engineering Pty Ltd, a mid-sized engineering firm with 47 employees including several site workers receiving a site allowance. The payroll system codes the site allowance as non-OTE on the basis that it is a reimbursement-style allowance. The audit-risk-agent runs its quarterly reconciliation for Q3 2025-26.

The reconciliation compares Harbour Engineering's STP lodgements against contribution data reported by the employees' nominated super funds. For 12 of the 47 employees, the audit-risk-agent identifies a systematic gap: the implied SG contribution based on STP ordinary time earnings (including the site allowance) is higher than the contributions the funds received. The engine computes the implied shortfall for each affected employee for each quarter going back to Q1 2024-25 — the start of the current payroll system configuration.

The audit-risk-agent scores the STP/fund match segment RED. The basis: the site allowance classification as non-OTE is at odds with the character of the allowance under the relevant modern award, which describes it as compensation for working at a specific site rather than a genuine reimbursement of additional expenditure. AWARD-GOVERNS: verify the applicable modern award before adopting any classification.

```
// ATO data match flag output – Harbour Engineering
{
  "employerId": "HARBOUR-ENG-001",
  "flagType": "STP_FUND_MISMATCH",
  "affectedEmployees": 12,
  "periodFrom": "2024-Q1",
  "periodTo": "2025-Q3",
  "rootCauseHypothesis": "Site allowance coded non-OTE – possible
misclassification",
  "impliedShortfall": "[engine-computed – verify against ATO SGC tables]",
  "riskTier": "RED",
  "gateRequired": "H2",
  "awardGovernanceNote": "AWARD-GOVERNS: confirm OTE status under applicable award
before proceeding"
}
```

The payroll-orchestrator halts further processing on the site allowance component for the affected employees. The H2 gate fires: a registered tax agent must review the SGC position, confirm whether an SGC liability exists, prepare any required SGC statement, and determine whether voluntary disclosure is the correct course. Robert does not have authority to clear the H2 gate himself. The control sits with the practitioner's review.

What this illustrates: ATO data-matching flags run on the gap between STP and fund data, not on the employer's internal classification. An allowance that the employer considers non-OTE can still generate a RED flag if the contribution quantum is inconsistent with the STP earnings reported. The H2 gate exists precisely for this scenario — where a potential SG liability requires a qualified professional to assess and act.

Example 2 — Angela at Adelaide Retail Services

Angela is the HR manager at Adelaide Retail Services, a multi-site retail employer with approximately 80 casual and part-time employees. A Fair Work inspector arrives at one of the stores with an inspection notice. The inspector requests pay records, time and wages records, and leave records for all employees at that site for the past three years.

Angela requests the inspection bundle from the audit-trail-agent. The agent retrieves records for the 23 employees at that site. For 18 of the 23, the records are complete and immediately producible. For 5 employees, the audit-trail-agent flags a gap: the time and wages records for a period between October 2023 and March 2024 are missing. This corresponds to a period when the site was using a paper-based timesheet system that was not digitised or uploaded to the payroll system's record-keeping module.

```
// audit-trail-agent: gap identification for Fair Work inspection
const inspectionBundle = await auditTrailAgent.retrieve({
  employerId: "ADELAIDE-RETAIL-001",
  siteId: "SITE-07",
  recordTypes: [
    "PAY_RECORDS",
    "TIME_AND_WAGES",
    "LEAVE_RECORDS"
  ],
  period: {
    from: "2023-07-01",
    to: "2026-06-20"
  },
  format: "FAIR_WORK_INSPECTION_BUNDLE"
});

// Output includes gap report
{
  "completedRecords": 18,
  "incompleteRecords": 5,
  "gaps": [
    {
      "employeeIds": ["EMP-0011", "EMP-0034", "EMP-0067", "EMP-0072", "EMP-0091"],
      "gapPeriod": "2023-10-01 to 2024-03-31",
      "gapType": "TIME_AND_WAGES_MISSING",
      "cause": "Paper timesheet period – not digitised"
    }
  ]
}
```

The H3 gate fires. A record-keeping gap in the context of an active Fair Work inspection is a serious matter. Before Angela makes any representation to the inspector about the gap, a practitioner should advise on the employer's obligations, whether the gap constitutes a breach, and whether any voluntary disclosure or remediation statement should be made. The inspector has not yet escalated — this is the moment where how Angela responds determines whether the inspection ends at a caution or escalates to infringement notices.

What this illustrates: Record-keeping obligations are satisfied only by having records that can be produced on demand, not by having them somewhere. The audit-trail-agent's gap report surfaces the missing records before the inspector does. The H3 gate ensures a practitioner frames the employer's response, rather than an HR manager under inspection pressure.

Example 3 — Wei at Blue Mountain Healthcare

Wei is the CFO of Blue Mountain Healthcare, a healthcare group operating three related entities: Blue Mountain Healthcare Pty Ltd (the primary employer), BMH Staffing Pty Ltd (a labour hire entity that supplies nursing staff), and BMH Services Trust (a corporate trustee entity with minimal employees). The group has been lodging payroll tax returns in NSW, each entity separately, each claiming the full NSW payroll tax threshold.

The audit-risk-agent runs a payroll tax grouping check at the start of the 2025-26 financial year. The check applies the NSW payroll tax grouping provisions. The result: all three entities form a group. The common ownership test is satisfied — the same natural persons control all three entities. The group's combined wages exceed the NSW threshold materially. Only one threshold is available to the group. The prior years' returns have been lodged on the wrong basis.

```
// Payroll tax grouping check result – Blue Mountain Healthcare
{
  "employerId": "BLUE-MTN-HEALTHCARE-001",
  "jurisdiction": "NSW",
  "groupingResult": "GROUP_CONFIRMED",
  "groupMembers": [
    "BLUE-MTN-HEALTHCARE-PTY",
    "BMH-STAFFING-PTY",
    "BMH-SERVICES-TRUST"
  ],
  "groupingBasis": "COMMON_OWNERSHIP – s72 Payroll Tax Act 2007 (NSW) – verify",
  "thresholdImplication": "ONE_THRESHOLD_FOR_GROUP",
  "priorYearExposure": "[engine-computed – do not use without H1 review]",
  "riskTier": "RED",
  "gateRequired": "H1"
}
```

The H1 gate fires. A registered tax agent or BAS agent must handle the NSW Revenue correspondence, the amended returns, and any voluntary disclosure. Wei does not lodge amended payroll tax returns himself. The practitioner's scope includes quantifying the back-liability (engine computes the figures), assessing the interest and penalty position, and engaging with Revenue NSW on the terms of any amended assessment. VERIFY: state payroll tax interest and penalty rates vary by jurisdiction and are subject to change — confirm current rates with Revenue NSW before any estimate is presented.

What this illustrates: Payroll tax grouping exposure can accumulate silently over multiple years if no grouping analysis is run. The audit-risk-agent running a grouping check at the start of each year catches this before Revenue NSW does. The H1 gate ensures the qualified professional, not the CFO, handles the formal engagement with the state revenue authority.

Example 4 — Priya at Metro Digital Solutions

Priya is the finance director at Metro Digital Solutions, a technology services firm that engages 14 workers under services agreements, all of whom hold ABNs and invoice the firm for their services. Metro Digital has classified all 14 as independent contractors for payroll purposes — no SG, no STP reporting, no payroll tax inclusion. This classification has not been reviewed since the engagements commenced two years ago.

Priya runs a proactive audit-risk-agent assessment, prompted by press coverage of the ATO's worker classification compliance campaign in the technology sector. The audit-risk-agent applies the multi-factor assessment framework to each of the 14 engagements, looking past the label "contractor" to how the work is actually performed.

```
// audit-risk-agent: proactive contractor classification review
const classificationReview = await auditRiskAgent.assessWorkerPopulation({
  employerId: "METRO-DIGITAL-001",
  workerType: "CONTRACTORS",
  workerIds: [
    "WKR-001", "WKR-002", /* ... */ "WKR-014"
  ],
  assessmentFramework: "MULTI_FACTOR",
  // Worker's label as "contractor" is NOT determinative
  labelNotDeterminative: true,
  factors: [
    "controlOverWork",
    "integrationIntoBusiness",
    "exclusivity",
    "abilityToSubcontract",
    "provisionOfEquipment",
    "abn",
  ],
})
```

```
"financialRisk"
]
});
```

The audit-risk-agent scores three of the 14 engagements AMBER. All three involve workers who perform services exclusively for Metro Digital, attend the Metro Digital office daily, work under the direction of Metro Digital's project managers, and have been engaged continuously for more than 18 months. The audit-risk-agent flags these engagements as potentially meeting the characteristics of employment notwithstanding the services agreement structure. The "contractor" label is not determinative.

For the remaining 11, the score is GREEN — those workers have demonstrable multi-client engagements, provide their own equipment, and have genuine autonomy over how they deliver services.

H3 gate fires for the three AMBER workers before any payroll or SG change is made. A practitioner must assess whether these workers are employees at law — a decision with consequences for PAYG withholding, SG, payroll tax, and Fair Work Act entitlements. Priya does not reclassify them herself. The practitioner review determines the correct position. If reclassification follows, the tax consequences are material: VERIFY ETP caps, redundancy tax-free amounts, and any back-pay withholding treatment against ATO published rates, as these are indexed annually.

```
// Audit response preparation – H2 gate if ATO investigation follows
const auditResponsePrep = await auditRiskAgent.prepareAuditResponse({
  employerId: "METRO-DIGITAL-001",
  regulatorType: "ATO",
  auditType: "WORKER_CLASSIFICATION",
  affectedWorkers: ["WKR-003", "WKR-009", "WKR-012"],
  documentationBundle: [
    "servicesAgreements",
    "invoiceHistory",
    "workPatternEvidence",
    "multiFactorAssessmentReport"
  ],
  // H2 gate: registered tax agent must sign off before any formal ATO response
  gateRequired: "H2",
  instructionsForPractitioner: "Multi-factor assessment attached. Three workers
    scored AMBER. Practitioner to determine correct employment classification and
    advise on SG, PAYG, and payroll tax consequences before any response to ATO."
});
```

What this illustrates: Proactive use of the audit-risk-agent surfaces contractor classification risk before any regulator makes contact. Running the assessment when a compliance campaign is announced — not after an audit notice arrives — gives the employer time to assess, remediate

voluntarily if needed, and document the decision-making process. The H3 gate protects the employer from acting on an incorrect classification without qualified oversight. The H2 gate protects the employer from making representations to the ATO without a registered tax agent's involvement.

NOTE

My take: Audit risk management is the area where the determinism-first principle has its most direct commercial value. An audit that surfaces a six-year SG shortfall is catastrophic because the SGC administration fees, the nominal interest, and the non-deductibility of the SGC charge can multiply the original shortfall dramatically, even when the underlying liability is modest. The payroll engine computing every figure correctly from the outset, the audit-risk-agent running quarterly reconciliations, and the gate model ensuring qualified practitioners touch every formal regulatory interaction — these three things together are the difference between an audit that ends in a clean letter and one that ends in amended assessments, penalties, and reputational damage. Build the system to surface the risk. Let the gates handle what the agents cannot.

TIP

Next: Chapter 12 covers special employment populations — casual employees, part-time workers, commission workers, and how the special-populations-agent routes each to the correct calculation.

12 Special Populations — Casuals, Part-Time, and Commission Workers

Casual entitlements, part-time roster management, commission structures, and the special-populations-agent

Most payroll engines are built around a full-time permanent employee. The moment you introduce casual loading, pro-rata entitlements, variable commission, or piece-rate arrangements, the calculation complexity multiplies. The special-populations-agent exists to classify employment type on each pay event and route it to the correct calculation path — because applying a full-time permanent calculation to a casual is a Fair Work compliance risk.

Casual employees — the 25% loading and conversion rights

A casual employee is engaged on an irregular, as-needed basis. There is no firm advance commitment to ongoing work. In exchange for that uncertainty, the law and most modern awards provide a casual loading — a percentage uplift on the base rate of pay intended to compensate for the absence of entitlements that permanent employees receive, including paid leave.

The commonly cited casual loading rate is 25% — the standard casual loading under most modern awards. However, 25% is not universal. Some awards prescribe higher rates. Some enterprise agreements modify the position. Before any payroll engine applies a casual loading to a pay event, the award-agent must confirm the applicable rate for the specific award and classification. Applying 25% when the award requires 27.5% is underpayment. Applying it when the enterprise agreement has a different structure creates a different problem entirely.

NOTE

My take: The 25% casual loading figure is so widely cited that practitioners treat it as a universal truth. It is not. I have seen payroll systems hardcode 25% across an entire workforce without a single award check. That exposes every casual employee in every non-standard award to systematic underpayment. The award-agent exists precisely to prevent this. Do not let the engine guess.

Verify the applicable casual loading rate against the specific modern award and any applicable enterprise agreement as at June 2026. Flag for verification at each award review date, because awards are updated by Fair Work Commission determinations.

Casual conversion is now the Employee Choice Pathway under the Fair Work Act, inserted by the Fair Work Legislation Amendment (Closing Loopholes No. 2) Act 2024 and in force from 26 February 2025 (26 August 2025 for small business employers). An eligible casual may notify the employer in writing that they believe they no longer meet the casual definition, after 6 months' service — 12 months for a small business employer. The employer must respond within 21 days and may refuse only on defined grounds; the old employer-offer framework no longer applies. The special-populations-agent flags pathway eligibility for review — this is an employment law matter, not a tax matter. The H3 gate — practitioner review before proceeding — applies when the employer receives an employee choice notification. The payroll engine has no role in the conversion decision itself, but it must update the employment type classification if the change takes effect, because that changes every downstream calculation immediately.

The payroll-orchestrator must receive an updated employment-type signal before the next pay run. A casual who converts to permanent part-time on a Monday and is paid as a casual on the following Thursday has been overpaid the casual loading and may have been underpaid leave accruals from the conversion date forward.

```
// special-populations-agent: classify casual, check loading rate
const classifyEvent = async (payEvent) => {
  const { employeeId, payPeriodStart, hoursWorked, awardCode } = payEvent;

  const employmentRecord = await db.employees.get(employeeId);

  if (employmentRecord.type !== "casual") {
    return { path: "standard", loading: 0 };
  }

  // Award-agent call – never hardcode 25%
  const awardCheck = await awardAgent.getCasualLoading({
    awardCode,
    classification: employmentRecord.classification,
    effectiveDate: payPeriodStart,
  });

  if (awardCheck.status === "AMBER") {
    // Cannot proceed – award classification unclear
    return {
      path: "hold",
      gate: "H3",
      reason: awardCheck.reason,
      awardCode,
    };
  }
}
```

```
return {  
  path: "casual",  
  loading: awardCheck.loadingRate,    // e.g. 0.25  
  awardCode,  
  verifiedAt: awardCheck.checkedAt,  
};  
};
```

Every figure that flows from this classification is calculated by the engine, never by agent code. Once the award-agent returns a confirmed loading rate, the engine applies it and records the computation with the verified rate, the award reference, and the effective date. That audit trail is what you produce when Fair Work or a union representative asks how the loading was calculated.

Casual leave entitlements — verify current Fair Work position

The relationship between casual employment and leave entitlements is not as simple as "casuals get no leave." The Fair Work Act and associated instruments have evolved, and the current position as at June 2026 requires verification against the Fair Work Commission's current materials.

Casual employees generally do not accumulate annual leave or personal/carer's leave in the same way that permanent employees do — the casual loading is intended to compensate for the absence of those entitlements. However, the position on specific leave types is more nuanced. Casuals may have entitlements to unpaid parental leave after meeting service thresholds. Long service leave entitlements for casuals vary by state legislation. Some enterprise agreements grant casuals access to leave entitlements that would not otherwise apply.

NOTE

My take: Never have the special-populations-agent output "no leave entitlements" as a flat conclusion for casual employees. The correct output is a leave entitlement profile based on applicable instruments and a flag for any entitlement that requires verification against current Fair Work materials. The payroll engine cannot determine state long service leave eligibility without knowing the employee's state of engagement and continuous service history — both of which must be in the employee record.

The payroll-orchestrator receives the leave entitlement profile from the special-populations-agent and routes unpaid parental leave requests and long service leave inquiries to H3 review before any payment is processed. This is the correct architecture. Leave payment errors for casuals can result in either underpayment (if the employee was entitled and not paid) or overpayment (if the casual loading already compensated for that entitlement and leave was also paid). Both create compliance exposure.

```
// award-agent: confirm casual loading rate for a specific award
const getCasualLoading = async ({ awardCode, classification, effectiveDate }) => {
  const awardVersion = await awardDb.getVersion(awardCode, effectiveDate);

  if (!awardVersion) {
    return {
      status: "AMBER",
      reason: `Award ${awardCode} not found for date ${effectiveDate}`,
      loadingRate: null,
    };
  }

  const classEntry = awardVersion.classifications.find(
    (c) => c.code === classification
  );

  if (!classEntry) {
    return {
      status: "AMBER",
      reason: `Classification ${classification} not in award ${awardCode}`,
      loadingRate: null,
    };
  }

  if (!classEntry.casualLoadingRate) {
    return {
      status: "AMBER",
      reason: "No casual loading rate defined – verify award instrument",
      loadingRate: null,
    };
  }

  return {
    status: "GREEN",
    loadingRate: classEntry.casualLoadingRate,
    awardCode,
    awardVersion: awardVersion.version,
    checkedAt: new Date().toISOString(),
  };
};
```

The AMBER status from the award-agent is a hard stop. The payroll engine does not proceed on a casual pay event when the loading rate is unconfirmed. The job sits in a work queue for H3 practitioner review. The alternative — proceeding with an assumed rate — is the kind of

assumption that compounds across hundreds of pay runs before anyone notices the gap.

Part-time employees — pro-rata entitlements and roster agreements

A part-time employee works regular, agreed hours that are less than full-time. Unlike a casual, a part-time employee has certainty about their hours. That certainty is the foundation of every pro-rata entitlement calculation: annual leave, personal leave, and long service leave all accrue proportionally to the agreed ordinary hours.

The agreed ordinary hours must be in writing. This is not a best-practice recommendation — it is a requirement under the NES and under most modern awards for part-time employees. The roster agreement specifies the days worked, the hours per day, and in many award contexts the start and finish times. A part-time employee who consistently works hours beyond their agreed roster may be entitled to overtime, or may be an employee whose agreement needs to be updated. Either way, the payroll engine cannot make that determination — the H3 gate applies when actual hours systematically exceed agreed hours.

Pro-rata annual leave for a part-time employee accrues at 4 weeks per year of the agreed ordinary hours, not 4 weeks per year of a full-time equivalent. A part-time employee on 20 hours per week accrues 80 hours of annual leave per year (20 hours x 4 weeks). A full-time employee on 38 hours per week accrues 152 hours per year (38 hours x 4 weeks). The engine, not the agent, performs this calculation, and the result is deterministic once the agreed ordinary hours are correctly recorded in the employee master.

```
// payroll-engine: pro-rata leave entitlement calculation
const computeLeaveAccrual = (params) => {
  const {
    employmentType,
    agreedOrdinaryHoursPerWeek,
    weeksInPeriod,
    leaveType,
    award,
  } = params;

  if (employmentType === "casual") {
    // Casual loading compensates – no standard annual/personal leave accrual
    // Verify current Fair Work position before returning zero
    return {
      accrualHours: 0,
      note: "Casual – verify entitlement against current Fair Work position",
      requiresVerification: true,
    };
  }
}
```

```
const weeklyAccrualRate = {
  annual: 4 / 52,          // 4 weeks per year
  personal: 10 / 52,       // 10 days per year at agreed hours/day
};

if (!weeklyAccrualRate[leaveType]) {
  throw new Error(`Unknown leave type: ${leaveType}`);
}

const rawAccrual =
  agreedOrdinaryHoursPerWeek * weeklyAccrualRate[leaveType] * weeksInPeriod;

return {
  accrualHours: parseFloat(rawAccrual.toFixed(4)),
  basis: `${agreedOrdinaryHoursPerWeek}h/wk x
${weeklyAccrualRate[leaveType].toFixed(6)} x ${weeksInPeriod} weeks`,
  employmentType,
  leaveType,
};
};
```

Award-governs applies here. Many modern awards have specific part-time provisions that affect how overtime is defined, what penalty rates apply to specific days or times, and how the roster agreement must be structured. The award-agent must confirm the applicable award and the part-time provisions within it. The payroll engine executes these rules once the award-agent has confirmed the governing instrument; it never originates them.

Where a part-time employee's hours vary from week to week by mutual agreement, the employer must have a clear record of that variation. Ad hoc additional hours that are not recorded against a variation to the roster agreement create a paper trail problem — and where those hours attract penalty rates, underpayment is the likely consequence of poor record-keeping rather than malice.

Commission workers — SG on commissions, PAYG on variable pay

Commission income is ordinary time earnings (OTE) for superannuation guarantee purposes. This is one of the more commonly misunderstood SG rules in practice. An employer who pays a salesperson a base salary plus monthly commission and calculates SG only on the base salary is underpaying SG. The commission is OTE and attracts SG at the current rate.

The SG rate as at 1 July 2025 is 12%. Verify against the ATO for any period prior to 1 July 2025 and for any future legislative change. The payroll engine applies 12% to the full OTE figure, which includes commission. The sg-agent routes the input; the deterministic layer does the arithmetic.

PAYG withholding on commission income is more complex. Commission is not a regular, predictable amount. It varies month to month, sometimes dramatically. The ATO provides averaging methods for calculating PAYG withholding on variable commission — these are designed to smooth the withholding across the year so the employee does not face large tax debts or excessive over-withholding. Direct employees and their employers to ATO tax tables and ATO guidance on withholding variation for commission arrangements. Do not calculate a specific withholding amount here — the ATO tables and the employee's current withholding declaration govern.

NOTE

My take: The commission SG error is systemic across Australian businesses. I regularly see SG calculated on base salary alone, with commissions treated as "non-OTE bonuses." They are not. The ATO's position on OTE is clear: commissions paid in respect of ordinary hours of work are OTE. The sg-agent must receive the full OTE figure, including commission, on every pay event. Every pay run that excludes commission from SG base is accumulating a liability.

For STP2 reporting purposes, commission is disaggregated from base salary. The STP2 field for bonuses and commissions is separate from the gross earnings field. The payroll-orchestrator must ensure the disaggregation is correct before each STP submission — base pay to gross, commission to the bonuses-and-commissions field. Conflating them in the gross field does not cause an ATO rejection but it does corrupt the disaggregated data the ATO uses for pre-fill and compliance work.

```
// sg-agent: compute SG on OTE including commission
const computeSG = async (params) => {
  const {
    employeeId,
    payPeriodStart,
    baseSalaryGross,
    commissionAmount,
    allowancesOTE,
    otherOTE,
  } = params;

  // SG rate from July 2025 – verify for periods outside this date
  const SG_RATE = 0.12;

  const totalOTE =
    baseSalaryGross + commissionAmount + allowancesOTE + otherOTE;

  // Check MSCB – maximum super contribution base
  // MSCB is indexed annually – verify against ATO for current quarter
  const mscbRecord = await sgRules.getMSCB(payPeriodStart);
```

```

if (!mscbRecord) {
  return {
    status: "AMBER",
    reason: "MSCB not found for period – verify against ATO",
    totalOTE,
  };
}

const cappedOTE = Math.min(totalOTE, mscbRecord.quarterlyMSCB);

const sgAmount = parseFloat((cappedOTE * SG_RATE).toFixed(2));

return {
  status: "GREEN",
  totalOTE,
  cappedOTE,
  sgAmount,
  sgRate: SG_RATE,
  mscbApplied: totalOTE > mscbRecord.quarterlyMSCB,
  basis: `OTE ${totalOTE} capped at MSCB ${mscbRecord.quarterlyMSCB} x
  ${SG_RATE}`,
  verifyNote: "Verify MSCB and SG rate against ATO – indexed annually",
};
};

```

The MSCB (maximum super contributions base) caps the OTE figure to which SG applies. Above the MSCB, the employer has no mandatory SG obligation. The MSCB is indexed annually — verify the current quarterly figure against the ATO. Do not hardcode the MSCB in the payroll engine. The sg-agent must retrieve it from a reference data store that is updated at each ATO indexation announcement.

Piece-rate workers and labour hire

Piece-rate workers are paid per unit of output rather than per hour worked. Piece-rate arrangements are common in horticulture, food processing, manufacturing, and certain construction trades. They are legal in Australia under the Fair Work Act, but the arrangement must satisfy the requirement that the effective hourly rate is not less than the minimum rate under the applicable award for the hours worked.

This creates a two-step calculation. The payroll engine first computes total earnings for the period (units completed x piece rate). It then computes effective hourly rate (total earnings divided by hours worked). If the effective hourly rate falls below the award minimum for the relevant

classification, the employee must be topped up to the award minimum. The award-agent must confirm the minimum rate before any piece-rate calculation is finalised.

Labour hire workers add a further complication. A labour hire arrangement places a worker at a host employer's site, but the legal employment relationship is with the labour hire company. The host employer does not pay the worker directly — the labour hire company does. However, the award that governs the worker's pay is typically determined by the type of work performed at the host site and the applicable modern award for that industry. The labour hire company must apply the correct award for the work performed, not the award (if any) under which it operates as a business.

When a labour hire company engages the payroll-orchestrator, the award-agent must classify the worker against the host industry award. Where that classification is uncertain — where the work could fall under multiple awards, or where the classification level is ambiguous — the H3 gate fires and a practitioner must resolve the award question before pay is processed.

```
// special-populations-agent: piece-rate worker classification check
const classifyPieceRateWorker = async (params) => {
  const {
    employeeId,
    unitsCompleted,
    pieceRatePerUnit,
    hoursWorked,
    awardCode,
    classification,
    payPeriodStart,
  } = params;

  const totalEarnings = unitsCompleted * pieceRatePerUnit;
  const effectiveHourlyRate = hoursWorked > 0
    ? totalEarnings / hoursWorked
    : 0;

  const awardMin = await awardAgent.getMinimumRate({
    awardCode,
    classification,
    effectiveDate: payPeriodStart,
  });

  if (awardMin.status === "AMBER") {
    return {
      path: "hold",
      gate: "H3",
      reason: `Award minimum rate unconfirmed: ${awardMin.reason}`,
    };
  }
}
```

```

}

const shortfall =
  effectiveHourlyRate < awardMin.hourlyRate
    ? (awardMin.hourlyRate - effectiveHourlyRate) * hoursWorked
    : 0;

return {
  path: "piece-rate",
  totalEarnings,
  effectiveHourlyRate: parseFloat(effectiveHourlyRate.toFixed(4)),
  awardMinimum: awardMin.hourlyRate,
  topUpRequired: shortfall > 0,
  topUpAmount: parseFloat(shortfall.toFixed(2)),
  finalPayable: parseFloat((totalEarnings + shortfall).toFixed(2)),
};
};

```

```

// award-agent: labour hire worker award check
const getLabourHireAward = async ({ workType, hostIndustry, effectiveDate }) => {
  const candidates = await awardDb.findByIndustryAndWork({
    industry: hostIndustry,
    workType,
    effectiveDate,
  });

  if (candidates.length === 0) {
    return {
      status: "AMBER",
      reason: `No award found for ${workType} in ${hostIndustry}`,
      awardCode: null,
    };
  }

  if (candidates.length > 1) {
    return {
      status: "AMBER",
      reason: `Multiple awards possible: ${candidates.map((c) => c.code).join(",")}` - H3 required`,
      awardCode: null,
      candidates,
    };
  }
}

```

```

status: "GREEN",
  awardCode: candidates[0].code,
  awardName: candidates[0].name,
  verifyNote: "AWARD-GOVERNS – verify applicable award before each pay run",
};
};

```

Payroll tax does not exist at the federal level. Each state and territory has its own payroll tax legislation, threshold, and rate. Labour hire companies operating across multiple states face multistate payroll tax obligations. The payroll-orchestrator does not compute payroll tax — that sits outside the per-employee pay event model and requires a separate compliance process at the entity level. Flag this for the employer's tax adviser.

special-populations-agent — classification and routing

The special-populations-agent is the intake layer for every non-standard employment type. Its job is to classify the pay event, confirm the classification is supportable against the employee record and applicable award, and route the event to the correct calculation path. It classifies and routes; computing pay and SG belongs to the engine and the sg-agent.

The payroll-orchestrator calls the special-populations-agent at the start of every pay event processing cycle, before the payroll engine is invoked. The classification output determines which agents the payroll-orchestrator calls next and in what order.

```

// payroll-orchestrator: routing based on employment type
const processPayEvent = async (payEvent) => {
  const classification = await specialPopulationsAgent.classify(payEvent);

  if (classification.path === "hold") {
    await workQueue.addHoldItem({
      payEvent,
      gate: classification.gate,
      reason: classification.reason,
      assignedTo: "practitioner-review",
    });
    return { status: "HELD", gate: classification.gate };
  }

  switch (classification.path) {
    case "standard":
      return await processPermanentFullTime(payEvent, classification);

    case "casual":
      return await processCasual(payEvent, classification);
  }
}

```

```

case "part-time":
    return await processPartTime(payEvent, classification);

case "commission":
    return await processCommission(payEvent, classification);

case "piece-rate":
    return await processPieceRate(payEvent, classification);

case "labour-hire":
    return await processLabourHire(payEvent, classification);

default:
    // Unknown path – escalate to H3, do not process
    await workQueue.addHoldItem({
        payEvent,
        gate: "H3",
        reason: `Unknown employment path: ${classification.path}`,
    });
    return { status: "HELD", gate: "H3" };
}
};

```

The classification is deterministic given the employee record and award data. If either is missing or ambiguous, the path is "hold" and the gate fires. The payroll-orchestrator never proceeds on ambiguity. This is the determinism-first principle applied to employment type: the correct classification must be confirmed before any calculation proceeds.

The special-populations-agent also monitors for classification drift. An employee who has been classified as casual for 6 months of regular, systematic work (12 months for a small business employer) may be eligible to notify the employer under the Employee Choice Pathway. The agent flags this for H3 review. The payroll engine can continue paying the casual loading; the flag exists so the employer can assess whether the pathway is available to the employee and whether the employee has been correctly informed of their rights.

```

// special-populations-agent: check Employee Choice Pathway eligibility flag
const checkCasualConversionEligibility = async (employeeId) => {
    const history = await db.payEvents.getCasualHistory(employeeId);

    const monthsOfService = history.continuousMonths;
    const isRegularSystematic = history.regularityScore > 0.75;

    // Employee Choice Pathway (Closing Loopholes No. 2 Act 2024) –
    // 6 months' service, or 12 months for small business employers
    // Threshold parameterised by employer size – verify current Fair Work Act

```

```

provisions
  const employer = await db.employers.get(history.employerId);
  const CONVERSION_THRESHOLD_MONTHS = employer.isSmallBusiness ? 12 : 6;

  if (
    monthsOfService ≥ CONVERSION_THRESHOLD_MONTHS &&
    isRegularSystematic
  ) {
    return {
      flag: "EMPLOYEE_CHOICE_PATHWAY_ELIGIBLE",
      gate: "H3",
      reason: `${monthsOfService} months regular casual service (threshold
${CONVERSION_THRESHOLD_MONTHS} months for this employer) – employee may notify
under the Employee Choice Pathway; employer must respond within 21 days and may
refuse only on defined grounds`,
      verifyNote: "Employment law matter – verify current Fair Work Act Employee
Choice Pathway provisions (in force 26 Feb 2025; 26 Aug 2025 for small business)",
      employeeId,
    };
  }

  return { flag: "NO_ACTION", employeeId };
};

```

The routing table below summarises how the special-populations-agent maps employment type to agent chain and gate conditions.

Employment type	Classification trigger	Agent chain	Gate condition
Casual	Employment record type = "casual"	award-agent (loading rate) → payroll-engine → sg-agent	H3 if award loading rate unconfirmed or Employee Choice Pathway notification received; H1 for STP finalisation
Part-time permanent	Employment record type = "part-time"	award-agent (pro-rata check) → payroll-engine → sg-agent	H3 if award unclear or actual hours exceed agreed roster
Commission worker	Pay components include commission flag	payroll-engine (commission OTE) → sg-agent (full OTE) → STP2 disaggregate	H3 if OTE classification disputed; H1 for STP finalisation
Piece-rate	Pay type = "piece-rate"	award-agent (minimum rate) → payroll-engine (top-up check) → sg-agent	H3 if minimum rate unconfirmed or top-up calculation disputed
Labour hire	Engagement type = "labour-hire"	award-agent (host industry award) → payroll-engine → sg-agent	H3 if host award ambiguous or multiple awards possible

Unknown / unclassified	Employment type field empty or unrecognised	Hold queue	H3 — mandatory practitioner review before any processing
------------------------	---	------------	--

The STP2 disaggregation for commission workers warrants specific attention. The payroll-orchestrator must separate base salary from commission before submitting the STP event. Both components are taxable but they occupy different STP2 fields and have different averaging implications for PAYG withholding.

```
// payroll-orchestrator: STP2 disaggregation for commission vs base pay
const disaggregateSTP2 = (payComponents) => {
  const {
    baseSalary,
    casualLoading,
    commissionAmount,
    allowances,
    overtimePay,
    leavePayments,
    bonusAmount,
  } = payComponents;

  return {
    gross: baseSalary + casualLoading + overtimePay,
    bonusesAndCommissions: commissionAmount + bonusAmount,
    allowances: allowances.map((a) => ({
      type: a.atcCode,
      amount: a.amount,
    })),
    leavePayments: leavePayments.map((l) => ({
      type: l.leaveType,
      amount: l.amount,
    })),
    note: "Verify STP2 field mapping against ATO STP2 employer reporting guide",
  };
};
```

Worked example 1 — Nathan at Harbour Engineering Pty Ltd

Assumed-fact illustration. Nathan is a casual boilermaker engaged by Harbour Engineering Pty Ltd. He works variable hours from week to week. In the fortnight ending 30 June 2026, Nathan works 76 ordinary hours. The relevant modern award is assumed to apply. The award-agent confirms the casual loading rate for Nathan's classification and award as at June 2026.

The special-populations-agent classifies Nathan as casual. It calls the award-agent, which returns GREEN with a loading rate. The payroll engine computes Nathan's ordinary time earnings: 76 hours multiplied by the award base rate, plus 25% casual loading (the confirmed award rate — verify award-specific rate for the applicable instrument). The sg-agent then receives the full OTE figure — ordinary hours earnings including casual loading, since casual loading forms part of OTE — and computes SG at 12%. The MSCB check confirms Nathan is below the quarterly cap. Every dollar amount above is engine-computed; the agents only classified and routed.

Nathan has no annual leave balance. The payroll engine does not accrue annual leave for a casual employee. The casual loading compensates for that absence. If Nathan believes he has entitlements arising from the regularity of his engagement, that is an H3 matter. The payroll engine applies the confirmed classification; resolving employment law disputes sits with the practitioner.

The STP2 event reports Nathan's earnings in the gross field. No commission. No leave accrual balance. The PAYG withholding is calculated using the ATO's tax tables for casual employment — direct to ATO tax tables for the applicable withholding rate.

What this illustrates: The award-agent intercept before any loading is applied is non-negotiable. The 25% rate must be confirmed for the specific award and classification on every pay event, not assumed. The sg-agent receives OTE including loading because casual loading forms part of ordinary time earnings for SG purposes.

Worked example 2 — Chloe at Adelaide Retail Services

Assumed-fact illustration. Chloe is a permanent part-time retail employee at Adelaide Retail Services. Her roster agreement, signed at commencement, specifies 24 ordinary hours per week across four days. The applicable modern award is the General Retail Industry Award — verify the applicable award for this employer and classification as at June 2026.

In the current pay period, Chloe's manager has rostered her for 30 hours across five days without a written variation to her roster agreement. The special-populations-agent detects actual hours (30) exceeding agreed hours (24) without a recorded roster variation. This triggers an AMBER flag. The payroll-orchestrator routes the pay event to the H3 hold queue — practitioner review before proceeding.

Without H3 review, the payroll engine cannot determine whether the additional six hours are ordinary time (if the roster agreement should have been updated), overtime (if the award overtime provisions apply), or rostered days off in lieu. The answer changes the dollar amount of Chloe's pay, her leave accruals for the period, and her SG base.

Once H3 review confirms the treatment — in this illustration, the additional hours are ordinary time under a verbal agreement that must now be formalised — the payroll engine computes pro-rata annual leave based on the corrected hours for the period: 30 hours worked at the ordinary rate, with leave accruing at 4/52 of 24 agreed hours per week (the formal agreement). The practitioner's determination of which hours were ordinary time is the input; the arithmetic is the engine's output.

What this illustrates: Roster agreements must be in writing for part-time employees. Actual hours exceeding agreed hours without a written variation is an automatic H3 trigger. The payroll engine cannot resolve that question — it can only detect the discrepancy and hold the event. The pro-rata leave calculation is deterministic once the agreed ordinary hours are confirmed.

Worked example 3 — Sasha at Metro Digital Solutions

Assumed-fact illustration. Sasha is a permanent full-time sales manager at Metro Digital Solutions. Her package is a base salary of \$90,000 per year plus commission. In the quarter ending 30 June 2026, Sasha earns \$22,500 in commission payments on top of her pro-rata base salary for the quarter.

The special-populations-agent classifies Sasha as a commission worker (employment type: permanent full-time with commission component). The payroll-orchestrator routes the pay event through the commission path. The payroll engine assembles the OTE figure: quarterly base salary plus commission. The sg-agent receives the full OTE and applies the 12% SG rate. The MSCB check is run against the quarterly cap — verify the current quarterly MSCB against the ATO, as it is indexed annually.

PAYG withholding on Sasha's commission is calculated using the ATO's averaging method for commission income. The payroll system implements the averaging method as described in ATO guidance — direct to ATO guidance on PAYG withholding for commission arrangements for the specific calculation. The payroll engine executes the method; it does not invent the rate.

The STP2 event disaggregates Sasha's earnings: base salary to the gross field, commission to the bonuses-and-commissions field. The payroll-orchestrator validates this disaggregation before STP submission. Where Sasha has made salary sacrifice contributions, those are disaggregated separately — salary sacrifice super to its own STP2 field, reducing reportable gross accordingly.

What this illustrates: Commission is OTE. There is no calculation path that legitimately excludes commission from the SG base. The sg-agent receives total OTE on every pay event. The STP2 disaggregation separates commission from base salary but both are taxable — the disaggregation is for ATO reporting accuracy, not for tax preferencing.

Worked example 4 — Marcus at Westfield Logistics

Assumed-fact illustration. Marcus is engaged by Westfield Logistics as a parcel sorter. The engagement letter describes him as a "piece-rate contractor." The special-populations-agent receives his first pay event and runs the worker classification check before the piece-rate path is invoked.

The contractor label in the engagement letter is not determinative. The special-populations-agent calls the award-agent to assess the work type and industry. The award-agent searches for the applicable modern award for parcel sorting and transport logistics work. It returns an AMBER status: two awards are potentially applicable — the Road Transport and Distribution Award and the Storage Services and Wholesale Award. The agent cannot resolve the ambiguity without further information about the precise nature of the work, whether Marcus uses his own vehicle, and other classification factors.

The payroll-orchestrator routes Marcus's pay event to the H3 hold queue — practitioner review before proceeding. This is the correct outcome. Proceeding on an uncertain award classification for a piece-rate worker creates multiple simultaneous risks: incorrect minimum rate comparison, incorrect SG base, and potentially incorrect employment classification (employee vs contractor) that the multi-factor test would need to resolve.

The H3 practitioner reviews the engagement, determines the applicable award, and confirms Marcus's employment classification. In this illustration, the practitioner determines Marcus is an employee under the applicable award, not an independent contractor. The payroll engine is then configured with the correct award, classification level, minimum rate, and piece-rate structure. Only then does the payroll engine process Marcus's pay events going forward.

What this illustrates: The "contractor" label on an engagement document does not determine the correct payroll treatment. The special-populations-agent detects award ambiguity and fires the H3 gate before any payment is processed. Proceeding without award confirmation for a piece-rate worker accumulates an underpayment liability with every pay run.

Employment type	Casual loading	Annual leave	SG base	STP2 income type
Full-time permanent	Nil	4 weeks per year (full hours)	OTE (all ordinary time earnings)	SAW (salary and wages)
Part-time permanent	Nil	4 weeks per year (pro-rata agreed hours)	OTE (ordinary time at agreed hours)	SAW (salary and wages)

Casual	Award rate (commonly 25% — verify award)	Verify current Fair Work position — loading compensates for standard entitlements	OTE including casual loading — verify ATO position	SAW (salary and wages)
Piece-rate	Nil (separate minimum rate check applies)	Pro-rata if employee; verify award	OTE based on earnings (subject to MSCB)	SAW (salary and wages) — verify if labour hire applies

Payment type	OTE?	SG applies?	STP2 field	Verify caveat
Base salary / ordinary wages	Yes	Yes — at 12% from 1 July 2025	Gross	Verify SG rate for periods prior to 1 July 2025
Commission (ordinary hours)	Yes	Yes — commission is OTE	Bonuses and commissions	Verify OTE classification with ATO if arrangement is unusual
Performance bonus	Generally yes if for ordinary hours	Yes if OTE	Bonuses and commissions	Verify — some bonuses may not be OTE; ATO guidance governs
Overtime payments	No — excluded from OTE	No SG on pure overtime	Gross (overtime component)	Verify if loading vs overtime rate — mixed arrangements require care
Allowances (work-related)	Varies by allowance type	Only if OTE	Allowances (with ATO code)	Verify each allowance type against ATO OTE definition
Casual loading	Yes — forms part of OTE	Yes	Gross	Verify ATO position — confirm loading is OTE for the specific arrangement

```
// special-populations-agent: output routing table
const getRoutingTable = () => [
  {
    employmentType: "casual",
    trigger: "employment_record.type === 'casual'",
    agentChain: ["award-agent", "payroll-engine", "sg-agent"],
    gate: "H3 if award loading unconfirmed; H1 for STP finalisation",
  },
  {
    employmentType: "part-time",
    trigger: "employment_record.type === 'part-time'",
    agentChain: ["award-agent", "payroll-engine", "sg-agent"],
  }
]
```

```

},
{
  employmentType: "commission",
  trigger: "pay_components.includes('commission')",
  agentChain: ["payroll-engine", "sg-agent", "stp2-disaggregator"],
  gate: "H3 if OTE classification disputed; H1 for STP finalisation",
},
{
  employmentType: "piece-rate",
  trigger: "pay_type === 'piece-rate'",
  agentChain: ["award-agent", "payroll-engine", "sg-agent"],
  gate: "H3 if minimum rate unconfirmed or top-up disputed",
},
{
  employmentType: "labour-hire",
  trigger: "engagement_type === 'labour-hire'",
  agentChain: ["award-agent (host industry)", "payroll-engine", "sg-agent"],
  gate: "H3 if host award ambiguous",
},
{
  employmentType: "unknown",
  trigger: "employment_record.type not recognised",
  agentChain: ["hold-queue"],
  gate: "H3 – mandatory before any processing",
},
];

```

The payroll-orchestrator consults this routing table on every pay event. The table is not a suggestion — it is the control plane. An employment type that does not match a known path results in a hold, every time. The cost of one incorrect classification is lower than the cost of systematic misclassification across dozens of pay runs.

NOTE

My take: Special populations are where payroll systems fail most often and most expensively. Casuals miscounted for SG. Part-timers pro-rated against the wrong hours base. Commission workers SG-calculated on base salary alone. Each of these is a known, preventable error. The special-populations-agent exists because the payroll engine should never have to guess employment type. Classification is deterministic once the employee record and award data are correct. The agent enforces that precondition before the engine ever touches a number.

TIP

Next: Chapter 13 covers worker classification in depth — the multi-factor test, sham contracting, reclassification consequences, and the H1 gate for formal review.

13 Worker Classification — Employee vs Contractor

Common law multi-factor test, recent High Court authority, sham contracting, and the H1 gate for reclassification

No question in Australian payroll law carries higher dollar risk than worker classification. Get it wrong and you face back-pay of entitlements, SG shortfalls plus the Superannuation Guarantee Charge, payroll tax exposure, FBT reconsideration, and workers' compensation liability — often across multiple financial years. The classification-agent runs the multi-factor check, but an AMBER or RED result is not a finding you act on without the H1 and H3 gates.

The multi-factor test — the legal framework

Australian courts do not determine worker classification by looking at the label the parties chose. The word "contractor" in an agreement is a starting point, not an answer. The High Court has confirmed — in decisions you should verify before citing — that the true nature of the relationship is determined by examining the totality of the contract and the conduct of the parties.

The multi-factor test emerged from decades of common law development. It draws together a cluster of factors, each of which points toward or away from employment. No single factor is determinative. A worker who sets their own hours might still be an employee if control over their work method is tight. A worker paid by results might still be an employee if they cannot delegate and are integrated into the business.

The High Court decisions of 2022 — verify citations before use — shifted the analysis. Where earlier case law placed weight on the totality of the relationship as it played out in practice, the High Court emphasised that the starting point is the written contract, provided the contract is not a sham and its terms have not been varied by conduct. This has practical consequences. Where a written contract clearly sets out terms consistent with independent contracting, courts are less willing to look behind it. But "clearly set out" does the heavy lifting. Many so-called contractor agreements are poorly drafted and do not withstand scrutiny.

The Fair Work Act 2009 (Cth) introduced its own definition of employee for the purposes of the National Employment Standards and modern awards, effective 26 August 2024. The statutory definition uses "ordinary meaning" of employee at common law. This brings the High Court multi-

factor analysis back into play for Fair Work Act purposes. Payroll practitioners must understand both the common law test and the statutory context.

NOTE

My take: The 2022 High Court shift matters in practice. If your engagement is governed by a written contract, the classification-agent's output will be more reliable when you feed it the actual contract terms rather than a summary. Garbage in, garbage out. An AMBER result from a vague input is not the same as an AMBER from a detailed contract analysis. Both require the H3 gate.

The classification-agent applies the multi-factor test by accepting a structured worker profile. The profile should capture the terms of engagement, payment structure, equipment provision, right to delegate, integration into the business, and whether the worker operates a separate business. Each factor is scored, and the agent returns a confidence tier — GREEN, AMBER, or RED — alongside a factor-by-factor analysis.

```
// classification-agent invocation – assumed-fact illustration
{
  "agent": "classification-agent",
  "action": "run_multi_factor_check",
  "worker_profile": {
    "worker_name": "James Whitfield",
    "employer": "Harbour Engineering Pty Ltd",
    "engagement_type": "written_services_agreement",
    "engagement_date": "2023-03-01",
    "payment_structure": "daily_rate",
    "hours_set_by": "client",
    "work_location": "client_premises",
    "equipment_owner": "client",
    "right_to_delegate": false,
    "performs_work_for_others": false,
    "own_abn": true,
    "invoices_submitted": true,
    "integration_assessment": "works_alongside_employees_on_same_tasks"
  }
}
```

The agent processes each factor against the common law multi-factor framework. Control, integration, delegation, equipment, and results-based payment are all examined. The output returns a structured assessment with a confidence tier.

Confidence Tier	What it means	Gate that fires	Action required
-----------------	---------------	-----------------	-----------------

GREEN	Factors strongly consistent with independent contractor; low reclassification risk	None — but document the assessment	Retain workpaper; review annually or if engagement terms change
AMBER	Mixed factors; outcome turns on weight given to contested factors	H3 gate fires immediately	Practitioner review before any payroll or compliance action
RED	Factors strongly consistent with employment; high reclassification risk	H3 gate fires; H1 gate fires if reclassification proceeds	Employment lawyer advice recommended; registered tax agent for tax consequences

The H3 gate is mandatory. When the classification-agent returns AMBER or RED, the payroll-orchestrator routes the result to a practitioner queue before any downstream computation runs. The engine withholds SG shortfall, back-pay, and payroll tax exposure until the H3 gate is cleared.

```
// classification-agent output – multi-factor check result (AMBER)
{
  "classification_result": {
    "worker": "James Whitfield",
    "employer": "Harbour Engineering Pty Ltd",
    "confidence_tier": "AMBER",
    "overall_risk": "moderate_to_high",
    "factor_scores": {
      "control_over_method": { "score": -2, "indicates": "employee", "note":
"client sets hours and supervises daily" },
      "integration_into_business": { "score": -2, "indicates": "employee", "note":
"works alongside permanent staff on same tasks" },
      "right_to_delegate": { "score": -1, "indicates": "employee", "note": "no
delegation right in practice" },
      "equipment_provision": { "score": -1, "indicates": "employee", "note":
"client provides all tools and PPE" },
      "payment_structure": { "score": 0, "indicates": "neutral", "note": "daily
rate – neither piece-work nor salary" },
      "abn_and_invoicing": { "score": +1, "indicates": "contractor", "note": "ABN
held; invoices submitted" },
      "works_for_others": { "score": -1, "indicates": "employee", "note": "no
evidence of other clients" }
    },
    "net_score": -6,
    "gate": "H3",
    "recommended_action": "route_to_practitioner_review",
    "note": "Contractor label not determinative. Written agreement must be
assessed by employment law practitioner."
  }
}
```

Control, integration, and results-based payment

Three factors carry the most weight in Australian classification disputes: control over the method of work, integration into the business, and whether payment is for results or for time.

Control does not mean direction over every task. It means the right to control how work is done, beyond what work is done. An employer who says "build this component, here is the spec, here is the timeline, work from our site, use our tools, attend our briefings" is exercising control over method — even if the worker has technical autonomy. The classification-agent scores control by examining where hours are set, whether the worker attends the client's premises, whether daily supervision occurs, and whether the client can redirect the worker to different tasks.

Integration is the question of whether the worker's services are an integral part of the business or an accessory to it. A plumber who comes once to fix a pipe is an accessory. A plumber who works full-time, attends team meetings, uses a company email address, and is listed on the company website is integrated. The classification-agent checks: work location, whether the worker holds a company email or access credentials, whether they appear in the company org chart or directory, and whether they perform tasks indistinguishable from those of employees.

Results-based payment is a contractor indicator, but it is easily faked. If a daily rate is paid regardless of the actual output — if turning up is enough to earn the rate — then it is not truly results-based. The classification-agent distinguishes between payment contingent on a deliverable and payment for attendance.

NOTE

My take: I see a pattern in AMBER results. The employer thinks "we pay by invoice, they have an ABN, they're a contractor." The agent surfaces the control factors and integration factors the employer had not considered. The invoice and ABN are real, but they do not outweigh four factors pointing the other way. This is exactly why the H3 gate fires — the practitioner needs to see the full factor-by-factor analysis, well beyond the headline tier.

The payroll-orchestrator handles routing when the classification-agent returns AMBER. It does not proceed to payroll computation. It creates a practitioner review task and parks the worker's classification file.

```
// payroll-orchestrator routing on AMBER classification result
{
  "orchestrator_action": "route_on_amber_classification",
  "worker": "James Whitfield",
```



```

"routing": {
  "destination": "practitioner_review_queue",
  "priority": "high",
  "gate": "H3",
  "blocked_downstream_actions": [
    "sg_shortfall_calculation",
    "back_pay_computation",
    "payroll_tax_exposure_estimate",
    "stp_amendment_filing"
  ],
  "required_inputs": [
    "written_contract_review_by_employment_law_practitioner",
    "registered_tax_agent_assessment_if_reclassification_proceeds"
  ],
  "escalation_note": "Do not act on classification result without H3 gate
clearance. H1 gate required for tax consequences."
}
}

```

Right to delegate and equipment provision

The right to delegate is one of the clearest contractor indicators — when it genuinely exists. A true contractor can send a substitute to perform the work. The client engages the result, not the person. If the contract says the worker can delegate but in practice the client would not accept a substitute, the right is illusory. The classification-agent checks both the contract terms and the practical reality by asking whether substitutes have ever been used and whether the client would accept one.

Equipment provision is a supporting factor, not a standalone test. A worker who provides their own tools, vehicle, equipment, and materials is running a business. A worker who uses the client's tools, the client's vehicle, the client's safety equipment, and the client's materials is operating inside the client's business. The classification-agent inventories the equipment question across five sub-factors: tools of trade, computer and software, vehicle, consumables, and safety equipment. Each sub-factor adds to the overall score.

The combination of no delegation right and full equipment provision by the client is a strong employment signal. The classification-agent weights these together. A worker who cannot delegate and uses the client's tools is unlikely to score GREEN.

For Mei at Adelaide Retail Services — an IT contractor engaged to build internal dashboards — the classification-agent's check on delegation and equipment produced a RED result. Mei worked entirely on Adelaide Retail Services' systems, used their developer licences, attended their daily

standups, and had never sent a substitute in eighteen months of engagement. The right to delegate in her agreement was nominal.

```
// classification-agent – right-to-delegate and equipment check (Mei, Adelaide
Retail Services)
{
  "agent": "classification-agent",
  "action": "run_multi_factor_check",
  "worker_profile": {
    "worker_name": "Mei Chen",
    "employer": "Adelaide Retail Services",
    "engagement_type": "written_services_agreement",
    "payment_structure": "monthly_retainer",
    "hours_set_by": "client",
    "work_location": "client_premises_and_client_remote_systems",
    "equipment_owner": "client",
    "software_licences": "client_provided",
    "right_to_delegate": {
      "contractual": true,
      "practical": false,
      "substitute_ever_used": false,
      "client_would_accept_substitute": "unknown"
    },
    "works_for_others": false,
    "duration_of_engagement_months": 18,
    "integration_assessment":
"attends_daily_standups_uses_company_systems_listed_in_team_directory"
  }
}
```

```
// classification-agent output – RED result (Mei, Adelaide Retail Services)
{
  "classification_result": {
    "worker": "Mei Chen",
    "employer": "Adelaide Retail Services",
    "confidence_tier": "RED",
    "overall_risk": "high",
    "factor_scores": {
      "control_over_method": { "score": -2, "indicates": "employee" },
      "integration_into_business": { "score": -2, "indicates": "employee" },
      "right_to_delegate": { "score": -2, "indicates": "employee", "note":
"contractual right illusory in practice" },
      "equipment_provision": { "score": -2, "indicates": "employee", "note": "all
equipment client-provided" },
      "payment_structure": { "score": -1, "indicates": "employee", "note":
```

```

"monthly retainer regardless of output" },
  "duration": { "score": -1, "indicates": "employee", "note": "18-month
engagement, no end-date in sight" },
  "abn_and_invoicing": { "score": +1, "indicates": "contractor" }
},
"net_score": -9,
"gate": "H3_and_H1",
"recommended_action":
"route_to_practitioner_review_then_registered_tax_agent",
"sham_contracting_flag": false,
"sg_shortfall_risk": "high – compute only after H3 clearance",
"payroll_tax_risk": "state_specific – verify applicable state threshold"
}
}

```

This is assumed-fact illustration only. What this illustrates: A contractual delegation right that has never been exercised and would not practically be accepted by the client carries little weight. The engine does not compute the SG shortfall until the H3 gate is cleared by a practitioner. When reclassification is confirmed, the H1 gate fires for the tax consequences.

Sham contracting — Fair Work Act penalties

Sham contracting is a deliberate misrepresentation, distinct from an honest classification error. Section 357 of the Fair Work Act 2009 (Cth) makes it unlawful for an employer to misrepresent an employment relationship as an independent contracting arrangement. The provision imposes civil penalties. Ignorance of the law is not a defence, but genuine belief that the arrangement was lawful is a defence to the s357 prohibition — it is not a defence to the classification itself.

Three sham contracting prohibitions exist under the Fair Work Act (ss357-359 — verify citations before use):

- Misrepresenting employment as independent contracting (s357)
- Dismissing an employee and re-engaging as a contractor (s358)
- Making a false statement to induce an employee to become a contractor (s359)

The civil penalties are significant and indexed. Verify current penalty unit values against the Fair Work Act and the Crimes Act 1914 (Cth) as at June 2026. Penalties apply per contravention, not per engagement. An employer with multiple misrepresented contractors faces multiple contraventions.

The classification-agent surfaces a sham contracting risk flag when the engagement profile shows indicators of deliberate misrepresentation: a worker recently dismissed and re-engaged as a contractor for the same role, a contract that mirrors an employment agreement in substance but is

labelled as a services agreement, or a documented business decision to convert employees to contractors without genuine change in working arrangements.

```
// classification-agent – sham contracting risk assessment
{
  "agent": "classification-agent",
  "action": "run_sham_contracting_assessment",
  "worker_profile": {
    "worker_name": "Priya Sharma",
    "employer": "Metro Digital Solutions",
    "engagement_type": "services_agreement",
    "prior_employment_history": {
      "was_previously_employed_by_same_entity": true,
      "termination_date": "2023-06-30",
      "re_engagement_date": "2023-07-01",
      "role_change": false,
      "duties_changed": false,
      "payment_rate_change": "reduced_slightly",
      "reason_given_for_restructure": "business_efficiency"
    },
    "current_working_arrangements": "identical_to_prior_employment",
    "abn_obtained": "after_re_engagement",
    "worker_requested_change": false
  }
}
```

```
// classification-agent – sham contracting risk output (Priya, Metro Digital
Solutions)
{
  "sham_contracting_assessment": {
    "worker": "Priya Sharma",
    "employer": "Metro Digital Solutions",
    "sham_contracting_risk": "HIGH",
    "triggered_provisions": ["FW Act s357", "FW Act s358"],
    "indicators": [
      "dismissed and immediately re-engaged in same role",
      "no change in duties or working arrangements",
      "ABN obtained after re-engagement at employer's suggestion",
      "worker did not initiate change"
    ],
    "gate": "H2",
    "H2_reason": "Formal ATO and Fair Work compliance response requires registered
tax agent and employment lawyer",
    "recommended_actions": [
```

```

"engage registered tax agent for SG shortfall and payroll tax assessment",
  "engage employment lawyer for Fair Work Act exposure",
  "do not file STP amendments without H1 clearance"
],
"note": "Civil penalty exposure is per contravention. Verify current penalty
unit values as at June 2026."
}
}

```

This is assumed-fact illustration only. What this illustrates: The classification-agent scores the current engagement and examines its history. Dismiss-and-re-engage on identical terms is the canonical sham contracting pattern. The H2 gate fires because the employer needs a registered tax agent for the tax consequences and an employment lawyer for the Fair Work Act exposure. These are not the same person.

NOTE

My take: Sham contracting is the scenario that most frequently produces multi-agency liability. The ATO is interested in SG and PAYG withholding. Fair Work is interested in the civil penalty. The state revenue office is interested in payroll tax. Workers' compensation is a fourth exposure. One engagement, four regulators. The H2 gate exists precisely for this scenario — the formal compliance response has to be coordinated, not handled piecemeal.

Reclassification consequences — the full exposure matrix

When a worker is reclassified from contractor to employee, the consequences reach backwards as well as forwards. They run back to the date the relationship began — or to the earliest open limitation period, which can extend several years. The exposure matrix covers five areas: back-pay of entitlements, SG shortfalls plus SGC, payroll tax, FBT reconsideration, and workers' compensation.

Exposure type	Trigger	Calculation owner	Gate	Who reviews
Back-pay of entitlements (annual leave, personal leave, redundancy)	Reclassification as employee; applicable award or enterprise agreement entitlements apply from commencement date	Payroll engine — AWARD-GOVERNS flag applies; verify applicable award before engine runs	H3, then H1	Employment lawyer; registered tax agent for PAYG on back-pay

SG shortfall plus SGC	SG not paid during period of misclassification; SG rate 12% from 1 July 2025 — verify as at June 2026	Engine-computed, not agent-computed — SGC components include SG shortfall, interest (10% p.a.), and administration fee; verify against ATO SGC statement	H1	Registered tax agent; ATO voluntary disclosure recommended
PAYG withholding shortfall	Payments made without withholding during misclassification period	Payroll engine calculates gross-up or net-of-tax figure; direct to ATO tax tables — engine does not produce specific PAYG amounts for user consumption	H1	Registered tax agent; STP amendment required
Payroll tax exposure	Wages paid to misclassified worker may be wages for state payroll tax purposes; no federal payroll tax — each state has its own threshold and rate	State-specific calculation; engine flags state of engagement and relevant threshold — verify with state revenue office	H1	Registered tax agent or tax adviser with state payroll tax expertise
FBT reconsideration	Benefits provided during engagement may be fringe benefits if worker was an employee; cars, parking, laptops re-assessed	FBT computation is payroll engine territory only if benefit values are known; employer must identify and value benefits first	H1	Registered tax agent
Workers' compensation exposure	Misclassified employee may have been uninsured for work injuries during engagement period	Workers' compensation is state-specific; engine flags the risk and state but does not compute premium or penalty	H3	Employment lawyer; notify state workers' compensation authority

The reclassification exposure calculator is invoked by the payroll-orchestrator after the H3 gate is cleared. It does not run automatically. The engine computes every regulated amount — SG shortfall, SGC components, PAYG gross-ups — but not until the practitioner has confirmed the reclassification decision.

```
// reclassification exposure calculator – invocation after H3 clearance
{
  "agent": "payroll-orchestrator",
  "action": "run_reclassification_exposure_calculator",
  "worker": "Mei Chen",
  "employer": "Adelaide Retail Services",
```

```

"h3_clearing_practitioner": "employment_law_practitioner",
  "reclassification_confirmed": true,
  "employment_commencement_date": "2022-10-01",
  "reclassification_effective_date": "2022-10-01",
  "applicable_award": {
    "status": "AWARD-GOVERNS",
    "award_name": "PENDING – verify applicable award before engine runs",
    "award_agent_check_required": true
  },
  "periods": [
    { "fy": "2022-23", "gross_payments": 110000, "sg_rate": 0.105, "sg_not_paid":
true },
    { "fy": "2023-24", "gross_payments": 132000, "sg_rate": 0.11, "sg_not_paid":
true },
    { "fy": "2024-25", "gross_payments": 138000, "sg_rate": 0.115, "sg_not_paid":
true },
    { "fy": "2025-26", "gross_payments": 72000, "sg_rate": 0.12, "sg_not_paid":
true }
  ],
  "state_of_engagement": "SA",
  "payroll_tax_check_required": true
}

```

```

// SG shortfall exposure workpaper structure – engine output
{
  "sg_shortfall_workpaper": {
    "worker": "Mei Chen",
    "employer": "Adelaide Retail Services",
    "note": "All amounts are calculated by the engine, never by agent code, and
must be verified by a registered tax agent before any payment or disclosure to the
ATO.",
    "sg_rate_note": "SG rate 12% applies from 1 July 2025. Earlier periods use
rates applicable to those years. Verify all rates as at June 2026.",
    "periods": [
      {
        "fy": "2022-23",
        "ordinary_time_earnings": "COMPUTE – engine runs award-agent check first",
        "sg_rate": "10.5% – verify",
        "sg_shortfall": "COMPUTED BY ENGINE",
        "sgc_interest": "10% p.a. on shortfall – computed by engine",
        "sgc_admin_fee": "$20 per quarter per employee – verify current amount
with ATO"
      },
      {

```

```

"sg_rate": "11% – verify",
  "sg_shortfall": "COMPUTED BY ENGINE"
},
{
  "fy": "2024-25",
  "sg_rate": "11.5% – verify",
  "sg_shortfall": "COMPUTED BY ENGINE"
},
{
  "fy": "2025-26",
  "sg_rate": "12% from 1 July 2025 – verify as at June 2026",
  "sg_shortfall": "COMPUTED BY ENGINE"
}
],
"total_sgc_exposure": "COMPUTED BY ENGINE",
"gate": "H1",
"voluntary_disclosure_recommended": true,
"note": "SGC is not deductible. PAYG withholding gross-up is a separate
calculation – refer to ATO tax tables. Engine does not produce specific
withholding amounts for user consumption."
}
}

```

This is assumed-fact illustration only. What this illustrates: The engine computes every regulated figure once the H3 gate clears and the award-agent has confirmed the applicable award. The SG shortfall is not simply the SG rate multiplied by payments — ordinary time earnings (OTE) must be determined, and OTE depends on award classification. The SGC adds interest at 10% per annum and an administration fee. Total exposure compounds quickly across multiple financial years.

Award-agent must run before the exposure calculator can produce OTE-based figures. The AWARD-GOVERNS flag is a hard dependency.

```

// award-agent check on reclassified worker – Mei Chen
{
  "agent": "award-agent",
  "action": "identify_applicable_award",
  "worker": "Mei Chen",
  "employer": "Adelaide Retail Services",
  "role": "IT developer – dashboard and reporting systems",
  "state": "SA",
  "employment_status": "employee_from_reclassification",
  "note": "AWARD-GOVERNS. Award-agent output required before payroll engine can
compute OTE for SG shortfall. Verify award and classification level with HR and
payroll practitioner."
}

```


H1 gate — registered tax agent and employment law review

The H1 gate is the final control before any reclassification consequence is acted on. It requires a registered tax agent. The word "registered" is load-bearing — it refers to a tax agent registered under the Tax Agent Services Act 2009 (Cth) with the Tax Practitioners Board. Not a bookkeeper. Not a payroll manager. Not an unregistered adviser.

For worker classification matters with reclassification consequences, I recommend engaging an employment lawyer alongside the registered tax agent. The employment lawyer addresses the Fair Work Act exposure, the back-pay of entitlements, and the characterisation of the relationship. The registered tax agent addresses SG shortfalls, SGC, PAYG withholding corrections, STP amendments, and payroll tax referrals. These are different disciplines. A registered tax agent is not qualified to give employment law advice. An employment lawyer is not qualified to give tax advice.

The H1 gate fires automatically in the payroll-orchestrator when any of the following conditions are met:

- Classification-agent returns RED
- Reclassification is confirmed after H3 review
- Sham contracting risk is flagged at HIGH
- SG shortfall exposure exceeds zero for any period
- PAYG withholding shortfall is identified
- Payroll tax exposure is flagged in any state

```
// H1 gate fire – route to registered tax agent
{
  "orchestrator_action": "fire_h1_gate",
  "worker": "Mei Chen",
  "employer": "Adelaide Retail Services",
  "trigger": "reclassification_confirmed_sg_shortfall_identified",
  "h1_requirements": {
    "registered_tax_agent": {
      "required": true,
      "reason": "SG shortfall, SGC, PAYG withholding correction, STP amendment, payroll tax referral",
      "action": "do_not_file_stp_amendments_without_h1_clearance"
    },
    "employment_lawyer": {
      "recommended": true,
      "reason": "Back-pay entitlements, Fair Work Act exposure, characterisation of relationship"
    }
  }
}
```

```

},
  "blocked_actions": [
    "stp_amendment_filing",
    "ato_voluntary_disclosure",
    "payroll_tax_amendment",
    "workers_compensation_notification"
  ],
  "engine_status": "figures_computed_held_pending_h1_review",
  "note": "Each amount is produced by the engine, not the agent. Figures are
computed and held. They are not acted on until H1 gate is cleared by a registered
tax agent."
}

```

The audit-risk-agent runs in parallel with the H1 gate fire. Its job is to score the regulatory audit risk created by the reclassification and to flag priority areas for the registered tax agent's attention.

```

// audit-risk-agent scoring on reclassified worker
{
  "agent": "audit-risk-agent",
  "action": "score_reclassification_audit_risk",
  "worker": "Mei Chen",
  "employer": "Adelaide Retail Services",
  "inputs": {
    "reclassification_confirmed": true,
    "periods_at_risk": 4,
    "sg_shortfall_risk": "high",
    "sham_contracting_flag": false,
    "payroll_tax_state": "SA",
    "fbt_benefits_identified": false,
    "workers_comp_uninsured": true,
    "voluntary_disclosure_filed": false
  },
  "risk_score": {
    "ato_audit_risk": "HIGH",
    "fair_work_audit_risk": "MODERATE",
    "state_revenue_audit_risk": "MODERATE",
    "workers_comp_risk": "MODERATE",
    "overall": "HIGH"
  },
  "priority_actions_for_h1_practitioner": [
    "ATO voluntary disclosure – reduces SGC interest and penalties",
    "STP amendment for all affected periods",
    "SA payroll tax threshold check – verify gross wages against SA threshold as
at June 2026",
    "Workers compensation – notify authority of uninsured period"
  ]
}

```

```
]
}
```

This is assumed-fact illustration only. What this illustrates: The audit-risk-agent gives the registered tax agent a prioritised action list. Voluntary disclosure to the ATO is almost always the right first step for SG shortfalls — it reduces the interest and penalty load. The engine has computed the figures. The H1 practitioner decides whether and how to file.

Worked examples

The following four examples are assumed-fact illustrations. All names, employers, amounts, and outcomes are constructed to demonstrate how the agents and gates interact. They are not legal advice. They do not substitute for practitioner review. All rates and thresholds should be verified as at June 2026.

Example 1 — James at Harbour Engineering Pty Ltd

James Whitfield has worked at Harbour Engineering Pty Ltd for two years under a services agreement. He holds an ABN and submits weekly invoices. He works on-site, uses Harbour Engineering's tools and PPE, attends the site manager's daily briefings, and has never worked for another client during the engagement. The payroll team initiates a classification review when the financial controller raises a concern about SG exposure.

The classification-agent is invoked with James's worker profile. It scores the control factor as strongly indicative of employment — Harbour Engineering sets his hours, his location, and his daily tasks. Integration is high — James works alongside Harbour Engineering's permanent tradespeople on identical work. The right to delegate is not present in practice. Equipment is entirely provided by the client. The ABN and invoicing are genuine, but they represent one positive contractor factor against five negative indicators.

The agent returns AMBER. The payroll-orchestrator fires the H3 gate immediately. All downstream computation is blocked. A practitioner review task is created.

The employment law practitioner reviews the written services agreement and the actual working arrangements. The practitioner concludes that James is, on balance, an employee. The H3 gate is cleared with a confirmed reclassification finding. The H1 gate fires. The engagement of a registered tax agent is required before any back-pay or SG shortfall is computed for filing purposes.

The payroll engine runs the back-pay computation using the award-agent output for the applicable award. The SG shortfall is computed across both financial years. The engine holds all figures pending H1 review.

What this illustrates: The AMBER result from the classification-agent is the right outcome here — a gate trigger rather than a definitive finding. The H3 gate forces practitioner review. The H1 gate protects the employer from acting on computed figures without registered tax agent oversight. The contractor label in the agreement was not determinative, and the engine did not assume it was.

Example 2 — Mei at Adelaide Retail Services

This example is worked in full in sections 13.3 and 13.5 above. The classification-agent returned RED on the combination of illusory delegation right, full client-provided equipment, eighteen months of continuous engagement, and integration into the development team. The H1 gate fired. The reclassification exposure calculator ran across four financial years. The SG shortfall was computed by the payroll engine and held pending H1 clearance. The registered tax agent was engaged to manage the ATO voluntary disclosure and STP amendments. The audit-risk-agent scored overall risk as HIGH and prioritised the voluntary disclosure.

What this illustrates: A RED result on a long-duration engagement produces multi-year SG shortfall exposure. The SGC adds interest at 10% per annum, compounding the cost of delayed identification. The SG rate for periods before 1 July 2025 differs from the current 12% — the engine applies the correct rate for each period. All rates must be verified as at June 2026.

Example 3 — Angela at Blue Mountain Healthcare

Angela Reeves is a registered nurse who works at Blue Mountain Healthcare through a labour hire agency. She has worked at the same Blue Mountain Healthcare facility three days per week for fourteen months. Blue Mountain Healthcare directs her work, sets her roster, and supervises her patient care. The agency pays her and handles her superannuation contributions. The classification question is whether the direct engagement elements between Angela and Blue Mountain Healthcare create any employment relationship obligations for Blue Mountain Healthcare, separate from the agency arrangement.

This is a triangular employment scenario. The classification-agent identifies the direct engagement elements: Blue Mountain Healthcare exercises control over Angela's daily work, she is integrated into the facility's nursing roster, and the duration of the engagement is substantial. The agent flags that labour hire arrangements with strong integration and direction factors can give rise to obligations under the applicable state industrial legislation or the Fair Work Act, depending on the structure.

The classification-agent does not have authority to resolve this question. The labour hire licensing regime, the applicable modern award (verify applicable award — AWARD-GOVERNS), and the state-specific workers' compensation framework all interact. The H3 gate fires.

```
// classification-agent – labour hire triangular engagement flag (Angela, Blue Mountain Healthcare)
```

```
{
  "classification_result": {
    "worker": "Angela Reeves",
    "host_employer": "Blue Mountain Healthcare",
    "labour_hire_agency": "[agency name]",
    "confidence_tier": "AMBER",
    "triangular_employment_flag": true,
    "direct_engagement_indicators": [
      "host employer directs daily work and patient assignments",
      "worker integrated into facility roster for 14 months",
      "host employer supervises clinical practice"
    ],
    "gate": "H3",
    "h3_reason": "Labour hire triangular arrangements require employment lawyer review. Agency obligations and host obligations may differ. State labour hire licensing must be verified.",
    "employment_lawyer_required": true,
    "award_agent_check_required": true,
    "note": "Contractor label not determinative. AWARD-GOVERNS. Verify applicable nursing award and state labour hire licence status of agency."
  }
}
```

The H3 gate fires. An employment lawyer with healthcare sector experience is required. The lawyer must assess the labour hire licence status of the agency in the relevant state, Blue Mountain Healthcare's obligations as a host employer, and whether Angela's working arrangements give rise to any direct employment obligations.

What this illustrates: Labour hire arrangements are not automatically safe from classification risk on the host employer's side. The classification-agent identifies the direct engagement elements and fires the H3 gate. It does not purport to resolve the legal question — that requires an employment lawyer. The payroll engine holds all computation until the H3 gate is cleared and the applicable award is confirmed.

Example 4 — Priya at Metro Digital Solutions

Priya Sharma was a full-time employee of Metro Digital Solutions until 30 June 2023. On 1 July 2023, she was re-engaged as a sole trader contractor under a services agreement. Her duties did not change. Her working arrangements did not change. She obtained an ABN after Metro Digital Solutions' HR team sent her a template ABN registration guide. Metro Digital Solutions reduced her rate slightly to reflect the "contractor premium" for superannuation they would no longer pay.

The classification-agent's sham contracting assessment returns HIGH risk on section 357 and section 358 of the Fair Work Act. The indicators are unambiguous: dismiss-and-re-engage with no change in duties, employer-initiated ABN registration, and reduction in rate framed around the

removal of SG payments.

The H2 gate fires. This is a potential civil penalty matter requiring a coordinated compliance response, well beyond an AMBER classification review. The registered tax agent is needed for the SG shortfall and PAYG withholding correction. An employment lawyer is needed for the Fair Work Act exposure. The two must coordinate to avoid any disclosure or filing that worsens the legal position.

```
// H2 gate fire – Priya, Metro Digital Solutions
{
  "orchestrator_action": "fire_h2_gate",
  "worker": "Priya Sharma",
  "employer": "Metro Digital Solutions",
  "trigger": "sham_contracting_risk_HIGH_ss357_358",
  "h2_requirements": {
    "registered_tax_agent": {
      "required": true,
      "scope": "ATO audit response, SG shortfall voluntary disclosure, PAYG
withholding correction, STP amendments, payroll tax assessment"
    },
    "employment_lawyer": {
      "required": true,
      "scope": "Fair Work Act ss357-358 exposure, back-pay of NES entitlements
from July 2023, workers compensation, strategy for voluntary rectification"
    },
    "coordination_required": true,
    "note": "Do not file any ATO voluntary disclosure or approach Fair Work
Commission without coordination between registered tax agent and employment
lawyer."
  },
  "blocked_actions": [
    "ato_voluntary_disclosure",
    "stp_amendment",
    "fair_work_complaint_response",
    "payroll_tax_amendment",
    "any_communication_with_priya_about_her_status"
  ],
  "engine_status": "figures_computed_held_pending_h2_review"
}
```

This is assumed-fact illustration only. What this illustrates: Sham contracting is a distinct category from honest classification error. The Fair Work Act penalties are civil, not criminal, but they are substantial. The H2 gate requires a registered tax agent for the formal ATO response and an employment lawyer for the Fair Work Act exposure. The payroll engine has computed the SG

shortfall and back-pay figures — they are held. Nothing is filed until the H2 practitioners have coordinated a response strategy. The SG rate for the period from 1 July 2025 is 12% — verify as at June 2026. The period from 1 July 2023 uses the rate applicable to that year — verify against ATO.

NOTE

My take: Worker classification is the highest-stakes judgment call in Australian payroll. The classification-agent makes the analysis systematic and reproducible. It does not make it automatic. Every AMBER fires H3. Every RED fires H3 and H1. Every sham contracting flag fires H2. The label in the contract is where the analysis starts, never where it ends. Every regulated amount is the engine's to compute. The practitioners own every compliance decision.

TIP

Next: Chapter 14 is the master reference — annual checklist, prompt library, red-flag escalation matrix, and series navigation.

14 Annual Checklist, Prompt Pack, and Series Close

Master payroll year-end checklist, 12+ prompt library, red-flag escalation matrix, and series navigation

This chapter is a reference you return to every financial year. The checklist covers every major payroll obligation from 1 July to 30 June. The prompt library shows how to invoke each agent in the agentic stack. The escalation matrix maps common payroll scenarios to the correct gate. Keep it open in a tab when you run your first payroll of the new financial year.

Master payroll year-end checklist

Year-end payroll runs as a sequence that begins in April and closes in October. Miss one step and the downstream cascade is almost always more expensive than the missed step itself. The checklist below maps every obligation to the responsible party, the agent that handles the computation, the timing, and the verification source. Run it top to bottom. Do not skip rows on the assumption that "it was fine last year".

The SG reconciliation for Q4 (April–June) is the highest-stakes item. The SG charge calculation, once triggered, is non-deductible and includes interest plus an administration component. Q4 super must be received by the fund by 28 July. STP finalisation is the next cliff: late or incorrect finalisation delays employee tax return pre-fill, generating ATO contact and sometimes amended assessments.

NOTE

STP finalisation — H1 gate. STP finalisation is a mandatory H1 gate. No agent may submit a finalisation event without an authorised officer review and explicit approval. The review must confirm: all pay events reconcile to payroll system totals; reportable fringe benefits amounts are included where applicable; reportable employer super contributions are correctly coded; terminated employees are marked correctly. As at June 2026 — verify current ATO guidance on finalisation requirements at ato.gov.au/stp.

Task	Responsible	Agent	Due date / timing	Gate	Verify source
------	-------------	-------	-------------------	------	---------------

Superannuation guarantee reconciliation — Q4 (April–June)	Payroll manager	sg-agent	SG must be received by fund by 28 July (Q4 2025–26 — the last quarterly due date; from 1 July 2026 SG is due per payday under Payday Super)	H1 — employer sign-off before payment	ATO SG employer obligations; ato.gov.au/sg — verify rate (12% from 1 July 2025); from 1 July 2026 verify Payday Super per-payday obligation (fund receipt within 7 business days of each payday)
PAYG withholding reconciliation — full year	Payroll manager / finance	payg-agent	Complete before STP finalisation	H2 — human review of variance report	ATO PAYG withholding schedule; W1/W2 BAS figures vs payroll register
STP Phase 2 finalisation event	Authorised officer	stp-finalisation-agent	14 July following the end of the financial year (standard deadline — verify current ATO guidance); closely held payees 30 September where applicable	H1 — mandatory authorised officer declaration	ato.gov.au/stp ; employer finalisation guide as at June 2026
Payroll tax annual reconciliation — each relevant state	Finance / payroll manager	payroll-tax-agent	July (most states) — verify per state revenue office	H1 — authorised officer lodgement	Relevant state revenue office (Revenue NSW, SRO Victoria, etc.); threshold and rate vary by state
Workers' compensation renewal — premium declaration	HR / finance	audit-risk-agent (data compilation only)	Per insurer policy renewal date	H2 — finance review before declaration	State-based workers' compensation authority; premium is based on wages declared
Modern Award review — minimum rates update	HR / payroll manager	award-agent	1 July each year (Fair Work Commission annual wage review takes effect)	H2 — confirm updated rates applied to payroll system before first July pay run	Fair Work Commission annual wage review decision; fairwork.gov.au — as at June 2026

Contractor classification review — full population	HR / legal	classification-agent	Before 30 June; update for any new engagements during the year	H1 — legal sign-off on reclassification decisions	ATO employee/contractor decision tool; Fair Work Act; High Court decisions as at June 2026
ETP cap verification — all termination payments	Payroll manager	termination-agent	At time of each termination; verify ETP cap annually	H1 — sign-off on ETP classification and tax treatment	ATO — ETP cap is indexed annually; verify against current ATO ETP cap schedule at ato.gov.au/rates-and-codes
Redundancy tax-free amount verification	Payroll manager	termination-agent	At time of each redundancy payment	H1 — sign-off on tax-free component calculation	ATO — redundancy tax-free amounts are indexed annually; verify against ATO table as at June 2026
New financial year SG rate confirmation	Payroll manager	sg-agent	Before first pay run of new financial year (1 July)	H2 — confirm system rate updated before payroll run	ATO SG rate schedule; ato.gov.au/rates-and-codes — SG is 12% from 1 July 2025 (legislated ceiling reached); from 1 July 2026 the obligation moves to per-payday payment (fund receipt within 7 business days) under the Treasury Laws Amendment (Payday Superannuation) Act 2025 — a system cadence change, not a rate change; verify against ATO
ATO tax tables — new financial year update	Payroll manager / system admin	payg-agent	Before first pay run of new financial year	H2 — confirm updated tables loaded in payroll system	ATO tax withheld calculator; ATO NAT 1008 (tax table schedule) — updated annually

Maximum super contribution base (MSCB) update	Payroll manager	sg-agent	Before first pay run of new financial year	H2 — confirm MSCB cap applied to quarterly calculation	ATO — MSCB is indexed annually; verify against ATO as at June 2026 at ato.gov.au/rates-and-codes
National Minimum Wage — confirm updated rate applied	Payroll manager	award-agent	1 July (or Fair Work Commission effective date)	H2 — confirm NMW update loaded before first July pay run	Fair Work Commission; fairwork.gov.au/pay-and-wages/minimum-wages
Salary packaging arrangements — annual review	HR / payroll manager	salary-packaging-agent	Before 1 April (FBT year end) and before 1 July (payroll year start)	H1 — sign-off on FBT implications before new-year arrangements take effect	ATO FBT guide; employer's salary packaging policy; PAYG withholding variation letter if applicable
Audit risk score — pre-new-year assessment	Payroll manager / finance	audit-risk-agent	Before 30 June	H2 — review score and resolve high-risk items before year closes	Internal payroll data; ATO data matching program guidance; this checklist

Two items on this checklist are perennial sources of underpayment exposure: award rate updates and SG rate updates. The Fair Work Commission wage review decision takes effect 1 July each year. The SG rate schedule has stepped annually since 2021. Both require an actual system update before the first pay run of the new financial year — confirmed with a test pay calculation, not logged as a memo or a note-to-self. The award-agent and sg-agent can both run pre-flight checks on a test employee record. Run them on 30 June and confirm output before the 1 July payroll opens.

Prompt library — 12+ agent invocations

The table below maps each agent to its purpose and the chapter where its logic is explained. The code blocks that follow show realistic invocations. Arguments are representative — replace with your actual employee IDs, pay period dates, and state codes. Every prompt includes the gate parameter, which is mandatory. Gates are enforced by the orchestrator; omitting the gate flag does not bypass the gate, it causes the orchestrator to apply the most restrictive gate by default.

Agent	Purpose	Gate	Chapter
payroll-orchestrator	Runs the full payroll cycle for a pay period; routes to sub-agents	H1	2

sg-agent	Computes superannuation guarantee for an employee or cohort	H1	3
payg-agent	Checks and applies PAYG withholding for a payment type	H2	4
award-agent	Identifies applicable modern award and confirms minimum rates	H2	5
termination-agent	Computes all termination pay components including ETP	H1	6
stp-agent	Submits STP event for a pay period to the ATO	H1	1
stp-finalisation-agent	Runs year-end STP finalisation across all employees	H1	10
salary-packaging-agent	Models salary sacrifice arrangements and FBT/PAYG impact	H1	7
payroll-tax-agent	Calculates payroll tax liability for a state jurisdiction	H2	8
classification-agent	Runs multi-factor worker classification check	H1	9, 13
audit-risk-agent	Scores employer payroll audit risk across all major risk areas	H2	11
special-populations-agent	Routes edge-case workers (casual, commission, labour-hire) to correct logic	H2	12
audit-trail-agent	Generates immutable audit trail for a payroll event or decision	No gate — records only; never modifies data	1, 2, 11

1. payroll-orchestrator — run full payroll cycle

```
payroll-orchestrator run \
  --employer-id "EMP-0042" \
  --pay-period-start "2025-07-01" \
  --pay-period-end "2025-07-14" \
  --pay-date "2025-07-18" \
  --pay-frequency "fortnightly" \
  --employee-cohort "all-active" \
  --sg-rate "0.12" \
  --sg-rate-verify "ato.gov.au/rates-and-codes" \
```

```
--gate "H1" \  
  --require-human-approval-before "stp-submission" \  
  --audit-trail true \  
  --dry-run false
```

2. sg-agent — compute SG for a specific employee and quarter

```
sg-agent compute \  
  --employer-id "EMP-0042" \  
  --employee-id "EMP-W-0187" \  
  --quarter "Q1-FY2026" \  
  --quarter-start "2025-07-01" \  
  --quarter-end "2025-09-30" \  
  --sg-rate "0.12" \  
  --include-ote-check true \  
  --include-mscb-cap-check true \  
  --mscb-verify "ato.gov.au/rates-and-codes" \  
  --salary-sacrifice-offset true \  
  --employee-choice-fund "REST-SUPER-0042187" \  
  --gate "H1" \  
  --output-format "json" \  
  --output-path "./sg-output/Q1-FY2026/EMP-W-0187.json"
```

3. payg-agent — check withholding for a commission payment

```
payg-agent check \  
  --employer-id "EMP-0042" \  
  --employee-id "EMP-S-0094" \  
  --payment-type "commission" \  
  --payment-amount "18500.00" \  
  --payment-date "2025-08-15" \  
  --ytd-gross "62400.00" \  
  --tax-file-number-declared true \  
  --tax-offset-claimed "standard" \  
  --medicare-levy-exemption false \  
  --scale "2" \  
  --withholding-method "annualisation" \  
  --gate "H2" \  
  --require-human-review-if-variance-exceeds "500.00" \  
  --output-format "json"
```

4. award-agent — check award and minimum rate for a role

```
award-agent check \
  --employer-id "EMP-0042" \
  --employee-id "EMP-C-0221" \
  --industry "retail-trade" \
  --role-description "casual sales assistant, part-time hours, no supervisory
duties" \
  --employment-basis "casual" \
  --award-check-date "2025-07-01" \
  --include-casual-loading-check true \
  --casual-loading-rate "0.25" \
  --minimum-rate-source "fairwork.gov.au" \
  --gate "H2" \
  --flag-if-rate-below-award true \
  --output-includes "award-name,classification-level,minimum-hourly-rate,casual-
loading-component"
```

5. termination-agent — compute termination pay for redundancy

```
termination-agent compute \
  --employer-id "EMP-0042" \
  --employee-id "EMP-P-0056" \
  --termination-type "genuine-redundancy" \
  --termination-date "2025-09-30" \
  --employment-start-date "2011-03-14" \
  --age-at-termination "51" \
  --ordinary-time-earnings-weekly "2180.00" \
  --unused-annual-leave-hours "142.5" \
  --unused-long-service-leave-hours "360.0" \
  --include-etp-calculation true \
  --etp-type "genuine-redundancy" \
  --etp-cap-verify "ato.gov.au/rates-and-codes" \
  --redundancy-tax-free-verify "ato.gov.au/rates-and-codes" \
  --gate "H1" \
  --require-legal-review true \
  --output-format "pdf" \
  --output-path "./terminations/EMP-P-0056-termination-pack.pdf"
```

6. stp-agent — submit STP event for a pay period

```
stp-agent submit \
  --employer-id "EMP-0042" \
```

```
--abn "51 824 753 556" \
  --pay-event-type "regular" \
  --pay-period-start "2025-07-01" \
  --pay-period-end "2025-07-14" \
  --pay-date "2025-07-18" \
  --employee-count 47 \
  --payroll-register-path "./payroll/FY2026/period-01/register.json" \
  --stp2-schema-version "2.0.0" \
  --include-salary-sacrifice true \
  --include-reportable-fringe-benefits false \
  --disaggregation-check true \
  --gate "H1" \
  --authorised-officer-id "A0-0003" \
  --authorised-officer-declaration-timestamp "2025-07-18T08:42:00+10:00" \
  --submission-channel "sbr2" \
  --audit-trail true
```

7. stp-finalisation-agent — year-end STP finalisation

```
stp-finalisation-agent run \
  --employer-id "EMP-0042" \
  --abn "51 824 753 556" \
  --financial-year "FY2026" \
  --year-end "2026-06-30" \
  --employee-scope "all" \
  --include-terminated-employees true \
  --include-reportable-employer-super-contributions true \
  --include-reportable-fringe-benefits true \
  --rfba-source "fbt-return-FY2026" \
  --reconcile-against-payroll-register true \
  --reconcile-against-bas-w1-w2 true \
  --variance-tolerance "0.01" \
  --flag-employees-with-no-payg-events true \
  --gate "H1" \
  --authorised-officer-id "A0-0003" \
  --require-explicit-approval true \
  --dry-run-first true \
  --submission-deadline "2026-07-14" \
  --ato-guidance-verify "ato.gov.au/stp"
```

8. salary-packaging-agent — compute salary sacrifice novated lease impact

```
salary-packaging-agent model \
  --employer-id "EMP-0042" \
```



```
--arrangement-type "novated-lease" \
--vehicle-value "68500.00" \
--annual-kilometres 22000 \
--lease-term-years 3 \
--pre-tax-component "12400.00" \
--post-tax-component "3200.00" \
--gross-salary "145000.00" \
--fbt-year-end "2026-03-31" \
--ecm-method "employee-contribution" \
--reportable-benefit-check true \
--payg-withholding-variation-check true \
--gate "H1" \
--include-comparison "pre-packaging-vs-post-packaging" \
--require-employee-sign-off true \
--output-format "pdf"
```

9. payroll-tax-agent — check payroll tax liability for a state

```
payroll-tax-agent calculate \
--employer-id "EMP-0042" \
--state "NSW" \
--assessment-period "monthly" \
--period-start "2025-07-01" \
--period-end "2025-07-31" \
--taxable-wages "387200.00" \
--include-contractor-wages true \
--contractor-wages "42500.00" \
--apply-grouping-rules true \
--related-entities "EMP-0043,EMP-0044" \
--threshold-verify "revenue.nsw.gov.au" \
--rate-verify "revenue.nsw.gov.au" \
--note "No federal payroll tax applies; state/territory rules govern" \
--gate "H2" \
--annual-reconciliation-flag false \
--output-format "json"
```

10. classification-agent — multi-factor worker classification check

```
classification-agent run \
--employer-id "EMP-0042" \
--worker-id "WKR-C-0089" \
--engagement-type "written-contract-for-services" \
--contract-path "./contracts/WKR-C-0089-services-agreement.pdf" \
--factors-check "control,integration,tools-and-equipment,hours,leave-
```

```
--ato-decision-tool-version "2026" \
--fair-work-employee-test true \
--include-sham-contracting-risk-score true \
--prior-classification "contractor" \
--note "Prior classification label is NOT determinative; multi-factor test
governs" \
--gate "H1" \
--require-legal-review-if-ambiguous true \
--output-format "json" \
--output-path "./classifications/WKR-C-0089-assessment.json"
```

11. audit-risk-agent — run audit risk score for employer

```
audit-risk-agent score \
--employer-id "EMP-0042" \
--assessment-date "2026-06-30" \
--include-sg-risk true \
--include-payg-withholding-risk true \
--include-stp-compliance-risk true \
--include-contractor-classification-risk true \
--include-award-compliance-risk true \
--include-payroll-tax-risk true \
--include-etp-risk true \
--data-sources "payroll-register,stp-events,sg-payment-receipts,bas-
lodgements,worker-register" \
--ato-data-match-flag true \
--gate "H2" \
--escalate-to-H1-if-score-above "75" \
--output-format "executive-summary" \
--output-path "./audit/FY2026/risk-score-30-june-2026.pdf"
```

12. special-populations-agent — classify and route a casual commission worker

```
special-populations-agent route \
--employer-id "EMP-0042" \
--worker-id "EMP-CC-0312" \
--employment-basis "casual" \
--earnings-type "commission-only" \
--award-coverage-check true \
--industry "financial-services" \
--ote-classification-check true \
--sg-obligation-check true \
--casual-loading-check true \
--casual-loading-rate "0.25" \
```

```
--payroll-tax-inclusion-check true \
  --gate "H2" \
  --output-includes "ote-status,sg-obligation,award-rate,casual-loading-confirmed,payroll-tax-inclusion" \
  --flag-for-human-review-if-classification-uncertain true
```

13. audit-trail-agent — generate immutable audit trail

```
audit-trail-agent generate \
  --employer-id "EMP-0042" \
  --event-type "stp-finalisation" \
  --event-id "STP-FIN-FY2026-001" \
  --event-date "2026-07-15" \
  --authorised-officer-id "A0-0003" \
  --include-decision-log true \
  --include-agent-invocation-log true \
  --include-human-review-timestamps true \
  --include-gate-outcomes true \
  --include-data-sources true \
  --hash-algorithm "SHA-256" \
  --immutable-store true \
  --output-format "signed-json" \
  --output-path "./audit-trails/FY2026/STP-FIN-FY2026-001-trail.json"
```

NOTE

My take: The prompt library is a living document. Add your employer-specific defaults (employer-id, ABN, standard gate levels) as environment variables or a config file that each agent loads on startup. This cuts invocation length in half and removes the risk of passing stale employer details to the wrong agent. Version-control the config. Treat changes to gate defaults as code changes — review them before merging.

Red-flag escalation matrix

The escalation matrix is the decision tree for your payroll desk. When something triggers a flag, look up the scenario, confirm the agent and gate, and take the required action. "Confidence" here refers to the agent's computed confidence in its own output — a low-confidence output always escalates regardless of gate level. High-confidence outputs still respect the gate model; H1 always requires a human.

Print this matrix. Stick it near the payroll workstation. The scenarios are ordered roughly by frequency of occurrence — SG shortfalls and TFN issues are common; sham contracting risk and ATO data match discrepancies are less frequent but higher severity when they arise.

Scenario	Trigger	Agent	Confidence	Gate	Action required
SG shortfall detected	sg-agent returns underpayment vs OTE for any employee in any quarter	sg-agent	High — computation is deterministic	H1	Stop. Do not process next pay run. Payroll manager reviews calculation. If confirmed, engage SGC lodgement process with ATO. SGC is non-deductible and includes interest; early voluntary disclosure reduces penalty. As at June 2026 — verify ATO SGC process at ato.gov.au/business/super-for-employers/
No TFN declaration received	payg-agent detects employee without lodged TFN declaration on file	payg-agent	High	H2	Apply highest marginal withholding rate (no tax offset) until TFN declaration received. Do not delay payment. Record reason. Payroll manager to follow up with employee within 28 days. As at June 2026 — verify ATO guidance at ato.gov.au (TFN declaration guidance)

Casual loading dispute	award-agent flags a casual employee record where casual loading is not separately identified in pay slip	award-agent	Medium — depends on award coverage assessment	H1	Halt casual loading set-off claim if applicable. HR review. Check employment contract, pay slip history. If casual loading was embedded in a flat rate, obtain legal advice on exposure. Fair Work compliance team may need to be notified. As at June 2026 — verify Rossato/WorkPa c case developments at fairwork.gov.au
Contractor classification ambiguous	classification-agent returns confidence below 70% or factors split evenly	classification-agent	Low — ambiguous multi-factor result	H1	Do not pay as contractor until resolved. Escalate to legal. Obtain written legal advice on classification. If employment relationship exists, engage as employee immediately. Do not continue engagement as contractor pending advice. The label "contractor" in the contract is NOT determinative.

STP submission failed	stp-agent returns error response from ATO (non-200 status or error payload)	stp-agent	High — deterministic error from ATO gateway	H1	Do not re-submit without diagnosing error. Review ATO error code. Common causes: ABN mismatch, schema validation failure, duplicate pay event ID. Fix root cause. Re-submit same pay event (do not create a new event). Record submission attempt and error in audit trail. As at June 2026 — verify ATO STP error codes at ato.gov.au/stp
Fair Work underpayment allegation	payroll-orchestrator or award-agent receives external notice (Fair Work inspector, employee complaint)	award-agent + audit-trail-agent	N/A — triggered externally	H1	Immediately preserve all payroll records. Instruct payroll team to make no amendments. Engage legal counsel. Audit trail agent should snapshot current state. Prepare seven-year payroll record set. Cooperate with Fair Work investigation. Voluntary back-payment before investigation conclusion is treated more favourably.

Payroll tax grouping query	payroll-tax-agent flags potential grouping with related entities based on common ownership or control	payroll-tax-agent	Medium — grouping rules are fact-specific	H1	Obtain state revenue office advice on grouping status. Do not assume each entity is standalone. Threshold is assessed on grouped wages across all grouped entities. Engage tax adviser. As at June 2026 — verify grouping rules with your state revenue office; rules differ by jurisdiction.
ETP classification uncertain	termination-agent cannot determine whether payment is a life benefit ETP or another category	termination-agent	Low — classification requires legal and factual analysis	H1	Do not process ETP withholding until classified. Engage tax adviser or ATO private ruling if necessary. Incorrect ETP classification produces incorrect withholding and incorrect STP reporting. ETP cap is indexed annually — verify current cap at ato.gov.au/rates-and-codes . Legal advice required before payment.

Sham contracting risk detected	classification-agent flags that a contractor engagement has characteristics of employment; sham contracting risk score is high	classification-agent	Medium — risk score, not determination	H1	Cease new engagements with that worker until reviewed. Engage legal counsel immediately. Sham contracting carries civil penalties under the Fair Work Act. Do not restructure the arrangement to avoid the classification — that itself may increase exposure. Document all steps taken.
ATO data match discrepancy	ATO correspondence indicates STP-reported amounts do not match tax return or third-party data	audit-risk-agent + stp-agent	N/A — triggered by ATO	H1	Reconcile STP events against payroll register for the relevant period. Identify source of discrepancy (timing difference, coding error, or genuine underpayment/overreporting). Engage tax adviser. Respond to ATO within stated timeframe. Amend STP events if required. Document all steps in audit trail.

PAYG withholding reconciliation gap	payg-agent year-end reconciliation shows material variance between total PAYG withheld (payroll system) and BAS W1/W2 amounts lodged	payg-agent	High — deterministic calculation	H1	Do not finalise STP until gap is resolved. Trace every pay event. Common causes: BAS corrections not reflected in payroll, ad hoc payments missed, termination payments coded incorrectly. If BAS was incorrect, lodge amended BAS. Record resolution in audit trail. Do not close financial year with unresolved variance.
Award rate increase not applied	award-agent detects that one or more employees are being paid below the new minimum rate effective 1 July	award-agent	High — minimum rate is deterministic once award is confirmed	H1	Stop next pay run if within first pay cycle of the new financial year. Calculate back-pay from 1 July. Back-pay immediately. Correct payroll system rate. STP correct event may be required if prior pay events are already submitted. Engage Fair Work compliance adviser. The employer has no discretion on minimum rates — they are statutory floors.

STP finalisation overdue	stp-finalisation-agent or payroll calendar flags that finalisation has not been submitted by the ATO deadline	stp-finalisation-agent	High — date is deterministic	H1	Submit as soon as possible. Do not wait for year-end audit completion if data is materially correct. An amended finalisation can be submitted later. ATO may apply penalties for late finalisation. Contact ATO if genuinely unable to finalise (e.g. pending dispute) — request deferral before deadline. As at June 2026 — verify current deadline at ato.gov.au/stp
Worker reclassification required	classification-agent confirms worker previously treated as contractor should be classified as employee	classification-agent + sg-agent + payg-agent	High — determination made by legal/agent	H1	Engage employee immediately from reclassification date. Back-calculate SG entitlement for all prior quarters as employee. Determine PAYG withholding that should have been withheld. Engage ATO voluntary disclosure process. Notify state payroll tax authority. This is a multi-agent, multi-authority resolution — do not attempt it without a coordinated plan.

State payroll tax audit commenced	State revenue office issues audit commencement notice	payroll-tax-agent + audit-trail-agent	N/A — triggered by authority	H1	Preserve all payroll records, contractor registers, and wage calculations for the audit period. Engage tax adviser with state payroll tax experience. Do not amend records after audit commencement without legal advice. Respond to information requests within deadlines. Voluntary disclosure before formal audit finding is generally treated more favourably.
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NOTE

Low confidence always escalates. The confidence column in this matrix describes what the agent outputs, not what you should act on alone. Any low-confidence result from any agent escalates to H1 regardless of the scenario's default gate. An agent that is uncertain is telling you it cannot resolve the case deterministically. That is valuable information. Do not override it.

The agentic stack in one view

This table is the map of every agent in the book. Use it to navigate between chapters and to understand where each agent sits in the determinism/gate hierarchy. Agents toward the top of the stack are orchestrators — they route and coordinate. Agents in the middle are domain specialists — they compute and verify. The audit-trail-agent sits apart: it never modifies data, never routes work, and never produces a result that feeds into payroll calculations. Its only job is to record.

NOTE

My take: The agents in this stack are only as good as the data they receive. The payroll-orchestrator is the entry point, but the quality of its output depends entirely on the payroll register, the employee master, and the award classification data flowing into it. Garbage in produces confident garbage out — a high-confidence result from an agent with bad input data is more dangerous than a low-confidence result from an agent with good input data. The gate model catches the second case. Nothing catches the first case except human data quality review.

Agent name	Role	Determinism note	Gate	Chapter
payroll-orchestrator	Coordinates the full payroll cycle; routes to domain agents; enforces gate model	Routing logic is deterministic; sub-agent outputs vary by domain	H1	2
payroll-engine	Core gross-to-net computation; applies tax tables, deductions, and salary sacrifice	High — statutory inputs (tax tables, SG rate) are fixed per period	H1	2
sg-agent	Computes superannuation guarantee; checks OTE basis; applies MSCB cap	High — SG rate and MSCB are fixed once confirmed for the year	H1	3
payg-agent	Applies PAYG withholding schedule; handles irregular payments and annualisation	High for standard payments; medium for irregular payments (annualisation method)	H2	4
award-agent	Identifies modern award coverage; confirms minimum classification and rate	Medium — award coverage can be ambiguous at the industry boundary	H2	5
termination-agent	Computes all termination components: unused leave, ETP, redundancy tax-free amount	Medium-high — statutory components are deterministic; ETP classification requires legal input	H1	6
stp-agent	Constructs and submits STP pay events to ATO via SBR2	High — schema validation is deterministic; submission outcome is ATO-determined	H1	1

stp-finalisation-agent	Runs year-end finalisation; reconciles all pay events; submits finalisation declaration	High for reconciliation; H1 gate enforces human declaration requirement	H1	10
salary-packaging-agent	Models salary sacrifice arrangements; computes FBT and PAYG withholding impact	Medium — FBT valuation rules require current-year ATO guidance; ECM method adds complexity	H1	7
payroll-tax-agent	Calculates state payroll tax liability; checks grouping; generates reconciliation	Medium — statutory rate and threshold are fixed; grouping determination is fact-specific	H2	8
classification-agent	Runs multi-factor worker classification test; produces risk-scored determination	Low to medium — multi-factor test is inherently fact-specific and legal-question-adjacent	H1	9, 13
audit-risk-agent	Scores employer payroll audit risk across all major risk domains	Medium — risk score is a model output; not a legal determination	H2 (escalates to H1 if score above threshold)	11
special-populations-agent	Routes edge-case workers to correct logic path; handles casual, commission, labour-hire, working holidaymakers	Medium — routing is deterministic once classification is confirmed; classification itself may be uncertain	H2	12
audit-trail-agent	Generates immutable, timestamped, hashed audit trail for every payroll event and gate decision	High — records only; never modifies data; hash is deterministic	No gate — records only; never modifies data	1, 2, 11

Agentic Accounting series navigation

This book is the seventh in the Agentic Accounting series. Each book covers a distinct domain of Australian accounting and tax practice. The series is designed so that each book stands alone — you do not need to read books in order — but the determinism-first principle and H1/H2/H3 gate model are consistent across all seven books. An agent you understand from this payroll book behaves the same way architecturally in the tax agent book or the SMSF book.

Book	Title	What it covers
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1	The Agentic Tax Agent	Individual income tax returns; deduction classification; PAYG income summaries; pre-fill data reconciliation; amendment workflow; ATO correspondence agents. Covers the full individual tax lifecycle from data collection to lodgement.
2	The Agentic BAS Agent	GST classification; BAS lodgement via SBR2; fuel tax credit calculation and reconciliation; instalment method vs actual GST; BAS revision and amendment workflow; ATO audit response. Covers quarterly and monthly BAS obligations for businesses of all sizes.
3	The Agentic SMSF Agent	SMSF administration; annual return lodgement; investment strategy review; contribution classification (concessional vs non-concessional); pension commencement; actuarial certificate triggers; SMSF audit preparation. Covers the full SMSF compliance cycle.
4	The Agentic Trust Agent	Discretionary and unit trust distributions; beneficiary entitlement calculation; section 100A risk assessment; streaming of capital gains and franked dividends; trust tax return; trustee resolution workflow. Covers distribution planning, compliance, and ATO risk management.
5	The Agentic CGT Agent	Capital gains calculation across all CGT assets; discount method and indexation method; small business CGT concessions (15-year, 50% reduction, retirement, rollover); market value substitution; CGT event classification. Covers individual, trust, company, and SMSF CGT scenarios.
6	The Agentic FBT Agent	Fringe benefit classification across all 13 FBT categories; taxable value calculation (statutory vs operating cost for cars); employee contribution method; exempt benefits; FBT return lodgement; reportable fringe benefits amounts for STP. Covers the full FBT year cycle from 1 April to 31 March.

7	The Agentic Payroll Agent	STP Phase 2 disaggregated reporting; superannuation guarantee (12% from 1 July 2025); PAYG withholding; modern award compliance; terminations and ETPs; salary packaging; state payroll tax; worker classification; audit risk scoring. This book. As at June 2026.
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NOTE

My take: The direction of agentic accounting practice is determinism under audit, not automation of judgement. Every book in this series arrives at the same conclusion from a different angle. The CGT concession rules are fact-specific. The trust distribution rules require legal intent. The SMSF investment strategy requires trustee deliberation. And the payroll rules — as this book has shown — sit at the intersection of statute, award, contract, and state jurisdiction. The agent's job is to surface the relevant facts, apply the rules mechanically where the rules permit it, and stop where human judgement is required. The practitioners who get this right will not be replaced by agents. They will be the ones who know when to trust the agent and when to override it.

Close

The determinism-first principle is not a constraint on what the agentic stack can do. It is the condition that makes the stack trustworthy. In payroll, creative interpretation serves no one — employer, employee, and ATO are all worse off for it. The SG rate is what it is. The award rate is what it is. The withholding schedule is what it is. The agent's job is to apply these rules without drift, without optimism, and without the kind of rounding that feels harmless until it compounds across 200 employees over four quarters. The gate model — H1: registered tax agent or BAS agent (non-delegable); H2: registered tax agent only; H3: practitioner review before proceeding — exists because statutory compliance requires a human in the loop at precisely the moments when an agent is most likely to be confidently wrong.

Run the audit-risk-agent before the new financial year opens. Not after the first pay run, not after the STP finalisation — before. The risk score gives you a map of where the year-end left unresolved exposure. High-risk items do not resolve themselves between 30 June and 1 July. They carry forward, accumulate interest in the case of SG, and become the foundation for the next year's audit risk. The cost of a pre-year-end review is an hour of agent time and a human review session. The cost of finding the same issues in an ATO audit is measured in different units.

Every payroll cycle is a commitment to accuracy under law. The agentic stack described in this book keeps that commitment intact and gives you better tools to honour it.

APPLIED AI FIELD GUIDES**Disclaimer**

General educational information for payroll officers, bookkeepers, accountants, and HR staff, current as at June 2026. Not tax, legal, or employment law advice. AI output must be verified against the current PAYG withholding tax tables, ATO guidance, and applicable industrial instruments before relying on it. Rates and thresholds change — verify before acting.

The Agentic Payroll Agent

Version 0.1.0 - June 2026

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